Quess Corp (QUESS)

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"Quess Corp Limited
Q4FY23 & FY23 Earnings Conference Call "
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MANAGEMENT : MR. GURUPRASAD SRINIVASAN – EXECUTIVE DIRECTOR AND GROUP CEO
MR. KAMAL PAL HODA – GROUP CFO
MR. LOHIT BHATIA – PRESIDENT – WORKFORCE MANAGEMENT
MR. PINAKI KAR – PRESIDENT – GLOBAL TECHNOLOGY SOLUTIONS
MR. SEKHAR GARISA – PRESIDENT – PRODUCT -LED BUSINESSES

MODERATOR : MR. VIDIT SHAH – IIFL SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Quess Corp Limited Q4FY23 Earnings Conference Call hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questi ons after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone . Please note that this conference is being recorded. I now hand the conference over to Mr. Vidit Shah from IIFL Securities Limited. Thank you, and over to you, sir.

Vidit Shah : Thank you, Zico. Ladies and gentlemen, good morning and thank you for joining us on the post results conference call for Quess Corp. It's my pleasure to introduce the senior management team of Quess who are here with us today to discuss the results. We have with us Mr. Guruprasad Srinivasan – ED and Group CEO , Mr. Kamal Pal Hoda – Group CFO , Mr. Lohit Bhatia – President , Workforce Mana gement. Mr. Pinaki Kar – President , Global Technology Solutions, and Mr. Sekhar Garisa – President , Product -Led Businesses. We'll begin the call with opening remarks by the management team and thereafter, we'll open the call for a Q&A session.

I woul d like to now hand over the call to Mr. Rajesh Padmashali to take proceeding s forward . Thank you.

Rajesh Padmashali : Thank you, Vidit. Good morning everyone and thank you for joining our Q4 earnings call. The information, data and outlook shared by the managemen t during the call is forward -looking, but subject to prevailing business conditions and government policy. All forward -looking statements are subject to economic growth or other risks faced by the company.

With that safe harbour , I will now hand over to Group CEO, Guruprasad.

Guruprasad Srinivasan: Thank you, Rajesh. Good morning everyone and thank you for joining us today for the Q4FY23 results. Let's get started. In FY23, we added 73,000 in headcount, an increase of about 17%.

Please note, this number d oes not include any additional associa tes who have been processed as full and final during the month, which is about 30,700 by headcount, who are pay rolled in the month of March, but not on our rolls by end of the month.

This is the second consecutive ye ar in which we have added an incremental headcount of 70,000 in a sequence for the last 2 years, signif ying our strong sourcing engine and a relentless focus on our sales.

The business environment for the quarter was muted across sectors and key sectors such as IT and retail saw a slowdown in hiring. However, sect ors like BFSI and FMCG continue to perform well for us, which led to a total net headcount addition of 7,000 during Q4 across Quess.

Our consolidated Q4 revenue st ayed flat on QoQ basis. However, for FY23, we recorded a revenue increase of 25% versus FY22. Our platforms have all continued to demonstrate growth with each of them recording 20%+ revenue growth in FY23. One of our major focus area s for management in the quarter was to reduce the SG&A cost across verticals. As a result, our SG&A

cost has declined to 5.4% of our revenue in Q4 from 5.7% in Q3. Excluding product -led business, our SG&A cost has declined by 10 basis points to 4.2% of revenue in Q4.

The consolidated EBITDA for the quarter was INR 152 crore, a 4% QoQ increase and EBITDA margin s improved by 16 basis points, driven by our focus on cost reduction. Q4 was very good from collection perspective. We achieved an OCF of INR 114 crore in Q4, leading to a total collection of INR 294 crore in FY23, which is 71% of our operating EBITDA, thereby achieving our goals of 70% + OCF -to-EBITDA for the year.

The sales engine continue

s to perform well. We acquired 175 new customers in Q4, in which the cross -sell engine contributed about 47 wins in FY2 3 with ACV of INR 353 crore. Kamal, our Group CFO, will walk you through the financial performance in detail after I discuss key updates by business.

To begin with, let's look at Workforce Management. The headcount in our Workforce Management platform reac hed 387,000, a 22% YoY increase. Consequently, platform revenues grew by 25% and EBITDA by 18%. Coming to specifics in General Staffing business. The business added 239 new customers in F Y23, in which 50% of new sign -ups came from manufacturing.

Our focuse d vertical , Manufacturing and Industrial is now the third largest vertical in staffing. We believe that this vertical has a lot of potential and will continue to strengthen the sourcing capability. 75% of all new deals have come in some form, either throug h consolidation or either through the local contractors or the first time clients creating additional production capacities.

Value -added services contribution remained stable at 21% gross margin. The per associate per month gross margin profile , which is a lso known as PAPM, stayed stable and in a range of about 670 to 700. Coming to specific sectors, we are seeing tailwind in auto-engineering, electronics and consumer durable and BFSI segment in coming months . To ensure market -leading growth and to acquire greater market share, our general staffing business will continue to focus and strengthen its digital backbone.

Our investment in cutting -edge technology platforms built over the last few years, which is also a centre of experience for us, which enables fa ster fulfilment , quality of associate experience, compliance edge and customer satisfaction, we hope will eventually contribute to lower attrition and higher customer stickiness. Specific to IT staffing business, the Indian IT staffing business and selecti on business stayed flat during the quarter, in-line with market slowdown.

FY23 revenue growth for domestic IT staffing business was at 10%. However, I a m pleased to inform that Quess Singapore had an exceptional year with 45% revenue growth in FY23 on the back of easing of travel restrictions post COVID. Our IT staffing mandates are down by 80% in volume against Q1FY23.

To improve the margin, we are currently focusing on efficiency ratio, i.e, productivity of margin delivered per recruiter per month. In add ition, we see greater opportunity in high and mid margin range of skills rather than junior and entry level.

Moving on to our Global Technology Solutions platform , the segment posted its highest revenue and EBITDA, with revenue growing by 23% YoY and its EBITDA growing by 11%. This enabled GTS to become the largest EBITDA contributor to Quess this year, replacing Workforce Management.

Some of the key highlights of the platform , our order book continues to be strong, and Conneqt had its highest ev er order booking with an ACV of INR 121 crore booked during Q4FY23.

The customer lifecycle management business of AllSec grew by an impressive 28% YoY , driven primarily by 6.3% QoQ in North American business. Going forward, in Q1, the focus of this vertica l will be: one, accelerate the growth momentum achieved in North America over last year to enable overall margin enhancement; two, build and consolidate on success in healthcare vertical in North American market through Omni channel offerings; three, expan sion of global delivery footprint in Manila through enabled margin -rich growth.

In our Non -Voice BPO, the business grew significantly during the quarter , 34% YoY and 13% QoQ due to excellent growth in collection business, which grew 39% YoY and 14% QoQ .

In the current year, we will continue to foc us on sustaining our leadership position in collection business through on going platform and digital tools. In our platform -based business, pay slips processed in HRO business crossed a mark of 1.2 million pay slip s per month, establishing a clear leadership position. In our InsurTech platform, we achieved revenues per FTE of USD 110,000 during F Y23, leading to the highest ever quarterly EBITDA in Q4 and highest ever EBITDA margin.

Moving on to our OAM platform. I am happy to inform you that we have registered a robust top line growth of 24% YoY . IFM saw revenue growth of 23% YoY and major sector contributing to the growth are manufacturing, BFSI and public infra.

For coming quarters, the business will focus on foll owing areas: logistics and public infrastructu re, such as airports, ports, railways and health care. We are in the process of creating vertical -specific capability in our facility management business. This will enable us to provide customer -specific soluti ons for leading higher margins.

One of our focus areas in improving is the entire back office efficiencies through technology. This has given us some early wins in terms of our core -to-associate ratio improving to 113 in Q4 from 100 where we were in Q1. S ecurity business continues the headcount addition; we increased by 12% YoY . Going forward, the business will focus more on margin improvement by increasing market share in existi ng cluster with specific focus on top 10 cities.

Moving on to our Product Led Business . We continue to make significant progress, foundit had another strong quarter of growth in Q4 despite of headwinds in recruitment space registering 36% growth YoY in sales. For full year, we ended a robust revenue growth of 33% YoY . The product en hancement and growth interventions have resulted in crossing 50 K recruiters on the platform while maintaining 90% + CSAT throughout the year.

The candidate experience has significantly improved through multiple product features like adaptive registra tion flow, mobile -first design and contextual career guidance. We have added more than 5 million new candidates to the platform during the year.

Our strategy of doubling down in terms of the candidate services has been validated thoroughly with 4x YoY grow th in candidate revenues. Our investment in products such as Zuno and Skillyst has paid off significantly with all new initiatives showing great traction. We are excited about FY24 as the core product continues to grow aggressively and investment in produc ts in last year will start contributing to the revenues in FY24.

We remain focused on ensuring that this growth is sustainable. We will deliver our EBITDA commitments along as we go. Moving on to the corporate updates , our greatest assets are our people, w hose welfare has always been our utmost priority. It gives me immense pleasure to inform you that Quess was declared a Great Place to Work for fourth year in a row. This shows our continued commitment towards the well -being of our employees.

So that was an overview on the business. I would like to conclude by saying that last year was a lot of heavy lifting in streamlining our internal processes, investing in new geographies , and creating capacity for future revenues. This process will now enable a greater margin realization and an increase in productivity levels. The results of this investment, we expe ct to show up in FY24. To hear more about financials, I will now hand over to Kamal . Over to you.

Kamal Pal Hoda: Thank you, Guru. Good morning everybody and thank you for joining us today. I extend a very warm welcome to everyone who has logged into this call. Let me now walk you through the Q4 and FY23 financial performance.

Revenue grew by 25% in FY23 to INR 17,158 crore compared to last year due to str ong growth across all platforms. EBITDA dropped by 6% YoY to INR 585 crore . This is largely due to

growth investments of INR 95 crore made into Product -Led platform.

Excluding PLB, EBITDA for Quess grew by 7% on a YoY basis. Q4 revenue stayed flat QoQ due to muted market conditions, especially in the IT sector. However, EBITDA grew by 4% to INR 152 crore mainly on account of cost reduction initiatives started in Q3. OCF for the quarter is at INR 114 c rore driven by a reduction of 5 days in our DSO. Thi s takes our full year OCF -to-EBITDA ratio to 71, and this is in-line with our annual guidance of 70%. Further, I am pleased to inform that our gross debt level s had come down by INR 57 crore YoY to INR 531 crore and net cash has increased by INR 66 crore .

For FY23, our PAT is down by 11% to INR 223 crore . This is largely due to 2 reasons: one, growth investments in Product -Led Business of INR 95 crore ; and two, increase in depreciation due to additional equipment for INR 21 crore and INR 42 crore towards additional rental space taken. Please note, that the additional investment in rental space is reflective of the growth in the CLM business.

Now moving on to segment -wise updates, starting with Workforce Management. Full year revenue grew by 25% t o INR 11,831 crore and corresponding EBITDA grew by 18% to INR

345 crore. The growth is attributable to headcount additions in staffing in India and increased business in Singapore due to easing of travel restrictions post COVID. In North America, we made an investment of about INR 11 crore in FY23 . We expect the business to breakeven by H1 FY24.

While the headcount grew by 2% QoQ , platform revenue and EBITDA remained flat as majority of the additions did not account for full quarter revenue. While our Gene ral Staffing business grew by 28% for the year, our Collect & Pay ratio of the customers remained constant at 76%, which is in-line with our goals. Our SG&A for the platform dropped to 5.4% from 5.9% last year.

Coming to GTS , full year revenue grew by 23% to INR 2,168 crore and corresponding EBITDA grew by 11% to INR 353 crore , a new milestone achieved by the platform by posting highest EBITDA, mainly driven by steady growth in CLM and Non -Voice BPO business.

While the revenue g rew by 2% QoQ to INR 571 crore, EBITDA grew by 5% to INR 95 crore, mainly on account of cost initiatives and customer margin improvements. Our Non -Voice BPO business achieved 34% YoY growth on the back of 39% growth in collection business.

Moving on to Ope rating Asset Management , full year revenue grew by 24% to INR 2,622 crore . However, EBITDA remained flat YoY . This is because of renegotiation of contract and commercials with 1 of our major customers in IFM business as called out in Q1FY23. Platform headc ount, revenue and EBITDA remained flat QoQ because of muted demand in the asset management space. Core -to-associate ratio has improved by 27% to 110. Also, revenue per headcount per month also increased by 10% YoY .

Other financial updates. We recorded INR 30 crore of PAT for the quarter, down by 65% versus Q3. This is mainly because of a few factors, which are as follows: one, we had a onetime gain on sale of Simpliance, an exceptional item in Q3. The tax provision for which was taken in Q4, the effective t ax rate for FY23 is at 22%. However, our blended ETR guidance was around 18% and the increase in the ETR is due to the incidence of long -term capital ga in on account of our divestment of Simpliance.

Number two, depreciation , and interest has gone up by INR 8 crore attributable to IND AS 116 accounting for new facilities, mainly for our GTS business.

Income tax updates –

As mentioned in our previous quarterly call, for FY 2017-18, we have completed the DRP proceedings. For residual matters in FY 2017-18, our appeal is at ITAT, and hearing dates are expected in mid -June 2023. For FY 2018-19, our matte

rs are at the DRP stag e, and we expect the hearings to start soon. Please note that there is no change in the contingent liability of INR 74 crore on account of such proceedings as disclosed in last quarter.

We thank you all for your continued support, and I would like to now open the floor for questions.

Moderator: Thank you. Our first question is from the line of Vidit Shah from IIFL Securities Limited. Please go ahead.

Vidit Shah: My question is largely around the margin, which have improved on a consolidated basis, but when I look a t it on a sequential basis for Q4, a large part of this has come because of lesser burn in the Product -Led Businesses. So just specifically for Workforce Management and Operating Asset Management, what is the size of the cost -cutting measures and efficiency improvements that we are looking at? , because in Workforce Management, we have seen a large improvement in core -to-associate ratio and even then, margins have remained flat. So, could you just like help understand , is there any pressure on PAPM or pricing as such?

Kamal Pal Hoda : So, Vidit, we have an organization -wide cost realignment exercise that we have done. And even for Workforce Management and OAM, the IDC costs have been reduced. We had called out that we have reduced the IDC to 5.4%. The reason that you see that the margins have remained flat is because of the additional investment that has happened in North Americ a business and also a bit of muted demand in the IT sector.

Vidit Shah: Okay. So, the North America burn is at around INR 11 crore, right, for Q4?

Kamal Pal Hoda: It is on a full year basis, its INR 11 crore.

Vidit Shah: Okay. How much would it be in this quarter?

Kamal Pal Hoda: It will be close to INR 3 crore this quarter.

Vidit Shah: Okay. Got it. Any sense that you could provide on any update on the North America venture? How are we doing , last quarter we had started bringing in revenues from 1 customer. So how has that picked up? And where are we at currently?

Lohit Bhatia: Good morning Vidit. So, as you know, we started this only in summer of 2022 with U.S. Our long-term and medium -term s trategy remains very robust. U.S. has again shown solid growth in the overall staffing market and last year's numbers that we ha ve now from the world bodies is $187 billion.

The good part in those INR 11 crore numbers, though not yet visible and impacting our revenues and EBITDA, is that in the Q4, in the last month, we did start revenue generation. The revenue generation was sub $ 50,000, but it was our start with our first customer. Secondly, with our current quarter that we've started, which is Q1FY24, we've added another 2 large customers, and these customers are part of the Fortune 500 pack. As I speak with you today in almost the mid of May, our team has already received close to 100 open mandates in U.S.A. itself.

To give you a context, an average open mandate converts into selection and joining at the rate of about 7%. So, hereafter, we would be clocking and wanting to see a strengthening of our portfolio on a month -to-month basis and a quarter -to-quarter basis. So as Guru said in his commentary, we want to achieve our breakeven goal in the first half of this financial year and thereafter, make a strong start and strong moat for ourselves in the American market.

Vidit Shah: Okay. understood.

Guruprasad Sri nivasan: On the margin, two clear contributors. One is, North America investment. Second, IT staffing and selection business, which declined.

Vidit Shah: Okay. Understood. And just one last clarification. On the intangible assets, these seem to have reduced by around INR 40 crore when seen against FY22. And consequently, we've also seen a shar

p increase in depreciation. So, is there an aggressive amortization happening across these assets? And what is the view on depreciation and amortization going forward?

Kamal Pal Hoda: Vidit , there are two things. On intangibles, we have not accelerated any depreciation, and it is in-line with what we've been doing so far. It's a normal amortization of intangibles that we've been doing. The additional depreciation this year as also mentioned during my commentary is on account of the additional investments that we have done in the rental s pace in our CLM business.

So, the total seats in the CLM business have gone up more by 15% this year, and it's a lmost touching 20,000 seats. We ha ve hired close to 145,000 square feet of additional office space for the CLM business, and that's visible in t he growth that you see in that business in terms of its revenue . What comes from an IND AS 116 accounting is the entire rental costs then get segregated and the lease accounting happens, and a large chunk goes into the depreciation cost. And the depreciati on cost is higher in initial yea rs and then the liabilities are amortized, and the interest cost is in charge d off the P&L over the period of the lease.

Moderator: Our next question is from the line of Vikas Jain from Reliance Securities. Please go ahead.

Vikas Jain: My question is the promoters have increased some stake in the last quarter. So, any further plans to acquire something from the existing investors? And the second question is with respect to the PLB business, by what time the Product -Led Business would be profitable?

Guruprasad Srinivasan: All right. So, we'll take the second question first, Sekhar, you want to...

Sekhar Garisa: The Product -Led Businesses, specifica lly in foundit, as you know, we ha ve raised some capital last year and all of FY23, we were on an investment mode on product as well as marketing and the business has been growing aggressively inline with whatever expectations we had. We'll continue this path in FY24 as well where our growth plans are aggressive. And as committed earlier, we are looking at breaking even on the business by Q4FY24.

Guruprasad Srinivasan: All right. So, on the other question, Vikas, the first question. See, promoter buying is a kind of independent activity, and we will not have much of foresight on t hat. But yes, there's no specific cause or reason for that.

Moderator: Our next question is from the line of Chirag Shah from White Pine. Please go ahead.

Chirag Shah: First question on Workforce Management. O ver the last few quarters, you have been indicating an effort to reduce that staffing p art of the business, which is low -margin , and hence aggregate margins would see an uptick.

I presume staffing would be around 2% plus/minus kind of a margin business for you, right? So, it doesn't appear to be happening. So, any thoughts from when we can se e that effort to start reflecting in numbers?

Lohit Bhatia: I think slight misconception; we never said that we are reducing the staffing business. In fact, on return ratios and matrices, it happens to b e one of the finest businesses in the platform of Workforce Management. If you look at core -to-FTE ratio, which works at 1:500 plus this time, efficiencies are very high.

If you look at your DSO days, one of the lowest DSO days are in this business because we have 75% to 76% Collect & Pay. It is a negative working capital business and hence, a very high ROE business in many ways. The third thing about this business is that if you look at India, it is going through a massive structural transformation today. From farm to non -farm, from rural to urban, from the informal to formal and from the unorganized to organized. This kind of growth is an once -in-a-lifetime opportunity, and this growth should and w

ill con tinue for the next couple of
decades.
I don't want to say a couple of years because it's clearly visible it will at least continue until 2054, when India continues to have its demographic dividend. So, coming back to your question and why I said there coul d be a misunderstanding, what we said is the overall percentage of contribution within WFM shall be reducing from the General Staffing space, though General Staffing continues to clip at 20% and more.
Chirag Shah: I was referring to the contribution coming , not absolute reduction and my question was that it doesn't seem to be happening. Your staffing seems to be growing at a similar pace as other parts .
Lohit Bhatia: So, I think at the same time last year, if you look at the contribution of EBITDA coming from General Staffing was about 54%. Today, it stands at around 48% in the entire WFM. So, it has come down. It has come down because APAC and some of the other assets ha ve done well.
Why you're not seeing it in the Q4 numbers is primarily for what Kamal briefly explained and Guru in his speech explained. The two investments, which were not there same time last year or at the start of previous financial year was: one, the North America business, and we were not in North America and that's an investment of INR 3.5 crore to INR 4 crore every quarter.
The second is, if you look at the EBITDA, which we were getting from our IT business in India was extremely high at the same time last year. You would remember that the IT industry and IT services industry were seeing tailwind about 12 months ago. The t ailwind in the last 6 to 9 months con verted from tailwind to headwind . So that shrinkage has caused what you see as a Q4 number that, okay, GS is contributing again almost at the 50% mark. But over a period of time, we want to bring this to 40% from General Staffing and 60% from the rest. But that's a

long exercise and that's a continued exercise. At no time in our company, will we slow general staffing to achieve that . I hope that answers the question.
Guruprasad Srinivasan: Just to add, having said that, it does not mean that General Staffin g will slow down its growth. They will continue to grow upward of 20%.
Moderator: Our next question is from the line of Vikrant Gupta from ICICI Pru dential Life .
Vikrant Gupta: Firstly, on the Workforce Management side, given that margins have remained broadly flat on a sequential basis, could you give a sense of what sort of savings you've seen by improving our core-to-associate ratio? If you could give a sense of maybe what are the salaries that you pay to the core employees? and what sort of savings h ave accrued on that side?
And the second question is on the CLM business. So, I'm just looking at the numbers. The Q4 growth in the CLM business is around 7% or 8% YoY . So, I'm wondering why did we need to increase our seat capacity so dramatically in Man ila?
So, is this because the seat capacity was less in the previous years, and this is more a catch up?
And then the third question is on the product side. So, if you could talk about what has led to a lower burn in Q4 versus Q3? And do you think, as you h ave guided that the burn could come down by INR 50 crore in FY24 versus FY23?
Guruprasad Srinivasan: Sure, Vikrant. Sekhar, you want to start from the product...
Sekhar Garisa: Yes Vikrant, like you rightly pointed out, the first half of FY23 was a bit of high investment across hiring, product and marketing and the business grew quite a lot from Q1 to Q4 in terms of sales. And as some of these investments taper off, we also had a rebran ding event in Q3, which consumed some of our incremental marketing expen diture.
In Q4, some of this did not come in. So the business grew , some of the expenses went down .
And on the glide path of business growing and expense

s remaining constant, which would be
the nature of this business, we will continue to see tapering down of losses.
Guruprasad Srinivasan: The second question that you had, Vikrant was on the Workforce Management, specific to the Workforce Management margin. Lohit, do you want to comment on that?
Lohit Bhatia: So let me give a bit of a context there, Vikrant. There are a couple of moving parts when you look at a core -to-FTE ratio. When the core -to-FTE ratio goes up, it simply means that for every 1 core employee dedicated within the organization, primarily here, we are talking about the General Staffing India business, looks after ‘n’ number of associated employees and today, that's greater than 500 as is available from the investor deck. That automatically brings costs down.
To your question on what an average core employee cost s. Today, an average of the core

employee, including the management layer for the business is close to about INR 40,000 + per month and t hat's about sub INR 5 lakh per annum - that's an average employee cost. Having said that, you must also see that last year, we've added about 71,000 ass ociate headcount, including YoY growth over last year. And like Guru in his speech also mentioned, if you do not add the

exit employees or the F&F employees, we actually grew 58,000 net addition in our GS India business.

So, when we do core -to-FTE ratios, there are 2 things that we have to do. One, we have to take care of these additional 58,000 people that have got added or 71,000 if you include F&F also that we've managed. The second, we have to invest for the future because it's very important t o understand on the aspect of the structural shift of the economy in India and the macro economy. At 387,000, we are still starting as far as India and General Staffing and capturing the market is concerned.

This is not the end point. This is not where we can stop all investments in technology or in people or in processes and then say that we will continue to grow for decades to come. So, I hope you keep both this in mind when you look at why an immediate incidental shift in core -to-FTE ratio does not give a direct bottom line increase. To the last point, yes, you've been right that we have been now at sub 3% of EBITDA, but flattened out as far as WFM is concerned, we would like to get back to the 3% mark first and then look at contribution from the rest of the world to take us beyond that. I hope that answers.

Guruprasad Srinivasan: Thanks. Vikrant, the third question that you had was largely on the CLM business and specific to AllSec. AllSec actually grew 28% YoY , specifically the international CLM business and 6.3% QoQ . What we do there is we support all the U.S. customers, and it is delivered from Manila. We have signed good set of new accounts based in U.S., which will be delivered from Manila. So, there is an expans ion of roughly about 200 seats that we have implemented in between Q3 and Q4 . I would call Pinaki to add more light to this.

Pinaki Kar : As Guru said , the CLM here in question is for AllSec, which has got delivery centre in Manila, which was at a certain seat capacity for a long time. But over the past year, specifically and those are reported numbers, last year, the CLM number for AllSec was INR 53.7 crore in the same quarter. This year it is INR 69 crore, which is actually 30% around growth.

If you take specifically North America, which Guru w as alluding to, for which the delivery happens out of Manila, the growth has been 30% +. And more importantly, Q3 and Q4, the order booking was the highest ever in Q4 for the U.S. business.

There is a huge pent -up demand based on the scalability, which we a re expecting, at least in the next two quarters based on the committed headcount growth that is coming from the existing portfolio of

clients. So that's why actually we just made that investment on-time, not even ahead of the curve because even currently the investment that we have made, that capacity w ill be fulfilled over the next six months itself. So, we are trying to keep it flexible on a completely variable costing model, the growth and the capacity increases we keep it increased. Hope it clarifies t he data points and it correlates to what you are looking for.

Vikrant Gupta: Understood. So, the incremental depreciation number is largely on account of the rents for the seating capacity, the number which has moved up from INR 70 crore to INR 76 crore .

Guruprasad Srinivasan: That's right.

Moderator: Our next question is from the line of Raj Bhanushali from Motilal Oswal Financial Services.

Raj Bhanushali: First, on Product -Led Business, what's impacted this quarter? And I just wanted to understand if the re is any seasonality there? Secondly, on OAM, it was weak sequentially. So, what is causing weakness there?

Sekhar Garisa: So, on the Product Led Business, we do grow QoQ as the year progresses. The same trend has been up in FY22 and FY23 and we have significant growth of about 40%, 45% from Q1 to Q4 consistently. So, there's a bit of seasonality in Q4 as corporates tend to close their next year contracts, we do tend to get some of our larger orders there.

If your question was around EBITDA, I answered earlier in terms of the cost going down slightly because of some onetime rebranding costs in Q3. Hope that answers the question.

Raj Bhanushali: Yes.

Guruprasad Srinivasan: All right. On the other question, specific to OAM, this business went thro ugh a good headwind between FY21 and FY22 because our exposure to IT, ITES was almost about 35%, and most of these offices are not completely resumed even today, right?

So, we have to navigate in terms of restructuring our sales team. Our focus move d away from

IT and ITES, in the sense of dependency and we wanted to move towards manufacturing and retail and other segment. So, we did invest in terms of sales and strengthening our sales around this and that has resulted in revenue growth of about 24% in FY23.
The other clear call out here is our food business has almost now contributed to 71% growth in FY23. So, this is in a way, helping us to recoup the entire platform to its best. Plus, we have invested substantial time in terms of cost optimization and prod uctivity.
Our core -to-associate, which used to be as low as 86 in previous year, that is now about 110 in terms of the optimization of cost. The other part under OAM is the security business. Even security business has started moving up and we see a 12% re venue increase YoY . And the other piece here is telecom. On back of 5G rollout, this business is phenomenally doing well. We have done about 46%, 47% growth YoY . So, on an aggregate, it is contributing to overall upliftment of this particular platform, OAM .
Moderator: Our next question is from the line of Alok Deshpande from Nuvama Institutional Equities.
Alok Deshpande: My first question is on the Product -Led Businesses . Now Q3 and Q4, we have looking at about INR 25 crore , INR 30 crore of net loss coming from that part of the business.
I was just wondering if you could share some road map as we go into FY24 , how are we looking in terms of profitability there? That's my first question.

And my second question is on the General Staffing. G iven that this year has started slowly, are we targeting a similar quantum of headcount addition? Or is that even possible this year, given the general softness everywhere? What are the initial indications that we're getting in April and May on that front?
Sekhar Garisa: Sure, I'll take the question on

the Product -Led Business es. As you have seen in the past two
years, we went through a period of high growth because we've invested in product and marketing as well as the team. We've had more than 50% growth if you se e on a CAGR basis over the last two quarters, and we'll continue the growth trend going into FY24.
The nature of these businesses is that the cost structure after a point becomes more or less constant, except for a marginal cost of sales growth. So, from that perspective, as the business grows significantly, the margin profile changes. So, as we get into FY24 and grow as per our committed growth rates, we expect the EBITDA loss to , taper down all the way to Q4 where we are expecting the business to break -even.
So, it's a bit of the business growing fast and the cost structure remaining more or less constant that will take us to breakeven as we enter Q4.
Lohit Bhatia: Alok, I'll take the question on General Staffing that you asked. So, I think it's a very valid question and it's a good question. This was our best year ever. We said that in the year prior to that as well. And we continue to always enter the year with a lot of synergy, a lot of strategy, people, processes , and technology. We want to obviously repeat the kind of performance that we've done in the past, or better.
Having said that, you asked a specific question as to how is the colour of the year looking. And I just wanted to give that context to everybody. Same time last ye ar, we had over 33,000 open mandates. These open mandates after ending the first half of the financial year gone by , actually dropped almost 33% and came down to as low as 21,000 open mandates as we were exiting out of Diwali.
And we were talking about thi s in our Q3 and subsequent to that period as well. It has since then again risen by another 35% to 40% but continues to trail almost 20% over last year. So that's the first part. The second part is each segment is behaving very differently.
Like I mentione d, there's a structural shift in the economy. Infrastructure, manufacturing, BFSI, healthcare are definitel y doing better than some other elements of the economy. You know the government's push on infrastructure over INR 10 lakh crore now. You know the PLI scheme, which keeps getting expanded and new FDI, which is coming there.
That clearly also synergized with our own investments in the M&I portfolio. You also know that Quess today has General Staffing people deployed in over 6,400 towns and cities. So, customers in BFSI and customers in NBFCs are expanding to the new space.

Having said that, I think we must be appreciative of the fact that we are constantly dealing with tailwind and headwind in different parts of the economy, and we will continue to watch this space very closely and each of our team has their action and their task cut out.
Alok Deshpande: Thanks, Lohit, for that detailed answer. Just one clarification. This Product -Led Busine sses breakeven, is this EBITDA breakeven or PAT breakeven by Q4?

Sekhar Garisa: EBITDA breakeven.
Alok Deshpande: Okay. And Lohit, just an extension on this. Any colour now we can give you are put in about INR 11 crore of investment in North America. We ar e going by a similar run rate; I'm guessing for this year also. So, two-three years out, what is the sort of potential revenue we are looking at? Any colour you have in mind? And how should we look at it?
Lohit Bhatia: Alok, we would be happy to take this offline because the 3 -year plan is definitely there in our mind when we walked into it. We have an immediate goal. We have a medium -term and then a long-term goal. Having said that, I'll just leave some thoughts with yo u. For every one resource gross margin added in the American business because we are doing professional staffing and IT staffing there,

it compares to about 20 people's gross margin added in the India IT staffing business and close to 350 people's gross ma rgin added in general staffing in India. So that's the size and scale and complexity and differentiation of margins between the American IT market versus the Indian IT market and the Indian general staffing market.
Like I said, we have an immediate term go al, which Guru also called it out, which is to get the breakeven this year. Our medium -term goal is to steadily go beyond a few hundred deployed resources and then there is a long -term goal as well. But happy to take you through more details away from the call.
Alok Deshpande: Sure, sure. That will be helpful. I'll reach out to you separately.
Moderator: Thank you. Our next question is from the line of Amit Khetan from Laburnum Capital. Please go ahead.
Amit Khetan: So, if I look at your annual report, we had about lease expenses of INR 130 crore last year in FY22, which was split between, depreciation and interest. Could you share that number for FY23? And how that broadly fits between the 3 or 4 segments, rather?
Kamal Pal Hoda : The ROU depreciation numbe r, was INR 105 crore last year. It is INR 148 crore this year. So, there is a INR 40 crore to INR 43 crore increase as far as ROU depreciation is concerned. Similarly, the lease component in the finance cost was close to INR 24 crore last year. This is INR 44 crore this year. So, there is INR 20 crore increase in the interest cost as well. So cumulatively, both put together is close to around INR 62 crore of further increase in the P&L cost. In terms of segment segregation question, majority of this is in t he GTS platform.
Amit Khetan: Got it. By majority, you mean what, like 80% plus?

Kamal Pal Hoda : Almost 90%.
Moderator: Thank you. Our last question for today's question -and-answer session is from the line of Mohit Mehra from Guardian Capital. Please go ahead.
Mohit Mehra: Are there any updates on the tax dispute? Or have we appealed to the ITAT? What is going on there?
Kamal Pal Hoda: We had called out in the last quarter, so there are two separate years, 2017 -18, for which we had a DRP rulin g in the last quarter, for which we are going into ITAT. Our first hearing is scheduled by end of this month.
And for 2018 -19, the DRP proceedings are yet to commence. So, we understand that the first hearing would be in the first week of June. So that is the status on the income tax matter. In terms of the overall exposure towards contingent liability, no change since the previous quarter, INR 74 crore is what we had reported in the previous quarter. So, we remain on the same amount because there have been no hearings that have happened in the last quarter.
Mohit Mehra: Got it. And how should I look at margins going ahead ? So, I know that cash burn in Monster is at INR 20-odd crore in this quarter, that w ill go up as well as the cash burn in U.S., which was around INR 3 crore to INR 4 crore , that will also go up. But is there any other further lever in the core business. So, can that margin improve? Or will it stay the same?
Kamal Pal Hoda: So, this has be en a year of investments, Mohit, you have pointed it out, Product -Led Business investments, the rental space investments that I just explained and also the North America investment. And we've also explained during this call that we are expecting to break -even next year in Monster, we are expecting to break -even in North America.
And in terms of overall margin increase, we are also very in a methodological and detailed manner working with each platform president to look at the IDC and the salary structure a nd the associate -to-core ratio, which also we had brought it out in our presentation, as is at all -time best levels.
So, these steps, we believe should give us

a margin uptick as we move into the next financial year.
Moderator: That was the last question f or our question -and-answer session for today. I now hand the conference over to the management for closing comments.

Guruprasad Srinivasan: Sure. Thank you. And I take this opportunity to thank each one of you for your continued support. I would like to re iterate again, the investments that we've made during FY23, whether it is North America, Product -Led, as a management, we are quite confident in the way it is going to result out for us in FY24.

For FY24, our focus will remain on gr owth , driving cost optim ization acr oss all platforms and debt reduction . So, these are the key areas that we will focus on. And I again take this opportunity to thank each one of you for your continued support. Thank you.

Moderator: Thank you. On behalf of IIFL Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

(This document has been edited for readability purpose)

Contact information:
Investor / Analyst contact:
Rajesh Padmashali, General Manager – Corp orate Services
Email: rajesh.padmashali@quesscorp.com

Registered office:
Quess House, 3/3/2,
Bellandur Gate, Sarjapur Road,
Bengaluru - 560103, Karnataka, India
CIN: L74140KA2007PLC043909

Call: Aug 2023

“ Quess Corp Limited
Q1 FY 24 Earnings Conference Call ”

August 03 , 2023

MANAGEMENT : MR. GURUPRASAD SRINIVASAN – EXECUTIVE DIRECTOR & GROUP CEO
MR. KAMA L PAL HODA – GROUP CFO
MR. KUSHAL MAHESHWARI - HEAD INVESTOR RELATIONS & STRATEGIC FINANCE – QUESS CORP LIMITED
MR. LOHIT BHATIA – PRESIDENT WORKFORCE MANAGEMENT
MR. PINAKI KAR – PRESIDENT – GLOBAL TECHNOLOGY SOLUTIONS
MR. SEKHAR GARISA – PRESIDENT – PRODUCT LED BUSINESSES

MODERATOR : MR. VIDIT SHAH – IIFL SECURITIES

 Moderator : Ladies and gentle men, good day and welcome to Quess Corp Limited Q 1FY24 Earnings Conference Call , hosted by IIFL Securiti es Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask ques tions after the presentation concludes. Should you need assistance during th is conference call, please signal an operator b y pressing ‘*’ then ‘0’ on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over t o Mr. Vidit Shah from IIFL Securities. Thank you and over to you Mr. Shah !

Vidit Shah : Thank you Nirav . Ladies and gentleme n, good morning and thank you for joining us on the post results conference call for Quess Corp. It is my pleasure to introduce the s enior management team of Quess who are here with us today to discuss the results. We have Mr. Guruprasad Srinivasan - ED and Group COO , Mr. Kamal Pal Hoda - Group CFO, Mr. Kushal Maheshwari - Head Investor Relations and Strategic Finance, Mr. Lohit Bhat ia - President Work force Management, Mr. Pinaki Kar, President - Global Technology Solutions , and Mr. Sekhar Garisa, President - Product Led Businesses. We will begin the call with opening remarks by the management team and thereafter we will open the call for a Q&A session. I would like to now hand over the call to Mr. Kushal Maheshwari to take proceedings forward. Thank you and over to you Kushal .

Kushal Maheshwari : Thank you Vidit . Good morning everyone and thank you for joining our Q1FY24 earnings call. The information, d ata and outlook shared by the management during the call is forward looking , but subject to prevailing busine ss conditions and government policy. All forward looking statements are subject to economic growth or other risks f aced by the company. Please refer to slide number two of investor presentation for the safe harbor clause . With that safe harbor , I will now hand over the call to our Group C EO Mr. Guruprasad .

Guruprasad Srinivasan: Thank you Kushal . A very good morning t o everyone and thanks for joining us today. Our consolidated Q1 revenue stood at INR 4,600 crores which grew by 16% YoY and 4% QoQ . Q1 performance was in -line with our annual operating plan. Global Technology Solution platform had an excellent quarter as it crossed INR 100 Crores EBITDA b enchmark. The platform had delivered consistent growth in the past two years with quarte rly EBITDA increasing from INR 64 Crores in Q1 FY22 to INR 100 crores in Q1 FY24. In Q1FY24, we added around 14 ,800 headcount and closed the quarter with total employee s trength of over 5,25,000. This is an increase of about 12% YoY and 3% QoQ . Sourcing contributed to 27% of new hiring signifying our st rength in the staffing industry in terms of our sourcing capability . The business environment was varied across sector s with key sector such as IT and FMCG witnessing a slowdown in hiring while sectors like BFSI, Telecom , and

Manufacturing are performing well with over 3 ,000 headcount additions in both the sectors. Our matured platform continued to demonstrate growth with eac h of them recording double

 digit revenue growth in Q1. The c onso lidated EBITDA for the quarter was INR 154 crores which was impa cted by the slowdown in permanent hiring. We acquired about 18 3 new customers in Q1 quarter which would also help us to generate the growth in coming quarters.

Now let me talk in specific abou t all the platforms. To begin with Workforce Management platform, the headcount in our workforce platform reached 4, 04,000 a 15% YoY increase with revenue growth by 17% YoY and 5% QoQ . Coming to specifics , in General Staffing business we added 14,000 headcount during th e quarter led by BFSI, Manufacturing and Telecom with addition of about 57 customers in the quarter. Our vertical focus strategy has aided in BFSI crossing 100K benchmark by associate headcount . Manufactu ring, one of our focus vertical s contributed to 5 0% of our new sales wins . Manufacturing and Industrial is now the third largest vertical in staffing and to note , it is also more than doubling in headcount in two years to 50k. 70 % of all our new deals have come from consolidation in the market either fr om local contractors or first-time clients creati ng additional production capacities. The per associate per month gross margin profile also known as PAPM stayed at an average range of about 670 to 700. We have inve sted in core recruiters to take advantage of upcom ing festive season in coming months as we are seeing the mandate push coming up and temporally to that extent our core to associate ratio has had a slight drop. It is at 1:469, so we are getting prepared for an upcoming season.

IT staf fing, the Indian IT staffing selection business saw global headwind during the quarter . IT staffing business was able to mitigate the impact of slowdown by focusing on high value segment , howev er the permanent staffing vertical reg istered a slowdo wn with a revenue decline over 30% QoQ and 73% YoY .

In our North American business , we made an investment of INR 11 crores last year while we have ongoing contracts on hand, it is taking longer gestati on period than exp ected to deliver the project results. We are assessing the market condition basis which we will take the decision on changes to be made in our North American office.

Moving on to GTS platform, GTS had an excellent quarter with 2 1% EBITDA growth YoY and 5% QoQ . This was mainly on account of revenue realization from robust order book generated over prior quarters, deep account mining and intense execution and excellence. The highlight s of platform are as follows , Conne qt continues to m aintain its momentum with order book of INR 75 crores of AC V close d during the quarter which predicts well to sustain the revenue momentum in coming quarter s.

The growth momentum in CLM business of Allsec continues to drive by excellent 29% YoY growth in Nort h America market in Q1. Our Non-Voice BPM business grew by 31%

 YoY and collection business grew 33% YoY and F&A transactions , finance and account transaction processing business grew 5 9% YoY. This is a testament to our continuous investment in digital tool s and innovation to solve the customer problem.

In Platform business , the HRO business in Allsec strengthened its market leadership with 3.7 million p ayslips processed d uring the quarter which is a strong quarter growth of 3.2% while North America based InsurT ech platform business under MSX had an excellent sequential growth QoQ growth of 18% on account of strong order book in preceding quarters as well.

Going forward the focus remains as follows , specific to GTS , sustaining and accelerating the momentum of Non-Voice BPO in Conne qt and operational excellence margin expansion, leveraging on growth momentum in North America market specifically for Allsec CLM business an d creating full fledged health c

are practice around the current anchor clients, launch of new HRO product and platform over the next two quarters to consolidate the market leadership and market expansion.

Coming to our OAM platform we have registered a to pline growth of 16% while EBITDA grew b y 3% QoQ . The IFM business saw a revenue growth of 16% YoY and 4% QoQ with major section contributing to the growth are Manufacturing, BFSI and Public Infra and IFMS also added about 20 new logos during the quarter.

Our fo cus continues as follows , Healthcare, Public Infra, and Industrial , these vertical s accounted for over 60% of sales in Q1 FY24 and we continue to build early wins. Food vertical saw a gross mar gin improvement of 35% YoY on back of improved operati onal efficiency , in addition we also added six new contracts with an AC V of INR 30 crores during the quarter. Security business saw marg inal decline in head count in Q 1. As we continue to pursue profitable growth , going forward the business will focus more on margin improvement by increasing the market share in the existing cluster with specific f ocus on top 10 cities. Our Telecom active infra business had go od qu arter for Vedan g through which the revenue growth was 46% and EBITDA growth by 57% compared to Q 1FY22 and FY 23. As the 5G roll out continues to gain momentum we expect this business to gro w well in the coming quarters.

Moving to Product Led Business, Foundit had a flattish growth in revenue during the quarter with most of the customers not ac tively hiring for the positions. International market which contributes 35% of our business has be en much more adversely impacted. Further customer sat isfac tion metrics like retention rates, CSAT and NPS have improved QoQ by improvement in p roduct and the candidate data. The candidate engagement metrics have shown significant improvement in the quarter . The job posting s are up by 56% QoQ , new

 registrations are up by 42% QoQ and traffic is up by 27% QoQ . Substantial progress has been made in product development w ith several features launched including the first GenAI driven feature , sub scription based s killing program, etc.

Moving up to couple of general updates across Quess. At Quess, we have alwa ys believed in driving positive change in society and creating a meaningful difference in lives of our associates. I am happy to report, among the ass ociate s that joined us in Q1, 23% were female who came on board and 35% have entered into formal work force for the first time. Medium average age of 25 , providing an entry level employment for youth. To improve the associate experien ce, we continue to inv est in c entre of excellence, focus on digital onboarding, and digital compliances with capacity to manage large v olum es of transaction to support our future growth across the group . Additionally , to provide learning and deve lopme ntal opportun ity for our core emplo yees we have partnered with leading higher learning institutes such as XLRI , ISB and Harvard cateri ng to employee ranging from recruiters to CXO. The executive certification program in recruitment and selections by XLRI, first of its kind of program jointl y developed by Quess and XLRI to bolster the country's recruiting engine. General management and exe cutive program by IS B and Harvard are geared towards building future leadership pipeline and accelerate the transfo rmation of senior executives into the ski ll leaders , thus ensuring Quess will always have industry -led talent in the leadership position.

I would like to conclude by saying that the revenue and EBITDA improvement in Q1 against the macroeco nomic head winds have on ce again underlined our all -weath er business model and again with my closing comments Q1 overall has been in line to our plan . So with that, I will n

ow hand over to Kamal to brief you on the financials.

Kamal Pal Hoda: Thank y ou Guru. Good morning e verybody and thank you for joining us to day. I extend a very warm welcome to everyone who has logged into this call. I hope you have had a chance to look at the investor presentation and financial results for Q1 , which is aligned with SEB I's LODR requirem ent as reviewed by the statutory auditors . Let me walk you through the quarter 's financial performance. Revenue stands at INR 4,600 crores an increase of 16% YoY and 4% QoQ . Our net headcount increas ed by 15k QoQ . We saw a healthy growth across all our platforms during the quarter. EBITDA stood a t INR 154 crores , a nominal growth of 1.3% and 0.4% YoY and QoQ respectively. A few call outs on dip in m argin s will be covered in platform -wise update subsequently. Our committed cash management and debt repayment continued in the quarter , and this has re sulted in an improvement in our DSO da ys by 3 days YoY and 1 day QoQ which now stands at 56 da ys. Correspondingly , our gross debt position has come down by INR 14 crores to INR 517 crores. For this quarter our PAT saw a good increase QoQ by 60% to INR 48 crores which is in line with our AO P. Thi s is on account of volum e growth across major businesses,

 reduction in financial cost due to lower average debt utilization and one -off tax provisions taken in the last quarter. Our PAT saw a reductio n by 29% YoY. This is on account of highe r finance cost due to ri sing inte rest rates throughout last year, slow down in the permanent recruitment space as highlighted by Guru and additional investments in North America .

Moving on to platform wise updates , Workforce Manag ement. The revenu e for Workforce Management s tands at INR 3,221 crores a strong growth of 17% YoY and 5% QoQ . The corresponding EBITDA stands at INR 83 crores a decline of 12% YoY and 3% QoQ respecti vely. Marg in depletion is on accou nt of the below reasons . Continued slowdown seen in the permanent recruitm ent space and delays seen in conversion of pipeline accounts in North America .

Coming to GTS, revenue for this platform stands at INR 563 crores a strong grow th of 11% YoY and a dip of 1% QoQ . Correspondi ng EBITDA stands at INR 100 crores growth of 21% YoY and 5% QoQ respectively. GT S achieving INR 100 crores run rate p er qua rter is a miles tone achieved for the first time. BFSI sector continues to drive growth in Conne qt non-voice business. Margin mix of Allsec business took a positive change in quarter due to growth in DBS International business. International margi n in t his business no w contributes close to 50% from 44% a year ago.

Moving on to Operating Asset Management, revenue stands at INR 690 crores a growth of 16% YoY and 1% QoQ . Correspondingly EBITDA stands at INR 31 crores a growth of 1% YoY and 3% QoQ respectively. EBITDA grew by 3% QoQ despite seasonal drop in Telecom and Food business due to tight control on IDC and operational efficiencies . We have rationalized certai n low margin customers across busin esses and same is reflected i n drop in headcount .

Product Led business, revenue stands at INR 126 crores , a growth of 8% YoY and 3% QoQ. Corresponding nega tive EBITDA sta nds at INR 26 crores, further decline of 7% YoY and 27% QoQ . Losses during the quarter attributable mainly towards higher marketing spends and merit inflations . Excluding n on-cash ESOP c ost, Product Led business losses stands a t INR 21 crores.

Moving on to some corporate updates . Merger update on Conneqt, MFX and Greenp iece. As part of board’s approval of scheme of amalgamation dated 7th July 2021 , Quess had fi led for approval of scheme with NCLT . The honorable NCLT ha s admitted the petition and next date of hearing is 11th Augus t 2023. We

expect this transaction to complete within this financial year.

 Income tax updates , there is no change in our position from last quarter. As men tioned in our p revious quarterly call , for the year 2017 -18 we have completed the DRP proceedings and for residual ma tters in the year 2017 -18 our appeal is at ITAT and the hearings are expected to commence in the current month. Fo r FY 18-19 our matters are at D RP stage and hearing is yet to complete. Honorable DR P is expected to pass the order on or befo re Septem ber 2023. Please note that there is no change in the contingent liability of INR 74 crores on account of such p roceedings as disclose d in the last q uarter. We thank you al l for your continued support and I would like to now open the floor for ques tions.

Mod erator: Thank you very much . We will now begin the question and answer session. The first question is from the line of Raghuram from EurIndia Ventu res. Please go ahead.

Raghuram N S: Good morning. This is Raghuram here. I wanted to ask a specific question on the Allsec CLM business that you mentioned . If you could give us some AC V numbers on the new contracts won last quarter and thi s quarter that would help in putting u p a perspective on what kind of growth can be possible there .

Guruprasad Srini vasan: Sure, thanks Raghuram this is Guru here . So as part of my speech that I was alluding to, Allsec has deliver ed a 29% YoY speci fically in North America market in Q1. With the new set of leadership change there and the kind of focus that we have put in the sales program, we are seeing a good set of wins coming from healthcare sector in North Ame rica and in line to th at our delivery center is backed up in Manila , Philippines . We have expanded the number of seats to cater to the center. While we would not call the specific customer play, but largely belongs to the healthcare sector and we had ad ded about almost 500 s eaters to substantiate the customer delivery from Manila. Pinaki you want to add in.

Pinaki Kar : Yes sure. G uru has just now told. The first t wo metrics , one is that we have consistently grown at 29% in the North A merica busin ess and that is over the last two quarte rs. From an ACV perspective we can tell that we are well poised that we have almost double d the capacity of Manila center and that i s after getting the business . So you can have sort of a feele r from there , we had increased ca pacity by another 600 seats , so that 600 seats we are going to consume in the ensuing quarters . And more importantly , the processes that we are handling in that p articular anchor clie nt that we are alludin g to, is only o ne part of the value percei ved chain . Based on consi stent delivery of performance, we get further s egments of the value chain. At the sa me time whatever the momentum that we have created in terms of the percentage growth , we should be able to sustain that.

Raghuram N S: Okay just an additional q uestion on the Non-America CLM , obviously Conne qt you gave some ACV numbers and growing at n early 30% . Is that something that obviously seems to be a very similar kind of case from a North American perspective, but a lso in domestic busine ss, having Naozer Dalal coming from Conne qt, is there some sort of an outlook that you can provide there?

Pina ki Kar: So, Naozer Dalal coming for Connect may not have a correlat ion there becaus e we leadi ng there and it was mainly domestic business , that is wh y he was doing that. Now he has come to mostly i nternati onal business and he is doing well here . But strategically what he does is that most of the Conne qt business is dom estic by the nat ure of the busi ness. Whereas i

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Allsec the business mix is such the re are only few customers which we have ke ep restricted to that instead of the domestic business which we continue to sustain and grow because once we have got these tw o busine sses, it does not make much sense to have like a dual company strategy and confuse the custo mers in the market place . And from the Allsec perspective if you do a slice and dice in terms of the operating margins that we get it has maximum ma rgin followed b y the international CLM business and then comes the domestic CLM business . So, from Naozer Dalal and Allsec perceptive it is also in our interest collectively to push more HRO business and more international busin ess because that is a vehicle for tha t, without comprising on the clients that we have got in the domestic business . But if you ask in terms of priority , for growing that business to Allsec may not be our strategy priority, that is the priorit y for Conneqt.

Guruprasad Srinivasan: Just to add Raghur am, we strongly believe in creating the leadership within and there would be more such movements in future as the developed leaders enter and it doesn 't mean that the defin ition of that entity w ould change . So they will still continue to focus what that entity is supposed to be aligning to their plan, but it will create more synerg y.

Pinaki Kar: That is what I told , so based on the entity the strategic plan is t hat for that entity . Irrespective of the leader who is there he will focus on strategy for that p articular entity , what it is good for and the three or five years plan we have for that en tity. Aand the internal movement of the leadership that we do , it is to create leadership bench and giving opportunity to increase internal leaders based on the performance and obviously the growth that we have shown even if they move to adjacent to it obviously they will bring that flavor but they will do what is right for the strategy for that particular entity without any overhan g of what they have done in the past.

Moderator: Thank you. The next question is from the l ine of Arvind Dureja from Bright Financial Mana gement Services P rivate Li mited . Please go ahead .

Arvind Dureja : Good morning Sir. Thank you for giving the opportunity. My question is regarding your target of achieving 20% ROE by FY 25. How do you plan to achieve this because from what I see, it seems to be a distant reality , so what are your plans?

 Kamal Pal Hoda : Thanks Arvind . Kamal this side. Thanks for this question . So, 20% ROE for FY 25 was an aspiration that we had set for ourselves prior to when COVID had hit us. From where we are right now , we have two to three busi nesses which have to fire full throttl e for us to achieve that target . So this year is a very important year for us from Foundit perspective where we are expecting this business to co me to a bre akeven space by the exit of this financial ye ar. We have very similar exp ectations o f becoming brea keven and then turning EBITDA positive within this financial year for our North America investme nts. So these two businesses should give us an up side in terms of both our EBITDA as well as the ROE and we need to take next two to two and a h alf years to re ach to that number that we had se t as target for ourselves.

Arvind Dureja: Thank you and the seco nd question is, you had guided from this quarter o nwards your losses in platform business will start comi ng down, but if I compare from quarter -to-quarter the EBITDA losses have increased so what is the reason?

Kamal Pal Hoda : So, the guidance Arvind was t o exit this financial year with a breake ven in the Product Led business and we continue to stand with that guidance. The increase in the burn in th e current quarter is as per the plan , so we are spending on mark

eting, we are spending on product and we are spending on the right fit for busines s. To the specific question on the Product Led business , I will ask Sekhar to answer .

Sekhar Garisa: Thanks Kamal . Like Kamal articulated the plan is firmly in place to be able to achieve breakeven by the time we exit t his financial year. Despite the ex ternal circumstances we are sticking to the plan and the Q1 performanc e has been very much in l ine with the pl an. So, from here onwards we would see the numbers playing out in the subsequent quarters where the EBITDA burn would come down and leading to a b reakeven in Q4 that obviously has significant impact on the group financials. As of now , we are firmly wit hin the plan and the plan takes us to breakeven by the end of the year.

Arvind Dureja: Thank you. That is it from my side.

Moderator: Thank you. T he next question is from the line of Abhishek Nayak from Hexagon Asset Mana gement Co. Limited . Please go ahead .

Abhishek Nayak: Thank you for the opportunity. My questions are pertaining to the Workforce Management segment , first is a book keeping qu estion? Could you just tell me the EBITDA contribution from the genera l staffi ng segment and se condly on the N orth America staffing , you had mentioned that you wanted to breakeven by first half of FY 24 and you mentioned also that there is a pipeline delay in that . So what is your opinion on that? Will you be able to achie ve that target?

 Kushal Ma heshwari : Thank you Abhishek , for your question I will just guide you to Lohit our President for workforce management . He will give you an a nswer on that. Lohit over to you.

Lohit Bhatia: Yes, good morning Abhishek and thanks for the questio n. The first part of your question is what is the contribution in this from the General Staffing India business that hovers around the 55% mark . General st affing during this period has done slightly better and obviously the North America burn has cont ributed to a sl ight decline in the international contribution and hence general staffing from a near 50% contribution in EBITDA has inched upwards to about 55% , so that is your first part of the question. To your second part of th e question as we had said in the previous calls as well and the previous quarters as well , we want to guide towards a breakeven by the time we are exi ting first half of the year and as G uru also explained in his commentary and so did Kamal , by the time we are in the Q3 we should start seeing som e positive trend. Just to give you some snippets of where we have reached in North America , we have eight active large clients we are working with , we have 18 mandates and positions which are already with us and t hese are margin accretive positions all o f them , we have five on boards which are already with the team as far as the US operations are concerned and we are gearing up our delivery and our sales in such a manner that we are able to consistently add to th at kitty of onboards and p erformance on a month to month basis.

Abhishek Nayak: Okay thank that is very helpful. Thank you so much and just a general question , so you have mention ed in the pr esentation that you expect to give away 33% of your FCF back to the shareholders . So do you have an int ernal target for FCF for this financial year that you might be able to share with us.

Kama l Pal Hoda : Yes Abhish ek so we have in the past also guided tha t we will be able to do 70% OCF from all our business es on a consoli dated basis and then there i s a stated dividend policy which you just mentioned which we have not changed , so we will continue to be guided by the same policy.

Abhishek Nayak: Alright. Tha nk you so much.

Moderator: Thank you. The next questi on is from the line of Mohit Mehra from Guar dian Capital Inves

tment Advisors Private Limited . Please go ahead.

Mohit Mehra: Thank you for this opportunity. Sir I think the previous participant kind of hopped on this but what exact ly is the plan for the Product Led bus iness , because I was also under the impression that losses would go down sequentially . So how much losses are we are comfortable underwriting and le t us say we are not able to breakeven by th e end of this year what happens then?

 Kushal Maheshwa ri: Thanks Mohit for your question. I will a sk Sekhar to answer that.

Sekhar Garisa: With respect to Product Led business specifical ly on Foundit , the cost structure remains more or less consta nt now. Th e revenue growth will be the one which will be contributing to us breaking even. In terms of what you see between Q4 and Q1 the business has a cyclicality built into it. From Q1 to Q4 o ver the last three years we typically see business going up b y 70% . So while you see t hat seque ntially , it is remaining where it was compared to last quarter. Compared to l ast year same quarter we did grew by more than 30% and that growth rate will contin ue, which will through the quarter going forward will bring t he losses d own, all the wa y down to Q4 when we ar e expecting to breakeven . So as per plan the cost structure has more or less stabilized. The revenue is the one that is going to go up in the subsequent quarters which will result in breakeven. The ot her good part is n ow given the grow th over the la st couple of years where we grew on a CAGR basis more than 50% , the revenue is now at a place where even if there are short term fits in terms of externality we will be able to absorb. We are a company with more than $23 mill ion to $ 25 millio n of

revenue n ow so we should be able to absorb any short term external shocks that we might be able to see even in the next few quarters.
Mohit Mehra: Can you give any numbers how much loss are you comfortable underwriti ng and for example , even i f the rev enues go up bu t the marketing expenses go up more sharply and then it is costing us to burn cash. any numbers on this ?
Sekhar Garisa: So the guidance we h ave laid out for the quarter from Q1 to Q4 which is in the ra nge of about INR 50 crores to INR 60 crores and we are firmly within that range for the entire Product Led business as a vertica l. And in terms of your question around will the mar keting cost vary, the cost structure like I said is more or l ess stabilized. The only v ariation you would see is whether we will grow revenue or not and we are firmly on the track like I said year-on-year between last year's Q1 and this year's Q1 we have s een more than 30% even in this market and we expect this to o nly become better.
Mohit M ehra: Okay thank you.
Moderator: Thank you. The next question is from the line of Rishikesh Oza from RoboCapital . Plea se go ahead.
Rishikesh Oza: Thank you for the oppor tunity. Sir my first question is with respect to the Workfor ce Management business . Sir could you give any outlook on what EBITDA margins can we see going ahead , they have gone down this quarter?
Kushal Maheshwari : Lohit would you ta ke this question.
 Lohit Bhatia: Good morning. So, if you noti ce for the last four quart ers we ha ve been trendi ng between the 2.6% to 2.8% of the margin profile as far as Workforce Management is concerned. If you look between the Q4 to Q1 , the decline has primarily come from the merit increases that we have given to 90% of our staff on 1st of April , that has contributed about INR 2 crores . But decline in the recruitment business which both Kamal and Guru alluded to we know what is ha ppening w ith the IT services and its impact , it used to be a high m

a rgin
business, the permane nt recrui tment business in IT that is another INR 2 crores odd , the US operations negative INR 1 crores to INR 1.5 crores to that extent. If you add of al l this up and you factor for the growth in the General Staffing business which is jus t a shade under a 2% EB ITDA margin business GS has contributed INR 5 crores positive on QoQ. So the above line items have given the decline, GS has given the addition but GS comes at a lower EBITDA margin profile. It de finitely gives better cash position s because it i s a 77% collect and pay business and we continue to grow th ere. Now how does this change , there are three things which change. One merit increas es have already happened s o that stays. The recruitment solut ions has already declined and come to a flat traj ectory. Hereafter while we do not see a marked improvement in the IT services part of the economy for the next one to two quarters, we do not see any further decline whatso ever impacting our margins any whic h ways. US the current bur n is at i ts highest poi nt, the start of the year generally has a high burn because y ou also have to take care of the medical insurances and the benefits for the employ ees which are deployed there for the entire financial year an d hereafter as I was expla ining in the first ques tion that we are also seeing revenue increase so that burn goes down. We should first come back to our original trajectory of 2.8 where we were an d then inch upwards to a 3 a nd as US and the other assets sta rt to perform , which is IT starts t o perform we s hould be able to cross above the 3% mark. At e very stage we are very clear what needs to be done to get th at additional 20 basis point upwards and that is the plan the entire leadership team and the manageme nt team have .
Guruprasad S rinivasan : In addition to that Rishikesh, we are also taking a hard stab on cost side setting up our center of excellence , making it much more robust to bring our cost to serve down , so many initiatives on cost side as wel l. So combination of bot h, it sho uld lead us to come back to 2.8 level first and then marching towards 3% across workfor ce.
Rishikesh Oza : Would it be fair to say this would take like couple of quarters more to go back to 2.8 % and then 3%?
Guruprasad Sri nivasan: That is right. Yes. It would take at least about 2 quarters to get back to 2.8%.
Rishikesh Oza : Also for your Product Led business are we saying that from next quarter onwa rds our EBITDA losses should now trend down?
 Sekhar Garis a: Yes. It will start trimmin g down fr om this quarte r onwards like I said there is a glide path for the losses to go down from Q2 all the w ay to Q4 where we expect to breakeven .
Rishikesh Oza : And b y Q4, it should breakeven is what we expect, right?
Sekha r Garisa: That is right.
Rishi kesh Oza : Okay. Thank y ou for answering sir. Thank you.

Moderator: Thank you. The next question is from the li ne of Vidit Shah from IIFL Securities . Please go ahead.
Vidit Shah: Hi thanks for the opportunity. My first question was just a clarification on t he North America burn, did you say it was about INR 4.5 crores?
Kamal Pal Hoda: That is right Vidit. For the current quarter it is close to INR 4.5 crores.
Vidit Shah: So let say it is INR 3 crores in the previous qu arter which h as gone up by 1.5 Crore s despite us starting to build and winning about 8 large customers , so what is really increase d on the cost side and just I wanted to understand the dynamics of the business there.
Lohit Bhatia: So Kamal if I could come in , Vidit it w as about 3.8 last quart er and it is close to the high 4s this time , so it is a delta of about INR 1 crores difference right there . This difference as I was just explain ing in the previous question at

the start of the year you s ee a bullet payment which go es tow ards insurance and the burden costing you US ranges between 16 to 19% , that has to be taken at the start of the year itself though for the rest of the year you wil l have your payroll cost for your core employees and everyt hing. This is not just emplo yees it i s also the emp loyee 's medical plan and family plan. Now in the case of new business this is more evident and more visible becau se it is a new business, it is sm all revenue stream. To your point on revenue , yes you are a bsolutely right, the eight c ustomers and the 80 pos itions and the five onboards that I was talking about in the question prior to that , that yes has started yieldin g revenues which you will start s eeing from the Q2 and Q 3 onwards as that revenue picks up p ace and this cost does not r epeat in the second qua rter, you will see this trending downwards and downwards quarter -on-quarter.
Vidit Shah: Got it. How much will yo u have been doing in North Americ a?
Lohit Bhatia: At the moment about under $ 20,000 .
 Vidit Shah: Understoo d. Alrigh t, and the sec ond one was you know we have added our core recruiting team for the upcoming festive season, so just if you could give outlook on what you expect in the upcoming festive season given that there is slowdown in IT and FMCG , do you expe ct this t o cover or do you just expect a boost in Retail, Telecom and BFSI .
Lohit Bhatia: Thank you for asking that question and thanks for bring ing t he focus back from just one business that we are investing in from WFM which is North Amer ica and yes, while I agree INR 4 crores, INR 5 crores burn in quarter does not augur well for our kind of margin profile but that is a medium to long -term strate gy fo r which we are investing . But coming back to core business in WFM which are today doing well, I will j ust take couple of very key poin ts which s hould not get lost in all the communication that we are doing. One we crossed the 4,00,000 mark, no staf fing com pany ever in India has achieved this milestone. We are again the first to accom plish thi s milestone. T he second is that we c ontinue d to grow at about 5 4,000 for the last one year and close to about 15 ,000 for this year. Our general staffing busines s alone has added 57 logos and IT has added over 13 logos. The kind of business that we are doin g with both th e vertical strategy as well as the m argin strategy today BFSI is 1 ,00,000, Retail is over 80 ,000, M&I over 50 ,000 and Telecom is very close to 50,000. So, what we are looking at is Q1 always starts slow and then you build for Q2 an d Q3. At this s tage we have a conscious call do we continue to invest in our systems , our process o ur technolo gy, and governance and compliances for the future, readying ourselves to become half a million and eventually a millio n by workforce in years to come or do we pause just to deliver 20 basis or 25 basis point highe r. We feel we still have a lot of market share and lot of opportunity in the market to capture. Guru a lluded to again one point which should not get lost in tran slation. He said in the last 12 month s we have adde d 1,77,000 people who got a U AN for the first t ime, so as the largest in this industry we are also seeing the formalization of the economy take pl ace and ma ny large project s and large customers asking for mandate s and customers. The workforce management business within that GS business itself has delive red a healthy EBITDA growth QoQ as well as YoY, so we feel that this is the right time for us to continue investing in that bus iness and I hope that answer s and very speci fic point on what do we feel for the next six months , Retail definitely is one that we are bet ting on, Manufacturing and Industrial continues t o be a

bet for not just a quarter or a season it w ill be fo r next three to five years. We defini tely expect Telecom and Banking Financial services where obviously NBF Cs equal ly join the growth during the season. So those are the industry segment . On IT, IT services is slow, but I must tell you and report to you that our staffing business under dig ital consultin g products GCC 's and financial services is actua lly doing fairly well and the high margin, high ticket niche mandates are coming from there . So, IT services is the only one where we feel that the pai n cou ld continue for some m ore time.

 Vidit Shah: Just a clarification on that. Given that th ere has been this year the season ha s delayed by a month or so. Would we expect Q2 margins remain at these lev els and will pick up only from Q3 in the general staff ing India business or should we start exp ecting recover y in the standalone general staffing business from the next quarters?
Lohit Bhatia: General staffing per s e margin profile does not really change. What h appens with general staffing is that you have hi gher EBITDA per s e EBIT con tribution but not so much of EBITDA margin contribution. What you are absolutely right , last year both the share value was October this time Diwal i is in mid of November or so. The conversations for ramp up has definite ly delayed by two weeks , earlier thos e conversation s and onboard start from July end, this time we are expecting th em to start from the ex tended weekend of Independence Day and thereafter . At the s ame time we also we feel that we might get an extended one month of t he season itself. Last year the season sharply truncated on 31st October w ith both Dussehra and Diwali happening in the same mon th. This time Dussehra is in October and Diwali is in Novem ber so hopefully we should get an extended one month of the season as well. So it is a mix bag . Margins may not change because of general staffing, margins have to change because of US, because of international and because of professional staffing. I hop e that clarifies the two dynamics.
Vidit Shah: Sorry I mean t the core t o associate efficien cy will start improving given full season and that is why.
Lohit Bhatia: Yes. Absolutely right. That is absolutely right.
Vidit Shah: Okay just o ne last from me on the Product Led businesses. I underst and Foundit has been flattis h for the last couple o f quarters , that is just 25% of the overall revenue we have Digicare in there which also has not really s howed any growth in revenue or margins . So could you share your view on that business, what is the strategy here?
Guruprasad Srinivasa n: Sure. So Digicar e has been almost flat and our strategy is as part of the portfolio restructuring , we are putting more management bandwidth to do a deeper review with the business and we are seeing a kind o f, this is season , Q2 is the season g enerally. Q2 a nd Q3 if you look the Digicare business performs extremely well and it is more of a cyclic business . So we are seeing the kind of uptick coming in for Q2 and Q3 for this busine ss.
Vidit Shah: Ok Thanks, I will get back i n queue.
Moderator: Thank you. T he next question is from the line of Vikrant Gupta from ICICI Prudential Life Insurance Co. Ltd . Please g o ahead.

 Vikrant Gupta: Good mor ning. Am I audible.
Guruprasad Srinivasan: Yes, Vikrant.
Vikrant Gupta: I had a question on the g eneral staffin g busines s within our workforce management vertical . Slightly longer term , so over the last 4 or 5 years with the st affing account has moved from 1,90,000 today almost 4 ,00,000 and over th e same period we have also seen our core to associate ratio move from 3

00 to 500 almost. So , good headcount growth and efficiency gains as well, so could you provide a sense of what has bee n our general staffing , EBITDA specifically over this f our to five year period how is this, because o n a consol idated level the number is probab ly INR 300 crores four or five years back and today it is around INR 345 crores and that obviously has IT staffing as well . So I just wanted a sense of how the general staffing EBITDA has moved toward s the las t four to five years given the strong headcount growth and the efficiency gains that you have achieved.
Guruprasad Srinivasan: Sure. Vikrant I will give high level note on t his and maybe I think fo r a long term the kind off planni ng that w e have , we are happy to take it offline as well. Just to give yo u little background , I think this the business which has been consistently delivering fantastic CAGR for us, around 77% of our account s are collected pay o ur cash flows are far superi or in this business. Th e way it is evolved over a period of time slowly , we are having large vertical focus that it is getting in to , so as I alluded in my speech BFS I alone crossed 1,00,000 by headcount, Manufact uring an d Industries have crossed almost about 50 ,000 by headco unt and we have FMCD and FMCG growing close to about 80,000 by headcount . So while we have all this marching towards 1 ,00,000, at a point Quess i n itself was was about when we went fo r IPO we were share over 1 ,00,000. So the way we are, e very strategy for each of this platform has to change. For example , it starts from the way we hire, the way we structure, the way we onboard , so w e are building those digital framework and t echnology platform to assist each of this. For examp le, sourcing f or BFSI is very different than sourcing for manufacturing, so there is much bigger plan we are building for ourselves to gear up. W hen we touch 2 ,00,000, we were thinking how do we handle 4 ,00,000, so the re is

a deep t hought pr ocess that we have put against each of these platform. It is going to be more of a vertical focus th at would come into over a period time. So , with that note, I will get Lohit to add some mo re points, but I would prefer this to take it offlin e and take it forward .

Lohit Bhatia : So Vikrant that is a good question and like Guru explained I think we will ha ve to take you through the numbers in detail but just to let you know between Q1 19 to Q124 th at we are reporting today , the EB ITDA from the G S busine ss alone has grown about 225% and we are almost 180% higher than the nearest next competitor on a QoQ basis as far as EBITDA from this business is concerned. I think it is clearly re flective in the overall numbers, what

has not chang ed for this industry and I think we have to be cognizant of that fact is that the gross margin at a PAPM continues to remain in th at 700 plus minus INR 20 or INR 25 on either side. The headline number has not chan ged, but what has chang ed for us i s volume, what has changed for us is our cost which we kept it under check and the GS business delivers close to two third EBITDA from the overall gross margin that it makes . So at that run rate of delivering two third o f EBITDA from the gross margin that it makes increas ing growth margin even while at this moment the industry is not ready to accept a higher price , per unit pr ice, I think we are still able to deliver hi gher EBITD A QoQ and YoY. Now the other question on anybody ’s mind could be that will this industry ever accept a higher price? I think as long as consolidation does not completely ta ke place in this industry , as long as more p layers do not become formal and when I say formal th e reporting st andards have to be same like o r as good as a listed company, the audits, the governance,

the

compliances and everything has to become as good as a ny of the listed company and I think that is where pro bably the industry will start to see a sli ght bit of a p rice increase and eventually s hould start seeing improvement in that ratio as well . But today if you were to ask me a question do I plan based o n higher gross margin PAPM , no, plans are not based on that, plans are based on everythi ng else, but i f that comes that will come as a win dfall gain whenever that starts to happen in our industry.

Vikrant Gupta: Thank you. This is very helpful.

Mod erator: Thank you. The next question is from the line of Mukul Garg from Motilal Oswal . Please go ahead.

Mukul Garg : I had two questions. Guru fir st wanted to understand a bit on the Operating Asset Management side , there the growth has continuously bei ng moderating from a pie of 30% plus in the mid of las t yea r, now you as are in mid-teens, is mo st of the grow th moderation in O AM coming because of th e cost rationalization which was doing for lower margin customer or is there something which is also impacting the industry growth vi sibility a nd if you can just ki nd of dwell down on w hether it is s omething which is coming from soft servic e, hard service or security or is it across the board . And second is, Sekhar wanted to just get a lit tle bit more sense on Foundit . Your revenues have not been kind of inching up, but if I look at the job postin gs they have jumped quite dramatically this quarter but t he consumption has shrunk 8% . So exactly what is happening there and if you can also sha re your sense of how gradually can the loss reducti on happened there?

Guruprasad Srinivasan: Sure. So let see the overall OAM platform and then followed by Foundit. So , Mukul if you look at overall platform has delivered about 16% YoY growth . Last year couple of call outs , we had a nnounced in Q1 that we partially exited a large key co ntract and we have taken that impact during the year. The second area is specific to the security business. The way we are

focusing on margin expans ion in our IT staffing business where headco unt came d own, but total absolute EBITDA co ntributio n went up, i t is the same strategy that we are adopting in our security business. We are letting go few contracts which are really not rightly priced or rightly profitable. We are realigning while we have got our h eadcount down, we have recalibrat ed that d uring the ye ar and we are now at a steady state stable EBITDA contribution that is coming across the OAM, if you look at . We are on an average hovering around 30, 31 plus or minus is the impact that we h ave taken between the quarters. There were few contr acts like Infrastructure, the smart city project which was also giving some losses in between, so that has been concluded and 31st August is when we will be completing handing over the project this year . So all these had some kind of i mpact in one or the oth er quarter which brought in some level of instability , but now if you look at it is at steady state. Te lecom business there is also phenomenally doing well for us about 4 6% growth YoY back ed on 5G push that is happening a round the country. So , with all of this where we are today I can tell you we are pas sed with all the variabilities that we had in the platform, it is very steady state r evenue and it should now start giving you th e upt ick. Now coming back to the margin, we are abou t 4.4%, the pl atform is delivering ab out 4.4%. We strongly believe and there are also benchmarks that this platform can go up 100 basis points , so it can delive r about 5.5% EBITDA. We are working towards that now i n terms of cost optimization. If you look at the core to associate ratio is abo ut 107, anything about 100 is good in this segment. We have d

one lot of work there to bring ou r cost to serve. We are focus ing more on productivity and better sweating of our as sets that we have put there. Plus, the sal es team in itself we have added almos t about 43 logos in Q1 . So, sales focus , coming out of all cost variabilities that we had plus the focus on cost reduction should now definitely take us movi ng upward in this particular segment, so an y questio n further, hap py to take on OAM .

Mukul Garg : That is quite helpful.

Kushal Maheshwari : I will ask Sekhar to give some color on Foundit busines s.

Sekhar Garisa: With respect to Found it your qu estion has two parts to it. One w as around oper ating metrics and possibly you are looking for linkage from opera ting metrics to how the revenue s are playing out. As you know where two -sided market plays, which has candidates on one side and recruite rs on the other side. We track me trics on both s ides, some of those metrics are important from an engagement perspectiv e, but the revenue is impacted disproportionately by other metrics. What we are going to as an ec onomy, where the job has softe ned down a bit and therefore you would see that the consum ption of inven tory which is essentially what recruiters are doing on th e platform , which is in correlation with the hiring activity has come down . However, we also have to make sure that the candid ates are e ngaged on the platform despite le sser search whi ch is being do ne by the recruiters . Therefore, we run a

 specific program w hich bring in jobs into the platform from other sources as well. This is purely from an engagement for candidates' perspect ive and th at is the number that you see because we went ou t of our way t o get jobs on to the platform, now job increments on the platform do not directly reflect in revenue because more than 90% of the recruiter's reven ues actually c ome from our database pr oduct whic h is as per the industry standard . So that is why you can co rrelate the increase in jobs to revenues, what is happening acr oss the industry is that the candidate metrics are showing improve ment because more and more candid ates are looking for s uitable op portunities therefore those numbe rs are going up and we are al so trying to cash in on the trend by making sure that we are gi ving more reasons to be active on our platform. On the recruiter side the action is a little soften because the hiring activity is muted , that is what you see getti ng reflected in terms of redu ction in search volume, it is a recruiter 's sear ch volume. Spec ifically , your question around how would this play out over the next two to three q uarters, boiling down to the breakeven target th at you have taken , the cost str ucture like I s aid more or le ss is constant. The revenues would follow sales. Sales numbers st ill seem healthy , like I said compared to the last quarter of the same year we ha ve grown about 32% an d we expect the s ame to con tinue and in fact become better o ver the next th ree quarters h ave those sales numbers transferred into revenue over the next th ree quarters with the constant cost structure , we should be able to trim down the EBITDA as per the pl an boiling down t o break in . We also have some very signific ant product lau nches lined up towards the end of this quarter beginning of next quarter throug h which also we see a significant revenue uptick happening. So , all in all Q1 is as per plan, the reven ues will go up w hile the c ost remains constant leading to b reakeven in Q4.

Mukul Garg : Understood, that is very helpful Sek har. Thank you.

Moderator: Thank you very much. Ladies and gentleman we will take that as the last question. I now hand the conferenc e over to Mr . Guruprasad S rinivasan for closing comment s.

Guruprasad Srini vasan : Thank y ou. I ta

ke this opportunity to thank each one of you for this int eractive session. As I said our Q1 went on by the plan that we had made and we ar e really geared up for our Q2, so look forward. In case if you have any questions do reach out t o our investor relation team and we look forward to stay in touch. Thank you so much for joining us today.

Moderator: Thank you. On behalf of IIFL Securities Li mited that concludes t his conference. Thank you for joining us. You may now disco nnect your line s. Thank you.

(This document has been edited for readability purpose)

Conta ct information:
Investor / Analyst contact:
Kushal Maheshwari , Head of Investor Relations and Strategic Finance
Emai l: kushal. maheshwari@quesscorp.com

Registe red office:
Quess House, 3/3 /2,
Bellandur Gate, Sarjapur Road,
Bengaluru - 560103, Karnatak a, India
CIN: L74140KA2007PLC043909

Call: Nov 2023

November 13 , 2023

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Dear Sir / Madam,

Sub: Analyst Call – Trans cript

Pursuant to Regulation 46(2)(oa) of SEBI (Listing Obligations and Disclosure Requ irements) Regulations, 2015, this is to inform that the Transcript of the analyst call, conducted through digital means, has been uploaded on the website of the Company under the following link:
https:/ /www.quesscorp.com/investors/

Kindly take the same on record.

Yours sincerely,
For Quess Corp Limited

Kundan K Lal
Company Secretary & Compliance Officer

“Quess Corp Limited
Q2 FY2024 Earnings Conference Call ”

November 07 , 2023

ANALYST : MR. BALAJI SUBRAMANIAN – IIFL SECURITIES

MANAGEMENT : MR. GURUPRASAD SRINIVASAN – EXECUTIVE DIRECTOR
& GROUP CEO
MR. KAMAL PAL HODA – GROUP CFO

MR. KUSHAL MAHESHWARI - HEAD INVESTOR
RELATIONS & STRATEGIC FINANCE
MR. LOHIT BHATIA – PRESIDENT WORKFORCE
MANAGEMENT
MR. PINAKI KAR – PRESIDENT – GLOBAL TECHNOLOGY
SOLUTIONS
MR. SEKHAR GARISA – PRESIDENT – PRODUCT LED
BUSINESSES

 Moderator : Ladies and gentlemen, good morning and welcome to the Quess Corp Limited Q 2 FY2024 Earnings Conference Call, hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note tha t this conference is being recorded. I now hand the conference over to Mr. Balaji Subramanian from IIFL Securities. Thank you and over to you Mr. Shah!

Balaji Subramanian : Thank you. Ladies and gentlemen, good morning and thank you for joining us on the post results conference call for Quess Corp. I am Balaji Subramanian , and i t is my pleasure to introduce the senior management team of Quess who are here with us today to discuss the results. We have Mr. Gurupra sad Srinivasan - ED and Group CE O, Mr. Kamal Pal Hoda - Group CFO, Mr. Kushal Maheshwari - Head Investor Relations and Strategic Finance, Mr. Lohit Bhatia - President Workforce Management, Mr. Pinaki Kar, President - Global Technology Solutions, and Mr. Sekhar Garisa, Pres ident - Product Led Business es. We will begin the call with opening remarks by the management team and thereafter we will open the call for Q&A session. I would like to now hand over the call to Mr. Kushal Maheshwari to take the proceedings forward. Thank you and over to you Kushal.

Kushal Maheshwari : Thank you Balaji . Good morning everyone and thank you for joining our Q 2 and H1 FY2024 earnings call. The information, data and outlook shared by the management during the call is forward looking, but subject to prevailing business condi tions and government policy. All forward looking statements are subject to economic growth or other risks faced by the company. Please refer to slide number two of investor presentation for the safe harbor clause. With that safe harbor clause , I will now h and over the call to our Group CEO Mr. Guru. Thank you.

Guruprasad Srinivasan : Thank you Kushal. Very good morning to each and every one on this call and thank you for joining us today. For Quess profitable growth has been the ke y theme for the year. Our effort towards consolidation of our operations and growing the high margin segments across the platform have shown posit ive result in this quarter also. In Q2 FY20 24 we added over 21,000 associate headcount and closed th

e quarter with a total employee strength over
5,47,000 .

During the same period EBITDA has grown by 21% year -on-year and 6% quarter -on-quarter respectively . Demonstrating the economies of scale inherent in our business mod el, which has helped us to deliver the n onlinear growth in this quarter. Every platform has deliv ered impressive growth on year -on-year and quarter -on-quarter basis.

 Key financial highlights are as follows: We have recorded a revenue of INR 4,748 Crores a growth of 3% quarter -on-quarter and 11% year -on-year. EBITD A stands at INR 164 Crores growing by 6% quarter -on-quarter and 21% year -on-year. GTS continued its pr ofitable growth trajectory with INR 104 Crores EBITDA in this quarter. OEM platform also achie ved an EBITDA of INR 35 C rores which is a growth of 14% quarter -on-quarter and 26% year -on-year on the back of a solid operational streamlining. With this, PAT has improved by 79% year -on-year to INR 71 Crores. Corresponding EPS has shown an increase of 71% year-on-year at INR 4.85 per share.

Let me walk you through the business update and some areas of Q3 focus areas for us. The hiring environment was positive across sector with industrial, logistic and BFSI driving the hiring activity. One significant exception was IT sector where the hiring activity has plateaued due to global head winds . Our sales engine continues to deliver sustainable revenue growth, we acquired 235 new customer contracts in Q2 setting us up wel l for grow th in coming quarters.

Now let me move on by platform . To begin with workforce platform. The headcount of the workforce platform has reached 4 ,30,000 adding 26 ,000 associates during the quarter accordingly revenu e saw an increase of 14% year -on-year and 6% quarter -on-quarter. Sourcing contributed to 32% of new hiring , up from 27% last quarter signifying our mote in terms of having a strength in our hiring engine. Workforce management growth journey has been rec ognized in international forums. Ques s has no w become the world's 46th largest staffing company by revenue as per staffing industry analyst ranking. We were ranked 54 a year ago.

Now moving on to general staffing. We added 25 ,000 headcount during the quarter led by manufacturing , BFSI and FMCG secto rs. New 83 client contract s were added during the quarter. Open mandates by end of September were at 38,000 driven by festive season hiring specifically in e -commerce and logistics during the festivities around. Our vertical focus strategy has co ntinued to give us great yields with the headcount growth in manufacturing and BFSI stood at 13 % and 5% quarter -on-quarter respectively . We have added about 24,000 headcount in these two sectors in H1 and we are conf ident of similar momentum in Q3.

The per associat e per month gro ss margin profile also known as gross margin PAPM stayed stable around INR 700. We have invested in sourcing and support teams for the growth of this business in H2 and FY 2024-25 given the large, distributed project in manufacturing and industrial driven by a marginal decline in terms of core to asso ciate ratio.

IT staffing business: The Indian IT staffing and selection business conti nues to remain impacted by headw inds. Open mandates have remained flattish on quarter -on-quarter basis.

We were close to about 1.12 k against 1.1k in terms of the open mandate. In such an environment we will continue to focus on the nich e profiles and bring in more IDC controls to drive margins.

Moving on to GTS platform: GTS delivered sustainable revenue growth with 23% EBITDA growth year-on-year and 4% quarter -on-quarter . All three -constituent business in GTS clocked their highest ever EBITDA in this quarter. The platform has shown consistent margin improvement over last five quarters

increasing by 183 basis points in the period,

once again demonstrating the economies of scale in action . To start with Conneqt , Conneqt continues to maintain its momentum with order book over 100 Crores ACV closed during the quarter. This sets up well to sustain revenue momentum in coming quarters. BFSI segment accounted for almost 50% of new sales with strong recovery in manufacturing and service se ctor evident during the quarter.

The growth momentum in CLM business of Allsec continues with 18% year -on-year this was driven by an excellent 21% year -on-year growth in North American Market in Q2. Our non-voice BPM business grew by 34% year-on-year with collection business growing by 35% year-on-year and finance and accounting transaction process business growing at 66% year-on-year. This is on back of sustained investment over last 3 years to create a platform based digital solution, to create a differ entiated solution in the market.

In our BPM business, the customer experience segment as part of the Allsec, EXM vertical in Allsec has strengthened its market leadership with 3. 8 million pay s lips processed during the quarter , with a quarter -on-quarter growth of 3.5%. The vertical has added 21 new logos in the quarter led by international sales setting up well for customer s for coming quarters.

Going forward , the focus is as follows . Sustaining and accelerating the momentum of non -voice BPO in Conneq t and continued operational excellence for margin expa nsion as we drive volume growth. Leveraging on excellent growth momentum in North America market for Allsec in CLM business and growing a nasce nt healthcare practic e around current anchor clients. Accelerate new HRO product and platform over the next few quarters to consolidate market leadership and market expansion , especially in international markets.

Coming to OEM platform: The platform registered topline growth of 8% year-on-year and 2% quarter -on-quarter and EBITD A grew by 26% year-on-year and 14% quarter -on-quarter . The platform has focused on delivering profitable growth. IFM saw a revenue growth of 3% quarter -on-quarter and EBITDA growth of 8.5% during the same period. Major sectors contributing to the growth are government and services and added to that is industrial. The business added 22 new custom er contracts during the quarter .

Focus on execution saw IFMS getting recognized by two major clients for outst anding service delivery support. Going forward focus on housekeeping continues to be on healthcare, public infra, and industrial as we continue to see traction coming in Q3 in this space. FMB business saw a gross margin improvement of 10% quarter -on-quarter and 33% year-on-year in Q2. The improvement in gross margin has been bought in by improving

operational efficiencies and mobilizing o f contracts won during Q1. We expect the growth momentum to continue in Q3 on back of new contracts in education and healthcare.
Security business saw a flat headcount in Q2 as we continue d to pursue profitable growth . The business backed a couple of majo r contracts in infra and manufacturing vertical towards the end of Q2 . As a result , we expect to increase our head count by 8 % to 10% in Q3. The active infra business in the telecom sector had a good quarter for its best ever H1 in terms of revenue and EBITDA. The business had revenue growth of 40% and EBITDA grow th of 43% compared to H1 FY2023.
Moving on to Product Led Business: Foundit had another good quarter on the business and at the product front. Sales grew by 35% year-on-year and 20% quarter -on-quarter driven by Enterprise sales in Ind ia. The revenue in the quarter remains flattish on account of longer tenure deals and lower cons umption in international market, which contributed 35% to our business continue to face some level of he adwinds due to macro co

nditions.
We successfully launched our disr uptive AI driven product Foundit 2.0 for private Beta customer s with a very positive feedback. This will be open to all customers by end of Q3 FY2024 positively impacting the sales and price realization. Our operational metrics on both candidate and recruiter side remains positive with job posting and 6 months active users up by 10% quarter -on-quarter. CSAT continues to remain healthy at 92% with NPS force are at an all-time high, validating the work tha t we have been doing on product. EBITDA achieved is as per annual operating plan , Foundit remains on course to deliver breakeven by Q4 exit.
Moving on to General Updates: Quess continues to drive positive change in lives of our associates among on the asso ciates who have joined us in Q2 , 37% have entered into formal workforce for first time, 18% were female workforce, median age was 25 providing e ntry-level employment for youth. Before I hand over to Kam al, I along with my team would reassure you that we wil l continue to focus our operational discipline and aggressive sales and we will reap the fruits of all our efforts in quarters to come as we a re nearing to festival of light, I also take this opportunity to wish you and your famil ies a happy Deepavali and wish you all happy and prosperous New Year in advance.
I now head over to Kam al and we wi ll com e back to question -and-answers.
 Kamal Pal Hoda : Thank you Guru. Good morning everybody and thank you for joining us today. I extend a very warm wel come to everyon e who has logged into this call. I hope you had a chance to look at the investor presentation and financial results for Q2 uploaded on our website.
Let me now walk you through this quarter's financial performance: We saw a healthy growth across all our platforms during the quarter with revenue growing by 11% year -on-year and 3% quarter -on-quarter to clock INR 4,748 Crores of revenue in Q2. Our net head count i ncreased by 2 1,000 in this quarter. E BITDA stands at INR 164 Crores a growth of 21% year -on-year and 6% quarter -on-quarter with a n EBITDA margin at 3.4% a growth of 10 basis points qu arter-on-quarter. Such increase in EBITDA marg in is driven by customer margin drive across businesses including cost to serve reductions that we st arted a couple of quarters back, and also reduction of burn in product led business.
Profit after tax stood at 79% year-on-year and 47% quarter -on-quarter on account of healthy EBITDA growth across all businesses. Increase in other income by way of intere st on tax refunds and deferred taxes in the quarter. Consequently, our EPS in Q2 has seen a 50% jump quarter -on-quarter to INR 4.85 per share. Our commitment to cash management and debt repayment continued in this quarter with gross debt reducing to INR 473 Crores , lowest in the last 10 quarters with a reduction of INR 45 Crores during the quarter. Our DSO further reduced by one day compared to March 2023 at 56 days and our OCF to EBITDA is at 62% for H1 FY2024.
Platform wise updates . Workforce management: The revenue stands at INR 3,315 Crores registering a growth of 13% year-on-year and 3% quarter -on-quarter . Growth is predominantly driven by our business with key sectors being manufacturing , BFSI and Retail. IT staffing and APAC professional s taffing has remained muted over last few quarters due to global headwind . However , they have ensured to mitigate such downturns through cost actions. E BITDA has seen a good growth of 5% quarter -on-quarter and 10% year-on-year at INR 87 Crores. EBI TDA margi n percentage has seen a nominal 5 basis point increase quarter -on-quarter on account of cost initiatives coupled with VAS , value added services push.
Coming to GT S: Revenue stands at INR 584 Crores with an EBITDA of INR 104 Crores, an annual gro wth of 11% and 23% respec

tively. This translates to a quarter -on-quarter
growth of 4% each. You might recall that this platform crossed an EBITDA of INR 100 Crores in last quarter and it continues its profitable growth with an EBITDA of INR 104 Crores in Q 2 with a sustain ed margin of 18%. Non voice services revenue at INR 188 Crores is a good growth of 34% year-on-year and 6% quarter -on-quarter . This can be seen in revenue specified growth year-on-year will now stands at 113k versus 104k a year ago. Our EXM vertical total new sales exceed 50% in international geography aiding to its
 profitability. Our subsidiary All sec has surpassed a marke t cap of INR 1,000 plus Crores with a CAG R of 23% from ou r init ial investmen t in 2019.
Moving on to operating Asset Management: Revenue stands at INR 705 Crores a growth of 8% year-on-year and 2% quarter-on-quarter . The growth is due to gain of traction in integrated service offerings for public for existing clients, and new contract signs, key sectors being industrial and public infra, healthcare and education. EBITDA stands at INR 35 Crores a growth of 26% year-on-year and 14% quarter-on-quarter. Margin increase is aided by a return of food business post academic holidays in Q1 for education sector clients plus consolidation of low margin clients in security and facility management businesses. Platforms EBITDA margins thereby has seen an increase of 40 basis points to 5% and is now at competitive sustainable levels. Our telecom business has shown a healthy growth backed by strong 5G roll outs across all operators in India and also deeper penetrations of 4G.
Moving on to product led business: Revenue stands at INR 143 Crores in product led business segment with a growth of 13% this quarter. EBITDA loses including non-cash ESOP cost reduced by INR 5 Crores and now stands at INR 16 Crores in Q2. In Foundit a new product launch will improve price realization and focused approach to enterprise business coupled with reorienting marketing to data science-based approach will get us to our commitment of break even by Q4 FY2024. Breakfix Services business saw a good growth in revenue and margins as Q2 generally is a season for such spare parts driven by revenue across partners.
Income tax updates: There are few developments in tax matters from the last quarter. For FY20 17-18 our appeal is at IT AT and the next hearing is expected in the current month. For the year 2018-19 the DRP hearing has been completed and the final order was passed on 30th September 2023. The adjustments for this year are also in lines with the previous year. For the year 2019-20 tax office also had proposed special audit in line with the previous two years basis of the representation of this move was dropped and the draft assessment order was passed by the tax office on 29th September 2023. The company has filed objections before DRP against all the adjustments proposed by the tax office on 27th October 2023.
Moving on to some other corporate updates: Conneqt, MFX and Greenpiece merger update. As part of board’s approval of the scheme of amalgamation dated 7th July 2021, Quess had filed for approval of the scheme with NCLT. Honorable NCLT has admitted the petition and hearing was completed on 31st October 2023. The final order is awaited from the Honorable NCLT in this quarter, and we expect transaction to complete within this financial year.
With th is, now I open the floo r for questions-and-answers.
 Moderator : Thank you. Ladies and gentlemen, we will now begin for the question -and-answer session. The first question is from the line of Mohit from Guardian Capital . Please go ahead.
Mohit : Thank you for th e opportunity. I wanted some more

clarity on this INR 143 million write -
off that we have d one. So, what is it for?
Kamal Pal Hoda : Can you elaborate the question which write -off are you referring to.
Mohit : On this standalone income statement there is this exceptional loss of INR 143 million, which is a write -off for SLPL. What is that?
Kamal Pal Hoda : This is as part of the structure simplification there are multiple steps that we had taken in past and continue to do so. We had acquired 53.9% stake in one of our subsidiary Stellar slog Tech novation Private Limited . We have acquired the balance full stake and revalued the company on the date of acquisition basis which the investment in that company has been mark -to-market as a fair value as on the date of the balancing acquisition and which is where you see the write -off in the stand alone .
Mohit : So, what does the subsidiary do?
Guruprasad Srinivasan : See way back we invested in a platform -based business which is into the gig tasking program, we invested in this in way back in January 2021 , and we held 53 .9% in this company. So basically, what they do i s there are taskers on one side, it i s a gig platform where we match the task doers and the task givers any specific task to be executed like it

could be onboarding of a merchant or on boarding completing a mys tery audit at store. So, it is a gig platform and we integrated that business back into Ques s as part of the workforce completely because post our acquisition we incubated the business and giving the full power of workforce to it makes much more meaningful for it as well as it can accelerate well. So, we integrated that back into Quess in this quarter and the business has annual revenue valuation of about INR 7 Crores and this was the right time for us to integrate into Quess.

Mohit : Where is this recognize d in the consolidated financials.

Guruprasad Srinivasan : As part of workforce.

Mohit : So, it is not in other unallocated expenses because then if you exclude this the workforce management margin could be actually higher than what you have posted. Is my understanding correct ?

 Kamal Pal Hoda: It is from a segment representation perspective p art of the workforce management, but in the current quarter we have not had any losses to be consolidated . What happens any which ways the subsidiary for us where we we re consolidating this company for all the prior ye ars, the operating profit have been already consolidated just in the stand alone when we are further acquiring the same, the investment has been reval ued at the present market value, in the present quarter there are no consol e, no losses which has materially impacted the W FM results.

Mohit : Second question w as on your workforce management. So, I was just not able to reconcile these two -three things. So, one is your per associate, per month contribution is flattish while your ratio for core to associat e that is weakened, but still the EBITDA spread is up a little bit. So how do I fit all three of these facts together?

Guruprasad Srinivasan: One, I will start explaining on the core to associate then I will look in Lohit also to come in.

a) See what happe ns is, I mean, the core to associate is dependent on the number of core head count that we o n board to serve the associates. So, during June to up to Diwali it i s a season, and we will have more recruiters in the field force that we will be bringing into the system to manage or to fulfill the mandate, open mandates that we have. For example, as of 30th September I called out in my speech as well. Our open mandate size is about 38 ,000 even despite of bit of turbulence in the market we st ill have specific demand coming in from manufacturing retail and BFSI segment, we still stand at about 38 ,000 open mandates. Now, if you look at manufacturing as a segment is doing well and the kind of o

pen
mandates that we are getting generally postseason we used to downsize the number of recruiters because post e -commerce sale and season completes, we used to offload few head count. Now what we are doing this time we are not offloading the head count we will continue to actually recharge and continue to keep that team. So that the demand coming in from other sector because being the largest the country our dema nd size is also going up and we wi ll continue to keep this team which is where the core to asso ciate is not reducing which means it will have impact on re venues being added in Q3 and Q4, so which is why you are not seeing the season decline and offloading of those recruiters are not happening this time and we are continuing to keep them. So, which i s where you are seein g core to associate slightly plating, which is a good thing to happen for Q3 and Q4. So now let me get Lohit to add.

Lohit Bhatia : Good morning and thanks for that question. While Guru has explained it well, let me just summarize what he said because your questions are three broad things . Why WFM in some ways flattish , Core to FT ratio has gone downwards, while the margin increased and the EBITDA has marginally gone upwards. So, you see it from the perspective the WFM broadly has three businesse s there i s the General Staffing India business , Core to FT ratio reflects only that business, it does n ot reflect the other businesses. In that Guru very well

 articulated and explained that the core to FT ratio has marginally gone down because thi s is the time of the year when you a) invest for season, and you ha ve seen the rock-solid growth of 26 ,000 head count that we have already achieved in Q2 on the back of 17 ,000 head count in Q1. So, we already up about 43 ,000 peopl e in the first half of the year. This year we will particularly continue to carry this because manufacturing and industrial investments is a little more gestational investments and it i s long -term unlike the recruiters which work out of branches . In manufacturing they have to work from the field or closer to the customer which is the manufacturing plant location and similarly there has to be account management and implants which have to be given for manufactur e. Coming back to your second point in spite of this head count going up, gross m argin remaining flattish at 700, again that 700 let

me remind you is only for the General Staffing India business, if you come to professional staffing business, professional staffing average gross margin has now crossed 14 ,000, I am talking about t he Indi a business it i s at about 14 ,300, we are at 35% of our book size in professional staffing today comes from medium margin to high margin which could be anywhere between 10 ,000 to 15 ,000 head count PAPM going right up to 50 ,000 head count PAPM and mor e that also comes in, and the third ele ment in spite of all of this we ha ve been able to grow and inch upward s that is where i will bring the international context. In spite of the global headwinds our international business has remained very steady and on top of that we have been seeing an increase in revenue in our Ques s North America and reduction in cost. The two elements have given us a reduction in the burn in this quarter as far as Quess North America is concerned. So that's of how you wi ll have to s ee the entire business taking the three broad elements into conside ration. Overall, I think WFM has done a very steady result for all the three categories which is India adding stellar headcount and customers India professional staffing which is grown and internat ional which has remained steady. I hope th at kind of explains the context.
Mohit : Makes sense. So, what is the loss in the North American, and I think it used to be INR 4-5 Crores it i s lower tha n that can you give some number because

you had guide d for br eak
even by the end of the year, right ?
Kamal Pal Hoda: Yes, you are right. So, this was INR 4.5 Crores in Q1 this has been brought down to INR 2.5 Crores in Q2 and we are confident of bring it further within this financial year.
Mohit : Okay perfect and the monster ca sh one , are we still on track for ending that by the end of the year.
Kamal Pal Hoda: Yes, we explained that during both Guru's comments as well as my comments that we are confident of exiting this year with a breakeven in Foundit .
Moderator : The next question is from the line of Gunit Singh from CCI PL. Please go ahead.
 Gunit Singh : Hi sir, congratulations on a great set of results and thank you for this opportunity. Looking at the results in Q2 can we expect th is to be the base go ing forward. So that this would be say the benchmark or the minimum quarterly revenues that we can ex pect going forward from here on and my second question would be regarding the operating margins. So currently we ar e operating at about 3% margins, but in FY2022 and before that we were operating in the range of 5 % to 6% operating margins. So, what is the reason for this drastic decline in operating margins over the years and can we expect to reach those margins back again and if so by when and what would be the margin guidance for the rest of the year and for FY2025.
Guruprasad Srinivasan: As I alluded in my speech, our effort on consolidation of our operation and the high margin segments doing well both GTS and OEM it is playing off well in terms of it is nonlinear growth to our EBITDA which we always emphasized and now we can see the real results coming on to by scale of economies coming into. So that has really accelerated if you look at 26% growth in OEM in terms of EBITDA 23% in GTS , in terms of coming b ack to sustaining of our margins is something that we are quite confident about and these are pure business, I mean, these are business contributions which are coming and there are no anyon e times or seasonal spike in this. So that gives us the confidence to say that yes, we will be able to sustain. Adding to that our largest growth also comes from the low margin business which is also st affing and we are also leaders there we can not stop that team and they will continue to deliver , the higher growth coming in from that will have a blended where we are currently is blended margin of about 3.4%. So as is where we are, we are able to sustain and as and when our investm ents that we have made in Foundi t and North America will start turni ng positive which we are confident the way the trajectory looks like and we have delivered it in Q3 and Q4 we can definitely see slight improvement in margin coming in.
Kamal Pal Hoda: Just to add to what Guru said, your comparison point being FY2022 from a 5% to presently 3.5% , couple of reasons I think one we already captured that General Staffing which is a 2.2% margin business has been growing fantastic for us and it i s a business which is negative working capital business and it i s an annuity business so that ha s been growing very well for us. There are also contributions from high margin businesses which you see in the current quarter which is GTS and O EM which has gone up on a quarter -on-quarter recently when the GTS has gone up quarter on quarter more than 4% on an absolute basis in EBITDA and OEM has also gone up 14% . The other thing which is actually a very g ood investment for us is Foundit, while it is math ematically looking at a lower EBITDA margin on overall basis for us which we actually off set the investment we already at 4% plus margin on a consolidated ba sis and with the expected break even in Foundit by end of this year by expected break even in North America this year and some of the restructuring that

2 of 16 we are doing seller stock acquisition we are bringing our losses continuously down and the margin upt ick will obviously be there in the coming quarters.

Gunit Singh : All right sir, that is heartening to hear, and do we have any guidance for FY20 24 at what levels of revenu es would we want to end t he year and what kind of growth are we looking at internally for FY2025 ?

Kamal Pal Hoda: Typically, we do not give any guidance , I think the management has given quite a lot of inputs for you to do your modelling , but I think the overall view of the m anagement is positive from here, in terms of overall business performance and marg ins.

Gunit Singh : All right, so I mean in terms of optimizations that we are doing currently and we are breaking even in two of our businesses. So, I mean by the end of FY20 24 can we expect to be in 4% plus operating margin range.

Kamal Pal Hoda: It is a little difficult to tell you right now, but I think the management intent and the guidance's that we would like to break even foundit by the end of Q4 quarter and add to that Guru has already told you that our biggest busi ness driver is General Staffing. So how it contributes to the overall margin will shape up the overall consolidated margin, which is a little difficult to guide you right now sitting at the end of Q2 probably by next qu arter they will be able to give you a better guidance.

Gunit Singh : All right. Thank you for answering all my questions. Wish you all the best.

Moderator : Thank you. The next question is from the line of Rishikesh from Robo Capital . Please go ahead.

Rishikesh : Hi, thank you for the opportunity. Sir, my question is with respect to the product led business. How are we looking to grow here quarter -on-quarter and at what revenue level will we achieve the breakeven by this year end?

Kamal Pal Hoda: If you see the historical front as well as what your reported numbers for Q1 and Q2 on a Y-o-Y basis we have grown consistently at 35% despite a c hallenging external environment. On a sequential basis we grew 20% from Q1 to Q2. Historically our H2 this Q3 and Q4 has been significantly higher than H1 as you know we are in a advance subscription business which means the base effect of last year's H2 will help u s grow faster than this year's H2. So, we expect the growth to continue in H2 robustly as we did in the last year's H2 as the base effect kicks in as well a s the new product launch happen s. Our new product, as Guru mentioned Foundit 2.0 is now in public preview with several customers using it and all of the customers will be on the new platform towards the end of the quarter that delivers two things for us . Improves our competitiveness in the enterprise segment which we called out

and secondly our ability to price up on whatever offerings we are giving to the customers. So, all of this a combi nation of th e base effect in H2, new product that is being launched and the uplift that we will see in terms of ability to price better all of it will ensure that we will continue our growth journey in H2 and combination of growth and slight optimization on cost will lead us to break even by end o f this year.

Rishikesh : Sir, could you also touch upon the workforce management EBITDA margins, I think there was the US business burn which you had said that it is at peak now and I think in couple of quarters we have some vi sibility that there should be some visibility on 3% m argins for workforce management. So, could you also touch upon that?

Kamal Pal Hoda: So North America have already clarified that the burn has come down from an INR 4.5 Crores in Q1 to INR 2.5 Crores and we are confident that by the end of this financial year we will have no more losses to consolidate on North America. On the overall W FM margin, Lohit you want to comment.

Lohit Bhatia : Yes, so like Kam al righ

tly said one of the drivers for margins in WFM at the moment is North America as that turns positive obviously that i s a clear direct uptick for us and that INR 2.5 odd Crores as we did now closer to INR 4.5 plus Crores last quarter is sequentially coming down and that will definitely aid WFM . I mus t repeat this is an investment for the future, WFM for its size, for its volume, for its margin profile, needs a market which is steady sta te for the next couple of years, decades which is both large as well as not just volumetric, but it is als o a high ma rgin market and that i s why the investment in North America. Having said that I think the other two elements of India business is professional staffing on one side which is primarily IT versus non-IT business which is General Staffing. General Staffing works at a 2% EBITDA margin ra nge, Professional Staffing w orks upwards of 7% or 8% . We have been seeing about four to six quarters of tough headwinds from the IT business with some green shoots which has come in September for sure . One our permanent recruitment business has again turned back into the black and has started giving us positive EBITDA with the growth of permanent and lateral hiring. The second green shoot continues to be the margin improvement there. The third green shoot is the GCC s wher e we are very actively pursuing and bagging more contracts from th ere. So, these are the play , mix makes a huge, huge difference for us, you can see 2% versus 7% plus the mix itself aids many of these things.

Rishikesh : Also, we have an aspiration al EBITDA margins we talk about 6% which w e also used to do before. So, once we achieve break even in North America and our product led businesses fair to say from next year on wards we should see likely around 1.5 % EBITDA margin improvement per year .

Kushal : See what I would guide you is that our absolute EBITDA will i mprove over the coming quarters, but when you focus on EBITDA margins it is a little difficult for the management to guide you because as Guru has already told you that our biggest growth driver is General Staffing and Lohit has already told you that it is a 2% EBITDA margin business. So, when you focus on margins you lose out on the absolute EBITDA growth that the business has been delivering and overall, on a year-on-year basis our absolute EBITDA has increased by 21% even though our EBITDA margins have not improved .

Rishikesh : Got it, thank you.

Moderator : The next question is from the line of Vidit Shah from Spark Private Wealth Management. Please go ahead.

Vidit Shah : Hi, good morning and th anks for taking my question. Just a couple of questions from my side, o ne is on the North America business you ha ve alluded to improvement in EBITDA losses, but could you shed some light on how the revenue trajectory out there is how we are growing that i s one of the key growth drivers going forward, right, that we are planning on tapping.

Lohit Bhatia : So, on an extremely small base the revenue has gone up by abo ut 92% this quarter, the cost has gone down by about 30% as we had already kind of explained last call itself and both these things have overall reduced the investment or the burn by about INR 2 Crores quarter -on-quarter for this quarter. At this stage we are at the juncture o f coming closer to a steady state revenue run rate and a staffing headcount addition, which should give us the break even at a country level or a business level by the end of the year as alre ady explained by Guru and Kamal. I must also add that this is a m arket which operates between $1 ,500 gross margin PAPM to as high is about $4 ,500, if you work in the niche profiles and I think that is how we are building up ourselves with goo d customers.

Vidit Shah : Sure, what was the exit figure in Q2 in terms of reven ue that we can look at and I remember we

had got a couple of S&P sort of customers , have we added to that list or our time staff in IT St affing in US?

Guruprasad Srinivasan: At the moment it is very insignificant in terms of the revenue and the losses, I mean, burn that we are doing there, we have less than 10 h ead count that we have deployed. So, as it becomes substantial, we will start probably declaring it, but we also getting our fee t right there in terms of how do we ramp up and how do we set the delivery structures. So, we are going in the right direction, but I a m sure I think we will have more to share a s we come into Q3 and Q4.

Vidit Shah : Thanks, and maybe one for Kamal in terms of the income tax matter s. Just some clarit y on the latest verdict that came in at the end of September I sort of missed your opening remarks. So could you just explain where we stand right now?

Kamal Pal Hoda : So, I did cover it in my commentary also. See this tax matter that is going on for us is for multiple years. So, for 2017-18 we came out of DRP, and we are in tribunal and the next hearing for ITAT is within this month. So that will be the first set of hearing. For 2018-2019 that DR P hearing was completed, and the final order was passed on 30th September this order was again in line with the previous order where principally the EAA and the depreciation on goodwill wa s disallowed to Quess and we ha ve taken very similar grounds and we are now going into tribu nal so this will follow the course of what 2017-18 would be. For 2019-2020 there was a proposal for doing special audit for Quess which was again proposed by department in line with the previous two years, but we are successfully represented with all the f acts and department has dropped the special audit, so th is is the first year that there i s no special audit for Quess and the draft order has been passed by the tax office themselves. Again, the order is in line with the previous two years when they have p rincipa lly detail out both the matters. We have taken the course of going through the DRP because we want to be consistent with our stand and the le gal recourse that we have taken.

Vidit Shah : So, all three orders are consistent in summary is the understanding correct.

Kamal Pal Hoda : That i s correct.

Vidit Shah : Okay, thanks so much for the clarifications and all the best.

Moderator : The next question is from the line of Mohit from Guardian Capital. Please go ahead.

Mohit : Sir, I know that this is a small amount, but I just wanted to understand how was the V edang stake that we have valued, is it like much higher margin than the normal operating asset management business ?

Kamal Pal Hoda : Vedang is a subsidiary which we continue to hold prior to this ac quisition also 92.5% is this us, and the balance stake is with Mr. Ashish who is running this compan y as a CEO and the terms of share purchase agreement which was there since 2017 -18, had laid out how the rest of the acquisition would be done basis the put option, which is there. So, there i s no fresh valuation that has been done for this it is just this is the earlier share purchase agreement that we have followed the course. Ashish continues to hold 3% in this co mpany post the acquisition and he continues to run this company and this company is going through a fantastic phase of 5G transition and he i s leading this company in a very robust manner.

 Mohit : So can you give some clarity about the EBITDA margin that is posted by this business because I think it would be higher than our OAM business.

Guruprasad Srinivasan: Yes, this business on an average deliver s us anywhere between 9 % to 10% of EBITDA margins.

Mohit : Then it makes sense. Okay.

Moderator : As there are no further questions, I now hand the conference over to the mana gement

for the
closing comments.

Guruprasad Srinivasan: I would like to once again highlight that we are very well placed across platforms to maintain our growth trajectory and wi th this note wishing you all again the festivities around happy Deepavali and prosperous New Year and look forward to interacting with you soon. Thank you so much for joining us today.

Moderator : Thank you members of the management team. Ladies and gentlem en, on behalf of IIFL Securities Limited , that concludes this conference call. We thank you for joining us and yo u may now disconnect your lines. Thank you.

Call: Feb 2024

February 0 9, 2024

To,
BSE Limited
Floor 25, Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai -400001
Security Code - 539978
National Stock Exchange of India Limited
“Exchange Plaza”, Bandra -Kurla Complex,
Bandra (East),
Mumbai -400051
NSE Symbol - QUESS

Dear Sir / Madam,

Sub: Analyst Call - Transcript

Pursuant to Regulation 46(2)(oa) of SEBI (Listing Obligations and Disclosure Requ irements) Regulations, 2015, this is to inform that the Transcript of the analyst call, conducted through digital means, has been uploaded on the website of the Company under the following link: https://www.quesscorp.com/investors/

Kindly take the same on record.

Yours sincerely,
For Quess Corp Limited

Kundan K Lal
Company Secretary & Compliance Officer

“Quess Corp Limited
Q3 FY2024 Conference ”

February 05, 2024

ANALYST : MR. BALAJI SUBRAMANIAN – IIFL SECURITIES LIMITED

MANAGEMENT : MR. GURUPRASAD SRINIVASAN – EXECUTIVE DIRECTOR & GROUP CHIEF EXECUTIVE OFFICE – QUESS CORP LIMITED
MR. KAMAL PAL HODA – GROUP CHIEF FINANCIAL OFFICER - QUESS CORP LIMITED
MR. KUSHAL MAHESHWARI – HEAD INVEST OR RELATIONS & STRATEGIC FINANCE – QUESS CORP LIMITED

MR. LOHIT BHATIA – PRESIDENT - WORKFORCE MANAGEMENT – QUESS CORP LIMITED
MR. PINAKI KAR – PRESIDENT – GLOBAL TECHNOLOGY SOLUTIONS – QUESS CORP LIMITED
MR. ANAND SUNDAR RAJ – PRESIDENT – OAM – QUESS CORP LIMITED
MR. SEKHAR GARISA – PRESIDENT – PRODUCT LEAD BUSINESSES – QUESS CORP LIMITED

Moderator : Ladies and gentlemen, good day and welcome to Quess Corp Limited Q3 FY2024 Conference hosted by IIFL Securities Limited . As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pres sing "*" then "0" on your touch tone phones. Please note that this conference is being recorded. I now hand the c onference to Mr. Balaji Subramanian from IIFL Securities Limited . Please go-ahead Sir!

Balaji Subramanian : Ladies and gentlemen, good morning and thank you for joining us on the post result s conference call of Quess Corp . It is my pleasure to introduce the senior management team of Quess who are here with us today to discuss the result . We have Mr. Guruprasad Srinivasan, ED and Group CEO, Mr. Kamal Pal Hoda , Group CFO, Mr. Kushal Maheshwari , Head Invest or Relations and Strategic Finance, Mr. Lohit Bhatia, President Workforce Management, Mr. Pinaki Kar , President, Global Technology Solutions, Mr. Anand Sundar Raj, President, OAM and Mr. Sekhar Garisa , President Prod uct Lead Businesses. We will begin the call with opening remarks by the management team and thereafter we will open the call for a Q&A session . I would now like to hand over the call to Mr. Kushal Maheshwari to take proceedings forward. T hank you and over to you Kushal !

Kushal Maheshwari: Thank you Balaji . Good morning , everyone and thank you for joining our Q3 FY2024 earnings call. T he information, data and outlook shared by the management during the call is forward -looking , but subject to prevailing business conditions and government policy. A ll forward -looking stateme nts are subject to economic growth or other risk s faced by the company. P lease refer to slide number two of investor presentation for the safe harbor clause. With that safe harbor, I will now hand over the call to our Group CEO, Mr. Guruprasad Srinivasan , for his opening comments . Over to you Guru.

Guruprasad Srinivasan: Good morning , everyone. T hank you for joining us today and hope 2024 has been a great start for all. For Quess , profitable growth and consolidation of operations continue to be the key theme for the year . Our efforts in this direction have been showing results . During the last six quarters though the revenue has grown by 1 3%, EBITDA has grown by 34% , achieving a nonlinear EBITDA growth during the period. During the quarter, we added over 10,000 associates and close d the quarter with a total employee strength of 5 ,57,000 . The hiring environ ment was positive in industrial, BFSI, retail, t elecom and two specific sectors e-commerce and FMCG saw a net head count utilized as festival season concluded in Q3. It still continues to be impacted by global head winds . Our sales engine continues to deliver adding 170 new contracts with annual contract value of INR 416 Crores setting up as well with growth in coming quarters. We also took a significant step towards streamlining our corporate structure . As part of our simplification of corporate structure Conneqt, Greenpiece

and MFX India business is amalgamated into Ques s post NCLT approval in Q3. In addition to this, Quess had inves ted in Hexagon Technologies . Hexagon bright solution to develop system and create sustainable impact on digital f ront for business enterpr ise such as product engineering, event service, intelligent automation and manage services. Conneqt has a digital practice for enterprise applications and combination of Hexagon and Conneqt digital practice will strengthen our market presence and join go to market in d igital space under GTS platform.

Key financial highlights, we recorded a revenue of INR 4,842 Crores, a

growth of 2% quarter -
on-quarter and 8% year -on-year. EBITDA stands at INR 181 Crores g rowing up by 11% quarter -on-quarter and 24% year -on-year. EBITDA margins have improved by 29 basis points quarter -on-quarter and 48 basis points year -on-year. T his was driven by consistent profitability growth in G TS platform. O ur cash burn in terms of Foundit reduced by 50%.

Focus on profitability growth in OAM platform as noted.
Let me walk you through the business updates for Q4 focus areas. To begin with workforce management platform, the head count of the platform reached 4 ,44,000 which also includes about 34,000 headcount which was processed in the month of December adding a net of 14,000 associates during the quarter driving the increase in revenue by 3% and 12% year -on-year. R evenue growth from work force is driven by wage increase and sales growth with a mix of 70 :30 as most of our contracts are flat fee. T his also put s pressure on the margin. We remain confident in our sales engine to drive growt h. The platform added 87 n ew contracts during the quarter. S ourcing c ontributed to 28% of new hiring. O ur general s taffing business placed 62% of associates hired in tier two and tier three cities once again signifying the depth and breadth of our sourcing capability and deployment capability .
Now moving on specific to the general staffing business, we added 13,000 head count during the quarter led by manufacturing , telecom and BFSI sector s. Of the new contracts added in Q3, 30% of our new client s are first time getting into the staffing outsourced model validating the long-term trend towards outsourcing , so we are seeing some level of consolidation and movement from informal to formal . Our vertical f ocus strategy has continued to yield dividend s with head count growth in manufacturing and BFSI stood a t 8% each on a quarter -on-quarter basis. T he momentum is expected to continue in Q4 and BSFI manufacturing account s for almost 80,000 open mandates out of total open mandates of 28k as of December 31, 2023. I n addition to this, business has built up scale in terms of the pipeline. O ur pipeline stands at 39,000 for Q4 which will drive the head count over the next coming quarters . In order to take advantage of market opportunities, we continue to invest in our sourcing accou nt management and new verticals. S pecifically , retail and logistics will also operate as a separate vertical from Q4 onwards as a result we have seen a marginal decline in associate to cor e

ratios based on the investment that we have m ade. H owever , our core to associate ratio still remains best in class. IT staffing business, the Indian IT staffing and collection business continues to remain impacted by global head winds. C urrent open mandates stand approximately about 1 ,200 a drop of 16% quarter -on-quarter and 31% year-on-year. Focus continues to be a niche profile BFSI, digital and maximize our margin so those are specific focus areas . Moving on to global technology solution platform, GTS continued its growth trajectory delivering a n onlinear EBITDA growth of 3% quarter -on-quarter and 19% year -on-year. EBITDA margin continues to move on and increased by 220 basis points year -on-year and 48 basis points quarter -on-quarter demonstrating both economic of state and positive momentum towards higher value of service. The highlights specific to G TS platform are as follows . Starting with the Conneqt business services. Conneqt continues to maintain its moment um with 16 new client addition s. The business closed an order book over an ACV of INR 110 Crores during the quarter implying sustained revenue growth in coming quarters . In GTS sub vertical BFSI accounted for 35% of total annual contract value added . We also saw encouraging green shoots in auto, retail, and consumer goods sector. C onsist ent focus on execu

tion has led business to be consistently ranked first or the second amongst the partners where client have onboarded multiple partners . Business achieve d the highest ever NPS in our le ading customers , achieving an NPS of about 65 from an earlier score of 33 . Our non -voice BPM business grew significantly with collection bu siness growing 25% year -on-year and transaction processing bu siness growing 29% year -on-year. T he nature of this business has been on e of the key drivers for margin enhancement of GTS platform and we will continue to invest in our digital solutions to create market leading solutions and platforms . The growth momentum in our customer experience business in Allsec continue s to bring about 21% year -on-year growth. T his was driven by 30% year -on-year growth on international businesses . With significant growth in both nu mber one and number two clients, in the CXM business by revenue. In platform -based services, the employee experience management vertical in outset continues to strengthen its market leader position with 4 million payslips processed during the quarter , a quarter -on-quarter growth of 4% and the vertical added about 80 new logos in Q3 driven by BFSI and ITES whic h demonstrates a robust pipeline of almost about INR.30 Crores for Q4. O ne key highlight of CXM business growth in the quarter was high order booking in international business compared to the domestic business . Going forward the focus remains on the follow ing, AI and automation. Our BPM business is currently running 10 AI forward engagements with clients. We will focus on expanding the same. International sales CXM vertical in Allesec on back of encouraging international sales have tied up with solution partners global markets to further enhance the growth . In international CXM business growth momentum is slated to continue in Q4 as well leveraging the further revenue realization from leading North American customers. Growth in digital and IT services fiv e new customers were signed up with an ACV of INR 21 Crores signing digital services in US, UI, core ERP and CRM systems. M oving on

to Operating Asset Management , profitable growth revive d the key theme for the quarter as a result even though the top line growth has been fla t, platform EBITDA grew by 4% quarter -on-quarter and 16% year -on-year. IFMS added 15 new customers during the quarter , additionally 13 contracts with ACV of INR 75 Crores are expected to be mobilized in Q4.

We are seeing green shoots in healthcare, manufacturing, infra and we will continue to focus on the same sector . Food and beverage saw a gross margin improvement of 18% quarter -on-quarter. T he improvement in gross margin has brought in by improving operational efficiencies and mobilization of contract s won during H1 . The focus areas for Q4 would be added new clients in order to set the base for the next upcoming financial year . Security services added over 13 ,000 head count in Q3 led by infra and manufacturing segments as a result the business saw a revenue growth of 4% and EBITDA growth of 9% quarter -on-quarter. O ur sales pipeline remains strong , and business will c ontinue to head at the present rate. Telecom and active infra business continued its good run with best ever YTD revenue and EBITDA. 9M FY2024 revenue and EBITDA have shown a growth of 33% and 41% respectively . The business was awarded a significant 4G rollout contract with a n ACV of over INR 90 Crores for which the deployment will start from Q4.

Moving on to the product led business . Foundit had a great quarter on the business and the product side. The sales grew by 9% year -on-year by the enterprise sales in India despite continued slowdown in IT which is a ma jor contributor to our business. We successfully launched the disruptive AI product Foundit 2.0 for 550 plus customers. I nitial feedback has

been very positive , and it has been acknowledged as the best in class. We expect to roll out the same to every customer by the end of Q4. D espite market headwinds our operational metrics on both candidate and recruiter side remains positive with job posting up by 7% year -on-year and six-month active user by 22% year -on-year. CSAT continues to remain healthy at 91% while NPS force is at all time high reflecting the improved product. EBITDA achiev ed is as per plan in Foundit remains on course to deliver break even by Q4.

Moving on to general updates . As we have communicated often all public forums including our quarterly call our employees are our greatest asset s. Their wellbeing is always on top of our mind . It gives me immense pleasure to inform you that Quess has been certified as “Great Place to Work” for fifth consecutive year . Our score in the survey has improved from 73 to 87 in past five years . GPTW survey has also recognized Ques s as a leadership factory acknowledging companies that have successfully establish ed a culture centered around fostering exceptional leadership abilities on a large scale . This recognition signifies the entrepren eurial spirit with the organization, strong HR process and a modern inclusive culture so this was the update . I will now hand over the call to Kamal. Over to you Kamal.

Kamal Pal Hoda: Thank you Guru . Good morning , everybody and thank you for joining us today. I extend a very warm welcome to everyone who has logged into this call . I hope you had a chance to look at the investor presentation and financial results for Q3 uploaded on our website . Let me now walk you through thi s qua rter’s financial performance. Revenue for the quarter stands at INR 4,842 Crores a growth of 8% year -on-year and 2% quarter -on-quarter. O ur head count stands at 5 ,57,000 as of December end a net addition of 10,000 quarter -on-quarter with key contributing sectors being BFSI, MNI, retail, t elecom and Healthcare . Our EBITDA stands at INR 181 Crores for the quarter a growth of 24% year -on-year and 11% quarter -on-quarter. EBITDA margin stands at 3.7% , a growth of 29 basis points quarter -on-quarter. T his increase was driven by the following three points , reduction of marketing product development spen ds as per plan in found it, nonlinear growth in profitability in our GTS vertical and improved margins due to business risks in OEM vertical and volume growth and control cost to serve. Profit after tax decr eased by 10% quarter -on-quarter to INR 64 Crores due to exceptional non-cash write off of goodwill of approximately INR 20 Crores in one of our technology businesses . Excluding above one off our adjusted PAT stands at a healthy g rowth of 15% quarter -on-quarter at INR 84 Crores. O ur commitment to cash management and debt repayment continued in the quarter with gross debt reducing to INR 419 Crores lowest in last 10 quarters with a reduction of INR 53 Crores during the quarter. Our DSO s reduced by one day compared to September 2023 and now stand s at 55 days.

Moving on to platform wise update sta rting with Workforce Management , revenue stands at

INR 3,430 Crores registering a growth of 12% year -on-year and 3% quarter -on-quarter . Growth is predominant in the general staffing business with key sectors being manufacturing BFSI and retail. IT staffing and APAC professional st affing have remained muted over the last few quarters due to global head winds , however we have ensured to mitigate such downturns through cost action . EBITDA has seen a sequential growth of 3% quarter -on-quarter and 4% year -on-year at INR 90 Crores. EBITDA margin s percentage has seen a nominal two basis poi nts decre ase quarter -on-quarter due to cost pressure on account of wage inflation with flat margin in general staffing businesses. T he business continues to focus on increasing wa

llet shares of value -added services in platform to of fset the inflationary pressures.

Moving on to GTS . GTS platform clocked a revenue of INR 588 Crores for the quarter an increase of 5% year -on-year and 1% quarter -on-quarter. G rowth in revenue in this vertical has been challenging in this quarter due to muted inve stments in technology com panies. EBITDA stands at INR 108 Crores a growth of 19% year -on-year and 3% quarter -on-quarter. Non-voice services and improved international mix in new sales of EXM vertical along with cost efficiencies from merger of Conneqt business have helped an increase in overall profitability. G ood order pipelining is Q3 across infrastructure and digital IT services

includ ing view from Middle East gives us confidence on growth and margin profile moving into Q4.

Moving on to Operating Asset Management , revenue clocked INR 695 Crores for the quar ter a growth of 1% year -on-year and a degrowth of 1% quarter -on-quarter. Revenue growth saw some challenges due to rationalization of a few large accounts with low margins . Pipeline for Q4 is promising and we are confident to bounce back as a focus investments made into key sectors will yield results as we move forward. EBITDA for this platform stands at INR 36 Crores a growth of 16% year -on-year and 4% quarter -on-quarter. M argin increase is aided by business mix, sales led by food and tel ecom businesses including few customer margin initia tives taken across the platform.

Moving on to Product Lead Business , revenue clock ed for the quarter is INR 129 Crores , a degrowth of 13% quarter -on-quarter . While Foundit sales has grown 9% year -on-year our basic business has seen some degrowth as Q2 revenues were higher in spare servicing revenues booking due to seasonality . EBITDA losses excluding ESOP reduced by INR10 Crores quarter -on-quarter and now stands at a negative INR 6 Crores . This is largely driven due to reduction in marketing spend in Foundit , a step closer towards break -even by end of financial year as per our earlie r guidance.

Moving on to some tax updates , there are few developments in the t ax matter from the last quarter . For FY2017 -18, our appeal is ITAT , and the next hearing is expected in April 20 24. For FY2018 -19, against the final order of assessing officer post DRP . The company has filed an appeal in ITAT , and a next hearing is scheduled in the current month February 2024 . For the year , 2019-20 and 2020 -21 the tax office had proposed a special audit in lines with the previous two years . However , based on factual representation the same has been dropped and the draft assessment order has been passed. The compan y has filed objections before DRP against all these adjustments proposed by the tax office . With this , now I open the floor for any Q&A .

Kushal Maheshwari: Thank you Kamal . We will wait for a minute for the questions to pile up before we start the Q&A .

Moderator : Thank you. We will now begin the question -and-answer session. Our first question is from the line of Balaji Subramanian from IIFL Securities . Please go ahead Sir.

Balaji Subramanian : Congrats on a good set of numbers . I have a couple of questions. F irstly , there has been a 30-basis points year-on-year EBITDA margin improvement driven by OAM and GTS platform while the PLB segment losses have come down which is again in line with your guidance .

Could you give some more c olor on what drove this and how we should think about it going forward ? The second question is on the focus on manufacturing and construction verticals which you have highlighted in the past could you share some update on how your headcount has trended jus t in these two verticals in the last couple of years and how do you see this panning out in future ?

Guruprasad Sri

nivasan : Sure, so let me take the first question on margin so yes, we have been ab le to scale the margin level up. T he couple of contributors to it starting from first , the reduction in terms of the Foundit burn have really pushed the margin percentage up for Q3 specifically. We were about 3.4% from t here we have come to almost about 3.7%. There are a couple of more things that we are doing in organization in terms of the tight control on cost to serve which means the productivity or the efficiency is being measured and we are ensuring that the cost to serve is kept tight. If you look at it, it is also reflecting on our OAM platform so from arou nd 4.8% at a platform level where we used to deliver, we have just delivered about 5.2% EBITDA and of course there is definitely scope specifically OAM for a little more room to work on the margin there . The other contributor to this is the nonlinear growth coming in from GTS so GTS has an efficiency to release higher margins compared to the revenue growth rate so that is really playing in now and if you look at the kind of addition of grow th that is happening in non voice business which is also a high margin business which has grown by 25% year -on-year so three to four aspects just to summarize . One is reduction in Foundit , second is tight control on our cost to serve, nonlinear growth coming in f rom our technology business and the mixed change in OAM which is contributing to betterment of our increase in our margins .

Kushal Maheshwari : I request Lohit if you can give some color on the two verticals that Balaji has inquired about manufacturing and construction.

Lohit Bhatia: To your specific point on M NI, the manufacturing segment and the construction segment , we are closer to the 70,000 mark today. T his is a growth of about 34 % to 38% year -on-year in the last year and 46% in the prior year. I n fact , since December 2021 this entire segment has grown by almost 130% . This has become the third largest segment for Ques s workforce management today after BFSI and retail. I n the times to come the way we are looking at manufacturing there are couple of things that I just wanted to add here . Number one is the transition of India from only a services economy to services cum product and manufacturing economy. S econd is aided by informal segment transitioning quickly to formal. T he transition of rural India to urban India and to formal jobs. T his along with the PLI scheme and the kind of benefits and aid that the government is pushing as far as infrastructure development is concerned . For us this is a segment to watch not just for this quarter, next quarter or one or two years. T his a segment to continuously keep watching for at least a decade as far as India

is concerned . So we feel that this an area where we need to deeply invest. We have invested in sourcing and technology and that is something that we will continue to do .

Mod erator : Our next question is from line of Kavish Parekh from B&K Securities . Please go ahead Sir.

Kavish Parekh: Good morning , all. Thanks for the opportunity. I have a few questions. Sir we have reported and continue to improve our strong margins on the G TS space so can you elaborate on whether we have reached peak levels here or we can still grow so what is a two - three year thought process here ?

Pinaki Kar: Thanks for the question. This result regular scheme that is part of well calculated strategy and execution so if go back 14 to 15 quarters just to show we are sustainable we always remained from 16% to 18% that is 200 basis points, so growth in three years’ time will give 15% what we did was that we have optimized the cost structure from the sales coming in and the operating efficiency that helped in increase in value, but what is valuing the incremental another 200 basis points have been mainly the cha

nge s of business mix towards higher value added services . There are only three aspects right. The largest factor is if you see the movement from domestic to international so these are the three components which is mostly domestic which at that point of time was 50% domestic, 50% international and the benefit will be 100% returns so what has happened over the last few quarters both Conneqt digital as well as Allsec increased CXM business the grow th has been disproportionately high on the international segment which has higher realization as well as higher margin profile than domestic and the EXM like if we get into that like it used to be 100% domestic. L ast quarter from booking for the first that was 55% inter national and 45% domestic which is going to increase in the quarters ahead and another mix in the platform is in the P&L both voice and non vo ice if you see Conneqt , Conneqt would have around 40% to 43% voice business, 5 7% to 58% non voice where collection s obviously has been good as well as the internet BPM part and both connections and BPM had 25% and 29% growth rate respectively which is higher than the voice business for us so it the business mix and also the market has become more towards international . I hope I have been able to answer your question.

Kavish Parekh: Thanks for the explanation. S econdly , we have also reduced our losses in the product lead business especially Foundit so we do remain on track to achieve break even by the end of the year or say early next year right and the last question could you please elaborate on the impairment taken this quarter thank you ?

Kushal Maheshwari : I will ask Sekhar to speak on Foundit and give his color on the performance.

Sekhar Garisa: On Foundit we have stayed on track on our plan that we shared with all of you about three quarters back that as we go through the quarter we will continue the investments in product and marketing which will taper down to the second half of the year once the product launch happens which happened in the last quarter and the revenue will continue to grow irrespective of what the external envir onment is which is what is playing out so from Q2 to Q3 the operational burn in the business has come down by more than half and we are well on track to meet our projections or outlook s that we have shared which is close to break even for Q4 , thank you .
Kamal Pal Hoda: On impairment represents the non-cash charge on goodwill which was part of the original investment done by Quess in Hexagon . Guru did cover in his speech about the internal restructuring and the business contract and employees of Hexagon which is a subsidiary of Ques s being innovated and transferred into Quess and the synergies of Conneqt merger and then combining these contracts which has led to this non -cash impairment which is a onetime noncash charge.
Moderator : Thank you. Our next que stion is from line of Raghuram N S from Eurindia Ventures . Please go-ahead Sir.
Raghuram N S: This was regarding the CXM and the EXM business that you guys have really now focused a lot of your management attention on , the CXM business obviously I do allude to what Mr. Pinaki Kar also mentioned that there is a huge amount of growth and focus on growing the international business . So is there any ACV kind of data that can be shared on what has been the total ACV booked in the las t two -three quarters and very similar I think I heard about INR 30 Crores of ACV pre booked in the Q3 quarter and what would be the kind of growth that can be expected in the EXM business also ?
Pinaki Kar : So, like INR 30 Crores that you have seen on the EXM business and as I told you that 55% of that was international compared to domestic . If you see similar numbers from the EXM business what has been moved without giving like forward looking and it is mostly interna

tional growth so from that perspective and just correlating to that we accomplished in the last three -four quarters of 30% growth in the international business and also in terms of revenue and in the current bookkeeping ratio that we have so I think with this strategy we could be able to maintain that.
Guruprasad Srinivasan : Also just to add specifically for EXM the same cycle is generally between Q2 and Q3 , so I mean financial year and calendar year beginning just in the large transitions happen in that space in terms of the environment so generally Q1 and Q2 has been good . Generally , Q4 and Q1 are slightly low .

Raghuram N S: Okay no I thought in India at least Q4 is a pretty large in terms ?
Guruprasad Srinivasan : Q4 those cycles would have got closed in Q3 so I mean we would be ge tting into the migrations in Q4.
Raghuram N S: Okay so how does this compare with data last year if you can please share that kind of thing with INR 30 Crores is it comparable and is there a growth as compared to last year same quarter ?
Pinaki Kar : It is around 45% more than last year .
Raghuram N S: Okay mainly driven by as you mentioned international business?
Pinaki Kar : Mainly driven by international as well as the average ticket price as well as the number of clients that have got opened up in the last three quarters on the EXM side that is on the CXM side it is mainly driven by two or three large accounts where there have been opportunities which is about 15% increase .
Moderator : Thank you. Our next question is from the line of Mukul Garg from Motilal Oswal Financial Services . Please go ahead Sir.
Mukul Garg : Sir, to start with I think great work on the PLB business . It looks like you guys are on track to break you next quarter so great execution there . Just two questions from my side , First on the workforce management business how should we think about avenues for margin improvement there especially on the cost side while you guys have been trying to take action and I understand there are limitations because of fixed price contracts but the core to associate ratio has been trending downward so do you see any low hanging fruits there which can be kind of plugged over next few quarters to improve the profitability and on the client side are you kind of trying to increase the average pricing which can help you improve the profitability there ?

Guruprasad Srinivasan : I will ask Lohit to answer your question .
Lohit Bhatia: Good morning , Mukul , as far as WFM margins are concerned Mukul we are currently at about 2.6 %. A bout a year back we were closer to the 2.8% mark but that was about 12 months to 15 months ago . WFM primarily has three large components today . There is WFM India general staffing business as you know it has 70% of the book is a flat service and every time the revenue goes up or t he wage inflation goes up unfortunately , in a percentage term the margin comes down though rupee terms the margin accretive is better than before . The second element of WFM is the professional staffing or what we call the IT business in India and the

third element is the overseas business . The last 12 months to 15 months has also seen a decline as far as the trend in professional staff and the IT business is concerned as is known to you what is happening in the broader market Guru and Kamal also spoke about the international challenges and the head winds that we are facing so from a lot of perspective if you really look at it this probably the bottom of where WFM today is , and with the advent of aid professional st affing as a mix both international and domest ic playing more than the speed of rate of growth from general stuffing is one . Secondly , now come back to the specifics of general staffing itself. Y ou alluded to core to FD

ratio and that is a right point . Our
investments in manufacturing is tailored to take care of every site and every factory where the customer wants us to work . See in MNI segment one interesting thing is also we are not taking business from any international or large domestic company . We are rather takin g the business away from local erstwhile contractors who probably have been in this business for 10, 20 or 30 years and that transition to a large company like us is an area where we have to make that investment . You ha ve to be closer to the customer , you have to be in the factory and you have to disproportionately add recruiter , sourcing and technology which is where also the margin remains a little soft when you st art playing this industry a bit. T o the last point that you said about the trending margins with customers. We are in the band of 680 to about 700 gross margin as far as the general staffing business is concerned in spite of all the challenges that we are hit with given the competition in the general staffing space , we continue to hold ourselves there with a lot of work which has been happening in the vas t space and value added as well as the growth which over a period of time beyond the investment starts to give us results we be able to see this inch forward . I think at some stage Mukul, and I ha ve said this for a couple of years now, at some stage both the client as well as competition will move away from a pricing only strategy and we will start playing service and a price strategy. Quess has been retaining itself there for many years now. We hope to see sometime into the future that also starts playing. I hope that gives you an overall color with what we are dealing with .
Mukul Garg: Thank you , Lohit. Guru second question was on the operating asset management side can you just help us with a bit of color on the sub segments where you guys were able to take efficiency gain or cut a lower kind of margin clients and how do you see it progress over next one to two years both from growth as well as profita bility perspective ?
Guruprasad Srinivasan : Sure, so as you know under operating asset maintenance , we have three sets of sub businesses . The first one is into integrated facility management, t hen followed by security services and the industrial and telecom business . I mean if you look at the largest piece among these three are integrated facility management , of which we had I mean in past as we have been interacting on this. O ur exposure to IT and IT s ervices was pretty high pre COVID and we did change the strategy and now if you look at in the order of segment , manufacturing tops

across all segments within the facility and we continue to grow in that segment . We have invested in terms of sales and acquisition platform separately in terms of the go to market there followed by healthcare continues to grow for us and BFSI, so these are the three segments which are driving specific growth so also what we did is specifically for both security and facility we did take a deeper step in terms of the business KPI s and the profitability by customers. We did go through the rationalization of low margin contracts . I mean wherever we had to go and look and get a price hike we have done that and wherever we had to seize the account , we have gone through and taken those h ard decisions to get where we are today and which is actually yielding well in our result in terms of the percentage getting better . The business mix in terms of food business which is high margin business slowly the mix is changing and we were almost abou t close to about 20% of our contribution comes from food business now which is also a healthy bottom line so we have done all necessary correction in terms of KPI, productivity , and efficiency. O ur core to associate stands at 105 per FD in terms of the ove

rall facility so we have done everything right . One area which still we are continuing to do is put more effort on sales and go to market , so I think we have already done that in between Q3 and Q4 which we have invested so we are all kind of prepared to get into the next financial year in a good positioning in this and added to that telecom business is doing really well . I mean as I said in my initial speech they are ahead of their AOP targets on the back of 5G roll out , we doing extremely well in that space which is also contributing almost about 11% EBITDA margin that they deliver uplifting the overall segment so overall I think the hous e is in order now to get into the next financial year right from the launch . Anand , you want to add any thing .

Anand Sundar Raj: Thank you, Guru. So, if you see the last two quarters our EBITDA margin is in the range of 5 to 5.2 so this what we called out the previous year that our focus is going to be profitable growth so we had lever s in food and telecom and other profitable business we did so I think between short and medi um term we are in the right trajectory in terms of margin . When it comes to top line growth the focus is on sales . We are adding new clients but in the last three quarters we focused on swapping some of the existing clients who are not profitable that has given us results , so we are confident with the new ACV s and pipeline starting from Q1 we will see better results coming from the top line . Thank you.

Moderator : Thank you. Our next question is from the line of Pratik Tak from Quess Corp . Please go ahead Sir.

Pratik Tak : Just wanted to understand like what percent of your revenue comes outside India considering all four business verticals?

Guruprasad Srinivasan : I mean head count if I were to go it is pretty , I mean about 7,000 people we have across all our interna tional geographies put together.

Kamal Pal Hoda: Pratik why don’t I take this question offline and I will get the relevant data and I will mail it to you. Y ou can send me the question over the mail okay .

Pratik Tak : Yes, which email ID do I need to send ?

Kamal Pal Hoda: You can send us on the investor relations email ID.

Moderator : Thank you. Our next question is from the line of Balaji Subramanian from IIFL Securities Limited . Please go ahead Sir.

Balaji Subramanian: I had a couple of follow -up questions . The first is on Foundit so once you achieve EBITDA break even maybe by this quarter what are your future plans for growth and profitability and the second w ould be on the qualified audit opinion in this quarter so while the 80JJA A dispute has been on for a few years what triggers this qualified opinion this quarter and we have also called out about INR 159 Crores of contingent liability so what is the exact d emand from IT authorities and what is the potential risk that you see . Thank you.

Guruprasad Srinivasan : I will ask Sekhar Garisa first to answer the question on Foundit and then Kamal will take over on your questions related to IT.

Sekhar Garisa: Yes thanks for the question on Foundit as you know Foundit follows the financial structure of a star subscription business so for us achieving a break -even is a very important milestone in the journey of the company because most of our cost structure remains more or less flat from this point onwards except for cost of sales so once we achieve break even subsequent to that thanks to the successful launch of our new product we expect to continue our high sales growth and as the sales growth comes through it will have significant positive impact on profitability as you can expect from any subscription chart companies once they achieve the threshold scale so subsequent to the achievement of breakeven, we continue to expect that the business will grow fast and most of the top line that gets added from that

point onwards adds disproportionately to our gross margins from there on and therefore we expect the business to have significantly positive gross margins from the next year onwards .

Kamal Pal Hoda: Thanks Balaj i for this question , so I think there are two parts to your question. One is the present tax litigation and the claims of taking 80JJAA and second , I think is on the qualified opinion so on the first one we actually for both if you refer to the sites that we given as part of the notes to our quarterly results. F or four years that the assessment has been done and for the two years which was FY2018 and FY2019 the assessment has been completed by the

department and then Quess as an organization represented to DRP and from there we are right now in tribunal and as explained in my speech as well the hearings are in the month of February which is the current month as well as in April l ined up and for the subsequent two years we have got a draft assessment orders and we are filing our points and legal grounds with the Dispute Resolution Panel. N ow the cu mulative potential impact on the company for all these four years for which the assessment has been done by the department is to the magnitude of INR 158 Crores which is what has been disclosed also as a contingent liability . Now what happened during the current quarter is National Financial Reporting Authority NFRA in an order relating to certificates for these years issued by a certain chartered accountant pertaining to our claims of JJAA has made certain observations of applicability of certain conditions of the IPF which have also been very elaborately explained in note five to the financial statement. F or that matter this order was su bsequently stayed by The Honorable Delhi High Court on jurisdictional grounds of NFRA on these chartered accountant so as we speak those things have been stayed on jurisdiction however we continue to believe that our claim is valid and we intend to vigorou sly contest our position on the interpretative stance of these sections on merit including judicial precedence and we believe we can strongly defend our position to legal process as defined under the Income T ax Act. The pure reason for qualification and if you read the qualification also is on account of uncertainty which is there in respect of outcome and the timing that it will take for these matters, so the impact has been already mention ed in the financial statements as contingent liability and the uncertainty in terms of the outcome and the timing has led to this qualification .

Moderator : Thank you. Ladies and gentlemen that was the last question of the day . I now hand the conference over to Mr. Kushal Maheshwari for closing comments .

Kushal Maheshwari : Thank you very much. T hank you for the interactive session . I would now ask our Group CEO, Mr. Guruprasad , to close the call .

Guruprasad Srinivasan: Thanks again for joining us for th is Q3 earning call. I would like to once again highlight that our consistent effort towards new logo addition, ACNA rationalization and operational execution has shown a consecutive six quarter increase in EBITDA. O ur effort is unraveling , and we will continue to scale new he ights in coming quarters. T hank you so much for all your support . Thank you.

Moderator : Thank you. On behalf of IIFL Securities Limited that concludes this conference. Thank you for joining us and y ou may now disconnect your lines .

Call: Feb 2024

February 0 9, 2024

To,
BSE Limited
Floor 25, Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai -400001
Security Code - 539978
National Stock Exchange of India Limited
“Exchange Plaza”, Bandra -Kurla Complex,
Bandra (East),
Mumbai -400051
NSE Symbol - QUESS

Dear Sir / Madam,

Sub: Analyst Call - Transcript

Pursuant to Regulation 46(2)(oa) of SEBI (Listing Obligations and Disclosure Requ irements) Regulations, 2015, this is to inform that the Transcript of the analyst call, conducted through digital means, has been uploaded on the website of the Company under the following link: https://www.quesscorp.com/investors/

Kindly take the same on record.

Yours sincerely,
For Quess Corp Limited

Kundan K Lal
Company Secretary & Compliance Officer

“Quess Corp Limited
Q3 FY2024 Conference ”

February 05, 2024

ANALYST : MR. BALAJI SUBRAMANIAN – IIFL SECURITIES LIMITED

MANAGEMENT : MR. GURUPRASAD SRINIVASAN – EXECUTIVE DIRECTOR & GROUP CHIEF EXECUTIVE OFFICE – QUESS CORP LIMITED
MR. KAMAL PAL HODA – GROUP CHIEF FINANCIAL OFFICER - QUESS CORP LIMITED
MR. KUSHAL MAHESHWARI – HEAD INVEST OR RELATIONS & STRATEGIC FINANCE – QUESS CORP LIMITED

MR. LOHIT BHATIA – PRESIDENT - WORKFORCE
MANAGEMENT – QUESS CORP LIMITED
MR. PINAKI KAR – PRESIDENT – GLOBAL
TECHNOLOGY SOLUTIONS – QUESS CORP LIMITED
MR. ANAND SUNDAR RAJ – PRESIDENT – OAM –
QUESS CORP LIMITED
MR. SEKHAR GARISA – PRESIDENT – PRODUCT
LEAD BUSINESSES – QUESS CORP LIMITED

Moderator : Ladies and gentlemen, good day and welcome to Quess Corp Limited Q3 FY2024 Conference hosted by IIFL Securities Limited . As a reminder, all participant lines will be in the listen - only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal the operator by pres sing "*" then "0" on your touch tone phones. Please note that this conference is being recorded. I now hand the c onference to Mr. Balaji Subramanian from IIFL Securities Limited . Please go-ahead Sir!
Balaji Subramanian : Ladies and gentlemen, good morning and thank you for joining us on the post result s conference call of Quess Corp . It is my pleasure to introduce the senior management team of Quess who are here with us today to discuss the result . We have Mr. Guruprasad Srinivasan, ED and Group CEO, Mr. Kamal Pal Hoda , Group CFO, Mr. Kushal Maheshwari , Head Invest or Relations and Strategic Finance, Mr. Lohit Bhatia, President Workforce Management, Mr. Pinaki Kar , President, Global Technology Solutions, Mr. Anand Sundar Raj, President, OAM and Mr. Sekhar Garisa , President Prod uct Lead Businesses. We will begin the call with opening remarks by the management team and thereafter we will open the call for a Q&A session . I would now like to hand over the call to Mr. Kushal Maheshwari to take proceedings forward. T hank you and over to you Kushal !
Kushal Maheshwari: Thank you Balaji . Good morning , everyone and thank you for joining our Q3 FY2024 earnings call. T he information, data and outlook shared by the management during the call is forward -looking , but subject to prevailing business conditions and government policy. A ll forward -looking stateme nts are subject to economic growth or other risk s faced by the company. P lease refer to slide number two of investor presentation for the safe harbor clause. With that safe harbor, I will now hand over the call to our Group CEO, Mr. Guruprasad Srinivasan , for his opening comments . Over to you Guru.
Guruprasad Srinivasan: Good morning , everyone. T hank you for joining us today and hope 2024 has been a great start for all. For Quess , profitable growth and consolidation of operations continue to be the key theme for the year . Our efforts in this direction have been showing results . During the last six quarters though the revenue has grown by 1 3%, EBITDA has grown by 34% , achieving a nonlinear EBITDA growth during the period. During the quarter, we added over 10,000 associates and close d the quarter with a total employee strength of 5 ,57,000 . The hiring environ ment was positive in industrial, BFSI, retail, t elecom and two specific sectors e-commerce and FMCG saw a net head count utilized as festival season concluded in Q3. It still continues to be impacted by global head winds . Our sales engine continues to deliver adding 170 new contracts with annual contract value of INR 416 Crores setting up as well with growth in coming quarters. We also took a significant step towards streamlining our corporate structure . As part of our simplification of corporate structure Conneqt, Greenpiece

and MFX India business is amalgamated into Ques s post NCLT approval in Q3. In addition to this, Quess had inves ted in Hexagon Technologies . Hexagon bright solution to develop system and create sustainable impact on digital f ront for business enterpr ise such as product engineering, event service, intelligent automation and manage services. Conneqt has a digital practice for enterprise applications and combination of Hexagon and Conneqt digital practice will strengthen our market presence and join go to market in d igital space under GTS platform.
Key financial highlights, we recorded a revenue of INR 4,842 Crores, a

growth of 2% quarter -
on-quarter and 8% year -on-year. EBITDA stands at INR 181 Crores g rowing up by 11% quarter -on-quarter and 24% year -on-year. EBITDA margins have improved by 29 basis points quarter -on-quarter and 48 basis points year -on-year. T his was driven by consistent profitability growth in G TS platform. O ur cash burn in terms of Foundit reduced by 50%.

Focus on profitability growth in OAM platform as noted.
Let me walk you through the business updates for Q4 focus areas. To begin with workforce management platform, the head count of the platform reached 4 ,44,000 which also includes about 34,000 headcount which was processed in the month of December adding a net of 14,000 associates during the quarter driving the increase in revenue by 3% and 12% year -on-year. R evenue growth from work force is driven by wage increase and sales growth with a mix of 70 :30 as most of our contracts are flat fee. T his also put s pressure on the margin. We remain confident in our sales engine to drive growt h. The platform added 87 n ew contracts during the quarter. S ourcing c ontributed to 28% of new hiring. O ur general s taffing business placed 62% of associates hired in tier two and tier three cities once again signifying the depth and breadth of our sourcing capability and deployment capability .
Now moving on specific to the general staffing business, we added 13,000 head count during the quarter led by manufacturing , telecom and BFSI sector s. Of the new contracts added in Q3, 30% of our new client s are first time getting into the staffing outsourced model validating the long-term trend towards outsourcing , so we are seeing some level of consolidation and movement from informal to formal . Our vertical f ocus strategy has continued to yield dividend s with head count growth in manufacturing and BFSI stood a t 8% each on a quarter -on-quarter basis. T he momentum is expected to continue in Q4 and BSFI manufacturing account s for almost 80,000 open mandates out of total open mandates of 28k as of December 31, 2023. I n addition to this, business has built up scale in terms of the pipeline. O ur pipeline stands at 39,000 for Q4 which will drive the head count over the next coming quarters . In order to take advantage of market opportunities, we continue to invest in our sourcing accou nt management and new verticals. S pecifically , retail and logistics will also operate as a separate vertical from Q4 onwards as a result we have seen a marginal decline in associate to cor e

ratios based on the investment that we have m ade. H owever , our core to associate ratio still remains best in class. IT staffing business, the Indian IT staffing and collection business continues to remain impacted by global head winds. C urrent open mandates stand approximately about 1 ,200 a drop of 16% quarter -on-quarter and 31% year-on-year. Focus continues to be a niche profile BFSI, digital and maximize our margin so those are specific focus areas . Moving on to global technology solution platform, GTS continued its growth trajectory delivering a n onlinear EBITDA growth of 3% quarter -on-quarter and 19% year -on-year. EBITDA margin continues to move on and increased by 220 basis points year -on-year and 48 basis points quarter -on-quarter demonstrating both economic of state and positive momentum towards higher value of service. The highlights specific to G TS platform are as follows . Starting with the Conneqt business services. Conneqt continues to maintain its moment um with 16 new client addition s. The business closed an order book over an ACV of INR 110 Crores during the quarter implying sustained revenue growth in coming quarters . In GTS sub vertical BFSI accounted for 35% of total annual contract value added . We also saw encouraging green shoots in auto, retail, and consumer goods sector. C onsist ent focus on execu

tion has led business to be consistently ranked first or the second amongst the partners where client have onboarded multiple partners . Business achieve d the highest ever NPS in our le ading customers , achieving an NPS of about 65 from an earlier score of 33 . Our non -voice BPM business grew significantly with collection bu siness growing 25% year -on-year and transaction processing bu siness growing 29% year -on-year. T he nature of this business has been on e of the key drivers for margin enhancement of GTS platform and we will continue to invest in our digital solutions to create market leading solutions and platforms . The growth momentum in our customer experience business in Allsec continue s to bring about 21% year -on-year growth. T his was driven by 30% year -on-year growth on international businesses . With significant growth in both nu mber one and number two clients, in the CXM business by revenue. In platform -based services, the employee experience management vertical in outset continues to strengthen its market leader position with 4 million payslips processed during the quarter , a quarter -on-quarter growth of 4% and the vertical added about 80 new logos in Q3 driven by BFSI and ITES whic h demonstrates a robust pipeline of almost about INR.30 Crores for Q4. O ne key highlight of CXM business growth in the quarter was high order booking in international business compared to the domestic business . Going forward the focus remains on the follow ing, AI and automation. Our BPM business is currently running 10 AI forward engagements with clients. We will focus on expanding the same. International sales CXM vertical in Allesec on back of encouraging international sales have tied up with solution partners global markets to further enhance the growth . In international CXM business growth momentum is slated to continue in Q4 as well leveraging the further revenue realization from leading North American customers. Growth in digital and IT services fiv e new customers were signed up with an ACV of INR 21 Crores signing digital services in US, UI, core ERP and CRM systems. M oving on

to Operating Asset Management , profitable growth revive d the key theme for the quarter as a result even though the top line growth has been fla t, platform EBITDA grew by 4% quarter -on-quarter and 16% year -on-year. IFMS added 15 new customers during the quarter , additionally 13 contracts with ACV of INR 75 Crores are expected to be mobilized in Q4.

We are seeing green shoots in healthcare, manufacturing, infra and we will continue to focus on the same sector . Food and beverage saw a gross margin improvement of 18% quarter -on-quarter. T he improvement in gross margin has brought in by improving operational efficiencies and mobilization of contract s won during H1 . The focus areas for Q4 would be added new clients in order to set the base for the next upcoming financial year . Security services added over 13 ,000 head count in Q3 led by infra and manufacturing segments as a result the business saw a revenue growth of 4% and EBITDA growth of 9% quarter -on-quarter. O ur sales pipeline remains strong , and business will c ontinue to head at the present rate. Telecom and active infra business continued its good run with best ever YTD revenue and EBITDA. 9M FY2024 revenue and EBITDA have shown a growth of 33% and 41% respectively . The business was awarded a significant 4G rollout contract with a n ACV of over INR 90 Crores for which the deployment will start from Q4.

Moving on to the product led business . Foundit had a great quarter on the business and the product side. The sales grew by 9% year -on-year by the enterprise sales in India despite continued slowdown in IT which is a ma jor contributor to our business. We successfully launched the disruptive AI product Foundit 2.0 for 550 plus customers. I nitial feedback has

been very positive , and it has been acknowledged as the best in class. We expect to roll out the same to every customer by the end of Q4. D espite market headwinds our operational metrics on both candidate and recruiter side remains positive with job posting up by 7% year -on-year and six-month active user by 22% year -on-year. CSAT continues to remain healthy at 91% while NPS force is at all time high reflecting the improved product. EBITDA achiev ed is as per plan in Foundit remains on course to deliver break even by Q4.

Moving on to general updates . As we have communicated often all public forums including our quarterly call our employees are our greatest asset s. Their wellbeing is always on top of our mind . It gives me immense pleasure to inform you that Quess has been certified as “Great Place to Work” for fifth consecutive year . Our score in the survey has improved from 73 to 87 in past five years . GPTW survey has also recognized Ques s as a leadership factory acknowledging companies that have successfully establish ed a culture centered around fostering exceptional leadership abilities on a large scale . This recognition signifies the entrepren eurial spirit with the organization, strong HR process and a modern inclusive culture so this was the update . I will now hand over the call to Kamal. Over to you Kamal.

Kamal Pal Hoda: Thank you Guru . Good morning , everybody and thank you for joining us today. I extend a very warm welcome to everyone who has logged into this call . I hope you had a chance to look at the investor presentation and financial results for Q3 uploaded on our website . Let me now walk you through thi s qua rter’s financial performance. Revenue for the quarter stands at INR 4,842 Crores a growth of 8% year -on-year and 2% quarter -on-quarter. O ur head count stands at 5 ,57,000 as of December end a net addition of 10,000 quarter -on-quarter with key contributing sectors being BFSI, MNI, retail, t elecom and Healthcare . Our EBITDA stands at INR 181 Crores for the quarter a growth of 24% year -on-year and 11% quarter -on-quarter. EBITDA margin stands at 3.7% , a growth of 29 basis points quarter -on-quarter. T his increase was driven by the following three points , reduction of marketing product development spen ds as per plan in found it, nonlinear growth in profitability in our GTS vertical and improved margins due to business risks in OEM vertical and volume growth and control cost to serve. Profit after tax decr eased by 10% quarter -on-quarter to INR 64 Crores due to exceptional non-cash write off of goodwill of approximately INR 20 Crores in one of our technology businesses . Excluding above one off our adjusted PAT stands at a healthy g rowth of 15% quarter -on-quarter at INR 84 Crores. O ur commitment to cash management and debt repayment continued in the quarter with gross debt reducing to INR 419 Crores lowest in last 10 quarters with a reduction of INR 53 Crores during the quarter. Our DSO s reduced by one day compared to September 2023 and now stand s at 55 days.

Moving on to platform wise update sta rting with Workforce Management , revenue stands at

INR 3,430 Crores registering a growth of 12% year -on-year and 3% quarter -on-quarter . Growth is predominant in the general staffing business with key sectors being manufacturing BFSI and retail. IT staffing and APAC professional st affing have remained muted over the last few quarters due to global head winds , however we have ensured to mitigate such downturns through cost action . EBITDA has seen a sequential growth of 3% quarter -on-quarter and 4% year -on-year at INR 90 Crores. EBITDA margin s percentage has seen a nominal two basis poi nts decre ase quarter -on-quarter due to cost pressure on account of wage inflation with flat margin in general staffing businesses. T he business continues to focus on increasing wa

llet shares of value -added services in platform to of fset the inflationary pressures.

Moving on to GTS . GTS platform clocked a revenue of INR 588 Crores for the quarter an increase of 5% year -on-year and 1% quarter -on-quarter. G rowth in revenue in this vertical has been challenging in this quarter due to muted inve stments in technology com panies. EBITDA stands at INR 108 Crores a growth of 19% year -on-year and 3% quarter -on-quarter. Non-voice services and improved international mix in new sales of EXM vertical along with cost efficiencies from merger of Conneqt business have helped an increase in overall profitability. G ood order pipelining is Q3 across infrastructure and digital IT services

includ ing view from Middle East gives us confidence on growth and margin profile moving into Q4.

Moving on to Operating Asset Management , revenue clocked INR 695 Crores for the quar ter a growth of 1% year -on-year and a degrowth of 1% quarter -on-quarter. Revenue growth saw some challenges due to rationalization of a few large accounts with low margins . Pipeline for Q4 is promising and we are confident to bounce back as a focus investments made into key sectors will yield results as we move forward. EBITDA for this platform stands at INR 36 Crores a growth of 16% year -on-year and 4% quarter -on-quarter. M argin increase is aided by business mix, sales led by food and tel ecom businesses including few customer margin initia tives taken across the platform.

Moving on to Product Lead Business , revenue clock ed for the quarter is INR 129 Crores , a degrowth of 13% quarter -on-quarter . While Foundit sales has grown 9% year -on-year our basic business has seen some degrowth as Q2 revenues were higher in spare servicing revenues booking due to seasonality . EBITDA losses excluding ESOP reduced by INR10 Crores quarter -on-quarter and now stands at a negative INR 6 Crores . This is largely driven due to reduction in marketing spend in Foundit , a step closer towards break -even by end of financial year as per our earlie r guidance.

Moving on to some tax updates , there are few developments in the t ax matter from the last quarter . For FY2017 -18, our appeal is ITAT , and the next hearing is expected in April 20 24. For FY2018 -19, against the final order of assessing officer post DRP . The company has filed an appeal in ITAT , and a next hearing is scheduled in the current month February 2024 . For the year , 2019-20 and 2020 -21 the tax office had proposed a special audit in lines with the previous two years . However , based on factual representation the same has been dropped and the draft assessment order has been passed. The compan y has filed objections before DRP against all these adjustments proposed by the tax office . With this , now I open the floor for any Q&A .

Kushal Maheshwari: Thank you Kamal . We will wait for a minute for the questions to pile up before we start the Q&A .

Moderator : Thank you. We will now begin the question -and-answer session. Our first question is from the line of Balaji Subramanian from IIFL Securities . Please go ahead Sir.

Balaji Subramanian : Congrats on a good set of numbers . I have a couple of questions. F irstly , there has been a 30-basis points year-on-year EBITDA margin improvement driven by OAM and GTS platform while the PLB segment losses have come down which is again in line with your guidance .

Could you give some more c olor on what drove this and how we should think about it going forward ? The second question is on the focus on manufacturing and construction verticals which you have highlighted in the past could you share some update on how your headcount has trended jus t in these two verticals in the last couple of years and how do you see this panning out in future ?

Guruprasad Sri

nivasan : Sure, so let me take the first question on margin so yes, we have been ab le to scale the margin level up. T he couple of contributors to it starting from first , the reduction in terms of the Foundit burn have really pushed the margin percentage up for Q3 specifically. We were about 3.4% from t here we have come to almost about 3.7%. There are a couple of more things that we are doing in organization in terms of the tight control on cost to serve which means the productivity or the efficiency is being measured and we are ensuring that the cost to serve is kept tight. If you look at it, it is also reflecting on our OAM platform so from arou nd 4.8% at a platform level where we used to deliver, we have just delivered about 5.2% EBITDA and of course there is definitely scope specifically OAM for a little more room to work on the margin there . The other contributor to this is the nonlinear growth coming in from GTS so GTS has an efficiency to release higher margins compared to the revenue growth rate so that is really playing in now and if you look at the kind of addition of grow th that is happening in non voice business which is also a high margin business which has grown by 25% year -on-year so three to four aspects just to summarize . One is reduction in Foundit , second is tight control on our cost to serve, nonlinear growth coming in f rom our technology business and the mixed change in OAM which is contributing to betterment of our increase in our margins .

Kushal Maheshwari : I request Lohit if you can give some color on the two verticals that Balaji has inquired about manufacturing and construction.

Lohit Bhatia: To your specific point on M NI, the manufacturing segment and the construction segment , we are closer to the 70,000 mark today. T his is a growth of about 34 % to 38% year -on-year in the last year and 46% in the prior year. I n fact , since December 2021 this entire segment has grown by almost 130% . This has become the third largest segment for Ques s workforce management today after BFSI and retail. I n the times to come the way we are looking at manufacturing there are couple of things that I just wanted to add here . Number one is the transition of India from only a services economy to services cum product and manufacturing economy. S econd is aided by informal segment transitioning quickly to formal. T he transition of rural India to urban India and to formal jobs. T his along with the PLI scheme and the kind of benefits and aid that the government is pushing as far as infrastructure development is concerned . For us this is a segment to watch not just for this quarter, next quarter or one or two years. T his a segment to continuously keep watching for at least a decade as far as India

is concerned . So we feel that this an area where we need to deeply invest. We have invested in sourcing and technology and that is something that we will continue to do .

Mod erator : Our next question is from line of Kavish Parekh from B&K Securities . Please go ahead Sir.

Kavish Parekh: Good morning , all. Thanks for the opportunity. I have a few questions. Sir we have reported and continue to improve our strong margins on the G TS space so can you elaborate on whether we have reached peak levels here or we can still grow so what is a two - three year thought process here ?

Pinaki Kar: Thanks for the question. This result regular scheme that is part of well calculated strategy and execution so if go back 14 to 15 quarters just to show we are sustainable we always remained from 16% to 18% that is 200 basis points, so growth in three years' time will give 15% what we did was that we have optimized the cost structure from the sales coming in and the operating efficiency that helped in increase in value, but what is valuing the incremental another 200 basis points have been mainly the cha

nge s of business mix towards higher value added services . There are only three aspects right. The largest factor is if you see the movement from domestic to international so these are the three components which is mostly domestic which at that point of time was 50% domestic, 50% international and the benefit will be 100% returns so what has happened over the last few quarters both Conneqt digital as well as Allsec increased CXM business the grow th has been disproportionately high on the international segment which has higher realization as well as higher margin profile than domestic and the EXM like if we get into that like it used to be 100% domestic. L ast quarter from booking for the first that was 55% inter national and 45% domestic which is going to increase in the quarters ahead and another mix in the platform is in the P&L both voice and non vo ice if you see Conneqt , Conneqt would have around 40% to 43% voice business, 5 7% to 58% non voice where collection s obviously has been good as well as the internet BPM part and both connections and BPM had 25% and 29% growth rate respectively which is higher than the voice business for us so it the business mix and also the market has become more towards international . I hope I have been able to answer your question.

Kavish Parekh: Thanks for the explanation. S econdly , we have also reduced our losses in the product lead business especially Foundit so we do remain on track to achieve break even by the end of the year or say early next year right and the last question could you please elaborate on the impairment taken this quarter thank you ?

Kushal Maheshwari : I will ask Sekhar to speak on Foundit and give his color on the performance.

Sekhar Garisa: On Foundit we have stayed on track on our plan that we shared with all of you about three quarters back that as we go through the quarter we will continue the investments in product and marketing which will taper down to the second half of the year once the product launch happens which happened in the last quarter and the revenue will continue to grow irrespective of what the external envir onment is which is what is playing out so from Q2 to Q3 the operational burn in the business has come down by more than half and we are well on track to meet our projections or outlook s that we have shared which is close to break even for Q4 , thank you .

Kamal Pal Hoda: On impairment represents the non-cash charge on goodwill which was part of the original investment done by Quess in Hexagon . Guru did cover in his speech about the internal restructuring and the business contract and employees of Hexagon which is a subsidiary of Ques s being innovated and transferred into Quess and the synergies of Conneqt merger and then combining these contracts which has led to this non -cash impairment which is a onetime noncash charge.

Moderator : Thank you. Our next que stion is from line of Raghuram N S from Eurindia Ventures . Please go-ahead Sir.

Raghuram N S: This was regarding the CXM and the EXM business that you guys have really now focused a lot of your management attention on , the CXM business obviously I do allude to what Mr. Pinaki Kar also mentioned that there is a huge amount of growth and focus on growing the international business . So is there any ACV kind of data that can be shared on what has been the total ACV booked in the las t two -three quarters and very similar I think I heard about INR 30 Crores of ACV pre booked in the Q3 quarter and what would be the kind of growth that can be expected in the EXM business also ?

Pinaki Kar : So, like INR 30 Crores that you have seen on the EXM business and as I told you that 55% of that was international compared to domestic . If you see similar numbers from the EXM business what has been moved without giving like forward looking and it is mostly interna

tional growth so from that perspective and just correlating to that we accomplished in the last three -four quarters of 30% growth in the international business and also in terms of revenue and in the current bookkeeping ratio that we have so I think with this strategy we could be able to maintain that.

Guruprasad Srinivasan : Also just to add specifically for EXM the same cycle is generally between Q2 and Q3 , so I mean financial year and calendar year beginning just in the large transitions happen in that space in terms of the environment so generally Q1 and Q2 has been good . Generally , Q4 and Q1 are slightly low .

Raghuram N S: Okay no I thought in India at least Q4 is a pretty large in terms ?

Guruprasad Srinivasan : Q4 those cycles would have got closed in Q3 so I mean we would be ge tting into the migrations in Q4.

Raghuram N S: Okay so how does this compare with data last year if you can please share that kind of thing with INR 30 Crores is it comparable and is there a growth as compared to last year same quarter ?

Pinaki Kar : It is around 45% more than last year .

Raghuram N S: Okay mainly driven by as you mentioned international business?

Pinaki Kar : Mainly driven by international as well as the average ticket price as well as the number of clients that have got opened up in the last three quarters on the EXM side that is on the CXM side it is mainly driven by two or three large accounts where there have been opportunities which is about 15% increase .

Moderator : Thank you. Our next question is from the line of Mukul Garg from Motilal Oswal Financial Services . Please go ahead Sir.

Mukul Garg : Sir, to start with I think great work on the PLB business . It looks like you guys are on track to break you next quarter so great execution there . Just two questions from my side , First on the workforce management business how should we think about avenues for margin improvement there especially on the cost side while you guys have been trying to take action and I understand there are limitations because of fixed price contracts but the core to associate ratio has been trending downward so do you see any low hanging fruits there which can be kind of plugged over next few quarters to improve the profitability and on the client side are you kind of trying to increase the average pricing which can help you improve the profitability there ?

Guruprasad Srinivasan : I will ask Lohit to answer your question .
Lohit Bhatia: Good morning , Mukul , as far as WFM margins are concerned Mukul we are currently at about 2.6 %. A bout a year back we were closer to the 2.8% mark but that was about 12 months to 15 months ago . WFM primarily has three large components today . There is WFM India general staffing business as you know it has 70% of the book is a flat service and every time the revenue goes up or t he wage inflation goes up unfortunately , in a percentage term the margin comes down though rupee terms the margin accretive is better than before . The second element of WFM is the professional staffing or what we call the IT business in India and the

third element is the overseas business . The last 12 months to 15 months has also seen a decline as far as the trend in professional staff and the IT business is concerned as is known to you what is happening in the broader market Guru and Kamal also spoke about the international challenges and the head winds that we are facing so from a lot of perspective if you really look at it this probably the bottom of where WFM today is , and with the advent of aid professional st affing as a mix both international and domest ic playing more than the speed of rate of growth from general stuffing is one . Secondly , now come back to the specifics of general staffing itself. Y ou alluded to core to FD

ratio and that is a right point . Our investments in manufacturing is tailored to take care of every site and every factory where the customer wants us to work . See in MNI segment one interesting thing is also we are not taking business from any international or large domestic company . We are rather takin g the business away from local erstwhile contractors who probably have been in this business for 10, 20 or 30 years and that transition to a large company like us is an area where we have to make that investment . You ha ve to be closer to the customer , you have to be in the factory and you have to disproportionately add recruiter , sourcing and technology which is where also the margin remains a little soft when you st art playing this industry a bit. T o the last point that you said about the trending margins with customers. We are in the band of 680 to about 700 gross margin as far as the general staffing business is concerned in spite of all the challenges that we are hit with given the competition in the general staffing space , we continue to hold ourselves there with a lot of work which has been happening in the vas t space and value added as well as the growth which over a period of time beyond the investment starts to give us results we be able to see this inch forward . I think at some stage Mukul, and I ha ve said this for a couple of years now, at some stage both the client as well as competition will move away from a pricing only strategy and we will start playing service and a price strategy. Quess has been retaining itself there for many years now. We hope to see sometime into the future that also starts playing. I hope that gives you an overall color with what we are dealing with .
Mukul Garg: Thank you , Lohit. Guru second question was on the operating asset management side can you just help us with a bit of color on the sub segments where you guys were able to take efficiency gain or cut a lower kind of margin clients and how do you see it progress over next one to two years both from growth as well as profita bility perspective ?
Guruprasad Srinivasan : Sure, so as you know under operating asset maintenance , we have three sets of sub businesses . The first one is into integrated facility management, t hen followed by security services and the industrial and telecom business . I mean if you look at the largest piece among these three are integrated facility management , of which we had I mean in past as we have been interacting on this. O ur exposure to IT and IT s ervices was pretty high pre COVID and we did change the strategy and now if you look at in the order of segment , manufacturing tops

across all segments within the facility and we continue to grow in that segment . We have invested in terms of sales and acquisition platform separately in terms of the go to market there followed by healthcare continues to grow for us and BFSI, so these are the three segments which are driving specific growth so also what we did is specifically for both security and facility we did take a deeper step in terms of the business KPI s and the profitability by customers. We did go through the rationalization of low margin contracts . I mean wherever we had to go and look and get a price hike we have done that and wherever we had to seize the account , we have gone through and taken those h ard decisions to get where we are today and which is actually yielding well in our result in terms of the percentage getting better . The business mix in terms of food business which is high margin business slowly the mix is changing and we were almost abou t close to about 20% of our contribution comes from food business now which is also a healthy bottom line so we have done all necessary correction in terms of KPI, productivity , and efficiency. O ur core to associate stands at 105 per FD in terms of the ove

rall facility so we have done everything right . One area which still we are continuing to do is put more effort on sales and go to market , so I think we have already done that in between Q3 and Q4 which we have invested so we are all kind of prepared to get into the next financial year in a good positioning in this and added to that telecom business is doing really well . I mean as I said in my initial speech they are ahead of their AOP targets on the back of 5G roll out , we doing extremely well in that space which is also contributing almost about 11% EBITDA margin that they deliver uplifting the overall segment so overall I think the hous e is in order now to get into the next financial year right from the launch . Anand , you want to add any thing .

Anand Sundar Raj: Thank you, Guru. So, if you see the last two quarters our EBITDA margin is in the range of 5 to 5.2 so this what we called out the previous year that our focus is going to be profitable growth so we had lever s in food and telecom and other profitable business we did so I think between short and medi um term we are in the right trajectory in terms of margin . When it comes to top line growth the focus is on sales . We are adding new clients but in the last three quarters we focused on swapping some of the existing clients who are not profitable that has given us results , so we are confident with the new ACV s and pipeline starting from Q1 we will see better results coming from the top line . Thank you.

Moderator : Thank you. Our next question is from the line of Pratik Tak from Quess Corp . Please go ahead Sir.

Pratik Tak : Just wanted to understand like what percent of your revenue comes outside India considering all four business verticals?

Guruprasad Srinivasan : I mean head count if I were to go it is pretty , I mean about 7,000 people we have across all our interna tional geographies put together.

Kamal Pal Hoda: Pratik why don’t I take this question offline and I will get the relevant data and I will mail it to you. Y ou can send me the question over the mail okay .

Pratik Tak : Yes, which email ID do I need to send ?

Kamal Pal Hoda: You can send us on the investor relations email ID.

Moderator : Thank you. Our next question is from the line of Balaji Subramanian from IIFL Securities Limited . Please go ahead Sir.

Balaji Subramanian: I had a couple of follow -up questions . The first is on Foundit so once you achieve EBITDA break even maybe by this quarter what are your future plans for growth and profitability and the second w ould be on the qualified audit opinion in this quarter so while the 80JJA A dispute has been on for a few years what triggers this qualified opinion this quarter and we have also called out about INR 159 Crores of contingent liability so what is the exact d emand from IT authorities and what is the potential risk that you see . Thank you.

Guruprasad Srinivasan : I will ask Sekhar Garisa first to answer the question on Foundit and then Kamal will take over on your questions related to IT.

Sekhar Garisa: Yes thanks for the question on Foundit as you know Foundit follows the financial structure of a star subscription business so for us achieving a break -even is a very important milestone in the journey of the company because most of our cost structure remains more or less flat from this point onwards except for cost of sales so once we achieve break even subsequent to that thanks to the successful launch of our new product we expect to continue our high sales growth and as the sales growth comes through it will have significant positive impact on profitability as you can expect from any subscription chart companies once they achieve the threshold scale so subsequent to the achievement of breakeven, we continue to expect that the business will grow fast and most of the top line that gets added from that

point onwards adds disproportionately to our gross margins from there on and therefore we expect the business to have significantly positive gross margins from the next year onwards .

Kamal Pal Hoda: Thanks Balaj i for this question , so I think there are two parts to your question. One is the present tax litigation and the claims of taking 80JJAA and second , I think is on the qualified opinion so on the first one we actually for both if you refer to the sites that we given as part of the notes to our quarterly results. F or four years that the assessment has been done and for the two years which was FY2018 and FY2019 the assessment has been completed by the

department and then Quess as an organization represented to DRP and from there we are right now in tribunal and as explained in my speech as well the hearings are in the month of February which is the current month as well as in April l ined up and for the subsequent two years we have got a draft assessment orders and we are filing our points and legal grounds with the Dispute Resolution Panel. N ow the cu mulative potential impact on the company for all these four years for which the assessment has been done by the department is to the magnitude of INR 158 Crores which is what has been disclosed also as a contingent liability . Now what happened during the current quarter is National Financial Reporting Authority NFRA in an order relating to certificates for these years issued by a certain chartered accountant pertaining to our claims of JJAA has made certain observations of applicability of certain conditions of the IPF which have also been very elaborately explained in note five to the financial statement. F or that matter this order was su bsequently stayed by The Honorable Delhi High Court on jurisdictional grounds of NFRA on these chartered accountant so as we speak those things have been stayed on jurisdiction however we continue to believe that our claim is valid and we intend to vigorou sly contest our position on the interpretative stance of these sections on merit including judicial precedence and we believe we can strongly defend our position to legal process as defined under the Income T ax Act. The pure reason for qualification and if you read the qualification also is on account of uncertainty which is there in respect of outcome and the timing that it will take for these matters, so the impact has been already mention ed in the financial statements as contingent liability and the uncertainty in terms of the outcome and the timing has led to this qualification .

Moderator : Thank you. Ladies and gentlemen that was the last question of the day . I now hand the conference over to Mr. Kushal Maheshwari for closing comments .

Kushal Maheshwari : Thank you very much. T hank you for the interactive session . I would now ask our Group CEO, Mr. Guruprasad , to close the call .

Guruprasad Srinivasan: Thanks again for joining us for th is Q3 earning call. I would like to once again highlight that our consistent effort towards new logo addition, ACNA rationalization and operational execution has shown a consecutive six quarter increase in EBITDA. O ur effort is unraveling , and we will continue to scale new he ights in coming quarters. T hank you so much for all your support . Thank you.

Moderator : Thank you. On behalf of IIFL Securities Limited that concludes this conference. Thank you for joining us and y ou may now disconnect your lines .

Call: May 2024

May 14 , 2024

To,
BSE Limited
Floor 25, Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai -400001
Security Code - 539978
National Stock Exchange of India Limited
“Exchange Plaza”, Bandra -Kurla Complex,
Bandra (East),
Mumbai -400051
NSE Symbol - QUESS

Dear Sir / Madam,

Sub: Analyst Call - Transcript

Pursuant to Regulation 46(2)(oa) of SEBI (Listing Obligations and Disclosure Requ irements) Regulations, 2015, this is to inform that the Transcript of the analyst call, conducted through digital means, has been uploaded on the website of the Company under the following link: https://www.quesscorp.com/investors/

Kindly take the same on record.

Yours sincerely,
For Quess Corp Limited

Kundan K Lal
Company Secretary & Compliance Officer

Quess Corp Limited
Q4 FY 2024 Earnings Conference Call
May 10, 202 4

ANALYST : MR. BALAJI SUBRAMANIAN – IIFL SECURITIES LIMITED

MANAGEMENT : MR. GURUPRASAD SRINIVASAN – EXECUTIVE DIRECTOR AND GROUP CHIEF EXECUTIVE OFFICER – QUESS CORP LIMITED
MR. KAMAL PAL HODA – GROUP CHIEF FINANCIAL OFFICER – QUESS CORP LIMITED
MR. LOHIT BHATIA – PRESIDENT OF WORKFORCE MANAGEMENT – QUESS CORP LIMITED
MR. PINAKI KAR – PRESIDENT , GLOBAL TECHNOLOGY SOLUTIONS – QUESS CORP LIMITED
MR. SEKHAR GARISA – PRESIDENT , PRODUCT -LED BUSINESSES – QUESS CORP LIMITED

MR. ANAND SUNDAR RAJ – PRESIDENT , OAM – QUESS CORP LIMITED
MR. KUSHAL MAHESHWARI – HEAD, INVESTOR RELATIONS AND STRATEGIC FINANCE - QUESS CORP LIMITED

Moderator: Ladies and gentlemen, good day and welcome to Quess Corp Limited Q4 FY 2024 Earnings Conference Call, hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Balaji Subramanian from IIF L Securities Limited. Thank you a nd over to you, sir.
Balaji Subramanian : Ladies and gentlemen, good morning and t hank you for joining us on the post -results conference call for Quess Corp. It's my pleasure to introduce the senior management team of Quess who are here with us today to discuss the results. We have Mr. Guruprasad Srinivasan, ED and Group CEO; Mr. Kamal Pal Hoda, Group CFO; Mr. Kushal Maheshwari, Head, Investor Relations and Strategic Finance; Mr. Lohit Bhatia, President, Workforce Management; Mr. Pinaki Kar, President, Global Technology Solutions; Mr. Anand Sundar Raj, President, OAM; and Mr. Sekhar Garisa, President, Product -led Businesses. We will begin the call with opening remarks by the management team, and thereafter, we will open the call for a Q&A session.
I would like to now hand over the call to Mr. Kush al Maheshwari to take proceedings forward. Thank you. And over to you, Kushal.
Kushal Maheshwari: Thank you, Balaji. Good morning everyone and thank you for joining our Q4 FY 2024 and Full Year FY 2024 Earnings Call. The information, data and outlook sha red by the manage ment during the call is forward -looking and subject to prevailing business conditions and government policies. All forward -looking statements are subject to economic growth or other risks faced by the company. Please refer to Slide #2 of i nvestor presentation for the safe harbor clause.
With that safe harbor clause, I will now hand over the call to our Group CEO, Guruprasad Srinivasan, for his opening remarks . Over to you, Guru.
Guruprasad Srinivasan : Thank you, Kushal. Good morning, everyone, and thank you for joining us today. During FY 2024, we focused on profitable growth and our year -long initiatives have resulted in our best operating results, leading us to achieve the highest -ever quarterly and annual EBITDA. We had a number of projects throughout the year that have helped us to achieve our results. This is our seventh consecutive quarter of sequential increase in EBITDA, reflected in predictable and nonlinear growth of 46% in EBITDA versus revenue growth of 15% durin g the same time period . Also, EBITDA margins have expanded by 80 basis points since Q2 FY 2023, enabling us to close the quarter at an EBITDA margin of 4%.
Our initiatives in cost reduction and productivity improvements resulted in a reduction of FTE head count from 5,500 in Q1 to 5,300 in Q4. Our investment in technology and process automation have complemented the productivity improvement projects that we r an in association with BCG. We added 149 new contracts, with an ACV of INR 232 crores, during the quarter, bringing the total number of new contracts signed during FY 2024 to 737.

We declared a final dividend of INR 6 per share, aggregating to INR 10 per share for full year. Our prudent capital allocation policy has resulted in a cumulative debt repayment of INR 700+ crores and dividend payout of INR 488 crores in last 5 years. We added over 10,400 associates and closed the quarter with a total employee strength of 567,000 by head count.
Key financial highlights for the quarter are as follows. We reco rded a revenue growth of INR 4,910 crores, a 11% year -on-year growth. We delivered highest -ever q

uarterly EBITDA at INR
195 crores , with 28% year -on-year growth. The improvement in margin is mainly driven by 3 following parameters: consistent margin improvement in GTS platform driven by focus on international geographies and high -margin segments, reduction in foundit burn , and operating leverage in OAM platform.
Coming to annual financials. FY 2024 stood at INR 19,100 crores , 11% up against FY 2023.

Annual EBITDA increased by 18% year -on-year to INR 694 crores. PAT gre w up by 26% year -on-year to INR 280 crores. OCF -to-operating EBITDA ratio stood at 67%. We achieved a gross debt reduction of INR 162 crore s. And the net cash position improved by INR 150 crores during the year, along with a DSO day reduction by 4 days , down to 53 days.

A few business update s across platforms, starting from workforce management. The head count of the platform reached 452,000, including F&Fs of 32,000 processed during the period, adding 65,000 associates during the year, driving the revenue growth of 14% year -on-year. Despite competitive pricing pressure and a significant flat fee business model , our EBITDA margin has stabilized at 2.6% . The platform adde d 92 new contracts during the q uarter, with overall ACV of INR 150 crores, and overall new contract addition for the year at 398 by count.

Moving on to specific s of General Staffing. The business added 10,000 associates in head count during the quarter, led by retail , manufacturing and telecom segment. The business added 60,000 associates in head count, excluding associates who are in full -and-final-process. During the year, we have crossed 400,000 headcount milestone. We are now among the top 5 global staffing companies by head count and a spire to become the largest staffing company globally. Business added 78 new logos in Q4, taking the financial year total to over 274. Among the clients added during the year, 30% have used outsourcing staffing for the first time, evidence that the long -term trend towards outsourcing and formalization is becoming the industry norm. Our vertical -focused strategy has continued to yield dividends. 4 of our verticals, that is BFSI, retail , telecom and manufacturing, have ended the year with 50,000 head count of associates, with BFSI crossing 120,000 associates. Our manufacturing vertical has been a key growth driver in FY 2024, adding 22,000 head count, up by 47% during the year. In FY 2024, we sourced 28% of our new hiring and 64% of all associates on boarded were deployed in Tier 2 and Tier 3 cities, reflecting our strength in extensive sourcing deployment across geographies.

Coming to IT staffing , the softness in overall IT indu stry is reflected in the fact that aggregate head count of top 5 IT companies declined by 11,200 in Q4 and 69,000 in FY 2024. Addition to the IT workforce in India has been mostly through GCCs, who now employ about 1.6 million. We expect this trend to continue along with stabilization in hiring in IT services companies. Open mandates have seen a very marginal increase to 1,100 positions, against 1,000 positions

in December '23. As we advance, our focus continues to be on capturing a larger market sh are in GCC.

Moving on to GTS platform. GTS continues its trajectory, delivering an EBITDA growth of 19% year -on-year and 5% quarter -on-quarter. Shift in business mix through increased share of higher -value services and favorable geographic mix have suppor ted EBITDA margin expansion, increasing by 208 basis points year -on-year and 46 basis points quarter -on-quarter. The highlight of the platform are as follows.

Conneqt, our BPM business, continues to maintain its momentum, crossing a milestone of INR 400 crores revenue in Q4. The business closed the order book with an ACV of INR 64 crores during the quarter, adding 9 new logos in the process. The key drivers were BFSI, m

anufacturing
and retail segment. Non-voice BPM process continues to grow sig nificantly with a growth rate of 4% quarter -on-quarter and 22% year -on-year. This is largely driven by our collection business, which clocked 24% growth year -on-year. The growth momentum in CXM business of Allsec continues with a healthy growth rate of 29% year -on-year and 10% sequential growth. High margin international business outperformed with a growth rate of 39% year -on-year and 13% quarter -on-quarter. International business , now accounts for 74% of overall CXM revenue in Q4 against 69% in the same period last year. In platform based services, EXM vertical in Allsec added 11 new logos in Q4 with total ACV of INR 7 crores. International business accounted for 59% of total ACV added vis -a-vis 31% for the s ame period last year. This vertical processed 155 million payslips in Q4, a growth of 13%. Similar to CXM vertical, international business share increased to 23% in Q4 FY 2024 from 21% in the same period last year.

Moving on to Operating Asset Ma nagement , our focused initiative on margin expansion and productivity improvement led to an increase of 18% in EBITDA margins against a revenue increase of 7%. The platform has recorded a margin improvement of 106 basis points year -on-year. I would like to give you some highlights specific to OAM business. IFMS added 14 new customers with ACV of INR 30 crores during the quarter. Healthcare, Public Utility and BFSI are being the key drivers. Food and beverage business saw a gross margin improvement of 19% on an annualized basis. In security services, our sales pipeline remains robust with 26 new contracts with an ACV of INR 23 crores between Q4 and Q1. Industrial and IT services are being the key drivers for security business. Telecom active infra business closed the year with best ever revenue and FY 2024 revenue and EBITDA has shown a growth of 30% and 32%

respectively.
Moving on to product led business, foundit has achieved its operational breakeven during the year in Q4 with a reduction in bur n. The sales grew by 9% year -on-year and 13% quarter -on-quarter driven by enterprise sales and B2C sales. We successfully launched our disruptive AI product foundit 2.0 for SEA market and Asian market and migrated 100% of our single geography us er customer to 2.0 enabling our customer to experience the new product. Our operational metrics on both candidate and recruiter aspect remain positive with consumption up by 18%, NRR above 100%, profile update up 31% quarter -on-quarter and highest ever indexed profile added in Q4. CSAT continues to remain healthy at 91%.

In other corporate updates, our associate s in Quess are the most effective brand ambassadors to our customers. I am happy to announce that in a recent conducted survey between Q3 and Q4, our pulse survey covering 156,000 associates, 88% have rated themselves as 'very satisfied ' or 'satisfied ', up by 85% compared to the previous year. 78% of our associates are 'definitely likely ' or 'very likely ' to recommend Quess to their peers. This means a lot to us and we will continue to work towards further improving the associate experience.
During the quarter, we announced a three -way de -merger of Quess Corp into three different independent listed entities, with each one capable of executing its individual business strategies. We are confident that it will significantly augment the value creation journey going forward with each business getting enhanced management focus and pursuing an optimal capit al allocation strategy. We have filed the scheme of de -merger with stock exchange in February '24 and are moving on track.
I will now hand over the call to Kamal to give you more insights on financial updates. Thank you.
Kamal Hoda : Thank you, Guru. Good morning everyone, and thank you for joining us today. I'm pleased to

share with all of you that we are exiting the financial year on a high note backed by our strong financial performance with highest -ever quarterly and annual EBITDA. Our abilit y to maximize market opportunity is evident in our results, and we are seeing a solid momentum picking up in the last four sequential quarters. Our FY 2024 revenues stand at INR 19,100 crores, a growth of 11% year -on-year. Such increase came across all platforms, contributing sectors being BFSI, manufacturing and retail primarily. EBITDA grew by 18% in FY 2024 to INR 694 crores, a sequential year -on-year expansion in margin by 22 basis points. Such non -linear growth came from margin expansion and cost initiatives taken across platforms, including reductions in foundit losses year -on-year. PAT delivered for the year was INR 280 crores, a growth of 26%. EPS has grown by 24% year -on-year. This is backed by strong EBITDA growth across platforms, aided by lower effective tax rates from the merger of subsidiaries during the year. Our cash conversion continues to be strong with operating cash -to-EBITDA at a healthy 67%, aided by reduct ion of four days in DSO which now stands at 53 days. Our gross debt is at its lowest level in last five years, ending the year at INR 369 crores of gross debt, a reduction of INR 162 crores during this fiscal. With our Board -recommended final dividend of INR 6 per share during the quarter, our total dividend for the year clocked to INR 10 per share. With this, the return to shareholders in the last four years has been INR 488 crores in form of dividends.
Let me now walk you through the quarter's financial performance by platforms, starting with workforce management.
Revenue stands at INR 3,476 crores, registering a growth of 14% year -on-year and 1% quarter -on-quarter. Growth is predominantly in General Staffing business, with key sectors being manufacturin g, BFSI and retail. EBITDA has seen a growth of 2% quarter -on-quarter and 6% year-on-year at INR 91 crores. EBITDA margin percentage has been flat at 2.6% throughout the year. The cost pressure on account of wage inflation with flat margins in General Staf fing businesses have been offset by increase in wallet share of value -added services in that platform.

Coming to GTS, INR 588 crores revenue clocked for the quarter, an increase of 6% year -on-year and 3% quarter -on-quarter. Allsec continues its growth mome ntum in CXM business with 10% growth quarter -on-quarter. Our domestic BPM business in Conneqt also showed revenue growth of 4% quarter -on-quarter. EBITDA stands at INR 113 crores, a growth of 19% year -on-year and 5% quarter -on-quarter. Such non -linear incr ease in profitability is a result of change in geographical mix, with bias towards international revenues, coupled with high -margin

businesses.
Moving on to operating asset management, INR 695 crores revenues clocked for the quarter, a growth of 4% year -on-year and 2% quarter -on-quarter. Investment in sales in previous years, in this quarter, have resulted into good sales funnel and conversion for the quarter. Facility management, including food services and telecom, ha ve seen good growth during the quart er. EBITDA stands at INR 39 crores for the quarter, a growth of 29% year -on-year and 6% quarter -on-quarter. Margin increase is aided by change in business mix led by food and telecom businesses, coupled with operating lev erage.
Product -led business. Revenue clocked for the quarter is INR 119 crores, a de -growth of 8% quarter -on-quarter, while foundit sales has grown by 13% quarter -on-quarter and 9% year -on-year, achieving highest -ever quarterly sales of INR 50 crores. foundit breakeven during the quart er has led to EBITDA losses, excluding noncash ESOPs, reduce to negative INR 3 crores, helping us meet our commitment to investors.
Our Break-fix business h

as seen some degrowth in spare services revenue during this quarter.
As part of our strategy to fo cus and nurture our core businesses, we completed our divestment of our break -fix business Qdigi, effective 31st March 2024, with an IRR of 15%.
Moving on to tax updates. There are no material updates from the last quarter, as the hearing for the respectiv e assessment year in ITAT and DR P have not been commenced. For financial year 2017-18 and 2018-19, our appeal is in ITAT and the next hearing is expected in July 2024. For the year 2019-20 and 2020-21, the company has filed objections before DR P against the adjustments proposed by the tax office; and the hearing for 2019-20 is scheduled in the current month.
A few corporate updates for the year. In line with our leaner structure simplification strategy, implementations o f amalgamation of our wholly owned subsidiaries Conneqt, MFX, Greenpiece post-NCLT approval was completed during the year. You are aware that our Board approved this proposal to demerge the business into three independent listed entities, each one capable of executing its individual business strategies.
We believe that this will enable value unlock for our shareholders in medium and long term, scale the businesses to new heights with enhanced management focus, follow -on optimal capital allocation strategy and attract separate investor base. We have filed a scheme of demerger with stock exchange in February 2024, and we are progressing well on our plan.
With this, I conclude our financial results and pass it back to the moderator, for taking your questions. Thank you.

Moderator: The first question is from the line of Balaji Subramanian from IIFL Securities Limited.
Balaji Subramanian : Okay. So congrats on a great quarter. So I have a couple of questions. You did mention the drivers behind the margin expansion in OAM and GTS segments, so going forward, how should one look at the margin profiles and especially the balance which you intend to strike between revenue growth and margins? The second question would be on the 4 -day reduction in DSO which you talked about, which nearly adds INR 200 crores to OCF. So what exactly drove this? And is this the new normal going forward, or do you see room for further improvement?
Kushal Maheshwari : Thank you, Balaji. For y our first question, on margin expansion in GTS, I will request Pinaki to give us inputs, followed by Anand. And for the question on DSO a s Kamal will give us inputs. Over to you, Pinaki.
Pinaki Kar : Thank you. I hope I'm audible .
Balaji Subramanian : Yes.
Pinaki Kar : So, as per the margin expansion, let me just step back a bit, if we go back 16 quarters back, March 2020 , to be precise , we had given some drivers , because we were at 16% margin that time. And around that time, we told that we'd expand from 16% to 18% kind of a way, based on certain factors.
I think we were mostly at 18% range t his quarter, on that sense . But to step back on that , the drivers for that are three and they are not seasonal , but are structural. One is the geography mix. Obviously, international business in GTS gives us better margins than the domestic business. And if you see structurally ov er quarter -on-quarter, for example, if you see in Allse c, we are at 74% in terms of international business in CXM against 69% at this point last year. So, there is a 500 basis point improvement there. And the growth in international business year -on-year has been 39% against an Allse c overall growth of 20%. So, the ratio is skewed more towards that business. Number two, from a business mix perspective, even in the EXM business, which was mostly domestic earlier, the new bookings, just to show you that it's a lead indicator for the future, 59% has been international in this quarter, against 37% at this stage last year. So, the new bookings i s potent

for the future, also shows that from a geography perspective, hopefully that trend will continue.

Next, we shall get into the service mix in terms of higher value services. So, you will find the transaction processing BPO or the c ollections BPO, in Conneqt, that growth is 24% in collections business, which is higher than the overall growth of the business on a weighted average level. Similarly, the digitally driven businesses, whether the digi-Conneqt platform or the virtual philosophic kind of interactive outbound businesses, the growth pace on that has been more than the plain vanilla kind of businesses .

So from a mix prospective also, it is getting more towards the s oftware as a service platform kind of businesses. So these two are structural things. The third is, obviously, right sizing the cost structure which we do on a regular basis. There , it is the IDC and the SG&A have been at a stable rate over the last 4 quarters.

So, hopefully the combination of these three business growth at the right geographies; more disproportionate share from the higher -value services and rationalizing the cost base especially the SG&A at a stable level ; all three should contribu te what the margin should be in the kind of range that we are seeing today from a sustainability perspective.

Kushal Maheshwari : Thank you. I will pass on to Anand to give his inputs on the OAM platform.

Anand Sundar Raj C : Thank you, Kushal. Good morning Balaji, this is Anand here from t he OAM. A s Guru mentioned in the last few quarters , the leverage w as focused on internal efficiency a nd we worked on few customer contracts. And consistently, the last three quarters you are seeing the result o n our EBITDA margin.

Having said that, you also know some of our business within OAM have seasonality in pl ace, but we are broadly confident on an annualized basis that we are on tr end.

Kushal Maheshwari : Thank you, Anand. Kamal, if you can just give inpu ts about the operating cash flows and the impro vements in DSO days .

Kamal Pal Hoda : Thanks. So Balaji, as you know, we have a mix of businesses. And the reaso n for reduction in DSO days and reporting the committed OCF is actually three . First and foremost , this is because of the disciplined working capital management policy that we've been running for last , now more than 18 months which Guru has alluded in his speech. Secondly, the mix. So we have the advantage of two of our business which is gen eral st affing , where 70% of the business is collect -and-pay; and found it where most of the collections are advance before delivering the services vis-à-vis other businesses like GTS and OAM where the working capital cycle is a bit higher.

So, as and when this mix changes a bit more towards collect -and-pay and advance collection businesses we are in an advantageous position to bring down our DSO and improve our OCF .

And third is the dives tment that we did during the quarter of Qdigi which was a business with higher DSO. So it's the combination of all three that has led to this reduction in DSO.

And the second part of your question that whether this is a sustainable level. We do believe, if we'll continue with disciplined working capital management across the group we'll be able to even further improve fro m the present DSO range .

Moderator: Thank you. The next question comes from the line of Deep Shah from B&K Securities. Please go ahead.

Deep Shah : Good morning. Thanks sir for the opportunity. Sir there has been a lot of substantive improvement on the manufacturing front , on the industrial front , and we've seen a lot of reports coming out. You also alluded a bit to one of the reasons for your growth in WFM. So two questions here. First, is there any scope for better unit business economics here given that there is massive demand coming in? And seco

nd, just in your thought how do you see this segment today it is 14% for us. It was 12% last year. Could this be 20%? Could this drive growth for next 2 years , 3 years? So some color on that would be useful.

Guruprasad Srinivasan : Thanks for the question, Deep. So the way to look at this , I think , it's very clear that India is in investment phase. And I'm sure I think it will reinforce as we come out of the elections. If you

look at the segment where the investments are happenin g, pretty sharp in terms of the infrastructure, public uti lities and the c apex which is being invested into. And all these segments definitely have a very intensified labor or employment -related, manpower -related activity that is going to gain traction. And manufacturing is one among them where it is attracting a lot of investments. And there are a few hubs where we are already actively working in manufacturing clusters. So if you look at manufacturing by head count, we are almost close to about 70,000 in terms of deployment which also I called out very specific ally in my speech. We anticipate these investments and the trajectory would continue at least 2x to 3x of GDP in terms of the wa y it is going on. So that's the kind of growth that we would definitely see. Let me get Lohit to add more to this.

Lohit Bhatia : I think that's a good question and an important question for India like Guru rightly said. Obviously, manu facturing is being attracted from all over the world a nd there are different segments of modern manufacturing that we are seeing every day which is coming to India. One large change which is happening is that manufacturing , which traditionally remained in the MSME segment , barring a few large core investments in core sector , today, mega plants are coming up with 1,000, 5,000, 10,000 and even more people beyond that. In the last 2 years itself we've double d the business from 33,000 headcounts to almost 70,000 head counts now. This is a business which is growing at almost 47% to 49% CAGRs. You are right. It's the third largest segment for us. And do we see this becoming even bigger? Yes, absolutely. One aspect in Guru's commentary also you would have heard is something called job spots. We've come out clearly by saying that we have to get closer to the hubs away from t he cities where traditionally the staffing office is operated to industrial hubs and industrial areas where the industries exist where the new investment is coming. And that's exactly where we can do a matching between the job seeker from the hinterland o f India or from the agricultural part of India to the industrial part of the movement. We've coupled this with a lot of technology investments in these centers. And we are obviously aiding and growing our sourcing c apabilities and growth as well. So this is a segment which we'll continue to very closely watch. And yes to your point that can it become even bigger than what it is with a considerable market share for us, yes, absolutely.

Deep Shah : Sure, sir. Thanks so much for that comment. Sir, anything on unit economics here? Is it very different o r could it be better than say the otherwise price -taking mechanism that we are currently in?

Lohit Bhatia : So, in traditional manufacturing unlike the services segment you have to grow on the basis of not just your sales capability, but your sourcing capability. The customer expects 100% of the new talents to be brought in by the company. So first and foremost it's not everybody's game. It can only be done by firms which have very solid sourcing capabi lities and technology which can aid such sourcing along with the human capital that we've deployed. We have almost 500 people in general staffing who are field recruiters a nd that's a massive number that we carry besides the technology that we've been cre ating for the last 7 years and we continue

to invest in . In services,
you're right. There's a lot of transition business also which comes along or a lot of migration business which comes along. Manufacturing doesn't come along with transition or migration business. Over the life of manufacturing the unit metric is slightly better , though initially , it starts a little on the lower side be cause you don't get migrations a nd you have to do it with your own

sourcing capability, for whi ch you have to put investm ents. S o early days when you start, it would slightly tread lower, but as it catches up and at each of the plant you'll start to get heft in terms of numbers, the unit metric starts to improve and become better. Over time, it can definitely beat the services economies as well.

Deep Shah : Understood, sir. Thank you so much for the detailed explanation. Very useful. Sir, the second question would be on foundit. So congrats on the near breakeven that you stated on your presenta tion. How should we look ahead , since your recruitment is going through a difficult time. What s hould we think about say foundit for next 2 years , 3 years? Would we run at breakeven? Are you okay to make some losses in marketing if required? Whatever your thoughts are just to better understand given there are massive headwinds in this space?

Gurupra sad Srinivasan : Sure. There are some headwinds in the space, like you said, with hiring coming down in some sectors, but as the conversation in the last 5 minutes was there are also sectors where hiring is happening at a very healthy pace. S o at foundit , our objective is to make sure that we have enough business and customers coming in from across the sectors. And therefore, there's a concerted push to ensure that our volumes from non -IT also compensate for whatever limited reduction we will see in IT.

That said , our starting point which is , we're just on our journey of growth. S o given our size and new products coming into the market and our ability to gain market share with customers that we are already present in while there are headwinds in the ma rket, we are very confident that we are at a size and position in the market where it shouldn't impact us too much.

For the last 3 years despite the headwinds in the market, we improv ed at a CAGR of upwards of 40% a nd we don't see any reason why we should n't aspire to grow at a similar pace. With respect to your question on profitability , yes, we moved from about INR 95 crores that we lost in FY 2023 to abou t INR 55 crores this year. And the objective clearly is to ensure that this number goes down to INR 0 in FY 2025 and which is going to primarily come from growth. And most of the costs have stabilized in the system. As you know in a subscription -led business driven by product a lot of costs in terms of product development et c are front loaded. We've gone through that phase. And from this point onwards we don't expect our cost structure to vary significantly, apart from cost of sales and therefore whatever growth comes in the business is going t o be sufficient for us to be able to maintain an operational breakeven for the year.

Deep Shah: Understood sir. This was very useful. Thank you so much and all the best.

Moderator: Thank you. T he next question is from the line of Chintan Sheth with Girik C apital. Please go ahead.

Chintan Sheth : Congratulations team for a great set of numbers. First, on the WFM side , if you look at last four quarters we have been able to maintain our margins at 2.6%. We understand that the IT side of the business is not p icking well. T here are losses in North America which we re likely to turn around by the end of this year , in the fourth quarter.

How should one loo k at margins now going forward g iven -- any color on the IT side and the North American operations? If you would like to give us some color on that part?

Ques

Kushal Maheshwari : Thank you, Chintan, for your question. I request Lohit to give his inputs on this question, please.

Lohit Bhatia : Thanks for that question. First and foremost, I'll just take a minute to say that there have been key milestones already achieved this year by our WFM business. And we are proud of the platform that we have created today. We've crossed the 400,000 mark in active hea dcount base. Overall, WFM has crossed the 450,000 mark. We are poised for a long -term growth in WFM which we've already stated as part of our demerger plan to become the world's number one staffing company by volume, by head count and eventually a lso to grow our profitability along with it. In this year, there were challenges that we were facing. There are global headwinds and geopolitical scenarios which have obviously shrunk the business and margins coming out of the IT industry. Particularly wi thin the IT industry also it was the IT services. How that impacts our business and portfolio in WFM is we did two large businesses in Indian IT. One is the contract staffing business, as you know. And the second is the IT permanent recruitment business. IT permanent recruitment business itself on a year -on-year basis has lost around INR 17 crores from where we were one year ago in FY 2023, what we delivered as EBITDA to what we eventually delivered in FY 2024. In spite of that, the core businesses , the staffing businesses , with its focus towards niche digital and predominantly in GCCs as a segment in India has been able to offset some of those losses. To your point on margin pressu res, yes, WFM, especially with g eneral staffing continues to remain a tight margin play. We've been very proud that, in spite of the fact that we 've consistently grown our head count and revenue we've been able to now maintain the margin at about 2.6% as we speak. With no further burn anticipated in U.S. operations for WFM, we feel this would inch upwards by another 20 basis points coming closer to about 2.8% going forward. Medium term to long term we would like to take this to 3% or so.

Chintan Sheth : Sure, and just on the book keeping side, the tax rate. Tax outflow, because of the deferred item, was negative this quarter and last quarter. How should we look at tax rate for FY 2025 as a whole?

Kamal Pal Hoda : Yes. So Kamal this side. Tax rate, rightly pointed out. The effective tax rate for FY 2024 is close to around 5%, as compared to FY 2023 where it was 22% primarily because of the mergers that we did during the current year and some of the benefits that f lew along with it. Guidance for next year will be in a range of 10% to 11% effective tax rate because of the business mix that we see at present.

Moderator: Thank you. The next question is from the line of Miraj Shah from Arihant Capital. Please go ahead.

Miraj Shah : Thank you for taking my question and c ongratulations on a great set of results, sir. I had a couple of questions but starting off with a clarification to the previous question that you just answered. You mentioned the tax rate will be 5% or 10% ?

Kamal Pal Hoda : So 5% is what FY 2024 was. The next year's guidance will be 10% to 11%, I said.

Miraj Shah : Okay, understood. Sir, there's one point I wanted to understand, that we have a vision to reach a 5% consolid ated EBITDA margin. To achieve this , I wanted to understand. What are the legs that we need in our business? So one will be the workforce management business reaching 3%

EBITDA margins. And foundit is where already our cash burn has stopped. So are these the only

2 factors that will help us achieve the 5%? Or is there anything else also that needs to be kept in mind?

Kamal Pal Hoda : So Miraj, I think, 2 big levers, we already pointed out. foundit obviously is the biggest one, which from a year

-on-year perspective, as we have clarified on the call, that we will move from minus 56 to net 0 in FY 2025. And then with the volume growth going into FY 2026, foundit should contribute with good margins to the overall margins. And the other two platforms which we did not discuss is where actually we've been seeing good margin trajectory. So the GTS business has almost reached an upwards of 18.5% EBITDA margin and whic h Pinaki explained the continuity of the same and the favourable geographic mix that we have gone into. As far as the operating asset management business, two businesses to point out there which have been doing very well for us and helping us in our margin trajectory upwards is the food business, which has grown year -on-year; and the telecom business which is in Vedang . With the 5G implementati on across the country, that business is also contributing to the overall margin trajectory. So these are some of the business -specific levers. There are a lot of operational levers, productivity and the tech investments that we have done over last 12 to 18 months, which we'll continue to do and monitor the operational performance, to move towards our trend of expansion of margins.

Miraj Shah : Understood. If I'm not wrong, the international business in global tech solutions would attract close to 30% m argins. And currently we are doing 18.5%, so what kind of mix are we looking at over here? And what kind of elevated margins would we see in that mix?

Kushal Maheshwari : Thanks, Miraj, for your question. I think, Pinaki would be able to give you a better color and better sense on the margins for this business. Pinaki, if you can give some inputs .

Pinaki Kar : Yes, okay . So on an overall level, what you expressed is correct . But the 30% again, m argin from the in ternational mix can get back . At the same time, that mix and if I take even the EXM business , basically the payroll business , the HR outsourcing business also, one can get that kind of margins , so it's more of a business mix issue. Obviously , geograph ic mix is a percentage of that, but even in a core domestic business like Conneqt which is almost 100% or 95% domestic , here also, we are inching closer to this overall margin, that 18.5% we are actually reporting at an overall level. So those are the drivers that if you see overall from an investor perspective , the margin profile of the bigger companies currently are between 13% to 20% , that kind of a range. So that's the range of possibility , what more mature companies or bigger companies have delivered over a period of time. We try to drive on all parameters, but without committing a particular number, the range of possibilities are there.

Guruprasad Srinivasan : And just to add to that, Miraj, that if you look at, international business mix is , it has moved from 45% to 57%, compared to last year, specifically in Allsec. So what happens is, while we have pushed on sales focus on international business, there is also a domestic business which is aggressively being sold and pursued and good order books and ACV, so we have to balance between both. So I think, where we are today, we'll be able to probably, I think, sustain anywhere between 17% to 18% EBITDA margins to continue with both the mix coming in too.

Miraj Shah : 17% to 18% would be sustainable going ahead. And just to reiterate this or put it in a different manner , somewhere close to 5% would be ach ievable in FY 2026?

Guruprasad Srinivasan : We don't give a guidance on that specifically. But if you look at from 3.42% when we started earlier, we ended up on 3.9% and on an average. So I think, on a forward basis, the 32 , 35 basis points is where we would anticipate considering all the mix, but it will be tough to put a number here.

Miraj Shah ; Okay, understood. And just one final...

Kushal Maheshwari : So Miraj,

what we can say is that there will be absolute growth in EBITD A, but as you know, it's a combination of consolidated businesses with various different margin profiles for different businesses and different growth profiles, so it's very difficult for the management to give you a guidance on EBITDA margins per se for the next 2 years. But obviously, as stated, we will be definitely growing the absolute EBITDA on a year -on-year basis.

Miraj Shah : Right , Absolutely. I understood that part now. So okay. And one more thing, sir: When is the tentative NCLT filing? Or is it already done?

Kamal Pal Hoda : So Miraj, we did announce the scheme on February 16, 2024 and since then, we have applied for SEBI 's approval . That's the first step, and we are on course. Once we receive the SEBI approval, then we can file the first motion to NCLT, so we expect the overall process from start to end to be a 12 - to 15 -month process. And we just started. We are probably just 2.5 months into the process, but as of now we are on course.

Miraj Shah : Understood. Okay. All the best sir and co ngratulations. I will get back in the queue.
Moderator: Thank you. The next question is from the line of Yash Gandhi from Stallion. Please go ahead.
Yash Gandhi : Yes. Sorry. I've joined the call late, so I don't know if this has already been talked about. So I just wanted to get a sense of the revenue guidance for the GTS and the O AM business going forward, like 2 years ?
Kushal Maheshwari : So for the revenue guidance on GTS, I would ask Pinaki to give you some color on the business and how it's going forward. And for the O AM business, I would ask Anand to give his inputs.
We can start with Anand, for O AM business. Anand?
Anand Sundar Raj C : Yes, okay. So this is Anand here. So in the current financial year, in FY 2024, we grew at 7% . This is on back of certain operational levers we worked on, on profitability , as we discussed in the past quarters. I think we look for growth beyond these numbers. There are a few more activities we are doing in terms of bri nging the profitability. As of now, the order book looks strong for this financial year, which w as alread y, in Guru's commentary has been explained.
Kushal Maheshwari : Thank you, Anand. Pinaki, if you can give us some inputs on the GTS, on plans for the next year.
Pinaki Kar : Yes. Firstly, I'll be careful not to use the term revenue guidance because I don't think we give revenue guidance for two years . If you just go by what happened in the past and go to the last

three to four years, consistently, we have tried to , internally, we have tried to g row at 20% plus growth . Some years, we have been successful. Some years, we have just fall en short, but you'll find, I think, CAGR would be around 18% over the last three, four years. And there are macro issues currently . But as we try to grow into more profitable segments, more business, more international business and that kind of services, we always expect to actually shoot around that kind of a mark. But I will not call that guidance, but that is what we have tried and mostly we have been successful o ver the last three, four years.
Moderator: The next question is from the line of Chintan Sheth with Girik Capital.
Chintan Sheth : One question on the product -led business . Now that the Qdigi business is excluded this quarter, but we still see INR 120-odd crores revenue reported. So my question is basically whether the Qdigi revenue is part of revenue this quarter?
Kamal Pal Hoda : Yes. Qdigi revenue is part of this quarter , because 31st March is when we completed the transaction. On annualized basis , revenue from Qdigi, for your information, was close to around INR 370-odd crores on a full year basis.
Chintan Sheth : Okay . That will get knocked off and the INR 50 crore s run rate in foundit will be largely the r

evenue for the segment going forward, plus the growth, whatever you deliver?
Kamal Pal Hoda : Yes, absolutely right.
Chintan Sheth : Right , okay. And on the working capi tal side, anything you want to highlight? The DSO, you already mentioned. We also see similar contraction on the payable side as well for the year. Anything you want to call out how the business is shaping given the mix, whether it will be favorab le going forward or not , or whether there is a scope for further improvements in DSO side?
Kamal Pal Hoda : So Chintan, I explained all the three reasons as to why we were able to reduce the DSOs and bring it to the present levels. But I'll repeat myself if you did not get it. So basically , it's a combination of business mix; effective working capital management that we did throughout the year and also divestment of Qdigi, which was a higher DSO business for us as compared to the other businesses. We believe that these are sustainable levels. And obviously, with such a large mix of businesses we have, there's always an opportunity to improve certain percentage points from the present closing number.
Moderator: The next question is from the line of Miraj Shah from Arihant Capital.
Miraj Shah : I just wanted to understand something on the foundit business model side. I believe in the commentary we just mentioned that the hiring through foundit has kind of slowed down in some sectors, but we have a subscription -based model . So how exactly do we anticipate growth coming in over here because already we have a subscription -based model, an annual or a monthly model, that would automatically result in more revenues . But how does hiring factor in over here?

Guruprasad Srinivasan : Thanks, Miraj, for the question. So when we say we are a subscription model, the way it works is, on the recruiter side, we charge them for the number of profiles views that they buy from us.

When hiring goes down and the activity of hiring go es down, so typically people would not want to view as many candidates for their hiring cycles, and so they might buy lesser inventories. That's how usually the slowdown in hiring activity impacts subscription. They might buy less inventory from us when th ey come up for renewal. However, the point I said earlier in my commentary was that, at this point in time, we are still small enough to say, even if the overall hiring activity goes down, driven by our superior product at this point in time once we launch 2.0, we still expect to grow our share of wallet with the customers that we are serving as well as being able to acquire new customers. So overall, what the companies might be spending on hiring might go down, but given our size, scale and the new product, we still expect us to grow healthily over the next one, two years. The second side to the coin is we also get revenues from candidates. And based on the demand -supply metrics , when the jobs are higher, you get more revenue from recruiters. When the jobs are lower, you get more revenues from candidates. Accordingly, this year, as the jobs went down, our revenues coming in from candidates have grown significantly. So there are two ways to make money as a platform, from recruiters as well as from candidates. And that's how the com petitive dynamics play as the job market either goes up or goes down .

Miraj Shah : Understood. And could you also just give a small idea about which sectors are currently the largest contributors in foundit for hiring?

Guruprasad Srinivasan : So IT remains a very large sector for us from a revenue perspective , because historically we have been known for our strength in IT. However, we have a very stated and intentional plan to grow our business in non -IT, specifically the focus sectors that we've picked up in terms of BFSI, retail and manufacturing.

And we have intentional activities and g

o -to-market plans around these industries. And everyone from the Board is watching revenues in terms of what is the contribution coming in from non - IT. But if you take revenues at this time now, IT is the biggest contributor to the revenues.

Miraj Shah : Understood. So would that be a differential in the charge that we levy to different sectors? Is that different, or would that be equal for everyone?

Guru prasad Srinivasan : So there are multiple pricing plans available. These are by industries, by geographies , etc. And I can get into the details of the pricing plans, but they're transparently available. But essentially you can assume that the price that the companies or recruiters pay is dependent on whether it's IT or non -IT or, in other cases, it's geogra phy. So , people can buy plans for a particular state or particular country , because we also operate in Southeast Asia , etc.

Moderator: The next question is from the line of Balaji Subramanian with IIFL Securities.

Balaji Subramanian : Yes. So this is just on your healthy FC F generation and gross debt also coming off. So how should we see payouts going forward? Is there an intent to step up dividend payments or consider doing a buyback or something? That would be it.

Kamal Pal Hoda : Sure. So Balaji, we have our stated capital allocation policy and the dividend policy out there. The first and foremost priority is to reduce the debt level, which we have done. See, in last five years, cumulatively , we've reduced INR 700 crores of debt. In the la st financial year, we've reduced INR 150 crores of debt. And the gross debt right now is at around INR 370 crores, which for our scale and size of our business is at a comfortable level. On dividend, since last two years, we've paid INR 8 per share as di vidend. And this year, with the proposed final dividend, it's up to INR 10. So we'll continue to do three things ; optimize our operating cash flows, retire as much debt as possible and return the balance money to the shareholders in line with our stated di vidend policy.

Kushal Maheshwari: Moderator, if you can check if there are any further questions?

Moderator: The next question is from the line of Raghuram N S with Eurindia Ventures .

Raghuram N S : Yes, thanks for having my question . I just wanted to check on the GTS side only. One was about like how you guys have mentioned about the ACV. In the EXM vertical of Alls ec, that's a significant sales pipeline of INR 37 crores of AC V that's been mentioned. And CXM also, the ACV that seems to be in the pipeline is about INR 40 crores. Is that something that's sustainable going f orward? Or is it just a one -time kind of thing that seems to be happening in that business?

Kushal Maheshwari : Thanks, Raghu, for your question. I'll ask Pinak i if he can give his inputs.

Pinaki Kar : Thanks, Raghu, for the question. And, consistently in Allsec, what we have done over the last few years that most of the sales pipeline that has been there were not one -timers. Those were generally long term kind of programs. So, I'll take both the segments, the CXM and EXM separately here. On CXM, the customer experience, most of the pipeline are North America centric , multi -year kind of cases. So , we have mentione d only the ACV figure. So, as and when we contractually start that, hopefully it will play out the length of the contract in terms of the number of years that the AC V will be there for. Because, the nature of that business in CXM, especially in North America, is generally long term. On the EXM side, again, most of the business pipeline that has been there, or the contracte d revenue that is there, the AC V figure that we have given is for enterprises, mostly those are enterprises where the payroll trans ition we are doing , right. So, apart from any completely unforeseen circumstances, those also are supposed

to be long term contracts . And from a structural growth perspective, this is how we are actually driving the sales and you are seeing the mix getting more into international, even in EXM. So, obviously, with that dollar revenue coming in, when you translate that to INR, so that eff ect also we are getting. So, that is the reason for that kind of a pipeline.
Raghuram N.S: Thank you for that, Pinaki. But my question was more for the last three or four quarters that if you go back in Allsec, it w as AC Vs of normally about INR 7 crores to INR 10 crores in EXM on a quarterly kind of basis. When I see INR 37 crores, it's a very encouraging number just keeping in mind what has happened in the l ast four quarters or something. So, that was the main reason why I asked ?
Pinaki Kar : You know that industry actually, what happens is that we pursue deals for two, three quarters, especially on CXM, you will find that they are a bit longer, right? So, sometimes the fruition

comes after two or three kind of quarters. So, but if you want to translate, that's what I'm saying. I can assure you more about the sustainability of that revenue going forward. But some qua rterly pluses and minuses of AC V booking would be there because that's also a function of when a customer concludes the ir contract in terms of a booki ng, right? So, obviously, I 'll not say that you extrapolate INR 37 crores every quarter. At the same time, we need not be INR 5 crores to INR 7 crores also, right? So, but the revenue would be more in the range that you are seeing now in terms of growth.
Moderator: Thank you. That was the last question for the question and answer session. I now hand the conference over to Mr. Kushal Maheshwari fo r closing comments.
Kushal Maheshwari : Thank you for the engaging discussion over the call. I would like to hand over to Mr. Gur uprasad for his closing remarks.
Guruprasad Srinivasan : Thanks again for joining us for Q4 earnings call. I would like to once again highlight that our consistent effort towards new logo audition, SG&A rationalization, and sharp operational execution will continue to be robust, and we will continue to scale new heights in coming quarters. Thanks for joining.
Moderator: Thank you. On behalf of IIFL Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

(This document has been slightly edited to improve readability)

Call: Aug 2024

August 05 , 2024

To,
BSE Limited
Floor 25, Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai -400001
Security Code - 539978
National Stock Exchange of India Limited
"Exchange Plaza", Bandra- Kurla Complex,
Bandra (East),
Mumbai -400051
NSE Symbol - QUESS

Dear Sir / Madam,

Sub: Analyst Call - Transcript

Pursuant to Regulation 46(2)(oa) of SEBI (Listing Obligations and Disclosure Requ irements) Regulations, 2015, this is to inform that the Transcript of the analyst call, conducted through digital means, has been uploaded on the website of the Company under the following link: https://www.quesscorp.com/investors/

Kindly take the same on record.

Yours sincerely,
For Quess Corp Limited

Kundan K Lal
Company Secretary & Compliance Officer

Quess Corp Limited
Q1 FY 2025 Earnings Conference Call
July 30, 202 4

ANALYST : MR. BALAJI SUBRAMANIAN – IIFL SECURITIES LIMITED

MANAGEMENT : MR. GURUPRASAD SRINIVASAN – EXECUTIVE DIRECTOR AND GROUP CHIEF EXECUTIVE OFFICER – QUESS CORP LIMITED
MR. KAMAL PAL HODA – GROUP CHIEF FINANCIAL OFFICER – QUESS CORP LIMITED
MR. KUSHAL MAHESHWARI – HEAD, INVESTOR RELATIONS AND STRATEGIC FINANCE – QUESS CORP LIMITED
MR. ANAND SUNDAR RAJ – PRESIDENT , OAM – QUESS CORP LIMITED

MR. PINAKI KAR – PRESIDENT , GLOBAL
TECHNOLOGY SOLUTIONS – QUESS CORP LIMITED
MR. SEKHAR GARISA – PRESIDENT , PRODUCT -LED
BUSINESSES – QUESS CORP LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Quess Corporate Management Limited Q1 FY 2025 Earnings Conference Call hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunit y for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Balaji Subramanian from IIFL Securities Limited. Thank you, and over to you, sir.

Balaji Subramanian: Thank you, Neha. Ladies and gentlemen, good morning and thank you for joining us on the post-results Conference Call for Q uess Corp. It's my pleasure to introduce the senior management team of Quess who are here with us today to discuss the results. We have Mr. Guruprasad Srinivasan, ED and Group CEO; Mr. Kamal Pal Hoda, Group CFO; Mr. Kushal Maheshwari, Head Investor Relatio ns and Strategic Finance; Mr. Pinaki Kar, President, Global Technology Solutions; Mr. Anand Sundar Raj, President, OAM; and Mr. Sekhar Garisa, President, Product -led Businesses. We will begin the call with opening remarks by the management team and thereaf ter we will open the call for a Q&A session.

I would like to now hand over the call to Mr. Kushal Maheshwari to take the proceedings forward. Thank you, and over to you, Kushal.

Kushal Maheshwari: Thank you, Balaji. Good morning everyone, and thank you fo r joining our Q1 FY 2025 Earnings Call. The information, data and output shared by the management during the call is forward -looking and subject to prevailing business conditions and government policies. All forward -looking statements are subject to econom ic growth or other risks faced by the company. Please refer to slide number two of investor presentation for the safe harbor clause.

With that safe harbor clause, I will now hand over the call to our Group CEO, Mr. Guruprasad Srinivasan for his opening re marks. Over to you, Guru.

Guruprasad Srinivasan: Thank you Kushal. Good morning, everyone, and thank you for joining us today. We started fiscal 2025 in a robust way and delivered a healthy performance during the quarter. Though Q1 historically has been se asonally the weakest quarter, this quarter marks the first time we have achieved a revenue run rate of INR 5,000 crores and a resilient Q1 performance with a substantial headcount addition of over 30,000 plus associates. EBITDA grew over year -on-year basis by 19% and saw a sequential dip of 6% over Q4 due to a seasonal slowdown in our higher margin OAM and GTS businesses . In addition to business seasonality , the impact of wage is also observed in Q1. W e expect margins to improve as these businesses recover from Q2 onwards.

Key financial highlights for the quarter. We added about 30,000 associates and the headcount stands at 597,000 during the quarter. We recorded a consolidated revenue of INR 5,003 crores which has crossed the INR 5,000 crores milestone with a growth of 9% on year -on-year basis. We delivered an EBITDA of INR 184 crores, a growth of 19% year -on-year. Year -on-year

improvement in margins was led by reduction in Foundit burn with the sales growth and optimized market spends and improvement in OAM margins through higher contribution by telecom and infra business and profitability focus in other businesses. We continue to implement cost reduction and productivity improvement initiatives to optimize our business operations further.

In preparation for the announced demerger of Quess, we are also setting up leadership and internal processes. In this regard, I am pleased to welcome Gurmeet Chahal, who has joined us as CEO of Quess GTS plat

form and will eventually lead the Digitide entity. He’s been early proponent of integrated BPO and tech offering throughout his career. Under his guidance, the GTS platform will expand its global BPM and IT services footprint.

Now let me talk specific updates by platform.

Starting with workforce management. The platform headcount reached 4 ,85,000. This includes people who are also serving notice period, which is about 32,000 during the quarter. Adding a healthy 30,796 associates during the quarter, addition in Q1 is more than what we added in last two quarters, that is, combined of Q3 and Q4.
Revenue growth for a period was about 12% year on year. EBITDA margins declined to 2.4% as the business m ix tilted towards robust addition from general staffing business against modest growth coming out of IT staffing and overseas staffing. The platform added 91 new contracts during the quarter, with an annual contract value of INR 510 crores.
Now moving on to general staffing. The business added 29,432 associates by headcount during the quarter, led by logist ic, consumer, retail and, telecom , and manufacturing. The business started the year on a very strong note by adding 82 new logos in Q1 itself. Over the last years, manufacturing sector has been robust in hiring, and most of our efforts have collectively capitalized the momentum in this space. However, hiring in the sector was slowe r during the quarter, with only 4,000 net adds as free flow of tal ent across was disrupted due to general elections. With strong, open m andates and internal capability, this sector will be a key focus driver as we move forward. Quess has been the front runner in enhancing its sourcing through Job Spots. We did announce t his last quarter, and it is a process where , digitally , we enable people located within the proximity of distance to the key manufacturing clusters designed to streamline recruitment for prospective job seeker s. We recently launched our third job spot in Chakan , after Hosur in Tamil Nadu and Narsapura in Bengaluru , and we are witnessing good traction. We are now looking to expand into the supplier states like UP, Bihar, Orissa, Jharkhand in the coming quarters. We have invested in leadership to strengthen o ur vertical strategy approach, allowing us to focus more on customer acquisition, retention, fulfilment specific to this segment. Our widespread geographic reach is a testament to our sourcing and deployment capabilities. More than 70% of gross additions d uring the quarter were from Tier 2 and beyond. Engagement through our Digital offerings continued as we launched DASH+, which provides learning and development, skilling and assessment, and financial inclusion products at the click of a button.

Coming spe cific to IT staffing business , we experienced a positive trend in headcount growth after a few quarters of decline. We added over 300 associates. We anticipate continuing this growth trajectory as we have strengthened our GCC capabilities. The IT industry is expected to recover in the second half of the year. GCCs witnessed major hiring and w e now have 69% of our revenue from GCCs. Our focused strategy to leverage GCC opportunity has resulted in a healthy margin profile for IT staffing and paved a path towa rds capturi ng a larger market share in GCC . The open mandates at 1,500+ level signal a positive outlook in the coming quarters
Moving on to Global Technology Solutions platform. GTS registered a revenue growth of 1% quarter -on-quarter on a seasonally larger Q4 base in Connect and Allsec business. The quarter's EBITDA margin is 17.5%, well in line with sustainable range between 17% to 18% band. The highlight s specific to the platform, start with the CLM business. This business continues to witness healthy growth with 20% year -on-year and 7% sequential growth led by domestic and inter

national mix. Allsec ’s CXM vertical delivered a st rong topline growth and a higher international business salience. The non -voice BPM business saw a dip during the quarter. Collection s business actively peaked in Q4, followed by a seasonal slowdown in Q1 FY25. Likewise, the EXM vertical in platform servic es experienced a sequential decline due to year -end one -time vouching activity in Q4. Overall, EXM business remained strong with 4.1 million payslips pro cessed during the quarter which translate s to 10% year -on-year growth. Overall, the platform closed the order book at almost INR 82 crores ACV, adding 42 new logos to the key drivers where BFSI and retail segment continues to be the key driver.
Moving on to Operating Asset Management. Following year -long initiatives to enhance productivity and margin over past years, the OAM platform grew 6% with seasonal slowdown in Food and Beverage and telecom network maintenance businesses. The platform recorded year-on-year margin improvement of 30 basis points, with increased contribution from telecom infra and indust rial O&M businesses. However, there was a sequential dip in margin owing to loss of business due to seasonality in the F&B and Telecom business on back of 5G deployment slowdown in that space. I would like t o give you some highlights on O& M business. IFMS added 23 new logos with an ACV of INR 50 crores , predominantly coming from logistic, e -commerce and industrial s. While security services realization was nearly flattish, the business registered appreciable margin expansion as we rationalized few low -margin contracts . Telecom infra registered a marginal growth sequentially as 5G deployment was seasonally slower in Q1. We have invested in sales and leadership to enable to have a vertical -specific , sharper focus on

profitability as we move forward.
Moving on to product led business. The revenue and EBITDA in this segment excludes our Break -fix business, Qdigi, which we divested in Q4. Foundit saw a sales growth of 30% year -on-year and revenue growth of 7% year -on-year. Foundit has significantly reduced its cash burn. Our operational metrics are up 12% sequentially on recruiter based consumption, which gives us confidence as job postings are up by 54% quarter -on-quarter. Candidate profile updates are up by 86% quarter -on-quarter, and CSAT remains healthy at 90%. We are confident of healthy 25% plus top line growth with reduced cash burn for the year.
Moving on to organization updates. I'm pleased to share that our workplace has been recognized as a great place to work for the fifth consecutive year, with a r ank of 32nd, our highest ever. As

a ‘people first ’ organization, this achievement reflects our collective dedication to foster a culture of respect, growth, and innovation.
Our demerger plan is on track. We expect approval by stock exchange, after which NCLT proceeding will commence. Internally, we are concurrently enhancing our leadership , refining the process es and bolstering operational capabilities to empower each entity to establish a leadership position in their respective sectors after they demerge.
Before concluding, I would like to highlight few factors that will be instrumental in driving growth at Quess over next few quarters. The government's focus on job and empl oyment and this financial assistance to companies adding job will give Quess , India's largest domestic employer, many opportunities for growth. The private sector investment cycle should kick in with employment and job creation being on everybody's mind. The strengthening of leadership, particularly in GTS segment is expected to give our BPM business more tailwind s as it intensifies its go -to-market approach. The overall organization, strengthening and optimizing that Quess has undertaken in last few months is showing result, and we

expect this to continue
leading up to the demerger . So starting off with a robust start to the year, we are looking forward for this year to be the best year for us before we get into the demerger.
So, with this I'll now hand ov er to Kamal for financial updates. Over to you, Kamal.
Kamal Pal Hoda: Thank you, Guru. I'll first take you through financial numbers before getting into segmenta l performance and other corporate updates. We delivered record revenue of INR 5,003 crores during the period with a growth of 9% year -on-year and 2% quarter -on-quarter. If we normalize for the divestment of Qdigi done in Q4 of last year, revenue growth will be at 11% year -on-year and 4% quarter -on-quarter. EBITDA stands at INR 184 crores, a growth of 19% year -on-year and a de cline of 6% quarter -on-quarter.
Our operating margins are at 3.7%, which is 33 basis points higher on a year -on-year basis, driven by high contributions from margin accretive businesses in GTS and OAM platforms and reduction in burn in foundit business. On a sequential basis, there is a 30 basis points decline due to seasonality in few of our businesses like Food and Beverages and telecom services, and also annual wage increase for our core employee.
Profit after tax increased by 132% year -on-year and 14% quarter -on-quarter to INR 112 crores. Our PAT growth is significantly higher than EBITDA growth because of higher other income, lower interest costs, and this also includes a one -time exceptional gain of INR 17 crores from divestment of our Labor Law Compliance by subsidiary Allsec Technologies. EPS for the quarter is INR 6.9 per share, a 116% year -on-year growth and a 10% quarter -on-quarter growth, in line with the PAT growth.
Our commitment to cash management and debt repayment continued in the quarter as we repaid close to INR 100 crores of debt, which has brought down our gross debt position under INR 300 crores. Our net cash position has also improved by 11% sequentially.
Moving on to platform -wise updates. Starting with workforce management, we delivered a topline of INR 3,622 crores, which is up 12% year -on-year and 4% quarter -on-quarter led by

headcount -led growth in general staffing business and IT staffing supported by GCC hiring. EBITDA is at INR 89 crores, gre w 6% year -on-year but declined 3% sequentially. EBITDA margin has seen a n 18 basis points drop sequentially to 2.44% due to wage inflation and higher business mix of general staffing vis -a-vis professional staffing. With IT staffing gaining momentum and focus on value -added services in general staffing, we expect margin improvement in subsequent quarters.

Moving on to Global Technology Solutions platform. The platform clocked a revenue of INR 610 crores, an increase of 8% year -on-year and 1% quarter -on-quarter. Revenue was nearly flat sequentially due to higher base caused by year -end activities in Q4. EBITDA is at INR 107 crores, a growth of 7% year -on-year and a dec line of 6% quarter -on-quarter. Consequently, EBITDA margins were at 17.5%. Platform and C LM business delivered good performance, and our focus remains on developing margin accre tive service lines for the platform.
Moving on to Operating Asset Management platform. The platform delivered a revenue of INR 733 crores, a growth of 6% year -on-year and 3% quarter -on-quarter. Growth was led by telecom infra and industrials on year -on-year basis, while IFMS and industrials were key drivers sequentially. Segment EBITDA is at INR 35 crores with a growth of 14% year -on-year and a sequential decline of 9%. EBITDA margin at 4.8% is an increase of 33 basis points on year -on-year basis, driven by higher contributions from telecom infra business and rationalization of low margin accounts in the security business. However, margins declined sequentially by 64 bas is points owing to seas

onality in high margin businesses like food and beverages and telecom infra.
In the product led business, adjusted for our divestment in Qdigi, revenue for the quarter was INR 39 crores, a growth of 6% year -on-year. Foundit sales gr owth is robust at 30% year -on-year. EBITDA was a negative INR 8 crores while on a year -on-year basis, there is a steep improvement in cash burn levels owing to strong sales growth and optimized marketing spend s in Foundit . There's an increased burn quarter -on-quarter mainly due to higher marketing spend s.
Moving on to corporate updates. I'll start off with tax related matters. As earlier notified on the stock exchange, we received an income tax refund of INR 107 crores for FY 2018-2019. Additionally, DR P proceedings for FY 2019-2020 have also been completed. In line with the previous orders of FY 2017-2018 and FY 2018-2019 reductions under the principal matters , that is, Section 80JJAA and Goodwill have been disallowed. We believe that tax treatments availed by the company are valid and we intend to contest this position and the interpretative stance on these sections on merits.
On updates regarding the demerger, we are progressing on track towards the proposed three -way demerger of Quess Corp. We are enhancing our leadership and boosting operational capabilities to empower each entity to establish a leadership position in their respective sectors after the demerger, and post approval by the stock exchange we shall be filing the application with NCLT.
The Union Budget recommendations presented a forward -looking approach towards generating formal employment with key emphasis on social security and skilling. These initiatives, coupled with an increased b udgetary allocation towards PLI, Mudra schemes for MSMEs and capital

expenditure will create many employment opportunities in the formal sector. As one of the leading private sector employers we are optimistic about the budget initiatives towards accelerating India's form al job creation, enhancing employab ility through skill development and education.
With this, I conclude our financial results and pass it back to the moderator for taking your questions. Thank you.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Deep Shah from B&K Securities. Please go ahead.
Deep Shah: Hi. Good morning. Thanks for the opportunity. Sir the first question is around the higher share of IT eS that you have reported in the domestic IT staffing segment in your presentation. Is it possible to give the headcount here ? This is to actually better understand whether there is a net headcount improvement, IT has bottomed out or is it just a mix change?
Guruprasad Srinivasan: So, we have seen a net headcount addition growth in Q1 in IT specifically in IT staffing in India. However, in this business we would love to tell more on margin and the kind of contribution that this can bring in rather than the headcount. So , this business con tributes almost close to about 9.5% -10% EBITDA t o our total workforce division, b ut however , good to see that mandate level have gone up . Compared to Q4 , we were about 1,100, now we are about 1,500 so almost 36% plus in terms of the mandate recovery.
Largely 70% of our deployment goes to GCCs , across all sectors in GCCs and balance towards other IT services and other IT companies. So that's the break up.
Deep Shah: So I'm saying just to reconfirm t he numbers you quoted are f or specialized staffing right, the 1,100 versus 1,500?
Guruprasad Srinivasan: Professional IT staffing, India.
Deep Shah: Perfect. Sir second, I heard Kamal say that how Foundit, I mean, in PLB business there was increased marketing there and therefore the sequential increase in losses, but fair to say for the full year we should break even in thi

s business especially with the sale of Qdigi now behind us?
Guruprasad Srinivasan: Certain indicators that sets us how we are progressing. And if you look at our job postings , are up by 76% year -on-year. And the profile update has moved from 3.8 million to about 13.4 million which is 250% up. So , when you have seen both demand and supply side slowly getting active onto the platform that gives us the confidence as to ultimately it has to convert in to revenue and we are on the plan. I'll also get Sekhar to add further on this.
Sekhar Garisa: Yes. Guru mentioned specifically to your question Deep , that the Q1 numbers are in line with the annual operating plan that we have. Whole of last year we had a negative INR 55 crore s EBITDA and this year the plan firmly is to turn break -even on a full year basis.
Deep Shah: Right sir. Very useful. Sir one last question, if I may. So I'm sure that the budget proposals are very encouraging and we will obviously be a net beneficiary. Sir , any early estimates or early

comments on how do you foresee the benefits of this . Given the competitive scenario, would it be fair to assume most of the benefits will be demanded back by our customer. Whatever your early thoughts ar e? I understa nd the fine print may not be out, b ut you are closer to the labor ministries than we are. So your early thoughts?
Guruprasad Srinivasan: Absolutely Deep we are also driving this centrally across various others putting a wor k stream around it. So first of all it's great to see so much of emphasis coming on specifically to workforce skilling and intensifying formal employment. So , I think there's a big sh ift towards thinking in itself. So this further has various s chemes as part of the package , the scheme A, scheme B and scheme C impacting an individual fresher who is coming onto the job, to employers who are going to encourage freshers coming into the system and creating those employments . Number three specific to manufacturing and internship. Fourth one female workforce participation. Special attention focus towards the dormitories and better living for people working in manufacturing and better stay or conditions, et c. And as you rightly said we are very closer to this particu lar space and each one definitely over a period of time is expected to add about 4 crore s job and we as Quess definitely stand to gain some portion of this definitely.
If you look at few indicators again the consumption in terms of FMCG, rural cons umption has gone up. It has out beaten the consumption for urban and which also sets that from our trajectory if you look at, our demand from Tier 2, Tier 3 is also increasing slowly. The capex investment which is going to get into various segments will actually encourage employment as well as our integrated facility management businesses to do more and customer lifecycle management to kick in.
So, we are quite happy to see these announcements and we are also dissecting this to see how do we drive this across various streams and get closer to this in terms of working with the government in terms of being part of the implementation team as well. So Kamal, you wan t to add anything?
Kamal Pal Hoda: No, I think you fairly covered Guru. Deep yes, you are right. We also await the financial guidelines and the rules of various schemes and the implementation. But as Guru said Quess being one of the largest employer in the country we believe that we can partner with some of these schemes and the government for the formal job creation. And we are looking forward to it during this financial year.
Deep Shah: If I could just add one follow -up. So given that the higher watermark of salary of INR 1 lakh is capped. Would it be fair to conclude that even our GTS headcount , we could get benefits there also because I guess there the competition to have headcount and th

erefore pass on benefits
would be materially lower or that assessme nt is erroneous?
Kamal Pal Hoda: So, you are right since the wage thresholds this time are higher and it is capped at INR 1 lakh. The effect of this towards all the verticals of Quess should be visible. But like I said, we'll have to wait for the financial rules and the guidelines to come and then as ses as to what will be the financial impact of this for the company.
Deep Shah: Perfect sir. Thank you so much. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Balaji Subramania n from IIFL securities Limited. Please go ahead.
Balaji Subramania n: Congrats on a good quarter. So I have two questions. So one is on the workforce management platform margin. I do know that you have reiterated in the past that the absolute EBIT DA is the number which one should focus on. But nonetheless, I can see that after remaining steady at 2.6% for the preceding four quarters it has dipped to 2.4% in this quarter. So is it because of the

seasonality you mentioned a nd should we expect this to go back to the 2.6% level as we move into subsequent quarters?

The second question would be on the associate to core ratio that you have reported for the OAM platform. I can see that there it has been slightly trending down. It used to be 107 about a yea r back and now it is at 98. So any comments there? And what are you doing to improve that. That would be helpful. Thank you.

Guruprasad Srinivasan: Sure. Balaji, with regard s to workforce management, a couple of pointers there. One is, of course , as you kn ow our strength in terms of sourcing and enhancing the sourcing capability has helped us to accelerate our net hiring that we do through sourcing channel. And if you look at we have been investing in that space and this is running up to the season between Q1, Q2 and Q3. We will continue to invest onto the sourcing channel and all. So, from that standpoint it's by plan and by design those investments have been made. Second, specifically for manufacturing job spots which I did call during my speech. We are se eing good early wins co ming in from these job spots, which are closer to the customer workplace. These are kind of centres which are digitally enabled for somebody to walk in and get a job in 30 minutes. So we have already gone live with almost about four job spots now and we have a few more slated, so that's the other investments that we are doing specific to general staffing.

Then, of course, wage inflation comes into in Q1 which is a normal phenomenon. So as we move forward we will definitely recover some basis points about 20 basis points back in margins because IT staffing is opening up and we are seeing green shoots as the mandates have gone up. As we enter Q2, Q3, we will definit ely see an uptick coming from there. And of course, international geographies are muted a bit. Singapore which is largest for us in terms of IT staffing, it is almost flat because they are running up to the elections and the number of people , expats, who c ould be recruited, there are restriction s and all of that. So by Q4 they should open up. So, if I were to look at where we are, I think we have subsumed the cost in Q1 as we move forward, there could be some basis points that will help us as we move forward .

With regard to specifically on OAM core to associate ratio, it's a range that we have been hovering. We should not look at a pointed number , anywhere between 98 to 110 is a great number to be in that also shows the kind of productivity and efficiency th at we are bringing in and we are in that range for almost about more than a year now. And as we invest back into strengthening our vertical approach and investment in sales, if you look at OAM as a platform we have been calling out that the only focus that this platform need

s is acceleration in sales. And
we have added that capacity across the country in terms of strengthening our sales team which has also reflected in the ACVs that we have got in OAM. We have signed about 27 contracts worth INR 52 crores i n Q1 in itself. So I think, we are not really worried about it. I think it's a

good investment that we have made. It will be in a range between anywhere between 95 to 105. So that should be the range.

Balaji Subramania n: Thank you. That answers my questions and all the best.

Guruprasad Srinivasan: Thank you.

Moderator: Thank you. The next question is from the line of Chintan from Girik Capital. Please go ahead.

Chintan: Yes. Okay. Congrats on the good set. Just coming to the WFM first. On the margin front again , we had last quarter guided to drive the margins upward to say 20 basis point improvement we were targeting. Now, obviously, it's understandable that this quarter is seasonally weak and a lot of skew is towards general staffing and all that is slight dip in margins. But do you foresee that on an average or at the exit we will start to hit impro vement in margins going forward?

Guruprasad Srinivasan: So, Chintan, as we keep guiding the best way to assess general staffing is to see how much gross margin to EBITDA conversion is happening. That's how we look at internally. So we continue to still be around 67% in terms of gross margin to EBITDA because what happens in general staffing is the wage inflation, the revenue growth has a wage aspect of alm ost about 70% coming in from wage increase as well as the sales mix is about 30%. So that is something that you need to look at. So, if I were to look at overall WFM as a platform, two key events. One is IT sta ffing opening up as we step into the further quarters will help us to expand margin s a bit. And the international staffing , as the borders open up will help us to take this margin to a few basis point s.

With regard to general staffing, I think we are doing well in terms of our net ad ds. Q1 in itself we have added at a platform level, if I take general staffing around about 29,000 headcounts that we have added. We will measure them purely by net ad ds that they do and there are two type of contracts that we sign, flat fee and a percentage fee and colle ct and pay and upfront . Our collect and pay is still very healthy almost about 80% of our contracts is collect and pay and 20% is towards upfront.

So the other indicators are perfect. But what happens in Q1 is when there is wage hike there would be impact on percentage and you will have a similar kind of reflection coming in Q3 also when there is high incentives that gets paid on a flat fee basis, it will have an impact on the margin. So the best way to look at is gross margin to EBITDA conversion and that 's pretty strong and healthy.

Chintan: Okay. On the working capital when we say 80% of the business is collect and pay. And ideally, given the size of the business we should operate at a negative carry or negative working capital kind of situation. If I sa y that the DSO days for general staffing or the working capital days for general staffing as we mentioned in the presentation at 25 days. What does it entail to this largely the remaining part of business which requires larger capital to operate?

Kamal Pal Hoda: Yes, so Chintan the platform level DSO days which I mentioned in the presentation is 25 days. It's a combination of obviously the general staffing business and the other business which is into IT staffing and international staffing where the DSO day s are higher. Within 25 days also there is a blend of the billed days and the unbilled days. And so in this line of business we've got

unbilled days of close to around 10 days and the billed days is around 15, so that's the breakup.

And this will keep bein g in this range it will keep moving basis the business mix of general staffing vis -a-vis other businesses.

Chintan: Okay. But I didn't understand because if collect and pay is 80% in general staffing and the DSO days for general staffing is 25 days, so I'm just wondering the 20% fees carries much larger collection days . That's what my point was. Anyways, I'll join back in queue for any further queries. Thank you.

Kamal Pal Hoda: Sure.

Moderator: Thank you. The next que stion is from the line of Amit Chandra from HDFC Securities. Please go ahead.

Amit Chandra: Hello sir. Thanks for the opportunity. In terms of the employment and s killing initiatives that has been announced because obviously it is positive for the staffing company, but if you can throw some more light in terms of the various initiatives in terms of Scheme A, Scheme B, and Scheme C, obviously it is going to push volumes. But is it also going to help us in generating some more margins from here because it als o involves a lot of compliance related work in which we have to collect from the government and pass them to the employer and the employee. Are we also applying to get some extra for managing these schemes for the government and also from an overall perspe ctive on the s killing program and on the internship opportunity that we announced. So when we expect these to show up in the numbers and obviously the manufacturing and the MSME side, are we planning to invest in this phase?

Guruprasad Srinivasan: Amit, I mean I'll answer this . So, first and foremost, as I said, this has been completely focusing on formal employment creation and specific segment in terms of manufacturing, participation of event, workforce and s killing . So these are four areas budget has bee n really focusing about. If you further look at , it has multiple packages in this or schemes which has been created, something that is direct benefit transfer to employees. So some portion of it goes into employees directly, where they are encouraged to co me into the formal workforce and work for at least minimum 1 year in that space. So it is not only hiring and deployment. It's about holding them and getting consistency in those workforce. So I think that is where one of the scheme is focusing.

The second scheme is focusing on employers ' participation in terms of ensuring that we hire a fresher and we are capable of training them and deploying them into the job. I think that's the second area where employers are encouraged. The third area is where sp ecifically focusing for the manufacturing segment as to how freshers can be hired, trained and deployed. So these are three different packages . Over and above to encourage women workforce participation for a better living conditions, the working women host els in collaboration with industries are being set up and it has some element of CSR fund etc ., into it.

The last one is largely again focusing on the skill shortage and skilling gap. So, we are mid of this transformation of an individual journey from inf ormal to formal. They have to pass through somebody like us. And we are in midst of this ecosystem, getting people from farm job to non -

farm job or moving them from informal to formal . And of course, once we hand -hold and jointly between us and customers, then we become a kind of stepping stone for them to build their career as they move forward. So, while these are the schemes that have been announced. There is

definitely a lot of challenge on the ground in terms of implementation.
So we have to wor k very close to the respective ministries. We are also doing that in terms of ensuring that we come together for implementation of this. So, as Kamal said, the fine prints will have to get into and the models have to get created. However, this is going to start from October onwards as and whe

n the budget, the conclusion or the rollout happens. So we are also working as a revenue stream. But yes, this is something that we definitely can't take our eyes off, we are in midst of in this segment, and we'll continue to have a probably, as I think one of your question that do we know what we are going to earn out of this? So we're not budgeted any of this in the current quarter whatever comes it comes. But of course, we are going to put a separate team to drive this. Kam al do you want to add anything?
Kamal Pal Hoda: No Guru, comprehensively covered.
Amit Chandra: Obviously, I was trying to understand what investments are required in this? Obviously, now we will get clarity when we get the final print, but as structural s tory, obviously the re was about the clear indication that the shift from unorganized to organized can accelerate with this, that has been there over the last 5 years.
But maybe it can accelerate with these initiatives coming in this but more from the margin perspective are we seeing some kind of margin improvement from these initiatives, or as you shift from the unorganized to organized sector. And also in terms of the manufacturing side, whether the margin profile in the other segments like retail is similar to what we have in the manufacturing sector
Kamal Pal Hoda: So Amit , margin definitely, when these schemes are implemented, it should definitely add to the margins, because some of these schemes are like Guru explained, direct benefit transfer to employees. Some of these schemes are also towards the EPFO contribution to the employers.
So this will definitely add to the overall company margin. But the quantification a s we said, we'll have to wait for the detailed guidelines.
Amit Chandra: Okay. And sir, if you can throw some more light on the IT staffing, obviously we have seen some recovery. But what we are hearing from the IT comment ary that the hiring is expected to improve after next quarter kind of flattish or decline. So how do you see the domestic IT staffing as we need to grow from here and also in terms of margins. If you can elaborate on how the margin s will look like ?
Kushal Maheshwari : So Amit, as Guru had s aid in his opening speech, we are seeing some green shoots and probably it should recover in the second half of the year. Anything else Guru if you can add to this? Please give him some guidance on that.
Guruprasad Srinivasan: Sure. Amit as I said, open mandates in IT, we have seen going up between Q4 to Q1. And we also added net headcount of 300 plus in Q1. So with that note, as we move forward, the average base that we operate in IT anywhere between INR 75,000 to INR 80,000 per month and

definitely at a higher margin it has to be attractive in terms of overall margin improvement. And as I said, international geographies as and when they open up, I also alluded to it what's happening in Singapore currently , that's the s econd largest IT staffing that we have after India.
And it's again a high margin business there. Till Q3 we see little muted but Q4 is when we anticipate to open. So, by the end of this year, we should definitely march towards that to at least 20 to 30 bas is points.
Amit Chandra: Okay, sir. Thank you.
Kushal Maheshwari: Thank you Amit.
Moderator: Thank you. The next question is from the line of Riya from Aequitas Investments. Please go ahead.
Riya: Thank you so much for the opportunity. My first question is on the manufacturing and industrial.
So we are hearing a lot of commentary from the industry there is a lot of shortage of labo urs and also semi -skilled to skilled . So will this help us? Or what kind of growth are we seeing in that segment?
Guruprasad Sri nivasan: Sure. You're right. If you look at, in my speech, I specifically alluded to job spots. There is a primary challenge on the source destination and th

e deployment destination where workforce in India are deployed . So most of these manufacturing clus ters are not in the main C BD, they are in the outskirts across various clusters. And specifically we are working with the modern manufacturing companies. These are not traditional sites where we'll have bulk deployment under every large unit. So, consideri ng that one of the key challenges is to create the sourcing hub and job spot is something that has given an early success to us.
We are going closer to those clusters, manufacturing clusters, setting up the satellite office there

ensuring it's fully digit al and somebody who's walking in and of course, lot of groundwork happens there in terms of getting the footfall into place. And once they come in, then digitally, proper credentialization of the candidate and ensuring that they go through the process. I m ean, the hiring process is entirely different for a manufacturing than what we hire for any other sector. So we have to look at a lot of elements like hand to eye contact, finger dexterity . So based on that, the shortlisting will happen and somebody will b e able to get a job in a much quicker and faster time being closer. So, we will be closer to customer and the associates who would be. And also there's a lot of local employment that has to happen depending upon which neighbo uring state these manufacturing units are in. So, we have got that right with four of our job spots, which we have launched and we are moving ahead. As we move step into Q2 and Q3, we will have by end of this year, we'll have about 12 job spots that we will be hiring for our customers from.
So it's a challenge and we have in last three years from where we were , manufacturing as a sector alone has crossed almost about 65,000 people by deployment. And with capex investment coming into this space, we cannot take our eyes off. And as a fir st mover, I think we will definitely be front running in this space as industries investment on capex picks up.
Riya: Got it. And in terms of IT hiring as you're seeing improvement significantly and the mandates have also increased. Also in your commentary upon the IT companies that they have, like TCS

is going with 40,000 and Infosys at some 15,000, 17,000. So what kind of growth rate or this will lead to better margin because considering IT has been a good margin business for us, so what kind of margin im provement do we see because of this? And basically because of data centers and semiconductor facility coming there's a lot of shortage of manpower. So what are your views on that sector also?
Guruprasad Srinivasan: Sure. I mean, IT definitely is margin acc retive business, as I said the average wage there is in a range of INR 75,000 INR 80,000 per associate per month. And definitely as in the talent, I mean, we work in two divisions. One is IT services. The IT services is the area which where the average wage is lesser compared to the GCCs. And this is an area which cannot be ignored. So we haven't seen much of mo vement for last six to seven quarters and now we are seeing slowly TCS and Infosys from their results talking about how they are anticipating the hi ring, lineups, et cetera for upcoming quarters.
And when it opens up, it really opens up well and it definitely adds quantum in terms of the headcount growing up drastically for us. So we are waiting and watching for those mandates to come in. While it ha s been very, extremely marginal in terms of Q1 but as we step forward, we should definitely see some addition coming in from IT services. Having said that, our exposure is almost 70% to GCCs. In GCC, specifically, we work with auto, engineering, healthcare , BFSI. So what happens here is these are high -margin business. In fact, the way GCCs are set up, we also have strengthened our vertical. We have dom ain expertise coming in from sp

ecific sectors
who drive these towers for us internally. So, for example, BF SI or engineering and auto, we design few components for our customers in terms of deploying people who design components. It's a very different hiring than what I hire for IT services. So from that standpoint, of course, the margin that we realized from t his kind of niche deployment is also on the higher side. The only point what we don't drive is, we don't drive headcount, we largely drive this on the net margin that we realized for associate per month basis, how the recruit ers would work on the mandates.
So with that, yes, it is going to definitely add as we move. But, however, just to bring that caution back, see, while IT will continue to grow. Our general staffing, which is also the low -margin business but it's a high cash generating business will als o continue to grow at the same speed and sometimes general staffing negates the margin growth that comes from other business. So we continue to balance both. At a platform level, I think around anywhere between 2.4% to 2.6% is a well-balanced delivery.
Riya: And in terms of you just said that we see a bit of wage hikes in Q1 and we are anticipating as for normal scenarios, wage hike in Q3. So when can we pass this on our partially to the customers? And how is the business model?
Kamal Pal Hoda: Inflation increase the merit inflation increase given to the core employees. It has nothing to do with what we b illed to the customers. As far as the margin trajectory is concerned, Q1 like we said, we close it around 3.7%. And with a mix change that is expected ove r Q2, Q3 plus some of our other businesses, which have high margin but low seasons in quarter one and with festive season coming up, we expect that we should by end of quarter two or early quarter three, we should be back into 4% margin levels.

Riya: Okay. Thank you. That's it from my side.
Moderator: Thank you. The next question is from the line of Dipesh from Emkay Global Financial Services Limited. Please go ahead.
Dipesh: Yes. Thanks for the opportunity. A couple of questions. First on workforce managem ent. If I look, core to associate showing steady downward trend. Any implication on margin you think or this is within range and that's why you don't see much change on margin implication perspective. Second question is on the new onboard contribution whic h we give for domestic IT staffing. If I look GCC remained roughly around 50 percentage for last reported few quarters. If I look the contribution to revenue, it is showing steady uptake. How to read these two number, if you can help us understand, what it signifies and how to read this number? Second set of question is on foundit. If I look, we have seen sharp increasing search profile, profile update and job posting on sequential basis the number which we posted, while active user base largely remains ste ady and so in consistent trend. So how to reconcile this thing. Whether we have made any product changes which lead to some kind of changing in reported metrics, which one should not focus on kind of thing because it is one -off and maybe taper -off in subse quent quarter? Thanks.
Kushal Maheshwari: So I'll ask Sekar to first take the question on foundit.
Sekhar Garisa: Yes. Specifically , on foundit, there are two ways to look at the business. There's engagement that happens both on candidates and recruiters, which determine the health of the business and eventually these metrics convert into revenues. So what we spoke about earlier on the metric health is both on the candidate side, which we measure through traffic profile and applications done by candidates o n the platform as well as on the recruiter side, which is net dollar retenti on rate as well as consumption. All of them have moved significantly positive in this quarter. And even from a sales pers

pective, we do 30% from last year till the quarter to this this year same quarter. So from that perspective, we are on track in terms of both our operating metrics, financial metrics, as well as growth metrics and that's the broad metrics from foundit perspective. Anything specific you want to ask?
Dipesh: No. So let's say if I look your new search profile, it is 85 % up quarter -on-quarter, 94 % on year-on-year. Similarly profile update 86 %, whereas if I look your revenue it is more or less 6 % kind of number. Even your active user base remain more or less stable. So, consistency, let's say 7 % quarter -on-quarter, 16 % year-on-year. Whether we made some changes in the product that's why some of these reported metrics got materially different than the trend .
Sekhar Garisa: Yes. So we launched our new version of the product, which is AI driven foundit 2.0 as we called it. One of the significant advantages with that is a lot of AI led value that we are delivering both to candidates and recruiters that has led to improvement in the operating metrics, which is what you have seen here.. The more candidates uses, the more the platform becomes valuable to recruiters and subsequently, this is the base on which we will build our sales growth for the coming quarters. So most of the upd ates that you're seeing are driven by new product updates that were made to the platform over the last quarter.

Dipesh: Let me simplify whether you expect revenue growth to follow similar trend the way we are seeing this trend.
Sekhar Garisa: Yes. So from last year Q1 to this Q1, we grew 30% and we expect a similar trend to happen on the subsequent quarters as well and that's the guidance that we have given, even in Guru's commentary that we expect a high growth year for Foundit . Significantly higher than 30% that we delivered in Q1 that trend will continue.
Dipesh: Yes, on workforce maybe you can answer ?
Guruprasad Srinivasan: Sure. Yes, I'll take that. So specific to GCC, you had a question, so just to clarify on the headcount, the GCC contrib utes about 43% and by revenue its about 69%.
Dipesh: No. My question was on new onboard contribution. I understand headcount because of realization variation. My question was new onboard contribution and then revenue contribution ?
Guruprasad Srinivasan: Of 300 plus people that we added in Q1, 49% of that are deployed in GCC and balance 40% in IT services, about 11% in enterprise. So the new net ad ds that we did are bifurcated in that. So, which means 49% of our hiring is going towards GCCs.
Dipesh: Underst ood. Thanks. And the last core associate?
Guruprasad Srinivasan : Core to associate, see it ranges between close to about 390 to about 425, depending upon the season. So we were about 427. So as I said, Q2 and Q3 is a season and we will be strengthening our sourcing engine across, plus investment in job spots, strengthening the recruiter on the front

line there. So that's a range. We'll be in a range between anywhere between close to 400 to 425.
Dipesh: Guru, so question is, let's say we are seeing core to a ssociates that it is 15% down year-on-year. Whether any margin implication happened because of that or you think you don't see much change on margin because of that ratio remaining within the range?
Guruprasad Srinivasan: Yes, it's within the range, it will not impact margin. That's what I said.
Dipesh: Understand. Thanks.
Moderator: Thank you. The next question is from the line of Dhvani Shah from Invest ec India. Please go ahead.
Dhvani Shah: Hello. Thank you for this opportunity.
Guruprasad Srinivasan : Yes. Dhvani, please.
Dhvani Shah: Yes. Just w anted your thoughts on how much is the PAPM in this quarter and we will be trying to understand that the top customers or the top customers are seeing decline. So are the incremental contracts also facing some cost

pressures in terms of the gross margin?
Guruprasad Srinivasan: So, our PAPM range is always between 670 to 700. So that's the range that we trend into. And specific to cost pressure, of course, I mean, I keep saying this cost pressure will be there a nd

whenever we call for renewals, there will be pressure, but we generally tend to stay ahead in terms of the deployment as well as there are multiple line items that we look at, right . So capability of sourcing gives us the edge to continue in terms of th e net realization that we get from an associate. That's a key differentiator. Plus the technology deployment that we do in terms of application related to work or dash +, so they also realize some bit of exclusivity that we bring in when we deploy people, o r differentiator when we deploy to customers. So from that, through that engagement, we have been able to really keep our average between 670 to 700.
Dhvani Shah: Okay. And just one more thing. You mentioned that the last quarter, the conversion from gross margin to EBITDA was 67%. What was it last quarter?
Kamal Pal Hoda: We are to the same range between 65% to 67% is where we are ranging from last four to six quarters.
Dhvani Shah: Okay. And just one more question. In the domestic IT segment, GCC share in terms of revenue is now 69%. But we were trying to understand on year-on-year basis the absolute number has declined by 4.9%, while IT eS saw growth of 4.1%. Is this understanding, correct?
Guruprasad Srinivasan: Yes, it is. What happens is, if you look at IT services, as I said, has started coming back in this quarter. It started getting the open metrics from there. And if you look at even the new onboarding that we have said, we have added new onboarding of about almost about 40% in Q1 in itself from the ITeS which has increased .
Dhvani Shah: Okay. Thank you so much.
Moderator: Thank you. The next question is from the line of Aniket Kulkarni from BMSPL Capital. Please go ahead.
Aniket Kulkarni: Yes. Thank you for the opportunity. So could you please give a timeline of the demerger details and when will you think the demerger will be completed? And do you expect any hurdle on the way? And secondly, why do you think this demerger will unlock value for Quess Corp. So if you can give some color on that ?
Kamal Pal Hoda : Sure, Aniket, thanks for your question. So on demerger, we have previously also guided that it's a 12 to 15 months' process from the date of announcement. So we announced the demerger in the month of February. And the scheme is a mirror sharehold ing scheme and we expect with a simplistic scheme, we should be able to complete this demerger on the timelines that we stated. Obviously, there is lot of external interface on this. There are regulatory approvals, but so far we are on track and hopeful that probably by Q1 of next year we should have the demerger processed. To your question on why or whether it will unlock any value. There a re multiple reasons that we did the announcement of demerger. It does simplify corporate structure and post simplification, there is an opportunity for value unlock. It also leads to an enhanced managerial focus because all these businesses are well scaled , large businesses and industry leaders in each of their respective states, respective lines of businesses. So demerger and running it as a separate listed entity, definitely bringing additional managerial focus and giv ing the competitive edge. Each of our businesses are into different service lines and hence there was also a need of uniquely

defined capital allocation strategy for each of these businesses, which again, leads to value creation for shareholders. So that was also one of the reasons.

And it al so gives flexibility to these businesses to pursue independent strategies. And

that brings
a lot of clarity on the investment thesis for, let's say, the shareholder as to which businesses they
are investing money. So those were some of the reasons the deme rger was announced in the
month of February. And like I said, we are on track. Hopeful that by Q1 of next year, we should
be able to get this done.
Aniket Kulkarni: Okay. Thank you so much and best of luck for the upcoming quarter .
Moderator: Thank you. La dies and gentlemen, we'll take this as a last question and I will hand the conference
over to Mr. Kushal Maheshwari for closing comments.
Kushal Maheshwari: Thank you. This was a very engaging session. If there are any questions which are left, then you
can reach out to the Investor Relations team separately. I would request Guru to give our closing
remarks for the con -call.
Guruprasad Srinivasan: So, I take this opportunity to thank each one of you again for joining us for this Q1 earning call.
Your questi ons and feedback have always been valuable and I would like to once again highlight
that we remain s teadfast in growing the business across all our operational and financial metrics,
unlocking value to shareholders in the process and with this note thanks again for joining us and
look forward to meet you also. Thank you.
Moderator: Thank you. On behalf of IIFL Securities Limited, that concludes this conference. Thank you for
joining us and you may now disconnect your lines. Thank you.

(This document has been slightly edited to improve readability)

Call: Nov 2024

November 04 , 2024

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Floor 25, Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai -400001
Security Code - 539978
National Stock Exchange of India Limited
“Exchange Plaza”, Bandra- Kurla Complex,
Bandra (East),
Mumbai -400051
NSE Symbol - QUESS

Dear Sir / Madam,

Sub: Analyst Call - Transcript

Pursuant to Regulation 46(2)(oa) of SEBI (Listing Obligations and Disclosure Requ irements) Regulations, 2015, this is to inform that the Transcript of the analyst call, conducted through digital means, has been uploaded on the website of the Company under the following link: https://www.quesscorp.com/investors/

Kindly take the same on record.

Yours sincerely,
For Quess Corp Limited

Kundan K Lal
Company Secretary & Compliance Officer

Quess Corp Limited
Q2 and H1 FY 2025 Earnings Conference Cal l
October 29 , 202 4

ANALYST : MR. BALAJI SUBRAMANIAN – IIFL SECURITIES LIMITED

MANAGEMENT : MR. GURUPRASAD SRINIVASAN – EXECUTIVE DIRECTOR AND GROUP CHIEF EXECUTIVE OFFICER – QUESS CORP LIMITED
MR. KAMAL PAL HODA – GROUP CHIEF FINANCIAL OFFICER – QUESS CORP LIMITED
MR. LOHIT BHATIA – PRESIDENT , WORKFORCE MANAGEMENT – QUESS CORP LIMITED
MR. GURMEET CHAHAL – CHIEF EXECUTIVE OFFICER – QUESS GTS
MR. ANAND SUNDAR RAJ – PRESIDENT – OAM
MR. KUSHAL MAHESHWARI – HEAD, INVESTOR RELATIONS AND STRATEGIC FINANCE – QUESS CORP

Moderator: Ladies and gentlemen, good day, and welcome to Quess Corp Q2 FY 2025 and H1 FY 2025 Earnings Conference Call , hosted by IIFL Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Balaji Subramanian from IIFL Securities . Please go ahead, sir.
Balaji Subramanian: Ladies and gentlemen, good morning, and thank you for joining us on the post Q2 FY 25 results Conference Call for Quess Corp Limited. It's my pleasure to introduce the senior management team of Quess Corp, who are here with us today to discuss the results. We have Mr. Guruprasad Srinivasan, ED and Group CEO; Mr. Kamal Pal Hoda, Group CFO; Mr. Kushal Maheshwari, Head, Investor Relations and Strategic Finance; Mr. Lohit Bhatia, President, Workforce Management; Mr. Gurmeet Chahal , CEO, GTS; Mr. Anand Sundar Raj, President, OAM. We will begin the call with opening remarks by the management team. And thereafter, we will open the call for a Q&A session.
I would like to now hand over the call from Mr. Kushal Maheshwari to take the proceedings forward. Thank you, and over to you, Kushal.
Kushal Maheshwari: Thank you, Balaji. Good morning, everyone, and thank you for joining Quess Q2 FY 25 and Half Yearly FY 25 Earnings Call. The information, data and output shared by the management during the call is forward -looking and subject to prevailing business conditions and government policies. All forward -looking statements are subject to economic growth or other risks faced by the company. The results and the presentation have been uploaded on our website. Please refer to Slide 2 of the investor presentation for the Safe Harbor clause.
With that Safe Harbor , I will now hand over the call to our Group CEO and ED, Mr. Guruprasad Srinivasan , for his opening remarks. Over to you, Guru.
Guruprasad Srinivasan: Thank you, Kushal, and wishing everyone Happy Dhanteras, and thanks for joining us today. Let me start by giving you an overview of this quarter before moving on to respective platforms.
I'm pleased to share that during the quarter, we crossed 6 lakh head count , which is a milestone achieved by very few companies in private sector in India. We were at 3 ,50,000 levels during COVID in FY 21. And since then, we have grown the business organically at a remarkable scale and added close to 2 ,50,000 associates . Coincidentally, this also marks our 17th anniversary, and we take pride in scale which we have achieved, particularly as one of the youngest companies in the world to reach at this level. Over the past few quarters, we have been consistently delivering predictable financial performance along with broad -based growth across platforms. We have been delivering healthy revenue growth accompanied by margin expansion which has resulted in non -linear growth in profitability. Over the past year, we have

identified key improvement areas and growth streams in our business segments. These focused initiatives have helped us to boost productivity and strengthen our key financial metrics .
Moving on to quarterly financial performance. I'm delighted to share that we have delivered a steady performance with revenue of INR 5,179 crores and an EBITDA of INR 196 crores. EBITDA margin expanded on a year -on-year basis by 23 basis points. Moving on to key financial highlights for the quarter. We recorded a consolidated revenue of INR 5,179 crores, a growth o f 9% year -on-year. We delivered an EBITDA of INR 196 crores, a growth of 16% year-on-yea

r. Our year -on-year improvement in margin was led by reduction in found -it cash burn levels and outcome of productivity and improvement initiatives, leading to cost optimization.
For the half year period, we delivered a revenue of INR 10,182 crores and EBITDA of INR 384 crores. Margin for this period was 3.8%, reflecting a year -on-year improvement of 27 basis points. We added 42,000 in headcount and closed H1 with about 6 ,09,000 employees on rolls. Our net addition rate of 42,000 in first half of this year is significantly higher than the net addition of 56,000 that we added in entire FY24. We recorded a consolidated revenue of INR

10,182 crores, a growth of 9% on a year -on-year basis. We delivered EBITDA of INR 384 crores, a growth of 17% on year -on-year basis. As of H1, Quess had its lowest gross debt levels of INR 253 crores with a reduction in gross debt by INR 117 crores and net cash position of INR 334 crores at H1 closing. Operating OCF to EBITDA conversion improved to a healthy 86%.

Let me now walk you through specific platform -wise updates.

I would like to start off from Workforce Management. The platform headcount grew to 4,98,000 with around 15,000 associates added during the quarter. This includes approximately 40,000 employees who are serving notice period . Over the last 3.5 years, headcount in work force has been doubled from 2 ,39,000 in end of FY 21 to the current levels. Revenue for the quarter increased by 13% year -on-year and 3% quarter -on-quarter. EBITDA margin remained stable at 2.44% with the top line growth driven primarily by general staffing. The platform added 128 new clients during the quarter, contributing to an overall ACV of INR 100 crores.

I would like to share some more details specific to the general staffing. The business added 15,000 associates to its headcount during the quarter, largely led by demand from BFSI, logistics, manufacturing and retail sectors. The pace of headcount addition was slower, mainly because of delay in festivity season hiring in Q2. Typically, the season starts in August, but this time, we witnessed that the season picked up in mid of September. At the end of Q2, we have 22,000 open mandates , largely from manufacturing , telecom and BFSI segments. General staffing business added 74 new logos during the quarter. During the quarter, we also completed our vertical restructuring, both in terms of leadership and process. We will continue to invest in strengthening our sales, account management and sourcing across each vertical. As I mentioned in my previous discussion, this approach helps us to augment our ability to offer customized sourcing, improve customer retention and optimize fulfilment , creating a competitive advantage in the industry. Approximately 70% of our gross addition in Q2 came

from Tier 2 cities and beyond. This is an indication of our industry -leading geographic presence and sourcing capabilities that we have developed across India. We have made significant progress with Job Spots which we had called out in our previous quarter as well. These are essentially recruitment hotspots for perspective job seekers around key manufacturing clusters. Job spots in Hosur, Narasapura and Chakan are fully operational. We have opened new job spots in Tirupati in early October. We are witnessing strong interest from employers due to the proximity of job spots offices to industrial areas as well as the candidates since we facilitate easy walk -in. Going forward, we plan to expand this to other supply states in Eastern and Northern parts as we believe manufacturing vertical will be a major driver of headcount growth.

The other major business as part of workforce is the IT staffing. Headwinds in IT/ITeS sector continued in Q2. To an extent, it affected our hirings as well. However, we reported a growth of net addition of 240 that was sup

ported by GCCs. Over the past years, GCC has increasingly established their presence in India. We streamlined our GCC operations by verticalizing key industries and strengthening our sales and delivery expansion. In the current environment, when IT staffing remains subdued and demand appears to be stabilizing, we continue to focus on GCC and niche hiring to enhance our margin profile. Our open mandates are robust exceeding about 1,400 which is 3 x our monthly onboarding rate.

In terms of overseas staffing, we experienced a muted quarter mainly because of our largest market , Singapore , is undergoing headwinds due to visa restrictions that is affecting our headcount growth. In contrast, our other major business region which is Middle East registered strong growth. We remain optimistic that given our strong presence and agile leadership in regions we operate, we will see an upward trend in near term.

Let me now move on to Global Technology Solutions platform. GTS achieved a revenue growth of 2% sequentially and 7% on a year-on-year basis with an EBITDA margin for the quarter at 17.5% comfortably within our target range between 17% to 18%.

The highlight of the platform are as follows. The customer lifecycle management business continues to follow a strong trajectory, achieving 18% year -on-year growth and 4% sequential growth driven by domestic and international operation s. Allsec CXM vertical registered a robust growth with over 70% of its business coming from international market during the quarter. Voice services in Conne qt clocked a growth of 14% year -on-year led by demand from BFSI clients. Investments are being made to strengthen the automation, analytics and GenAI capabilities since CLM is expected to drive significant growth going forward. The non -voice BPO business remained flat year -on-year, but experienced an 8% sequential increase in following seasonal week in Q1. The collection s business demonstrated a good growth momentum. Going forward, the margin improvement will be a key focus area. The EXM payroll business processed about 4.3 million payslips in Q2 with 6% quarter -on-quarter growth and 13% year -on-year growth. The platform secured an order book over about INR 117 crore s, ACV added 53 new customers in the process. Key driver for this growth was specifically from e-commerce and BFSI segment.

Moving on to operating asset maintenance management, the O AM platform recorded a revenue growth of 9% and an EBITDA growth of 6% year -on-year. Over the past years, the platform has strengthened its leadership and sales capabilit ies. Although margins have declared on year -on-year basis due to these investments, but there has been a quarter -over-quarter improvement in margins as well from the sales penetration , and driven by growth in margin accretive business such as F&B and telecom active infra segments.

I would like to share some more key highlights of OAM business. The OAM platform added total 48 new customers resulting into ACV of INR 44 crore s in Q2. IFMS vertical was primarily driven by education and ITeS sectors. The F&B also improved as educational institution s resumed post their academic breaks. The Telecom active infrastructure business recorded its highest -ever quarterly revenue experiencing significant growth to the development of 4G and 5G networks by the telecom operators.

Moving on to product -led, which is now largely representing foundit on the platform. Foundit business registered a healthy growth of 11% while also decreasing its cash burn levels on a year-on-year basis. We are also experiencing significant traction and positive feedback on the foundit 2.0 platform from both candidate and recruiters. Recruiters have expressed their confidence and witnessed highest ever job on the platform reaching nearly 9 lakh s. CSAT score remains healthy at 90% on the candidate fr

ont and number of active users from past six months have increased to 25 million.

I have an interesting announcement to make. We are excited to welcome Jasprit Bumrah, India's leading fast bowler and top ranked player in ICC Men's Player ranking across all three formats of the game as the Brand Ambassador for our staffing vertical. His exceptional journey in cricket driven by relentless dedication, resilience and pursuit of excellence aligns with the value s that we champion at Quess workforce management .

Our demerger plan is progressing as per schedule. We have received NOC from stock exchange and the first motion with the NCLT has been completed with shareholders and creditors meeting scheduled on December 9. Since the announcement of our demerger in February, we have been strategically investing in people, technology to enhance our leadership capabilities, driving improvement in both sales and internal process es within each platform. With these investments and healthy financial and operating performance, we are confident that each of these three entities - Quess, Digitide and Bluspring will become the market leaders in their respective industries.

I'll now hand over to Kamal to give you more updates on financial for the quarter. Kamal, over to you.

Kamal Pal Hoda: Thank you, Guru. I'll first take you through headline financial numbers before delving into segmental performance and other corporate updates.

During the quarter, we delivered a revenue of INR 5,179 crores with a growth of 9% year -on-year and 4% quarter -on-quarter. EBITDA stands at INR 196 crores, a growth of 16% year -on-year and 4% quarter -on-quarter. Our operating margin is at 3.8%, which is 23 basis points

higher on a year -on-year basis, driven by business improvement and focused projects carried out in last one year and reductions in foundit burn. On a sequential basis, the margin held steadily. Profit after tax increased by 32% on a year -on-year basis, owing to growth of EBITDA and reduction of interest costs. While it declined 16% on a quarter -on-quarter basis to INR 94 crores due to one -off gains from divestment of LLC business and interest on tax refunds in the previous quarter. EPS for the quarter is INR 6.1, a 26% increase on a year -on-year basis, in line with the PAT growth. For the half year period, EPS is at INR 13, up 63% year-on-year.

One of our core focus areas in optimizing capital structure and improving sustained operational efficiency in our commitment towards debt reduction. As of H1 FY 25, gross debt stands at

INR 253 crores. We repaid INR 117 crores in H1 FY 25. Net cash position stands at INR 334 crores, improving 142% on a year -on-year basis. Our operating cash flow improved 78% year -on-year to INR 245 crores with operating OCF to EBITDA conversion at 86% on a half year basis.

Moving on to platform -wise updates, starting with workforce management. We delivered a top line of INR 3,747 crores, which is up 13% year -on-year and 3% quarter -on-quarter growth driven primarily by general staffing. IT staffing was steady led by GCC hiring. EBITDA for this quarter for this platform is at INR 92 crores, a growth of 5% year -on-year and 4% quarter -on-quarter basis. On a year -on-year basis, EBITDA margin has contracted by 18 basis points to 2.44%, due to muted growth in Singapore market , wage inflation and increase in general staffing revenue mix, which stands at 84% from 82% a year ago.

Moving on to Global Technology Solutions platform. The platform clocked a revenue of INR 625 crores, an increase of 7% year -on-year basis and 2% quarter -on-quarter basis due to robust growth in voice and platform services businesses with improvements in the non -voice businesses. EBITDA margin was largely flat on a sequential basis at 17.5%. We continue our focus on higher growth from international geographies in C

LM and on margin improvement in non-voice businesses.

Coming to operating asset management platform, it delivered a revenue of INR 768 crores, a growth of 9% year -on-year and 6% quarter -on-quarter. Growth was attributed towards food and telecom infra. Operating margin for the quarter is at 4.84%, declining 14 basis points on a year-on-year basis, due to investments towards sales and leadership while it improved 4 basis points sequentially.

In the product -led business, adjusted for our divestments in Qdigi, revenue for the quarter was INR 39 crores, a growth of 12% year -on-year. Foundit sales growth was 11% on a year -on-year basis. EBITDA was a negative INR 8 crores with cash burn at significantly lower levels on a year -on-year basis.

Moving on to demerger updates, we are progressing on track towards the proposed three -way demerger of Quess Corp. After we filed NCLT application in August , post stock exchange approval, NCLT on 22nd October disposed the first motion applications, giving directions for convening meetings with equity shareholders and unsecured creditors on 9th December.

Strengthening our internal processes and leadership are the key work streams before the demerger, and we are hopeful of completing the entire demerger process by Q1 of next financial year.

With this, I conclude our financial results and pass back to the moderator for taking your questions. Thank you.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Mr. Balaji Subramanian from IIFL Securities Limited. Please go ahead, sir.

Balaji Subramanian : Congrats on a good set of results. So, my question was while your consolidated EBITDA growth of 16% looks quite healthy, but I can see that a lot of it is driven by the loss reduction in the PLB platform. And the other three segments, the EBITDA growth is just in mid -single digits, like 5%, 6% on a Y -o-Y basis. And that is probably because of the OAM and GTS solutions seeing single -digit revenue growth. So what is the outlook going forward? So once the PLB business turns EBITDA positive later this year, how do you see the consol EBITDA trajectory in future?

The second question is on the core to associate ratio. So there has been a steady deterioration on that count. So , what exactly is happening there? And going forward, how should one think about it?

Guruprasad Srinivasan : Sure. I'll take this one. Balaji . I think both the questions are interrelated. So let me take the first part of it. In product -led business, if you look at it our burn is in line to the plan. Last full financial year , we had a cash burn of about INR 56 crore s and this year by H1 we are in a range of about INR16 crores to INR17 crores. And as we enter Q3, it should further come down and exit of Q4 is when I think we will definitely be in a break -even state. So we are on course to our plan there. And of course, it is also helping us to better our overall EBITDA margin percentages .

Coming back to specifically on the question that you asked for the growth from WFM and GTS. So , let me start with WFM. WFM has been by headcount, if you look at last full year across Quess we added about 56,000, of which almost, I would say, about 90% comes from WFM which is specifically general staffing there. And this year by H1, we have added about 42,000 of which again the same ratio comes from specifically from the general staffing business. While we are mindful that core to associate ratio has to be healthy. But however , the size where we are, and we got to invest more onto our sourcing engine because on an average we lose anywhere between 5% to 6% through attrition and backfill has to be done. And we have built this engine almost 10 -year plus which is now very aggressive engine across in terms of capability of hiring faster, quicker to our

customers and we continue to invest in that phase a
lot. So few specific call outs there. One, of course, Q2 being season al, we have increased our recruiter base in general staffing. So , 100 plus recruiters incremental we have added. Moreover, we have Job Spots that we have been calling out investing specifically to be precisely closer to the customers in manufacturing segment. So, there we are investing, plus verticalization that we have done as I called out in Q1 as well. Vertical strategy is extremely important, and we have to be more precise to the boundaries that customer operates in. So, for

example BFSI we have 120,000 people, manufacturing we have close to 70,000 people, consumer retail is almost about 200,000 people. So, we are also building a tower specifically to focus growth by vertical. That's how we measure each of our businesses internally. So from that standpoint these investments that we are doing, we are confident that it is going to realize well as we move forward. There is an interim that it will bring down the core to associate. But however, as we move forward, each of the pillar in itself will have its strength to grow at a different percentage as we move forward into FY 26.
Coming back to GTS, they are on course. GTS has been growing on high single digit and that's also in line to our plan. We're not seeing any surprises there. And their ACV if you look at for Q1 as well and Q2 is pretty strong with respect to the number of logos, almost INR 100 crores of ACV that they have signed in Q2 itself. And Q1 also we had called out almost about INR 83 crores. So they are on course in terms of their plan. So hope this answers core to associate as well as foundit and WFM question that you asked.
Balaji Subramanian : Yes, that more or less answers my question. So, yes, I think, yes, that's it from my side. All the best
Guruprasad Srinivasan: Thank you.
Kushal Maheshwari: Thank you, Balaji.
Moderator: Thank you very much. The next question is from the line of Vikas Ahuja from Antique. Please go ahead.
Vikas Ahuja : Hi, sir. Very good morning. So I have a couple of questions. The first one is this quarter headcount addition was lower than usual, 15,000 hires we typically see each quarter. Was this mainly due to we hired more than 30,000 in Q1, so there was some base effect. And how should we anticipate headcount trend in the second half of the year? That's number one.
And secondly on IT staffing, in the presentation, it says GCC contribution in Q2 is at 68% by revenue. So , it has actually declined from 70% to 68%. And I thought in the opening remarks, you said GCC again did better than IT staffing. So , I was little confused here. I mean can you please explain on that as well?
Guruprasad Srinivasan : So, because with regard s to the headcount, yes, Q1 definitely was a good opening and we added 30,000 plus and Q2, I think, I specifically called out, this time we have seen season start a month later. So , generally , the mandates would have come in July and ramped up, the deployment would have happened in the month of August. We saw slight delay there and the actual onboarding was done in the month of September. And it also benchmarks to the Diwali around. So because post Diwali after three weeks to four weeks of Diwali there will be a rehiring also that will happen. So, first and foremost, a month delay. So that has impacted the onboarding and hence we were able to achieve about 11,000 net adds. I mean, while we have done 11,000 net -add, the gross add will be at least three times of that, so three -plus times. Net add is what we will consider in terms of reporting. In addition to that, I mean, the sector that has given us a boost specifically for Q2 is logistic supply chain. In BFSI , we have seen slightly slowdown and manufacturing also slightly slowed down. So manufacturing should

be interim

which should pick up in Q3 for us. We are seeing mandates coming up from manufacturing for Q3. On a quarter -to-quarter basis, I think overall Quess, we have been able to grow anywhere between 4% to 5% and we would still continue to see that because both GTS and OAM will have a stronger Q3 and Q4. So , from that standpoint, I think we'll be doing good in terms of

our growth on overall perspective.
Specific to IT, to clarify our mandates which are coming in major ly, almost 74% comes from GCCs. We are not still seeing any green shoots coming in from ITeS and IT services. Part 2, I mean GCC contributing to the revenue is about 68% contribution to the overall revenue and in fact we are ahead of plan specifically to IT staffing within when we measure the business. And Q3 also we are seeing the net add and quality mandate which are coming in. So from that standpoint, the slowness in WFM is only from international staffing as I called out specifically from Singapore. Otherwise, India IT staffing on back of GCC I think we are quite confident.
Kushal Maheshwari : Lohit, would you like to add some more colour on IT staffing?
Vikas Ahuja: No. Sir, just one clarification also the GCC contribution in the presentation is 68% and last quarter it was 70%. So , I wanted to know the disconnect that why the contribution has dropped by 200 basis point for GCC?
Lohit Bhatia: So 68% is the overall contribution as it stands at the end of Q2. However what, Guru, was mentioning was 74% of the new business is coming from GCC. So I think every quarter that number you would see that it would eventually go up as the mix changes. I'd also like to add a few more points. I think we had mentioned in the previous calls as well that the entire mix for us is changing. As we have , if you notice from the last four years from the pre -COVID time to today, I'll just give you some estimated numbers. From 8,300 headcount today we are close to about 6,000 headcount in the IT business. However, from the niche profile and from the higher margin profiles from a low base of less than 3% contribution then , today the contribution is over 15%.
And when I say contribution from higher niche margins, 15% means almost close to about 900 plus headcount out of the 6,000 which contributes upwards of 50,000 and 100,000 gross margin P APM. Our blended gross margin P APM from this business is now at a record high of 19,000 per person per month. In comparison, you would remember that the general staffing business hovers between the INR680 to INR700 mark.
Vikas Ahuja: Okay. So maybe I'll take it separately with Kushal. So I think in last presentation it says GCC now contributes 70% of total domestic IT revenues and it says now 68%. So I was just getting confused. I'll take this offline. My second question is, last quarter we indicated that EBITDA was impacte d by seasonality and wage hike. And then we guided for margin improvement in Q2. Can you break down where specifically we have missed on margin improvement as we only saw a marginal uptick? And also , last year we saw better margin performance in the second half of the year compared to the first half. Do we anticipate a similar trend this year as well? And what are the key drivers if that is the trajectory going?

Kamal Pal Hoda: So, Vikas, Kamal this side. So I'll take up the margin questions. You pointed out rightly, so quarter three and quarter four are better quarters to us from a margin standpoint. The reasons are primarily that in quarter one and quarter two some of our high margin businesses go through a cyclicality. So the food business in the operating asset management business, the telecom infra business again in the operating asset management business which are better margin business within the platform, go through a

bit of a downhill in Q1 and Q2 due to the nature of the business and then they come back strongly in Q3, Q4 which also we are confid ent of basis the present pipeline. Similarly in our GTS business, in connect the collection business does much better in Q4 and also the payroll business in HRMS business in Allsec does better in Q3 and Q4. So combination of these factors give us better margins in Q3 and Q4 and hence we are hopeful that from the present 3.8% margin levels that we are reporting right now, we should inch towards 4% as we move into H2.
Kushal Maheshwari : Vikas, does that answer your question?
Vikas Ahuja: Yes, it did. Just one small clarification. The improvement in margins we have seen which is a marginal this quarter from Q1 to Q2. This is what we were anticipating, or initially we thought, the improvement is going to be much better. So just I need one small clarification here and thanks a lot and happy festive season to the management team.
Kushal Maheshwari : Thank you, Vikas.
Moderator: Thank you. The next question is from the line of Deep Shah from B&K Securities. Please go ahead.
Deep Shah: Yes, Thanks for the opportunity. So , one is a bookkeeping question on the reclassification that we did between employee cost and finance lost. So I did read the note but if you could explain a bit better? And then if this is going to be the way ahead or why was this done? That is first. Second, sir, we've seen a lot of noise or some substance on the GenAI affecting your BPO /BPM business. Could you provide some more clarity on what are the first interactions you're having? Is it affecting our pricing power? Is it affecting number of seats? And how do

you actually see this going ahead? Thank you.
Kamal Pal Hoda: Sure. Deep, Kamal this side. So , I will take the reclass and then on the generative AI question I'll ask Gurmeet to step in. So , we did this reclassification after benchmarking of how good governance organizations are presenting it. So the accounting standards do allow a choice of accounting policy in terms of presentation of the interest cost on the defined benefit obligation to show it either in employee cost or to show it under finance cost. And we have chosen the latter as a change in accounting policy.
We have done this change, and it has been done with a retrospective effect because the whole accounting policy changes have to be done with the retrospective effect. It has had no impact on our profitability. It is just a change of presentation. So , to the extent that it has impacted employee costs, it has had a very similar effect on the finance costs. So from a profitability standpoint, this has had no impact upon the profitability as well. From a presentation

standpoint also , we have reclassified all our prior year numbers to give effect of this change so that the numbers are comparable for all prior periods.
On your question on generative AI and its impact, I would request Gurmeet to respond.
Gurmeet Chahal: Hi. Thank you. This is Gurmeet here. So for us, generative AI is an opportunity and that's how we are approaching it. As an organization, as you know, customer lifecycle management is a significant part of our business. We manage about 1 billion customer interactions every year. So that means about 3 per second, 24/7, 365 days. So there's a lot of experience that is within the organization. So , what we are doing is we are leveraging that experience, keeping the human in the loop and building assets, AI assets around it. We will be launching an overarching offering called 'pulse.ai', which to start with will have eight, think of it as lego blocks, which could be used in unison or individually. We believe it will address a couple of challenges that the industry sees in this regard. First of all, it will help us bring elastic capacity into operations because of the pr

edictability. Second, 2x improvement in go -to-market for our
e-commerce customers, up to 3x growth in sales. We believe with the improved customer service will lead to a 30% uplift in NPS. And of course all of this will also be able to deliver about 30% to 40% cost saving, depending on how mature your underlying data assets are. Hopefully, that addresses your question.
Deep Shah: Yes. So sir, you plan to launch this, so will it be rolled out over the next one year? How is the rollout plan? And does it cater to a large client, or it is something that anyone can use it, or these are just very early conversations ?
Gurmeet Chahal: Yes. So look, we've been kind of doing the POCs for the last six months. And then based on those POCs, we have been refining our offering. We plan to launch the first set in the coming quarter itself and then gradually we will roll it out.
Deep Shah: Sure, sir. Thank you so much. All the best.
Kushal Maheshwari : Thank you, Deep.
Moderator: Thank you. The next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.
Amit Chandra: Yes, and thanks for the opportunity. Sir, my first question is on the margins for the WFM segment. So obviously you have provided the clarification. But for my understanding, the margins Y -o-Y has been down and sequentially also it has been almost flat, right? So this is now like despite the increasing contribution of GCC, which is suppose dly at a higher margin. So can you assume that the general staffing, the core general staffing margins have been coming down and still there is no respite to the margins for the core segment within WFM? And also the sourcing component has been going up and the transfer component has been coming down. So in general, if you explain whether the sourcing, higher sourcing can also lead to lower margins?
Guruprasad Srinivasan: Sure. Amit, I will start with the margin. We were 2.6% and we've come down to about 2.4%. Again, multiple pointers here. One is, of course, as part of the demerger process we are also

strengthening each of the platforms. So we are again hiring the capabilities for the back office and all of that for of the platform. Number two, specifically for W FM I spoke about verticalization. We have been investing because investment for future in terms of how each of these vertical s are going to represent and will have its trajectory of growth. Just to give you an example again , for us the manufacturing is about 70,000. We intend to drive this and it has an opportunity in itself to cross over 200,000 associates over a couple of years from now, right. So, to build that you got to get the right structures in place, the processes in place, the challenges between segment to segment is very extremely different. So , we got to make those investments in IR being closer to customers, specifically when I take manufacturing. Then consumer retail hiring is extremely different than what we do for manufacturing. So , from that standpoint we are strengthening the vertical. So verticalization will help us to get the competitive edge as we move forward. So that's the secon d investment post the demerger. Third , hiring for GCC versus hiring for IT services is extremely different. So , in terms of the quality of recruiters, we don't hire freshers here, they are minimum of about three years to eight years of experience. And to hire them in terms of onboarding is something that you need a better quality of recruiters to handle it. The last one here is the international mix , if you take overall WFM EBITDA, 50% comes from general staffing, 50% comes from all other . So, of which balance 50% which comes from all other staffing, 21% comes from international. So , international comes at a very high EBITDA margin level. So, Singapore currently not hiring has also got few basis points down in terms of

the EBITDA margin. So , from margin perspective, the levers for us to work on is one, of course international recovery; Two, as we get volume coming in , in incoming quarters it should come back to the levels where we were and then slowly we should see how we can graduate from thereafter .

So, the next question that you had on sourcing , on source sourcing versus trans fer, sourcing engine is doing well. I'll hand over to Lohit to take this question.

Lohit Bhatia: Yes. Thank you Guru. Before I come to the sourcing versus transfers, let me put some perspective because I think there seems to be a concern on WFM margins overall. At 2.44%, we are slightly softer by about 15 -20 basis points against our medium -term last co uple of quarters at about 2.6%. Having said that, the business as large as 84% contribution coming from the general staffing India business at 2.44% margin, we are already beating industry averages by at least 2x. The nearest anybody in the industry would be performing would be at half the margin rates of what Quest is delivering at almost 50% higher headcount and revenue both. So that's the first part. Let's keep that in mind in context to the delivery from Quess. The second point which I must add, as a team, our WFM long -term margin trajectory north star remains at 3%. We have not moved away from that north star, but that's a long -term target for us. Where do we want to get into the medium term is back to the 2.6%, 2.65%. What contribute s is three large levers for us. The general staffing business which hovers between the 1.9% -2% margin, the international business which erstwhile about a year ago prior to the regulatory and visa tightness in Singapore, internationally used to contribute between 6% to 7% EBITDA margin and India which used to again contribute between the 6% to 7% for professional staffing. The good news here is that while the decline of Singapore has completely been overtaken by our focus and advent into GCC as far as the India professional

staffing is concerned. Today, our India IT business is contributing upwards of 9% EBITDA margin which is a record high for us for this business. But unfortunately, it happened at the times when international or mainly Singapore has declined from 6.5% to 4.5%. So what would have otherwise aided in a 20 basis point margin expansion has just offset what has happened in Singapore. So, I just wanted to give that perspective. Guru is right about the verticalization, the investment in sourcing and the other things.

I will come back to the point on sourcing versus transfers. Transfers always add to immediate uplift in gross margin. It may or may not aid your margin percentage expansion because generally large transfers also come at flat fee and those flat fees typically if it's a collect and pay actually drags your margin downwards. Sourcing on the other hand is more sticky. Once you do sourcing, the customer cannot easily replace or that account cannot be easily replaced by somebody else because that's the investment that we are doing on those majors.

Now the third element that we must add here is Quess has been looking into the manufacturing space for the last three years in a very serious manner. Today we have about 70,000 to 75,000 people just in the manufacturing space, thanks to our verticalization, 265 dedicated core resources work here. As we expand in manufacturing, while our margin percentage might go up a bit, our core to FTE ratios and other ratios might come down. I'm sure all of you understand when we are dealing with services customers, managing 400 to 500 associates with one core is possible. But when you're managing manufacturing, typically you have to give shift supervisors, you have to give IR and ER professionals, you have to manage compliances at the factories. A typical core to FT E ratio comes down to 1 to 200. So, it's

a blended mix. Quess
WFM is almost at the cusp of 500,000 professionals. Our long -term vision is to be 1 million. To be able to do that we need to focus on our verticalization. This is not a short -term game. We are in here for the long -term. So I hope you can see it with that perspective.

Amit Chandra: Yes. Thanks for the elaborate answer. So it is clear now. So the second is on the foundit segment. So , firstly, on the breakeven part, earlier we mentioned that we are going to breakeven this year, but in the first half there is a n EBITDA loss of around INR16 crores. So how we are going to navigate that. And secondly on the investments and the sales growth, so some more clarity on how we are seeing because the sales have been almost flat sequentially and Y -o-Y also it's not that encouraging. But how the various metrics are panning out and how we can compete with giant here because in platform business it's very difficult to establish yourself when there is such a large player that is there in the system for so many years. So what initiatives we have taken and where we are there in those initiatives and with those investments how we plan to break even?

Guruprasad Srinivasan: Sure. Amit, first and foremost, we keep getting this question specifically on ‘winner takes the market’, which probably I think is not really true. What happens is the job seeker needs a job, and they don't specifically go after one specific platform. So , wherever they can maximize, they will come onto that which is also kind of proof in terms of the profile updates that is up by 61% year -on-year with foundit. From almost 3 million we have touched almost about 7 million in terms of the profile updates. Our job postings have gone up by 141% year -on-year. And the 2.0 applications that we have launched, we have done quite a lot of pilots, and the large customers have been migrated on this been received very well and our CSAT from the

candidate side is also almost 90% plus . So these are few, I would say, positive indicators why the platform will do well. And it is also reflecting on our burn reducing by actual revenue increase that is happening year -on-year. We have grown about 12%. Having said that, you are right, it is also slightly soft because of few factors. So , 60% of our revenue comes from the IT sector which in itself has reduced its hiring. So IT services contributes a major and even that segment has come down by 60%. Second is placement agencies who are the second largest set of subscribers who come onto this, and smaller staffing companies are still not spending as before. So that's the second call -out that we have seen. Singapore market again has an impact on foundit because we cater to the Asia market as well so still we see caution in terms of spending. It is also leading to longer sales cycles and plus of course the candidate se rvices which continues to grow. We have seen in India specifically the candidate services growing and new product launches which has been received well. So IT services about 60% slowing down has impacted on our growth. It can do better as we step into the upcoming quarters we are seeing good o rder book coming in for this. So A) – winner takes all market. We have seen the other way around, so we are really not stressed about it. B), we are waiting for IT services to open up for this segment as well as the international boundaries as well. But otherwise , we are confident from the order book to see how the Q3 and moving towards the breakeven for Q4. Just to give you a little math there, our cost is around INR45 crores per quarter, and we are hovering around INR 39 crores of revenue. So we are not too far from the break even. Hope that answers your question.

Amit Chandra: Yes, sir. Thanks, and all the best for the quarter.

Guruprasad Srinivasan: Thank you.

Moderator: Thank you. Th

e next question is from the line of Deep Modi from Equirus Securities Private Limited. Please go ahead.

Deep Modi: Yes. Thanks for the opportunity. I have couple of questions. So based on the commentary given by several IT companies in recent results call, there is a gradual recovery in demand led by the decreasing interest rates. So whether we see improvement in demand in IT service within workforce management going forward as well? And is there any chances to improve the margin within workforce management led by this?

Kushal Maheshwari : More or less, Deep, this question has been answered, but I'll ask Lohit to give you some more colour on IT staffing and the margins for workforce management., Lohit, if you can just give us some more inputs?

Lohit Bhatia: Sir, like I was mentioning that three large businesses that we have split into, there's the general staffing business which is just hovering around a little sub 2% EBITDA margin. However, it still continues to be nearly two times the industry average and the nearest competitors. The second large business for us is the International or the APAC business. International and APAC used to be hovering between 6% to 7% EBITDA margin, however subdued because of the last one year of regulatory and visa compliance issues in the Singapore market. And the third mix in the business is the IT staffing in India. IT staffing , currently in India , we have about 6,000 resources. But consistently for last four years we have been working towards

higher and niche segments. We've changed our customer mix, we've gone after GCCs in a big way. Hence the slowdown of the IT services industry has not really impacted us. Rather we have changed our mix towards the IT niche segments from the GCCs itself.

Today our average open mandate and open book in IT business is about 1,500. You'd be glad to know that about 75% or three -fourth of them primarily come from higher margins and GCCs itself . Open book is almost 3x of our monthly onboards. So , our monthly onboards being at about 500, we have a n open mandate of about three times that size.

Deep Modi: Okay. It clarifies. Thank you. So my second question is how we leverage our opportunity on government's focus on job creation, which was held in the month of July in the union budget. So is there any update on the fine print from government side and how we see the impact of same in this staffing business?

Lohit Bhatia: The employment -led incentive schemes as announced by the government in July have undergone a massive amount of consultation. We have participated as industry leaders and as part of industry bodies with the government at various levels in various forums. According to our understanding, the government has taken consultation from all the industry players aggregated all the points of view. And obviously, their focus continues to be to move from informal to formal . More importantly, the government is focused towards the right measurement that once the rules are out and hopefully, they should be out very shortly. Once the rules are out, the measurement has to be very simple .. So that's what the government is working towards. But at this stage, I mean, I would not be able to answer on behalf of the government. I can only say that the industry consultation have happened at appropriate levels. And we feel that we should hear about the guidance very, very shortly.

Deep Modi: Okay. Thank you very much. Wish you all the best. Thank you.

Kushal Maheshwari : Thank you, Deep. Thank you, Lohit.

Moderator: Thank you. The next question is from the line of Chintan Sheth from Girik Capital. Please go ahead.

Chintan Sheth: Yes. Thank you for the opportunity. Just a bit on the DSO days overall, we have seen from March to this first half has increased a bit by three days or so. If you can talk about , even the collection has bee

n pretty robust, and cash flow has been pretty strong but if you can highlight anything to take away from that? And secondly, on the government incentives scheme which you talked about a bit just before that, is still not implemented fully? And what is our expectation in terms of incentive scheme also one of the contributor to our overall margin profile going forward?

Kamal Pal Hoda: Sure. Chintan, Kamal here. I'll take the question. So the DSO days actually has been flat. In fact on a quarter -on-quarter basis we have seen a one day increase in DSO but on a March to September basis it has been flattish. We have internally active working streams across all businesses and on back of that, that we've been able to report 86% OCF conversion to EBITDA. And which has led to a significant reduction of our debt levels. We mentioned in our

commentary that INR117 crores of debt repayment that we have done. So , it's not at a very alarming level . And as management, we are confident of bringing the DSO days further down. On the government incentives, I think, Lohit did explain that so far we are still awaiting the detailed guidelines from the government and hence there is no portion of our present reporting numbers which includes these proposed government incentives, because the detailed guidelines of the ELIs are expected next month and that is when it should start impacting the business results. So , in the present H1 numbers there are no impact of any government incentive schemes.

Chintan Sheth: But by year end you expect this to get implemented and some benefit to start accruing in our numbers, that's fair to assume?

Kamal Pal Hoda: So Chintan, as we explained on the call, there has been massive consultation post the budgetary announcement and we are hopeful and awaiting the detailed guidelines as to when it comes. The major impact is towards first time employment and it also towards the direct benefit transfers which should happen towards the fresh employment. And being the largest player in the industry in this space, we believe that it should benefit our business. But we await the detailed guidelines. And once the guidelines are out from the government side we'll be able

to comment more on this.
Chintan Sheth: Okay. And if we look at the change in the accounting on the employee and finance cost, if we reverse that the EBITDA number will further have some flat on a sequential basis, but the improvement won't be that large, what is reported after the adjustments which we have reported during the quarter. One thing also I observed was the SG&A spend which was a little elevated this quarter largely related to the job postings and the hotspots which we have talked about is part of that SG&A . Is that correct understanding?
Kushal Maheshwari : Sorry, can you repeat your last question again?
Chintan Sheth: The SG&A spend for WFM has increased to 6.2% ver sus it was hovering around 5.8%. So will the trend continue and how should one look at it?
Kamal Pal Hoda: Yes. So , on the interest and the classification of interest cost on defined benefit obligation from employee benefits to finance cost, I think I explained in one of the previous question as well that it has had no impact on our profitability. In fact, in the accounting policy we have had a retrospective application. So the quarter -on-quarter EBITDA growth that you see is apple -to-apple comparable because in all our prior year numbers also we have done a reclassification. On the SG&A cost going up. I think both Lohit and Guru briefly covered that the investments that we have made in the verticalization across our sectors and also due to festive hiring, the additional recruiters that we hire leads to a bit of an increase in our SG&A cost towards Q2 and Q3 and then it gets normalized back in Q4. So , we don't expect it to be at these

levels and
we hope that it will come back t o the previous levels reported. Some of these also include investments that we are doing as part of our strengthening of the leadership and sales going to the demerger process. So , it's a combination of three, four things that we explain over the call.

But we are hopeful that we should be able to pull back the S G&A cost to normal levels in the upcoming quarters.
Chintan Sheth: Okay. That cost will also aid our margins that can be …
Kamal Pal Hoda: Yes.
Chintan Sheth: Okay. Got it. I'll jump back in queue. All the very best. Thank you.
Kamal Pal Hoda: Thank you.
Moderator: Thank you. As that was the last question from the participant, I now hand the conference over to Management for closing comments.
Kushal Maheshwari: Over to you, Guru.
Guruprasad Srinivasan: So, thanks to everyone for joining us again for this Q2 Earnings Call. Your question and feedback have always been valuable, and I would like to reiterate that we remain committed to grow the business across all operational and financial metrics while unlocking value for our shareholders. So before we conclude the call, I would like to wish each one of you and your families a joyful, festive season ahead. Thank you.
Kushal Maheshwari : Thank you very much.
Moderator: On behalf of IIFL Securities Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

(This document has been slightly edited to improve readability)

Call: Feb 2025

February 03, 2025

To,
BSE Limited
Floor 25, Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai -400001
Security Code - 539978
National Stock Exchange of India Limited
“Exchange Plaza”, Bandra- Kurla Complex,
Bandra (East),
Mumbai -400051
NSE Symbol - QUESS

Dear Sir / Madam,

Sub: Analyst Call - Transcript

Pursuant to Regulation 46(2)(oa) of SEBI (Listing Obligations and Disclosure Requ irements) Regulations, 2015, this is to inform that the Transcript of the analyst call, conducted through digital means, has been uploaded on the website of the Company under the following link: https://www.quesscorp.com/investors/

Kindly take the same on record.

Yours sincerely,
For Quess Corp Limited

Kundan K Lal
Company Secretary & Compliance Officer

Encl: a/a

Quess Corp Limited
Q3 and 9M FY 2025 Earnings Conference Call
January 30, 202 5

ANALYST : MR. BALAJI SUBRAMANIAN – IIFL SECU RITIES LIMITED

MANAGEMENT : MR. GURUPRASAD SRINIVASAN – EXECUTIVE DIRECTOR AND GROUP CHIEF EXECUTIVE OFFICER – QUESS CORP LIMITED
MR. KAMAL PAL HODA – GROUP CHIEF FINANCIAL OFFICER – QUESS CORP LIMITED
MR. LOHIT BHATIA – PRESIDENT , WORKFORCE MANAGEMENT – QUESS CORP LIMITED
MR. GURMEET CHAHAL – CHIEF EXECUTIVE OFFICER – QUESS GTS
MR. ANAND SUNDAR RAJ – PRESIDENT – OAM
MR. V. SURESH – CHIEF EXECUTIVE OFFICER - FOUNDIT

Moderator: Ladies and gentlemen, good day, and welcome to Quess Corp Limited Q3 and 9 M FY2025 Earnings Conference Call hosted by IIFL Capital Services Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Balaji Subramanian from IIFL Capital Services Limited. Thank you. And over to you, sir.

Balaji Subramanian: Thank you. Ladies and gentlemen, good morning and thank you for joining us on the post Q3 and 9 M FY2025 results conference call for Quess Corp Limited. It's my pleasure to introduce the senior management team of Quess Corp, who are here with us today to discuss the results.

We have Mr. Guruprasad Srinivasan, ED and Group CEO; Mr. Kamal Pal Hoda, Group CFO ; Mr. Kushal Maheshwari, Head, Investor Relations and Strategic Finance; Mr. Lohit Bhatia, President, Workforce Management; Mr. Gurmeet Chahal, CEO, GTS; Mr. Anand Sundar Raj, President, OAM; Mr. V. Suresh, CEO, foundit.

We will begin the call with opening remarks by the management team, and thereafter, we will open the call for a Q&A session. I would like to now hand over the call to Mr. Kushal Maheshwari to take proceedings forward. Thank you. And over to you, Kushal.

Kushal Maheshwari: Thank you, Balaji. Good morning, everyone, and thank you for joining Quess Corp's Q3 and 9 M FY2025 earnings call. The information, data and output shared by the management during the call is forward -looking and subject to prevailing business conditions and government policies. All forward -looking statements are subject to economic growth or other ris k factors faced by the company. The result and the presentation have been uploaded on our website. Please refer to Slide number 2 of investor presentation for the safe harbour clause.

With that safe harbour clause in place, I will now hand over the call to our Group CEO, Mr. Guruprasad Srinivasan, for his opening remarks. Over to you, Guru.

Guruprasad Srinivasan: Thanks, Kushal. Very good morning to everyone, and thank you for joining us today. Wish you all a very Happy New Year . Before discussing our financial and operational performance, let me summarize the current operating environment. Moderation in private consumption and investments, coupled with a high inflationary and elevated interest rate environment has negatively impac ted consumer and business spending, effects of which are visible in sectors where our businesses operate. Nevertheless, we remain confident in an imminent rebound in economic growth, expecting a revival in industrial activity and continued strength in the sectors we operate in. .

Despite a challenging environment and demerger investments, we are on track for non -linear profitability. In the past 9 months, revenue and EBITDA grew in low double digits, while PAT and EPS increased by over 50%.

In Q3 FY25, we reported revenue of ■5,519 crore, with EBITDA at ■197 crore. EBITDA margins contracted to 3.6% due to investments in sales and leadership and festive season bonus passthrough to associates. PAT decreased by 13% sequentially due to demerger -related costs. During the period, we added approximately 7,000 associates .

Key financial highlights for 9 months are as follows. We added 50,000 associates, and the current total head count is 617,000, a 9% growth from March '24 levels. During the same period last year, we added 46,000 associates. We recorded consolidated revenue of INR15,702 crores, a growth of 11% year -on-year. We delivered EBITDA of INR581 crores, a growth of 13% ye

ar -
on-year. YTD PAT was at INR290 crores, registering a 59% growth year -on-year. The Board has approved an interim dividend of INR4 per share.

With this , now let me specifically talk about platform updates, starting with workforce management platform. The platform now has over 500,000 associates, up by 5,000 this quarter, including 40,000 associates who are serving notice period. Revenue grew 18% year -on-year, 8% quarter -on-quarter, boosted by bonuses that are recorded as part of the revenue, but essentially, they belong to the seasonal payouts of Q3. Consequently, EBITDA margin dipped to 2.3% and grew 3% year -on-year and remained flat for quarter -on-quarter. The platform secured 124 new contracts with ACV exceeding INR150 crores.

Now coming specifically to businesses under workforce, to start with the general staffing business. The business added about 5,100 associates in headcount during the quarter, led by consumer, retail and telecom. The pace of headcount addition was slower af ter a strong start in October as we saw de -hire after the Diwali season, particularly in logistics and e -com sector. BFSI headcount growth remained flattish due to slowdown in unsecured lending, followed by RBI tightening the regulations. The BFSI sector remains a key watch area as we enter in Q4, and the slowdown is expected to continue in near term as well. As of Q3 end, we have a modest open mandate of about 14,000, primarily from manufacturing and consumer segment. General Staffing, added 87 new contracts during the period with annual contract value of INR136 crores. During the 9 -month period, the business brought almost about 240 -plus new customers. Our investment in targeted vertical structure will enhance operations, boost efficiency and improve our outcomes. We are confident that this will create a substantial long -term advantage over competitors through our tailored solution specific to the sourci ng segment, strengthening our sourcing platform and customer retention strategies and fulfilment .

Moving on to IT staffing business. In the IT staffing business, we continue to see encouraging GCC contributions, while IT /ITeS segment demand remained modest. Our investment in niche skill, specifically in GCC and verticalization and quality of mandate yielded a better margin profile, which is reflected in our improved realization per associate. To leverage the growth preferences of global corporations to set up GCCs in India, we are augmenting our play with GCC -as-a-service, wherein we tie up with partners, augmenting our capability to provide workspace and workforce solution to our customers. We expect significant traction going

forward from this. ITeS is expected to recover in Q4, and the pipeline is encouraging. We currently have about 1,600 open mandates, which is 15% higher sequentially.

In overseas staffing, performance varies across region. Singapore has not resumed growth due to visa restrictions, but strong fundamentals and leadership in Middle East and APAC has driven sales overall growth and overseas sales remained flat in this quarter.

Moving on to the next platform, which is Operating Asset Maintenance. OAM platform achieved revenue of 15% year -on-year and 4% sequentially. EBITDA margins were marginally low er on account of revenue mix change in food and beverage business. During the quarter, we acquired the food and catering and IFM business of Archer Industrial Services. This is a small bolt -on acquisition, helps us to broaden our F&B offerings with foray int o industrial sector and enable cross -sell opportunities with our existing industrial O&M and security business. We expect this integration to be completed by Q4 of this year.

I would like to give you some highlights on OAM business . OAM platform added about 52 logos with ACV of INR170 crores during the quarter. IFMS continues

its steady growth with 17%
year-on-year with new contract wins from BFSI, Industrial and IT/ITES sector. Food and Beverage post integration with Archer will be a INR300 crore s exit run rate business. Telecom Infra business continued its solid run with a 30 -plus percent year -on-year growth and is on track to achieve annual run rate of INR300 crores by exit of FY 25. Apart from project -related contracts, Vedang , which is our telecom infra business, focus is to increase contribution from annuity O&M services. Security services post rationalization of low -margin contracts has resumed on its headcount -led growth trajectory.

Moving on to product -led business platfor m, which now largely represents foundit business . foundit registered a weak one -off quarter primarily on account of seasonal weak hiring season, headwinds in IT/IT eS sector and leadership transition. We are confident that foundit will resume its revenue trajectory of 20 -plus percent year -on-year in near term. In this regard, EBITDA was also down sequentially, a negative INR9 crores for the quarter. However, cash burn for a period of 9 months has significantly improved from INR63 crores in prior year to INR25 crores till date. CSAT score has been healthy at 93%. On candidate front, 6 months active users have improved by 8% quarter -on-quarter to 27 million, while the recruiter search has also seen an uptick by 15% quarter -on-quarter to 4.5 million.

Moving on to the next large platform, which is Global Technology Solutions. GTS registered a revenue of 3% on a sequential basis, led by Tech and Digital, which grew 5% sequentially. Tech and Digital includes platform and IT infra service lines. Platform b usiness reporting an 11% growth sequentially was a key growth driver. EBITDA was largely flattish sequentially with margin at 17.1%, 36 basis points lower on quarter -on-quarter basis. We have made significant investment in sales, leadership, product and delivery capabilities to accelerate our future growth post demerger.

The highlights of GTS platform specific to business line are as follows. BPM business registered a revenue of 3% sequentially. Customer life cycle management business grew 4% on a quarter -on-quarter basis, led by higher contributions from international business and robust domestic

business. All digi's CXM vertical registered a solid growth of 8% quarter -on-quarter and crossed INR100 crores quarterly revenue for the first time. International business contribution also increased to 75% in Q3. Sales focus continues to bring in clients which are large in deal size and having a long -term horizon to ensure stable cash flows. Non-voice BPM business, while marginally declined on a yearly basis, saw a 2% sequential increase. Collection business has been weak over the last few months amid of RBI regulations. However, we expect it to rebound in Q4. Tech and Digital business led the growth in GTS with a 5% sequential growth. The platform -based services witnessed a broad -based growth in managed payroll and InsurTech business with 11% sequential growth. The payroll business processed 4.4 million pay slips during the period, which is a 6% growth on quarter -on-quarter basis. Our sales bookings have been encouraging with 61 new logos coming in during the quarter, with ACV up 26% sequentially to close the quarter at INR147 crores. BFSI and media were key sectors where the growth is coming in from. As a run -up to demerger, with a new entity, Digitide, we are examining our existing service lines and rationalizing low -margin low -efficiency contracts, which would give a sust ainable upside to our long -term operating margins.

As part of the corporate update, our demerger plans are progressing on track, followed our first NCLT approval. We successfully secured approval from shareholders and creditors in December. In recent months

, we have diligently worked on building a strong f oundation for each entity. As we await the final approval from the NCLT, our commitment to drive sustainab le long-term growth across all the demerged entities remains steadfast. This transition marks an important step in unlocking shareholder value and positioning each entity for its future success.

I will now hand over to Kamal specifically to give you financial updates for the quarter. Over to you, Kamal.

Kamal Pal Hoda: Thank you, Guru. I will first take you through headline financial numbers before delving into segmental performance and other corporate updates. We delivered a revenue of INR5,519 crores with a growth of 14% year -on-year and 7% quarter -on-quarter. EBITDA stands at INR197 crores, up 6% year -on-year basis and marginall y higher on a sequential basis. The operating margin is 3.6%, lower by 20 basis points sequentially and 27 basis points on a year -on-year basis as platform margins have contracted owing to investments in sales, leadership and capabilities in the run -up to demerger. Moreover, the quarter characterized by bonus payments to associates, which is recognized in revenue, also impacted margins.

PAT for the quarter is at INR85 crores. Demerger -related expenses of INR22 crores were recognized during the quarter, which resulted in a PAT decline of 9% on a sequential basis. However, PAT was up 34% on a year -on-year basis, primarily on account of lower finance costs from diligent and consistent debt reduction and higher o ther income. EPS for the quarter is at INR5.4 per share, a 26% increase on a year -on-year basis and down 12% on a quarter -on-quarter basis. Continuing our capital structure optimization journey, we have repaid close to INR150 crores of debt in the first 9 months of the year and gross debt now stands at INR224 crores. The Board declared an interim dividend of INR4 per share, translating to a cash outflow of approximately INR60 crores. In summary, on a year -to-date basis, we are on track in delivering on our non -linear profitability trajectory with 11% revenue and 13% EBITDA growth with PAT growth of 5 8% while managing cash prudently.

Moving on to platform -wise updates, starting with workforce management. We delivered a top line of INR4,047 crores, which is up 18% year -on-year and 8% quarter -on-quarter. EBITDA for the quarter is INR92 crores, a growth of 3% on a year -on-year basis and flat sequentially. EBITDA margin contracted by 34 basis points on a year -on-year basis and 17 basis points sequentially to 2.3%, primarily due to visa restrictions in the Singapore region and seasonal festive bonus pass -through to associates in the current quarter. IT staffi ng witnessed a steady growth of 9% sequentially with contributions from GCC as IT /ITES demand remained modest.

Moving on to Global Technology Solutions platform. The platform clocked a revenue of INR646 crores, an increase of 10% year -on-year and 3% quarter -on-quarter basis. Tech and Digital grew by 5% sequentially, which was driven by growth in our platform business. EBITDA margin was lower by 40 basis points at 17.1% due to investments being made in sales, leadership, products and delivery capabilities to accelerate future growth. Going forward, the focus remains on high -value offerings in digital and long -term l arge deals in GTS.

Coming to our Operating Asset Management platform. It delivered a revenue of INR800 crores, a growth of 15% year -on-year and 4% quarter -on-quarter. Growth was led by telecom and industrial vertical, which grew 30% plus on a year -on-year basis. EBITDA was at INR38 crores, witnessing a growth of 4% year -on-year basis and 2% on a quarter -on-quarter basis. Operating margin saw a slight dip to 4.7% on account of revenue mix change in F&B vertical.

In the product -led business, adjusted for our divestment in Qdigi

, revenue for the quarter was INR26 crores, a decline of 29% on a year -on-year basis. This decline was primarily due to seasonally weak hiring in this quarter alongside IT/ITES industry headwinds. As top line growth was below normal, EBITDA burn increased sequentially to a negative INR9 crores. However, on a year -to-date basis, cash burn is at significantly lower levels than last year.

Moving on to corporate updates. I'll start off with tax -related matters. We have received tax refunds aggregating to INR147 crores, of which INR125 crores towards FY 23-24 and INR22 crores for FY 19-20. Moving on to demerger update , we are progressing on track towards the proposed 3 -way demerger of Quess Corp. Post our first round of NCLT approval, we received shareholders and creditors approval during the meeting convened on 9th December. Internally, we are focused on establishing robust internal controls, streamlining operational processes and building strong leadership teams for each of the demerged entities. Our aim is to create independent entities that are agile, strategicall y focused and well positioned to unlock value for all stakeholders in the long term.

With this, I conclude our financial results and pass back to the moderator to answer your questions. Thank you.

Moderator: Thank you very much. The first question is from the line of Balaji Subramanian from IIFL Capital. Please go ahead.

Balaji Subramanian: Congrats on a decent quarter. So my first question is on the margins. If I look at the EBITDA margins in 3 of the 4 platforms, they are down on a Y oY basis. So I understand that one reason is the investments that you are making in some of these platforms because the demerger is

completed. Two is because of the festive season -related bonus payouts that you did. And the third is probably because of the demand weakness. So, for instance, one of your peers that reported yesterday was talking about PA PM pressures and the PAPM increase not keeping up with the associate wage payouts. So can you give us some sense on what would be the impact from each of these factors?

Guruprasad Srinivasan: Sure. Let me take this, and then I'll get Lohit to come in. So , Balaji, first and foremost, I mean, as you rightly said, Q3 is a season around , we'll be coming out of the season post July to October. So this time, Diwali was somewhere on 2nd of November, and we actually saw immediately de -hiring as well , massive de-hiring after Diwali season. And of course, the specific segments such as retail and a few segments which are sales -led with the incentives and other commissions and bonuses that gets paid in the subsequent month, which is November and December, which typically is a kind of pass -through, and that's roughly about INR160 crores, which is a pass -through on which there won't be any revenue for us . So that's one of the reasons why the margin is slightly low. Second, macroeconomic, specifically in Singapore, our ramp -up is not happening currently and we are almost sustaining the headcount or rather, where we are, to a very small extent, also de -growing by headcount there because we are not adding fresh onboards there. So that is another impact that has got in . To that point , our target is to first from current 2.3% , inch back to about 2.4% and see how we can stabilize by year -end for this particular platform around 2.5%. So that's what pretty much we are working on. And a few sectors which are open for Q4, specifically, again, CRT, telecom and M&I, we are seeing hiring happening. But however, BFSI, there is a slowdown. And we anticipate either to some extent there is a de -growth specifically in BFSI or it could be almost flat. So , from that standpoint, specifically for workforce, this would be the outlook to inch from 2.3% to 2.4% and then probably aim towards getting into 2.5% range.

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he other 2 platforms for OAM, specifically, it's a product mix change that is bringing our margin down. Food sector commands a higher margin. And the revenue mix change there on

food business has slightly impacted along with food inflation cost , we have seen some abnormal inflation cost which has probably hit us in Q3 , which should settle down. We are renegotiating the contracts and of course, with Archer integration now in Q4 we should recover back. And specifically for GTS, it's about demerger and leadership, and we are strengthening the platform and more digital acceleration, where the cost and investment is going on.
So let me get Lohit to add specific anything on workforce. Lohit?
Lohit Bhatia: Guru, you more or less mentioned it well. But I'd just like to add some specifics. In the Q3 period, because of the seasonality of bonuses and incentives, approximately INR160 crores of pass-through has happened, which does not have any kind of an earning potential. That's the first point. The second point is that while we have seasonal factors, we have to, as an organization, look at the medium to the long term as well. We are in the midst of a demerger process for which we have to strengthen across the platform, leadership as well as the c ontrol functions for technology and others. That's also kind of partially baked into this. The third is that in the last 18 months, like you rightly mentioned, Singapore , primarily because of regulatory headwinds on visa regulations is impacting overall increase in the IT business. It has not impacted our business downslide, but what it has done is that we've been able to offset with all the great work

that our IT team in India has done by almost doubling their business in the last 2 years. It's now reached a point where any further growth in IT in India will start to reflect directly into the numbers. Guru rightly said that the first goal for us is to stabilize at 2.4% plus and then long - term inch back towards 2.6% -2.7%, which will happen by a combination of factors of mix that we have. Today, general staffing in India contributes disproportionately at about 60% plus to EBITDA, whereas international and IT contributes at about 40%. That mix is the other factor that w e are working towards making the change. With all of this, the last point is, in the last 3 quarters, we've said that we've also looked at the overall macro situation both in India as well as globally and gone into both technology -spend as well as verticalization -spend. Most of that spend at a business level is now complete. And as that starts to fuel new growth, it will definitely give us more uptick in both margins as well as core EBITDA.
Kushal Maheshwari: Balaji, does it answer your question?
Balaji Subramanian: Yes. This is quite comprehensive. I had 2 smaller questions. So , one is on the the demerger timeline of 1Q FY 26, is it still intact? And the last question would be on this INR147 crores IT refunds. Was this all in 9 months FY 25? Because if that is the case, probably the entire debt reduction has come from that. So is my understanding right?
Kushal Maheshwari: I'll ask Kamal to answer your question.
Kamal Pal Hoda: Yes. So on the demerger time lines, yes, we are pretty much on track. As mentioned in our commentary, we've got the shareholders and the creditors' approval. And we are at the second motion application of NCLT, and we expect that process to get over during the current running quarter, which is Q4. So we are hopeful that we should be able to see all 3 companies demerged and listed by Q1 of next financial year.
In terms of the income tax refunds, the INR120 crores of refund , if you look at our release, the refund came in January this year. So the debt reduction is a mix of the refunds that were received over the 9 months and the operation cash flows, which have been very ro

bust. Given that we
have received and announced anot her refund in January month, we expect this trajectory of debt reduction to continue in quarter 4 as well.
Moderator: The next question is from the line of Amit Chandra from HDFC Securities.
Amit Chandra: Sir, my first question is on the workforce management. Obviously, we are seeing some slowdown in terms of certain sectors within the workforce, which is slowing down, particularly BFSI. So you mentioned that it will continue. But the other pillars of growth was manufacturing, where we were very positive. So how the traction has been there in terms of , are we seeing the pickup slowing down? Or is it in line with what we are estimating? And also, you mentioned about that there are investments that are required in terms of post demerger in terms of technology and the key management people. So are we like through in terms of all these investments or still these can have some impact on the m argins? And on the workforce management, please, how the overseas staffing is panning out? Is there still like margin pressures that we see there? And also, you mentioned about focusing on verticalization as a strategy in

your workforce management. So any update on that? How it will drive growth for you post

demerger?
Kushal Maheshwari: For the question on BFSI and manufacturing and general staffing, I would ask Lohit to give you the inputs. And at the same time, for investments regarding the demerger and the margins, I'll ask Guru to give this guidance. Lohit, if you can take up the ques tion on the weakness in BFSI and manufacturing segment, please?
Lohit Bhatia: So yes, sure. Amit, there are broadly 2 things which are happening in the market. One is that there is an overall slight consumer sentiment reduction, which is visible in the economy itself. From the GDP data that we've been seeing from the larger broader economy that we've been seeing, I think there is a bit of a stress which i s getting built somewhere on the middle class. And that's captured across results from different companies. Now , whenever we supply manpower to consumer companies, irrespective of whether they come under telecom or retail or BFSI or the others, that could be one degree of impact. And that is what is visible. We feel that this should be temporary in nature. And obvio usly, all of us are hopeful for the long -term impact of the Indian economy. Maybe Q4 continues to be a little subdued with all of these results. But as we see maybe some positive action on the interest front, with inflation taming down and everything, we'll probably spring back extremely aggressively. You might remember if you go back 4 years ago, when COVID hit us, from 242,000 we crashed to almost 190,000. So in a period of 5 months, we lost almost 50,000 to 60,000 people. That was the worst. And from that period of 200,000 base today, we are at 500,000. 300,000 added across a 4 -year period. So , I think temporary blips in the economy and 1 or 2 quarters can be there , but I don't think so we'll see an overall slowdown of the Indian economy that we should be worried of what we saw 4 years ago. So that's on the first front.
The second thing you spoke about verticalization. I'll add that and then you'll get a context. So verticalization has been done for a couple of reasons. One is that we need to get depth in the service offerings that we give to customers. We are a large org anization with 500,000 associates. We work in 65 different locations. We have over 500 recruiters in non -IT and 500 recruiters almost in IT. That gives us a massive firepower that we are able to work very, very close to the customers and work with them exactly as per the output that they require. Some solutions have to be bu ilt over a period of time, which can be differentiated from a general staffing solution to solutions which marry exclusiv

ely to what the requirement of those industries are. And hence, a combination of leaders who come from both staffing as well as from th e industry practices, and they can work closer to the customers and increase that engagement and depth. And lastly, the marrying of the technology that we do is, again, subdivided for the different sectors and verticals that we deal with. While there's a common denominator of technology for onboarding, for recruitment services, for compliances, for governanc e, payroll and the others, but when we have to deliver to a retail company, the technology used is slightly differentiated than a technology which is used for banking versus used for manufacturing. So overall, if that gives you a context .
I'll come to your overseas staffing pressure. I think the pressure is only in one market, which is Singapore. All the other markets are fairly doing decently for us. But that market alone has shaved off close to INR20 crores of EBITDA year -on-year basis. In spite of th at fact, we have

continued to stay above a certain threshold line. That substantiation actually has come from the growth of our GCC in our Indian IT business.
I'll just take one second to give you one data point. Niche profiles to GCCs today contribute 1,000 of our 6,000 headcount. This was less than 220 , 4 years ago. So it's a 4x growth. The higher margin profiles are good, at 38%, which was just 13% , 4 years ago. So again, that is what has aided and helped us in staying above board. We feel another 1, 2 quarters, it will start to reflect clearly into the numbers in terms of the growth that we have.
Over to you, Kushal.
Kushal Maheshwari: Guru, if you can give some guidance or some discussion points about the demerger -related investments and margins?
Guruprasad Srinivasan: Sure. So I mean while Lohit did cover most of it, a few specific data points, Amit. See, last full year, specifically, if I take the general staffing, they added about 59,000 headcount. And for the same period, for a period of 9 months, we have done about 46,000 headcount, and we are abou t 88% achievement to last year. And generally -- historically, if you look at it, Q3, de -hiring is a common phenomenon, but I think we have seen a little more de-hiring than the regular, plus the open mandate. And specifically Lohit did allude to BFSI segment not being that active in terms of hiring. We have seen a little slowdown on open mandate also. We have roughly about 14,000 open mandates currently. A few specific indicators to look at is -- our core -to-associate ratio continues to be healthy. We are about 1:371 and we've slightly inched up on that. Having said that, we will continue to invest and stay ahead is our sourcing capability . Specifically in my

previous call, I've spoken about job spots investment that we are doing for hiring specifically for the manufacturing segment. We have already opened about 5 job spots, about 6 job spots now. By end of this year, we will have at least an other 4 of them coming up in various other manufacturing clusters. 80% of our contracts still continues to be in collect and pay. So the cash flows and the DSO days that this platform maintains are pretty healthy there. If you still look at what encourages us is the fact that still 34% of employment who are coming into the workforce are still, first time coming into workforce . That gives us more confidence that formalization is taking place, which will continue more op en mandates as we move forward.

So, from that standpoint, I think the indicators are right. However, verticalization can only bring in more focus. So , for example, the large platform vertical for us is BFSI, followed by consumer retail, telecom, manufacturing and industries, plus a special focus on value -added services, how we can bring in more digital intrusion into the staffing is what we are do

ing. Each of this vertical will have its own structure of delivery, and it will have its own structure to the market and go to market. While there will be a common back -end in terms of the payroll process, onboarding, and all the technology that Lohit spoke about , there will be much more deeper focus coming into each of these vertical. And the way we set the target, the way we start off reviewing this vertical will also be very exclusive. While overall business will carry a growth target of double digit, each of the vertical may have much sharper target the way the market is reacting to that particular vertical and the opportunities existing for them.

So, from that standpoint, we'll be much more closer to monitoring these verticals at a very micro level. And we strongly believe that consolidated effort on this will help us to continue to be at double -digit growth.

Amit Chandra: So lastly, just a follow -up on the workforce management piece. So there has been a sharp rise in terms of the transfers versus the sourcing. So is it by design? Or is it for this quarter for a particular client?

Kushal Maheshwari: Your line is a little incoherent. Can you repeat your question?

Amit Chandra: Yes sir, I was saying that just a follow -up that the transfer in terms of joinees is now 77% versus 66%. So there is a sharp increase there. So is it related to a particular client or -- because the higher transfers also result in lower margins, if my unde rstanding is correct.

And secondly, like moving on to the foundit platform, so, obviously, there was weakness in this quarter and it's in a transformation phase. So , if you can throw some more light in terms of how the recent management changes will , in terms of the long -term strategy of us achieving, say, around 20% of the market and like breaking even in FY 26, so where we are in that journey?

Guruprasad Srinivasan: Sure. So let me take the first part, and then I'll get Suresh to talk about the foundit piece. With regard to transfer question specifically that you had, that's more to do with in the quarter, as we had a transition that happened. Otherwise, this number can fluctuate between 60% to 70% quarter -on-quarter. I mean this is normal in this business. So with regard to foundit specifically, yes, it's a weak season. We have declined about 28%, I mean, because most of our exposure , almost 65% of our platform usage is from IT/IT eS companies, and they are not that active there. Our 2.0 launch has been a very successful launch . The recruiter outreach program that we are building to enhance and encourage the usage. And our order renewal rate has been 83%. So there are a few good indicators. So I'll get Suresh to talk about this in detail.

V Suresh: I think you covered most of it. I mean, in my view, traditionally Q3 has been a big quarter for improvement. Plus, the dependency on IT/IT eS services is one of the areas. And we see IT slowly picking up. And as Guru rightly said, foundit 2.0 initiatives have been well received. If I were to give you some data points, I could see significant improvement of profile updates. It's 30% up quarter -on-quarter. And I also see the segment's active users up 8% quarter -on-quarter and 22% up year -on-year. So we have certain recruits and we hope the market also picks up. I hope that answers your question.

Moderator: The next question is from the line of Chintan Sheth from Girik Capital.

Chintan Sheth: I think last part of the question has been answered on the EBITDA part. But if you think from the perspective that the investments currently which you have made, you made a comment that as they start yielding incremental revenue, we can see leverage playin g out and the margins to improve further from base, right? The next process is to recover back 2.4% -2.5% levels. And then FY 26 if you look at, once they start generat

ing revenue, we can still -- our guidepost of 3% is intact. Is that understanding correct?

Kushal Maheshwari: This question is regarding WFM. But on the EBITDA margins, I'll ask Kamal to give some flavour on the margins.
Kamal Pal Hoda: Yes. So Chintan, you're absolutely right, these investments are for incremental revenue, and some of them we've already started seeing in , like Lohit explained, the GCC hiring space and the niche hiring and the premiums that we are receiving on the IT space is compensating for the slowness that we are seeing in the Singapore IT staffing. In terms of margin guidance, 3% for WFM is a North Star. And the uptick can only happen when both the IT staffing in India as well as the international IT staffing jointly fire all cylinders. So that's a North Star for the platform and the entire investment has been done keeping in line those margins in mind.
Guruprasad Srinivasan: Just to add Chintan here. I mean as we've all said , we are doing the capacity building in each of the platforms considering the demerger situation, plus getting deeper into taking on future revenue streams, how do we strengthen the existing platforms and strengthen our existing delivery capability, plus al so invest in future revenue streams such as VAS or GCC -as-a-service, then plus specifically, the verticalization will bring in sharper focus. And verticalization in itself means more of a leadership strengthening, 5 verticals, bringing those domain experts to be part of each of the verticals so that we can create more solutions deeper into respective verticals, just continuing what we are doing. So of course, we'll continue to do better what we are doing. But how do we get future revenue streams is something that we are parallelly working on. So , all these investments are towards capacity building and supporting that delivery and strengthening our position .
Chintan Sheth: Okay. And second question is on the average PA PM. If we look at WFM business, we have seen YoY growth here. You mentioned that some of it is related to the seasonal bonuses which we have paid and are largely pass -through. Then can we see this average PA PM to moderate in 4Q and then transition based on the mix, how IT recovers or GCC recovers? We'll see some improvement there. Because if you look at the average PA PM for last few quarters, it has been on the declining trend because general staffing share is increasing consistent over the last few quarters, right?
Kamal Pal Hoda: So Chintan, on general staffing as well as for workforce management, we've been giving guidance that we should look at the overall EBITDA increase rather than percentage EBITDA. Some of the reasons which we mentioned on the call, and you picked up, right, that the bonus payouts during Q3 affects margin percentage because and Lohit also mentioned that number is close to around INR160-odd crores, goes directly without adding any to the bottom line. So, I think general staffing and in general for workforce management, the absolute EBITDA increase is something which would be a good indicator for you, because we work internally as to how much gross margin to net EBITDA conversion we can do. And that's an i nternal metric that we follow.
Guruprasad Srinivasan: So just to add as Kamal said, there could be one odd payout that would happen. Plus , when there is a wage increase typically on a flat fee, the wage increase will not impact EBITDA . And so , if you look at the revenue growth, through sales it s about 30% contribution and the balance 70% comes through all the other wage increase or onetime bonuses that can also impact. So typically, the right metrics or right way to measure this business is what is my gross margin to EBITDA

conversion. And that is something that we seriously review internal

ly . We have been hovering about 67% on this, which is quite healthy, and continue to keep our collect and pay ratio and upfront ratio on track. So these are 2 areas for us too. But otherwise, these margins would fluctuate.
Chintan Sheth: And lastly, on the budget -- sorry.
Kushal Maheshwari: Yes, continue, continue. Yes, Chintan.
Chintan Sheth: Lastly, on the budget announcement which happened post -election, about the subsidy scheme and all, any thoughts on what are the challenges and how it has benefited us or going to benefit us? Any input? Because last time we checked, you mentioned that there are some discussions happening on how actually , on ground , to execute the scheme. But any development on that front would be helpful.
Kushal Maheshwari: Lohit, if you can share some inputs on the budget announcement from ELI schemes .
Lohit Bhatia: Yes, sure. You are talking about the budget which came in summer of '24. And primarily for formalization and for job and employment growth, at the base of the pyramid, the government has given us the ELI schemes. The ELI schemes, primarily rule drafting ha s been completed. Lots of stakeholder consultations have happened in the last couple of months. And to our best

understanding , and I would use the word understanding at this stage because, obviously, the final announcement has to come from respective ministries and the government , they are the custodian s, is that they have readied the technical platform and the technology which will be able to measure what each company has contributed in terms of new job growth. And job growth is defined both as people who get added to EPFO versus people who get added to EPFO for the very first time with the UAN number. Now just to give you a data point, Quess continues to be at the forefront of this formalization in India and this rural to urban transition in India. Just in YTD 2025, you will be interested to know 1,13,000 people have come to our workforce management platform for the very f irst time and got a UAN number. We are also just 2 days away from the government coming back with another budget. We are very hopeful that the long - term trajectory and the government's intention also of formalization and employment growth remains in this budget as well. And maybe we will hear a little more firm announcement of the implementation date of ELI itself.
Chintan Sheth: Got it, got it. And last bit on the exceptional which you mentioned related to demerger, should we expect it to continue in 4Q? Any spill over expected in 4Q?
Kushal Maheshwari: Kamal, if you can take this question.
Kamal Pal Hoda: Yes. Chintan, so as we are almost on the verge of getting the demerger completion, as explained in our call, in the current quarter, which is Q4, there would be some costs which we are yet to incur which are purely identified and one -off costs related to d emerger. The magnitude may not be as high as what we have incurred in Q3, but there will be some costs definitely which will come in Q4 as well.
Moderator: The next question is from the line of Vikas Ahuja from Antique Stock Broking.

Vikas Ahuja : Sorry, I missed some part of the call. So in case I'm repeating anything, you can please ignore that question. But my first question is , sorry to harp on this question again on this slowdown, which is more like consumption -led. Even yesterday, Teamlease has talked about in FMCG , manufacturing there has been a slowdown.
So from what I could make out is, obviously, now you are also saying it's an industry -wide phenomenon. So do we also expect Q4 to be muted and we will see some decline in headcount? And how should we look at Q1 and Q2? Because this slowdown, I mean, it can go on for 2, 3 quarters as well, right? So just want some clarity on how it's going to play out as per our understanding maybe in next 2, 3 quarters?

Kushal Maheshwari: I'll ask Lohit to give a sense of the business environment right now. Lohit, if you can.
Lohit Bhatia: Yes, Kushal. So broadly, Vikas, you're right. I mean sentiment -wise, I think everybody has been saying the same thing from post Diwali. And it could be a combination of factors. Guru in his opening speech itself said that the high inflation which was prima rily due to the food basket and the CPI inflation index is the one which has kept the interest rates fairly high. There's a lot of money which has been taken out of the system. And in the last 3 quarters, RBI has further also tightened unsecured lending. Now both these actions give less disposable income or less disposable money in the hands of individuals, especially the millennials, who consume most of the goods and services that majority of Indian enterprise creates. Having said that, I think the recognition of the fact that something needs to be done is coming fast. And I'm hopeful that in the next 48 hours as we hear the next budget, there would be things which would be towards driving consumption. Having said that, let me just tell you, I mean, nobody said this is going to be easy. When you build India's largest staffing company and largest employer, it's never going to be an easy ride. And our goal post has changed to making the world's largest now. We constantly look at macro and micro environment, but then we quickly look within that the business and the vertical and the segment environment. And then through that, the customer environment, and through that, the delivery and the productivity that we can do.
So there are lots of moving parts. We have over 3,000 customers. We can add another 7,000 customers. And still there are more enterprises to acquire in this country. So I don't think so I want to just talk about consumption and say that's the only one impe diment and the factor. But yes, when you are 10% of the market share of the market, what happens to the market for that quarter will have a reflection on your results and the momentum trajectory as well. But like I said, while we are watchful of the macro, micro econom ic factors , we are more watchful of our own segments, our own businesses where we need to sharpen and deepen our results. I'll just take 1 or 2 data points. 2020, when we came out of Covid, we had 9,000 people in our IT staffing in India. Our revenue PA PM was 48,000, but our gross margin PA PM from those 9,000 people was just about 7,000. Today, the headcount is 7,000. However, with a concerted effort of going towards niche, super niche and the GCC segment , the revenue PA PM is now nearing 80,000 and our gross margin PA PM in that business is nearing the 20,000 -plus trajectory . Last 8 months,

our new gross margin addition is at 40,000 gross margin trajectory. So the point I'm trying to make is this is a medium to long play. We are not here in this business for 1 or 2 quarter s. And neither are we going to use the quarterly results either as a euphoria or as an excuse.

Vikas Ahuja : Okay, okay. So just one thing in that. I mean, for Q4, are we expecting a decline in headcount? And my second question is, on this GCC -as-a-service, which Guru sir talked about in the opening remarks, are we largely trying to cater the new GCCs we are setting up or we are going with this offering to existing GCCs also? And what could be the potential? I mean, if any 1 or 2 examples you can share how we are approaching those GCCs?

Lohit Bhatia: India has close to 1,900 operational GCCs. The first decade of GCCs did not even bring in 500 into the country. Whereas today, it's anticipated that every 2 to 3 years more than 500 GCCs get added. These GCCs could be a combination of both existing GCCs ex panding or opening new centres or these could be new GCCs. Second, from the time, say, 25, 30 years ago when transition of

IT work started happening to India, it was more transactional work which was happening. So you punch a lot of data, you get people at 1/10th the cost in India, punching becomes cheaper, and he nce, you bring business to India. Subsequently in the last 10 years, we are seeing a significant shift. From transactions, it has moved to transformation. So, today the questions being asked is, if we do this in Europe, U.S. or any other part of the world and we are taking 7 steps to do it, can it be done in 2 or 3 steps? Can 1 or 2 steps be generative AI using along with human intervention? So that has started to happen. And the third phase, which we are very microscopically seeing , but it will play out in a big way for the coming years for India is where product devel opment itself starts to happen. So, look at it as a thematic scheme across multiple years and decades. We were only in transactions. We moved to transformation. And from transformation, we'll finally go into product development, which is where it's the highest of the element.

To your question, Quess has always had a plethora of services. Thanks to our OAM platform, our GTS platform, our W FM platform, today, we can from the gate of an organization right up to inside, we can give multiple services. We do give multiple services. We'll have multiple MSAs. So GCCs have always been wanting to look at a service provider which can do this end -to-end right from real estate support services right up to the talent acquisition and then even monitoring and measuring the work which is being done. We've started this only a few months back. Our first of such setups has already gone live and the customer has already acquired it, acquired the premises, and it's scaling up now gradually. We feel that in the coming quarters we'll be able to strengthen GCC -as-a-service rather than just providing services to GCC s. It will become significant for our overall business in India itself, while we'll continue to service all other GCCs as a talent acquisition provider as well. I hope that kind of gives you the sense.

Moderator: The next question is from the line of Riya Mehta from Aequitas Investments. Riya Mehta, your line has been unmuted. Please go ahead with your question . We'll move on to the next question. It's from the line of Aniket Kulkarni from BMSPL Capital. Please go ahead.

Aniket Kulkarni: So firstly, there have been some rumours that a new labour code will be introduced in the budget. So wanted to understand the financial implications on revenue, EBITDA margins and as well as the absolute EBITDA number if, let's say, the minimum wage drastically goes up. So , what is the flow -through and how will your financials be affected by it?

Kushal Maheshwari: Lohit, if you can give some sense on the labour code which Aniket talking about.

Lohit Bhatia: Sure. The parliament approved the labour code a few years ago, as we are aware, and since then , labour being in a Concurrent List in India , the states have been doing ratification of what we call rules. There are 4 codes. Some states have done ratification of all 4 codes. Some have done for 2 of them. Some have done for 3. And it's a process which is happening simultaneously. But our understanding with the ministry or our learning on this subject is that we are almost at 90%, 95% mark as far as that aspect is concerned. The second aspect is not only do you have to do rule ratification, you also have to create the new systems, the processes and everything for the labour code implementation to really happen. That's also going on. And there is dialogue and consultation with all stakeholders. Stakeholders in this case are not just enterprises and large companies which are employers. They are also employee associations. There are employee unions and many other stakeholders which get impacted by a massive change lik

e this. See, some
of our labour laws are dated back 1924, 1947, 1974. So many of them are from decades when none of us even were born, and most of the gig economy, the technology work, the IT/IT eS, nothing existed. So , it's a rewriting of or rewiring of a country's last 70 to 100 years.
To your specific question, what does it do to our business? We've been consulting through our industry federation with the government for over 6 to 7 years. And hence, in many ways, this labour code was born. It's looked at positively for the staffing industry for a couple of reasons, and I'll spell them out. One is formalization gets aided in a massive way. Second , just take an example of CLRA. Today, if we have hundreds and thousands of customers and each customer has 10, 15 or 50 different premises where we have to deploy labour , we have to technically take a Form 5 and an individual labour license for each location under each district labour commissioner and then file the returns. There is a nationalized license up to 5 years, which is a massive provision. And hence, a company like Quess can actually look out into the future, ask for a bigger labour license. Implementation of new people coming on board gets faster. Your ease of doing business becomes better. And hence, more job creation and faster onboarding can happen. To your question on minimum wage , yes, there is something called a floor or a national living wage concept which is being spoken about. Today, some states are above INR20,000 minimum wage, some states are still as low as INR10,000. Average would be between INR13,000 to INR15,000. If the floor of the living wage were to come out, there will still be other elements to it depending on whether you're in a metro or whether you are in a rural or a semi -rural or an urban segment. We feel wages eventually will go up because at the bottom of the pyramid, wages have to also go up as well. It will impact by 2 ways. Immediately, it will increase our revenues. On a margin percentage basis, it may show some stress. But on the actual earning of the rupee value, it doesn't because our contracts are hedged in such a way that any minimum rate chang e, and that's the same for the last 18 years, is automatically passed on to the consumer, and the consumer gives a new purchase order to us and we are able to pass it back to them. So it is not negative from that aspect. But the positive benefits far, far outweig h the fact that percentage margin may look a little subdued if that were to happen.
Aniket Kulkarni: Understood. So just some clarification on that. So, let's say, if the minimum wage is suppose INR10,000 and it goes to INR12,000. So , based on the amount that you earn on your contracts, is there an absolute value change? Or are the contracts based on a percentage of the wage that you give to the employees? Or is it a fixed value which you earn on it? So, for example, let's say, on a INR10,000 minimum wage, you get INR500. So, if that goes to, let's say, INR15,000,

will you be getting INR750? Or will you still be getting only those INR500 until the contracts are renegotiated?
Lohit Bhatia: Sure. So this is only in the case of general staffing. This is not in the case of IT and international. Because in the case of IT and international, predominantly, we'll be working either on what is called a bill rate model or a percentage model. But comin g back specific to general staffing, 70 - odd percent of our book i s flat fee, between 65% to 70%. So there, our earning potentially can remain the same, whereas the overall bill value or the revenue of the company would increase. So the top line would increase, but the gross margin and EBITDA margin may not change in absolute terms or rupee terms. Some of our contracts, about 30% to 35%, are percentage based. And the ones which are percentage based, obviously, the earning a

lso goes up proportionately.
Aniket Kulkarni: So for this fixed fee contracts, are you in a position to renegotiate them once the minimum wage goes up? Because -- I mean, if it continues to be a fixed rate contract, wouldn't it be detrimental to you over the long run because if, I mean...
Lohit Bhatia: Negotiation is always a prerogative in business. And I'm sure we will not lose an opportunity to negotiate. But we also have to see what does the market give. We will not trade off growth for negotiating higher margins from existing customers.
Aniket Kulkarni: Understood. Can I squeeze in one last question? I just wanted to know about the foundit operating performance. So you said that we would be EBITDA breakeven by Q4. I mean, I don't think that will happen. So if you just could give a few lines about what wen t different along the way and what is your outlook for the foundit business in FY 26? that will be my last question.
Kushal Maheshwari: Suresh, if you can take the call about the discussion on the operational performance of foundit.
V Suresh: Yes. I think it's a strategy that we embarked on, on foundit 2.0. And from a foundit 2.0 point of view, the data points on the acquisition of our profiles, profile updates, recruiter search, all these metrics we have seen definitely positive momentum. If y ou really look at it, the last 9 months have been not so good for the IT/IT eS, BFSI sector, which is where foundit has been significantly strong, which is 65% to 70% of all our revenues come from the segment. So coupled with the kind of macro environment that we have seen, the kind of headwinds that we saw in IT/IT eS kind of pushed us back. Having said that, there are some green shoots and there

is a new management which has taken over effective on December. And we foresee the overall macroeconomic environment on IT/IT eS to kind of pick up. And we will come back to you probably with more updates in the next quarter.
Guruprasad Srinivasan: Just to add on that, Aniket. Currently, we clock a revenue of INR26 crores per quarter. And just to put the perspective, at around INR45 we will be breakeven. So that's the cost that we are incurring. And we have in the past done INR37 crores per quarter. I think we are slated to first get there as step 1 and then drive towards -- marching towards INR50 crores per quarter.
With market opening up a bit and our renewal rate being almost 83%, plus product 2.0 which has been launched, the recruiter outreach program that we are working on gives us the confidence to get , maybe in the next 3 quarters we'll be nearly to the breakeven.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, this was the last question for today's conference call. I now hand the conference over to the management for their closing comments.
Guruprasad Srinivasan: So again, I take this opportunity to thank each one of you, and thanks for joining this Q3 earnings call. Your question and feedback has always been really valuable. I would like to once again highlight that we remain steadfast to grow the business across all operational and financial metrics. I sincerely look forward along with my team to catch up with each one of you for interaction during our next visit. Thank you.
Kushal Maheshwari: Thank you very much.
Moderator: On behalf of IIFL Capital Services Limited, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

(The document has been slightly edited to improve readability)

Call: May 2025

Quess Corp Limited
Quess Tower, Sky Walk Avenue, 32/4, Service Road, Muneswara Nagar, Roopena Agrahara, Bommanahalli, Bengaluru – 560068, Karnataka, India
Tel: +91 080-49345666 I contactus@quesscorp.com I CIN No. L74140KA2007PLC043909

www.quesscorp.com

QCL/SEC/2025 -26/22

May 23, 2025

To,
BSE Limited,
1st Floor, New Trading Ring,
Rotunda Building, PJ Towers,
Dalal Street, Mumbai – 400 001

National Stock Exchange of India Limited
Exchange Plaza,
Bandra - Kurla Complex,
Bandra (East), Mumbai – 400 051
Security Code – 539978 NSE Symbol – QUESS

Dear Sir/ Madam,

Sub: Transcript of Earnings Call - Q4 FY25

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of the Earnings Call held on May 20, 2025.

The above information is also available on the website of the Company at https://www.quesscorp.com/investors/ .

Kindly take the above information on record.

Yours sincerely,

For Quess Corp Limited

Kundan K Lal
Company Secretary & Compliance Officer
Membership No. F8393

Encl: as above

Quess Corp Limited
Q4 FY 2025 Earnings Conference Call
May 20, 202 5

ANALYST : MR. SIDDHARTH ZABAK – IIFL CAPITAL SERVICES LIMITED

MANAGEMENT : MR. GURUPRASAD SRINIVASAN – CHIEF EXECUTIVE
OFFICER – QUESS CORP LIMITED
MR. SUSHANTH PAI – CHIEF FINANCIAL OFFICER –
QUESS CORP LIMITED
MR. KAMAL PAL HODA – CHIEF EXECUTIVE OFFICER
– BLUSPRING ENTERPRISES LIMITED
MR. LOHIT BHATIA – PRESIDENT , INDIA AND GLOBAL
OPERATIONS – QUESS CORP LIMITED
MR. KAPIL JOSHI – CHIEF EXECUTIVE OFFICER ,
QUESS IT STAFFING , RECRUITMENT AND SEARCH —
QUESS CORP LIMITED
MR. KUSHAL MAHESHWARI – HEAD, INVESTOR
RELATIONS AND STRATEGIC FINANCE – QUESS CORP
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and full year FY 2025 Earnings Conference Call of Quess Corp hosted by IIFL Capital Services Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Siddharth Zabak from IIFL Capital Services Limited. Thank you, and over to you, sir.

Siddharth Zabak : Thank you. Ladies and gentlemen, good morning, and thank you for joining us on the post Q4 and FY25 Results Conference Call of Quess Corp Limited. It is my pleasure to introduce the senior management team of Quess Corp, who are here with us today to discuss the results. We have Mr. Guruprasad Srinivasan , CEO; Mr. Sushanth Pai, CFO; Mr. Kushal Maheshwari , Head, Investor Relations and Strategic Finance; Mr. Lohit Bhatia , President, India and Global Operations; Mr. Kapil Joshi, CEO, Quess IT Staffing, Recruitment and Search. We will begin the call with opening remarks by the management team, and thereafter, we will open the call for a Q&A session.

I would like to now hand over the call to Mr. Kushal Maheshwari to take the proceedings forward. Thank you, and over to you, Kushal.

Kushal Maheshwari: Thank you, Siddharth. Good morning, everyone, and thank you for joining Quess Corp's Q4 and FY25 Earnings Call. The information, data, and output shared by the management during the call is forward -looking and subject to prevailing business conditions and government policies. All forward -looking statements are subject to economic growth or other risk factors faced b y the company. The results and presentations have been uploaded on our website. Please refer to Slide 2 of this investor pres entation for the safe harbour clause.

With that safe harbour clause, I will now hand over the call to our CEO, Mr. Guruprasad Srinivasan , for his opening remarks. Over to you, Guru.

Guruprasad Srinivasan: Thank you, Kushal. Good morning, everyone. Thank you for joining us today. I'm pleased to welcome you all to Quess Corp's first earnings call as an independent entity. It is just right after following our successful completion of our 3 -way demerger. This important milestone leads to a sharper focus and unlocking value, strategic transformation, and delivering sustained growth.

This financial year has been a milestone in many ways. We successfully completed 3 -way demerger well ahead of stated timeline. We have ensured a seamless leadership transition, with all key leadership hiring successfully completed. Quess remains dedicated to building a great organization and has proudly earned "Great Place to Work" recognition for the sixth consecutive year.

Following our relentless pursuit of reducing our debt levels post demerger, we are now a company with net cash of INR255 crores as of 31st March 2025, with gross debt of INR12

crores. Additionally, our DSO days have improved by 7 days, standing at 37 currently. This is a testament to our industry -leading operational efficiency.

Our Board has recommended a final dividend of INR6 per share, subject to shareholders'

approval, bringing the total dividend for the year at INR10 per share. As a separate entity now, the Board has adopted and approved a new dividend policy for Quess whereby starting this year, the company expects to return up to 75% of free cash flow to shareholders in the form of dividend or share buyback over t he block of 3 years cumulatively, reflecting our continued confidence in financial streng th and future growth pr ospects.
As part of the demerger

transformation, we revisited some of our businesses through a
comprehensive review, and we will be exiting certain non -core projects in line with the position taken by the management and the Board to discontinue such projects. Pursu ant to scheme of demerger, this has impacted the reported PAT numbers. However, it does not involve any cash outflow and no impact on company's operational liquidity or working capital, or the cash resource. Importantly, this has no bearing on ongoing per formance or asset base of our continuing business.
Moving forward as we streaml ine our business portfolios , it will enable a sharper focus on high -margin, high -growth core segments. This strategic shift is expected to improve our overall profitability profile, enhance capital efficiency, and better positioning of company for sustainable long -term value creation fo r all our shareholders.
Now we will take you through the quarterly performance and outline our priorities. In Q4 FY 2025, we reported a revenue of INR3,656 crores with EBITDA at INR67 crores. EBITDA margins were flattish sequentially and stood at 1.8%. PAT for the quarter stood at negative INR95 crores. However, when adjusted to exceptional item, reported PAT adjusted for exceptional item was at INR63 crores, which Sushant h will talk about in detail .
On the c onsolidated financial highlights for the year , Cumulative for the year, our headcount reduced by 7,000 associates and currently stands at 459,000, a 2% degrowth from March '24 levels. Under the demerger implemented during the year, we had recalibrated our headcount due to the discontinued projects and ended with a slightly lower headcount.
We delivered a revenue of INR14,967 crores with a growth of 9% year -on-year. However, more than 90% of our business, which is General Staffing and Professional Staffing, delivered a double -digit growth, signalling encouraging demand trend and strong execution. We delivered an EBITDA of INR262 crores, a growth of 12% year -on-year, with margin of about 1.8%. Full -year PAT is at INR46 crores. However, adjusting for exceptional items, we closed the year at INR210 crores, a healthy 52% growth year -on-year.
Now I'll take you through the segment information, s tarting with General Staffing.
For full year, the segment revenue stood at INR12,995 crores with a growth of 11% year -on-year. General Staffing reported quarterly revenue of INR3,149 crores, up by 3% year -on-year and down 10% sequentially. For the quarter, we brought in about 89,000 new associates into the system. However, a ramp down by an NBFC client of about 38,000 affected the growth

sequentially. This is a client -specific move and does not reflect any structural challenge in our sourcing or delivery capabilities across the client ecosystem. Adjusted to this, we would have gained 40,000 net adds during the full year. Majority of new addition this quarter came from consumer, retail, and telecom, followed by manufacturing and industries. From a full -year perspective, there was marked divergence in two halves as of the total gross adds , almost 2/3 rd came in H1. We have been instrumental in accelerating India's formalization wave, about 130,000 fresh UA Ns generated during the year. GS also added about 80 new contracts during the quarter with an ACV of INR153 crores. During full year, we added 323 contracts, which is our best performance for full year. As of year -end, we have encouraging open mandates of about 49,000, primarily from manufacturing, retail, and logistics. In summary, while Q4 saw a transitory volume impact, we will continue to demonstrate strong operational delivery and remain c onfident in regaining the momentum in coming quarters.
Moving to Professional Staffing business. For full year, segment's revenue stood at INR825 crores with a growth of 11% year -on-year. Professional Staffing

reported quarterly revenue of
INR219 crores, up by 26% year -on-year and nearly flat sequentially. The business delivered its best-ever EBITDA and operating margin this year. This performance was driven by strategic focus on partnering with GCCs and targeting high -margin niche technology roads. Over the past 5 years, this transformation was initiated. We have significantly improved our deployment mix with reducing low -margin entry -level roles from 51% to 24% and increasing niche and high -margin deployments from 19% to 39%. Our investment in niche skills, GCC, verticalization and quality of mandate have yie lded a better margin profile, which is reflected in our improved realization per associate, which is now more than 25x of the realization compared to General

Staffing. GCC contributed to 70% of revenue for the quarter and 45 new clients we added. We have b een steadfast in continuous investments specifically across vertical s to deliver and further grow in coming years. GCC s sees a lot of potential growth in India with favourable cost advantage in talent, real estate and talent availability. We are also building our GCC -as-a-service with our pilot getting commissioned recently. We'll be formally launching this service shortly.
The open mandates are encouraging, 1,300 plus as we step into Q1 with majority of positions again coming in from GCC and specifically n iche roles.
Moving on to our Overseas business. For full year, the segment revenue stood at INR1,142 crores with a decline of 5% year -on-year. Overseas business reported quarterly revenue of INR287 crores, down 5% year -on-year and 1% sequentially. Singapore, our largest geography continues to face visa -related headwinds. That said, our pivot towards General Staffing helped mitigate some impact with nearly 300 associates added during the quarter. Middle East has emerged as a standout performer with more than 2,000 acti ve associates, delivering its highest ever quarterly revenue and EBITDA. In APAC, Malaysia has shown strong turnaround in IT staffing, supported by government demand. In Philippines, we are expanding into IT staffing, permanent hiring and gig platforms to build a diversified portfolio.
With respect to our digital platform segments, we are actively investing in digital ecosystem for India's blue -collar gig workforce. Our platform, HamaraHR and HamaraJobs, though in early stages, are showing encouraging adoption trends. We remain committed to scale them in the coming year.

I'm very pleased to share with you that Quess has joined World Employment Confederation as a regional corporate member, becoming the first Indian company to join the global HR industry body. The World Employment Confederation represents the gold standard in global employment practices, policies and framework and sustainable workforce development. Quess aims to contribute to adv ance ethical labo ur practices, skilling and formal employment, both in India and globally.
I want to reiterate that we have entered this new chapter with clarity, conviction and momentum. The successful demerger has given us sharper strategic identity, and we are now better positioned than ever to unlock value across each of our business segment s. While the external environment continues to evolve, we are focused on growth, execution and operational efficiency. As a pioneer in staffing solution for India, we are spearheading a transformative initiative that leverage AI and automation to accelerat e job fulfilment and boost sourcing productivity.
I would now hand over to Sushanth Pai, who has joined us as Chief Financial Officer. But before that, I want to take a moment to sincerely thank Kamal. As you all are aware, Kamal has taken new leadership role as CEO at Bluspring, which is one of the resul ting companies , as part of the demerger. I want to take this opportunity to ackn

owledge his outstanding leadership and invite
him to share a few words. At Quess, he has not only steered us through complex and timely demerger, but also fortified our financ ial health, enabling this smooth transition. Kamal, over to you.
Kamal Pal Hoda : Thank you for your kind words, Guru. It's been a privilege to be part of Quess and engage with our investor community. I'm truly grateful for your trust and support, especially through the pivotal phase of the demerger. I have full confidence in the leader ship team, and I look forward to cheering for Quess in its next phase of growth and will continue to engage with all of you in my new role. Over to you, Sushanth, for the financial highlights.
Sushanth Pai: Thank you, Guru and Kamal for the smooth transition and for your support. And a very good morning to all of you on the call. I'll first do the financial headline numbers before delving into segmental performance and other corporate updates.
We reported revenues of INR3,656 crores for the quarter, reflecting a 3% year -on-year growth, though down 9% sequentially. Reported EBITDA came in at INR67 crores, marking an 8% increase quarter -on-quart er and 13% growth year -on-year. Operating margins improved to 1.8% with a sequential expansion of 29 basis points and a 15-basis point improvement over last year.
For the full year, we delivered revenues of INR14,967 crores, up 9% year -on-year. Full year EBITDA stood at INR262 crores, registering a healthy 12% growth over the previous year.
As part of the demerger transformation, we have revisited some of our businesses through a comprehensive review, and we will be exiting certain non -core projects, in line with the position taken by the management and the Board to discontinue such projects pursuant to the scheme of demerger. This has impacted the profit after tax in Q4 FY25 and the same is shown as exceptional items broadly characterized in 3 parts totalling to INR158 crores. Impact of discontinued projects is about INR119 crores, which is basically additional expected credit loss. These projects have long gestation periods and recovery cycles based on the nature of business.

Given the demerger, we evaluated such businesses, its future prospects and decided to exit such projects mainly in the a reas of utilities and skilling. We have accelerated the flow rates for expected credit loss over and above the normal flow rates used for such businesses. However, we'll continue the collection efforts in the process of winding down. The second part is impairment of goodwill totalling to INR26 crores, which is INR7 crores in Stellarslog and INR19 crores in Quess International Services. The last part is demerger expenses of INR13 crores, mainly comprising stamp duty on demerger -related expenses. This has impacted reported PAT by INR158 crores in the quarter. Adjusted for this, PAT Q4 FY25 has grown by 49% year -on-year and the full year PAT has grown by 54% year -on-year. Similarly, adjusted EPS for the quarter and year is INR4.2 per share and INR14.1 per share, respectively.

We are confident of our business fundamentals, strategic direction and market positioning to enhance momentum in the coming years, and we will measure ourselves against the adjusted PAT while setting our profitability goals for the coming year. This does n ot involve any cash outflows as no impact on the company's operational liquidity. One of our core capital allocation priorities has been the reduction of gross debt, underscoring our commitment to maintaining a healthy balance sheet and exercising discipl ined cash management, which has resulted in a net cash of INR255 crores as on 31 March 2025. We are pleased to announce that the Board has recommended a final dividend of INR6 per share, subject to shareholder approval, taking the total dividend for the year to INR10 per share. The Board h

as adopted and approved a new dividend policy for Quess, whereby the company expects to return up to 75% of free cash flow to shareholders in the form of dividends or share buybacks over a block of 3 years cumulatively. The decision to modify dividend policy this year onwards to further reward our shareholders reflects the strength of our cash position and our commitment to delivering consistent value to the shareholders while investing in growth.

Moving on to segment -wise updates. Starting with General Staffing, we delivered a top line of INR3,149 crores, down 10% sequentially. The quarter -on-quarter decline is primarily due to a ramp down by an NBFC client. Segmental EBITDA stood at INR43 crores, a decline of 5% quarter -on-quarter and 32% year -on-year. EBITDA margin for the segment came in at 1.4%, showing a 7 -basis point sequential expansion, though it contracted by 137 basis points compared to the previous year. For the full year, revenue stood at INR12,995 crores with a growth of 11% year-on-year, while EBITDA came at INR194 crores, a 5% growth year -on-year.

Moving to Professional Staffing. We are pleased with the segment's performance despite a modest IT and ITS hiring. The segment delivered INR219 crores of revenue, flat sequentially, but up 26% on a year -on-year basis. The segment EBITDA came in at INR20 crores, delivering a healthy 34% growth on a year -on-year basis. Margins have expanded meaningfully, now crossing the 9% mark on a sustainable basis. For the full year, revenue stood at INR825 crores with a growth of 11% year -on-year, while EBITDA came at INR77 crores, our best ever numbers with a 42% year -on-year growth.

Coming to Overseas business, revenue stood at INR287 crores, which is broadly flat sequentially but down 5% year -on-year. Despite persistent visa restrictions for IT staffing in Singapore, the Overseas business was able to offset much of this impact by delivering growth in new business lines and other ge ographies. Segment EBITDA was INR17 crores, marking a robust 41% year -

on-year growth and 9% sequential increase. Margins for the segment remained healthy at 6%. For the year, Revenue stood at INR1,142 crores with a decline of 5% year -on-year, while EBITDA came at INR63 crores, near flattish decline sequentially.

From a profitability standpoint, approximately 59% of our contribution comes from general staffing, 23% from Professional Staffing and around 19% from Overseas business. Our digital platforms for blue -collar workforce and gig workers , currently in the incubation phase , are being scaled up steadily.

Moving on to corporate updates. We recorded INR11 crores in other income this quarter, a large part of this, which is attributable to the interest from income tax refunds of INR145 crores in the quarter.

As a newly demerged stand -alone entity, Quess is now fully focused on delivering double -digit revenue growth and a non -linear EBITDA growth trajectory. While we anticipate near -term headwinds on top line growth due to ramp down in NBFC sector because of one client over the coming months, our underlying fundamentals remain strong to deliver double -digit revenue growth with non -linear growth in profitability. We are on track to becoming debt -free in the coming quarters. Our adjusted ROE for the year stands i n high teens, and we are confident of crossing 20% mark from this year onwards, reflective of a stronger balance sheet and sharper capital efficiency. With a simplified structure and focused strategic execution, we are well positioned to build long -term va lue for all our stakeholders.

With that, I conclude the financial update. Thank you for your time and continued support. I now hand it back to the moderator to open the floor for questions.

Moderator: Thank you, sir . The first question comes from the line of Deep Shah from B&K Securities.

Please go ahead.

Deep Shah: Congratulations on this demerger being done. Welcome, Sushanth. Good to have you. And thanks, Kamal, for all the help that you did all these years. So, first question was on this exceptional item itself. So, I think I heard multiple times that some projects were discontinued because they are long gestation periods. But it would be useful if you could give some detail into what these projects were and how did the receivables , there was a very significant number in our understanding , build up? Over how many years were these projects being tried? So, some clarity here, I think, would be useful . So that's my first question.

On the second question, we understand the NBFC circular had come out, which led to in - sourcing, and which is why we've seen sequential headcount decline. But if you could just help us understand how are the trends looking for this year? And I understand this is a one -time thing, but then do we feel confident that we can more than offset this loss and report double -digit headcount growth for FY26? Your initial thoughts on these fronts will be very useful.

Kushal Maheshwari: Thank you, Deep, for the question. For the operational part of the exceptional item, I'll ask Guru to give some insight. And on the financial impact, I will ask Sushanth to give you details on that.

Guru, over to you.

Guruprasad Srinivasan: Sure. I'll take the first question. So specific to the ECL on discontinued projects. See, as we had also alluded to this a couple of quarters ago, there are 2 specific segments which are long -drawn contracts that we have been working on. The first is on th e skill development and the second one specific to the utility segment where we do m eter reading and build distribution kind of outcome - based program. One, we had clearly signalled to the market that we'll not get into any outcome - based projects, and we have been creating a flow rate for each of these, but considering the demerger, it is being more conservative and prudent in terms of getting it transitioning into the new 3.0 of Quess. The Board and everyone decided that it's the right time for us to accelerate our provision. So, the projects are specifically to utilities and the skill development area where we are working. So, it is not something that, while we are accelerating the provision, as Sushanth said in his speech, we'll stil l continue to drive whatever the collections that are pending there. And then as and when it comes in, of course, it's going to be upward as we move forward.

Sushanth, do you want to add?

Sushanth Pai: No, I think Guru has covered. Just want to add, this was part of the receivables, and it was provided for as per our provisioning policy. Now since we looked at all the businesses together, we evaluated these businesses, and we felt based on the long gestation periods and long recovery cycles and to focus only on our core, we thought i t's a good time to accelerate the ECL provision and then take this INR119 crores of loss. But having said that, like Guru said, we will continue our collection e fforts as we wind down such projects.

Guruprasad Srinivasan: Other 2-line items as part of this was impairment of goodwill. So , we had an entity Golden Star, which we have now repurposed to do international staffing. We have just got our licenses in place and the carrying value there, we have actually impaired because all the contracts of Golden Star, it's a facility management business and it moves into Bluspring and this entity is repurposed as Ques s International Services and the workforce. So that's the second part of it. And third is demerger -related expenses, specifically on stamp duty.

Kushal Maheshwari: And on the second question on the NBFC impact on the headcount and growth, can you give some insights on that? I would ask Guru and consequently, Lohit can giv

e some more insights on General Staffing.

Guruprasad Srinivasan: So, I would a little roll back on this long answer to this. So people look at post -COVID, we exited the year, we were about 232,000. And since then, 3 years now, if you look at, we have almost doubled in terms of our headcount. We are about 4 lakh s, if I take overall 459,000 and specific to general staffing, we are about 4 25,000. So , in a long tenure, we are aggressive to grow. We add almost about 80,000 people in a quarter. Two areas that we'll have to work, and that's also , of cours e, there will be one -off cases like this will happen and that we would recover

and we would come out of it as we move forward. These are natural. But in a long -term horizon, we continue to aggressively grow. We continue to double our headcount. At the same time, this one area that we'll have to focus is further on how we work on our attrition side as well.
So, we are running a project on both , productivity, as I said, on fulfilment as well as on the attrition control. But otherwise, this is one odd case, and I'm sure as we step into FY26, we will recover out of it. I'll just ask Lohit to give more colour.

Lohit Bhatia: Thank you, Guru. Deep, as Guru mentioned a little while back as well, this has been, in many ways, one of the best years from the sales team perspective, 323 new contracts worth an ACV value of almost INR720 crores have been signed by the General Staffing team. If you also see the first half of the year, the economy and both the business was trending at a very different run rate. 29,000 net adds were done in the Q1. Almost 11,000 net adds was done in Q2. So just in the first half of the year itself, we had almost as a compa ny, added more than 40,000 headcount, and we were very bullish to end the year at one of our best ever.
This, like you rightly mentioned in your question itself, this is an NBFC circular, which required the customer to do what is called in -sourcing. And because of that in -sourcing, that 38,000 numbers have been there. But when you look at our open mandate bo ok even today at 49,000, you look at our 323 new customers added, over 1,300 customers portfolio that we currently have, telecom, retail, logistics and manufacturing are the 4 segments where we are clearly seeing demand. And with both our ability to sourc e across the country in more than 700 locations, hundreds of our recruiters and mobilizers and the customer demand, we are quite bullish that we should be able to , in the next 1 to 2 quarters, be able to offset from the kind of headcount loss that we've had in this one-time event.
Moderator: The next question comes from the line of Chintan Sheth from Girik Capital.
Chintan Sheth: Thank you for the opportunity and congrats for the demerger and the dividend policy. One set of question on the exceptional again. If you could highlight what kind of revenue loss we have seen for the quarter and the year by exiting these businesses. Even if you point out how much associate were employed on those projects, which led to thi s contraction. That is one.
And in terms of margin trajectory going forward, it's good thing to see the professional staffing business coming up strongly . If you can guide overall what you think about IT staffing growth going forward? You alluded to General Staffing a bit earlier, but if you can highlight this and I'll come back in queue.
Kushal Maheshwari: Thank you Chintan, for your question , for the first part of the exceptional item, I'll ask Sushanth to give you more details. And for the IT staffing, and we have Kapil on the call. He'll give you some insights on the growth guidance.
Sushanth Pai: Sure. So firstly, I want to clarify whatever we have taken as exceptional items has no bearing on our revenue growth for next year because this , like I told you, these are long gestational pr

ojects,
and we have not taken anything new in these projects. So there's no revenue impact for next year. So that is one thing. Second, on the margin profile, broadly, if you see our margins, right, 87% of our revenue comes from GS with a 1.5% margin profile. 6% comes from professional staffing with a 9.4% margin profile, yielding 23% of our profits. So , which means that we want to concentrate on higher -margin business as we go forward.
And that is why we have said that while we are aiming at double -digit revenue growth, our profitability will accelerate higher than that. So that's the way we are seeing because higher - margin business that we do, we will get into much better margin traject ory growth profile for next year.

Chintan Sheth: Okay. So just a follow -up on the exception al items . The utilities and the skill development, given you mentioned that you are not adding new business there, and scaling down over time once the projects are over. So , what is the current run rate and the associates getting employed in those segments so that we can kind of look at numbers of that and see the growth going forward? That is one. And on the margins prior to the demerger, our goalpost is to take the margins corporate overhead margins of around 3%. Now it will be some time because of the corporate overhead. What is the goalpost now on the reported basis, if you can guide like -to-like going forward?
Sushanth Pai : So broadly at the Quess level, yes, there are corporate overheads that has come in. And broadly, if you see our margins are at 1.8%. So , the way forward for that is it will be in that range. Our aim is to improve slightly from there because there are corporate overheads that are going to be

there. So that's the way to look at it. It will be in this range bound sort of scenario for going forward as well.
Guruprasad Srinivasan : Chintan, again, in multiple events, we have been signalling this as well. So we were , I mean, if you look at the overall margin was hovering between 2.4% to 2.5% prior to demerger, specifically for the workforce as a division. And we had clearly called out because of the corporate cost that would come in post demerger. I mean, we are about 1.8%. By exit of this year, we should be somewhere over 2%. So there, I think, again, we have been consistent in terms of signalling , giving this messaging to the market. So that's where Stage 1, we want to get to from 1.8% to 2%, and then we will accelerate as we move forward.
Chintan Sheth: The exit will be for the next year, right? Exit of 2% is next year, correct?
Guruprasad Srinivasan : Correct. From a modelling perspective, we should definitely look at that way. See, I mean, as Sushanth clearly articulated. If you look at 87% of our contribution comes from general staffing, which is high cash generating business, low EBITDA margin business, right . The balance 23% comes from the other 2 international as well as professional staffing. And we'll continue to grow aggressively this year depending upon the demand outlook. Kapil will talk about it. We will continue to grow . However, the mix would marginally change, but high -margin businesses mix coming in will always help us to hold our bottom line better. So , I'm sure from that standpoint, we should -- by exit of this year, we should look at being somewhere about 2%. To your first question, again, these 2 projects specific to skilling and utilities, as Sushanth articulated, we have already exited these businesses in the sense we have no revenues that we are booking from this business. It is the handover and the closure of t he project. So , it is not going to impact my revenue for FY26.
Chintan Sheth: What was the impact if we were to continue that business, what would have been the revenue? I'm trying to understand for the full year.
Guruprasad Srinivasan: Skilling always ran at a

very high EBITDA margin, and almost about 20% of EBITDA margin business. If you were to plug in, then yes, it would have been at least about INR300 crores of revenue. But however, it does not reall y impact, since we have discontinued the business completely. So I mean, we can't model it around because we already discontinued it.

Kushal Maheshwari : So as part of our demerger entities, as Guru and Sushanth have highlighted, we did not have any operations as the Board as well as the management took a decision that we do not want to continue in discontinued projects. So going forward, you can see the current revenue for the quarter, you can model your growth basis the business segments identified by the management. And for your second part of your question on IT staffing, I would ask Kapil to give you more insights on the hiring trends and the growth trajectory.
Kapil Joshi : IT staffing is definitely going through a very interesting phase. One side in the market, we have geopolitical and macroeconomic issues. But at Quess, we have seen very different result of our early focus on the GCC. If you remember FY20, we were roughly a round INR22 crores EBITDA operating on less than 4% EBITDA margin. In last 5 years, this business has seen almost 27% CAGR and EBITDA margin is close to double digit now. Why it has happened is definitely you would have seen the GCC has moved from transaction to transformation. And this is the journey which we have travelled through the GCC. We have been associated and closely working with GCC s for a decade now. And as GCC do high -end work in innovation, product development, so we are. And this resulted in better revenue per associate, better margin per associate, and operationally also, we got the efficiency. We have focused on operational effi ciency. Our gross margin versus EBITDA is far better now what it was 5 years back , and our sales engin e is running very well. As y ou have seen in our investor deck , we have acquired 45 new contracts last year. And headcount buildup is expected over the next 1 year in this account. So we are hopeful that we will continue this journey.
Guruprasad Srinivasan: I would just like to add one thing here, Chintan. It is not just like this, but we have been planning for this for the last 8 -plus quarters to reach where we have reached in this segment, specifically for IT staffing. So , because it also means a lot of change inside the house in terms of the order, right? So , we'll have to get a better recruiter productivity. We'll have to get the better structure also needs the change in terms of the recruit ability and capability in terms of hiring for them. The sales engine is extremely different than what we used to regula rly have. And plus, in addition to that, the vertical approach, which we build every tower starting from products to enterprise. So , the tower heads under Kapil who are managing each of this vertical in itself. So from that standpoint, I think there's a lo t of preparation that has gone behind where we have reached to this stage today. Lohit, do you want to add anything?
Lohit Bhatia: No. I think Guru it's well covered.
Moderator: The next question comes from the line of Deep Modi from Equirus Securities.

Deep Modi: So, my question will continue on margin side. So as per my understanding, sir, we have the 1.8% EBITDA margin, and we have the aspiration of 2% for FY'26. So , what will be the medium - to longer -term margin aspiration? Because in the past, we have seen that when we are chasing the growth, the margin has declined. So, in the demerged entity, what we are doing in a strategic way? And second question is on the government's job creation because in the last year, union budget government has announced a certain benefit related to job creation and a clarification was awaited regarding to the fine prints. So is there a

ny update in this regard as well?

Sushanth Pai: So, I'll just give you a sense on how we are going to look at margins. So , one, if you see, like we said, one, we want to look at high -margin accounts as we go along. So there will be some improvement because of that. The second part is we are closely looking at the costs in terms of the IDCs and all of that and see how productively we can bring in operational efficiency in the IDC related. Third, Guru also alluded to saying that how do we bring productivity through AI in terms of sourcing, in terms of giving jobs, et cetera. So , I think a combination of all these 3 will help us in getting there. And how all this will translate into medium and long term, we need to see how all this progresses. So , we have given something for the coming year. But as and when all these initiatives take shape, we can further update you on where these margins will go. But clearly, the trajectory is to look upwards from here.

Lohit Bhatia: Deep, on the other question that you have asked about the government's employment -linked benefits as they are called ELI, you're aware that the government launched it in the budget prior to the recent budget. In the current financial year 25-26 also, if you see the expenditure statement and the budgeting for all the allocations, you will notice an allocation of upwards of about INR20,000 crores for the ELI scheme. As industry, all of us, including other larger federations as well, have given their recommendations to the government already. We are told that it's at the final stages of rule round. Having said that, as Quess, we continue to be the biggest enablers in the market of informa lity moving to formalization. Guru, in his opening statement, said that 131,000 people have been added to first -time job creation, which remains important for us. ELI, as it gets impacted, will have 3 benefits. One, it will reduce cost for us as well as fo r our employer customers. So , there is a potential that more hiring would kick in and will happen. The second is that there is, as you're aware, one of the schemes is tailor -made towards associates itself. There is an initial mobilization cost, which associates go through when they move from rural India to urban or from informal to formal. That will aid many more people coming into the formal industry. And third most important, these schemes can eventually help something which Guru again alluded towards, wh ich is very high attrition in this industry. If stickiness and retention increase , it's again a natural benefit for large staffing companies like us. So we keenly keep looking forward for the rules.

Deep Modi: If I can give one follow -up question is on exceptional items. So whether we expect this kind of exceptional item or a small exceptional item in the coming quarter as well due to the demerger or one -time expenditure, et cetera?

Sushanth Pai: Yes. So , as I said, these are one -time, and these are based on specific projects that the Board and management has taken a call. And therefore, there are no such items in the coming quarters.

Moderator: The next question comes from the line of Siddharth Zabak from IIFL Capital.

Siddharth Zabak : The margins in overseas staffing have improved significantly year -on-year. So how are the margins expected to move going ahead? Also, are there any new geographies which you are looking to enter?

Kushal Maheshwari: So, can you repeat the last, new geographies?

Lohit Bhatia: New geographies, am I right?

Siddharth Zabak : Yes.

Kushal Maheshwari: Thank you for the question. I'll ask Lohit to give you a sense on the margins on general staffing as well as new geographies of course on this topic.

Lohit Bhatia: So, on the overseas, you're right the margin has trended downwards. In the last 2+ years, as S

ingapore has had challenges on the visa regulation, which their government came out with putting a cap on every nationality, that automatically meant that there were less number of Asians or particularly in this case, Indians who could be moved to these geographies for IT jobs.

Our IT headcount has come down, which has been supplemented in some parts or in some measure by the general staffing headcoun t, which is the new business that we've started, almost close to 300 headcount, Guru alluded in his opening sentences as well. However, you will always notice that IT yields much higher per person gross margin PAPM in comparison to General Staffing yielding lower gross margin PAPM. However, this is essential for us to make that change for the business itself and for the kind of headwind that we are seeing there. We feel that we've reached a point where the biggest business, which is Singapore or used to be the biggest business, which is Singapore, has now been beaten by other geographies like Middle East, which is a higher yielding, higher margin business and doing well for us. Philippines and Malaysia, which are slightly higher yielding in terms of EBITDA m argin and gross margin are smaller businesses. Hence, their growth currently is not able to fully offset the decline of the IT in Singapore. But we've reached a trough, if I can say. From here onwards, depending on how the business scales and how the inter national mix changes for us, we should be able to see some upward trajectory, but we first like to continue ourselves holding forth here and then building on top of that.

Siddharth Zabak : My other question was on any new geographies which you are looking to...

Lohit Bhatia: Not at the moment. We've just gone through a demerger process. There is a focus given to each one of us for deepening the kind of results and returns from every geography that we are already invested in, and that's what our business leaders are focused on.

Guruprasad Srinivasan: See, as part of this demerger, Siddharth, our focus is going to be on the core businesses and how much more we can do and bring in more efficiency and stay profitable. That's the immediate goal that we have.

Moderator: The next question comes from the line of Dipesh Mehta from Emkay Global Financial Services. Please go ahead.

Dipesh kumar Mehta : Just want to get sense about the NBFC ramp down, which we have seen in quarter four, whether full impact was visible in quarter four and we should not expect any incremental impact to be there in quarter one as well? And related question about growth rate, how one should look your growth trajectory in FY26? We are exiting at 3 % YoY growth rate. How do you expect that growth to play out in FY26. Second question on margin, now because of the, let's say, there is an industry mix changing, which is partly refle cting your collect and pay mix also changing. And I presume even on margin level. So , whether any implication you expect because of changing industry mix for us in FY26 the ramification on cash conversion as well as margin?

Kushal Maheshwari: So, your first part of the question on the NBFC shutdown impact, I will ask Lohit to answer the question. On the second part, I'll ask Sushanth to answer the question on margins, collect and pay and so on for FY '26. Lohit over to you.

Lohit Bhatia: So, the NBFC, like we said it in the initial few questions as well, this is one-time for one of the NBFCs who were tasked to do this in -sourcing. This in -sourcing led to a decline of close to about 7% or about 38,000 headcount. The revenue of that has already impacted us in Q4 in terms of our numbers and trajectory. So headcount and r evenue impact was roughly 7%. The margin impact of that on the entire book was roughly about 4%. This NBFC , in itself , used to be a customer on collect and pay. S o like -for-like, when

you are reading the numbers that sudden dip is reflective in that, not in a change of mix of new businesses that we are signing. 323 new businesses that we've signed this year come with upwards of 85% as collect and pay. And for the last many quarters, we've been saying that average 85% or more of the business comes from Collect and Pay. So we continue to remain focused on that trajectory. This one -time shift has happened because of this 7% of revenue going away.

Kushal Maheshwari: Thank you, Lohit. Sushanth, if you can cover the second part of the question.

Sushanth Pai: See, on the margin front, what we have said is for the full year, our margins will accelerate in terms of growth far ahead of the revenue growth. However, like we explained because of the onetime impact of the NBFC client, it will take some time to recoup those revenues, and it will come during the year. So , the margin profile as we go along, slowly will come from 1.8%. And like Guru alluded to, it will be close to 2% as we go along. So that's the way to look at margin profile. On cash flow, as you have seen this year, we had a very robust cash flow conversion. And if you exclude the income tax refund, we are at 70% or 75% plus levels already. So that sort of operating cash flow will continue for the coming year as well. 76% of o ur business is in the collect and pay model, and that will continue as well. So we have a very strong mechanism to generate cash flows for the coming year at 70% plus levels.

Dipesh kumar Mehta : Just on the first part of the question, I also expect your view on the outlook, let's say, growth - wise, we exited at 3 % Y-o-Y growth, obviously, because of the client -specific impact. But whether that client -specific effect, how much time it will take for us to return back to double -

digit growth?
Lohit Bhatia: So from a like -to-like basis, we would always look at double digits, lower teens in terms of growth, whether that's a headcount growth on our kind of size of the market as well as revenue growth.
The other thing is also you have to see the larger Indian market potential. We continue to remain one of the youngest countries in the world at 28 -29 years and need to move 350 million people from informal to formalization. Our staffing industry continues to remain way below the world averages at over 2.5% staffing penetration. We are at about 1.1% to 1.2%. The industry grows at about 13% to 14%. I'm at least talking about the formal industry for which we have statistics. While there is a long tail of more than 10,000 staffing companies in the country, but may not have data on those, but the ones which we have data on. So , I think we'll continue to be in double -digit growth rate as we navigate this one challenge of Q4, a one -time decision.

Dipesh kumar Mehta : Sir, that was the question because it is a one -time impact and how much time it will take us to recover it fully? I understand medium term, we can grow double -digit, mid -teen kind of growth.
But because of specific headwinds, whether it takes 2 quarters for us to recover it takes 4 quarters, if you can provide some sense.
Sushanth Pai: That's right. It will take about 2 quarters to recover, Dipesh.
Moderator: The next question comes from the line of Chintan Sheth from Girik Capital.
Chintan Sheth: One question I had was on the dividend policy. You mentioned the 3-year block, 75% payout of the free cash. If you can elaborate, will it be a linear annually 75% payout or depending on the yearly requirement, how should one look at that?
Second is, given that we have already decent cash on books, are we planning any acquisitions to fuel the growth? And what is our investment policy going forward? That's the 2 set of questions.
Kushal Maheshwari: Sushanth do you want to give a brief view on the new dividend policy?
Sushanth Pai: So firstly, let me ta

lk about the rationale because the demerger process is over, and we are an independent company. And like I said, we are generating strong cash flows in the coming year. The Board has decided to look at a better dividend policy in terms of number, which is up to 75% of the free cash flows over a block of 3 years. So that's the policy. Now year -to-year, what will happen, it depends on how the progress of the business is, what are the cash flows we generate. But broadly, the thing is over a period of 3 years. Year -to-year, we will figure out as we go along, and we will update you when the dividend proposal comes. But this is the broad policy that has been decided.
Chintan Sheth: And on the investment policy, are we looking for more acquisition -led growth? Or how are you placed given we are generating sizable cash flows?
Guruprasad Srinivasan: Earlier, I mean, in India, as I said, the headcount that we add and the growth that we have, definitely, it does not really make sense to do any acquisition in the local geography. So we are not exploring any. And as I said, we will be investing more time and effort on technology investments. And in fact, I did allude to the kind of AI project that we are working to see how we get the productivity. I think constantly, one area where we want to invest is to better our hiring engine fro m where we are and how do we create the recruiter productivity from where we are through AI interventions and the data analytics intervention, which we have already started a project internally. We want to reap the benefits of this to support our accelerat ion on the productivity. So that is where we would actually put more time and effort as we move forward more than acquisition.
Chintan Sheth: And the last question was on the receivable days. Given that a large part of our business comes from the general staffing and within that also 75%, 80% of the business is collect and pay, which I believe is more cash and carry. Still, our receivable days a re 37 days currently.
So I mean to say that the residual business ideally will carry a very high receivable days. I believe that 30 to 60 days is the range where we are recovering our money in the IT staffing business or

the overseas staffing business. But you see the other residual business ex of collect and pay will be much higher than that. I'm just trying to reconcile the number.
Guruprasad Srinivasan: So, if you look at all the 3 profiles, general staffing at an average of 17 to 18 days, as you rightly said, 80% of our contracts are collect and paid. And IT staffing clocks around roughly 70 to 75 days in terms of collections. And almost similar will be for overseas, because high margin, and it must go through its own process, right . So we are working with all large GCCs and MNCs on

the other side. So, the commercial s also commensurate in terms of working in that model. So blended average, if you look at this FY25 itself, we have brought our overall consolidated DSO from 44 days to 37 days . And this, I would say, is the best where we have got our DSO levels where we are today. And we would definitely want to aim at getting it better, but would it further drastically come down from here? It may not be, but we can still better by 1 or 2 day s as we move forward. So , I think we are at the highest efficient collection system that we have put in place where we are. Sushant, do you want to add?

Sushanth Pai: I just want to add that the receivables, the number of days, also includes unbilled revenues as well. So , all put together, it is about 21 days. 17 days of unbilled, 21 days of billed received here.

Moderator: The next question comes from the line of Riya Mehta from Aequitas Investments.

Riya Mehta: My first question is in respect to the goodwill impairment, which we have done. So , what amount of goodwill is still left on the balanc

e sheet and what are the basis of impairment?

Sushanth Pai: Yes. So, the goodwill we have impaired is in 2 companies. One is Stellarslog, which is INR7 crores, and Ques s International Services, which is INR19 crores. What is remaining as goodwill is about INR236 crores. They are more for our Magna and Comtel businesses, which are doing well, and there is no impairment on those businesses.

Riya Mehta: Okay. So , the 2 entities where we have already write down the goodwill, that's completed, right?

Sushanth Pai: Yes.

Riya Mehta: And in terms of the NBFC, which we let go, was that because they're now adopting AI or something on that line?

Lohit Bhatia: Yes. So , I'd like to clarify, we did not lose the account. The client had to in -source a certain set of people because of a certain advisory which the NBFC received. We are still service providers to the customer. We carry another few thousand people, but much sma ller than what we've lost. For the current financial year and the financial year going by, we are also in active conversation with the NBFC on a new project that we'd be working with them to ramp up some of the numbers again. So , there is no loss on account of services, technology, commercials or any other thing.

Riya Mehta: Got it. And are we expecting any other NBFCs reducing from our clientele list because of the regulation?

Lohit Bhatia: Not at the moment, we don't see the signs of that. See, a staffing company plays a very critical role in most organizations, which is why we've grown, and the industry has grown. One is

mobilization and sourcing, which is extremely important. Today, the majority of our workforce, nearly 39%, works in Tier 2 and below towns. So, for companies to come to a staffing company, payroll and compliance used to be what was essential 10 years ago. But today, payroll and compliance has become table stakes. Importantly, it has become what technology and productivity you can help them with how you can help them with sourcing across the country in all of these thousands of towns and cities. And more importantly, how can you do compliance management at the end o f the life of the wo rkforce. Quess has also created a technology called Hamara HR, on which resides our benefits platform. And today, we give benefits to lakhs of our employees, which is available to every customer's associate employees. So there are many other things for which a staffing company plays a very integral role. And we cont inue to see that we'll keep playing that role for thousands of other companies as well in times to come.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to the management for the closing remarks.

Guruprasad Srinivasan: Okay. I again take this opportunity to thank each one of you on this call for joining us for the Q4 and full year earnings call. Your questions and feedback have always been valuable. We appreciate your continued interest and support as we move forward wit h renewed purpose and strategic clarity. I sincerely look forward to catching up with you again. Thank you.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of IIFL Capital Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

(The document has been slightly edited to improve readability)

Call: Aug 2025

Quess Corp Limited
Quess Tower, Sky Walk Avenue, 32/4, Hosur Road, Roopena Agrahara, Bommanahalli, Bengaluru – 560068, Karnataka, India
Tel: +91 080 -49345666 I contactus@quesscorp.com I CIN L74140KA2007PLC043909

www.quesscorp.com

QCL/SEC/2025 -26/39

August 01, 2025

To,
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Rotunda Building, PJ Towers,
Dalal Street, Mumbai – 400 001

National Stock Exchange of India Limited
Exchange Plaza,
Bandra - Kurla Complex,
Bandra (East), Mumbai – 400 051
Security Code – 539978 NSE Symbol – QUESS

Dear Sir/ Madam,

Sub: Transcript of Earnings Call – Q1 FY26

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of the Earnings Call held on July 29, 2025 .

The above information is also available on the website of the Company at www.quesscorp.com

Kindly take the same on record and acknowledge .

Yours sincerely,

For Quess Corp Limited

Kundan K Lal
Company Secretary & Compliance Officer
Membership No.: F 8393

Encl: as above

“Quess Corp Limited

Q1 FY '2 6 Earnings Conference Call ”

July 29, 202 5

MANAGEMENT : MR. GURUPRASAD SRINIVASAN – CHIEF EXECUTIVE OFFICER

MR. SUSHANTH PAI – CHIEF FINANCIAL OFFICER
MR. LOHIT BHATIA – PRESIDENT , INDIA GLOBAL OPERATIONS
MR. KAPIL JOSHI – CHIEF EXECUTIVE OFFICER – QUEST IT STAFFING AND QUESS SEARCH & RECRUITMENT
MR. KUSHAL MAHESHWARI – HEAD, INVESTOR RELATIONS AND STRATEGIC FINANCE

MODERATOR : MR. SIDDHARTH ZABAK – IIFL CAPITAL SERVICES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Quess Corp Limited Q1 FY '26 Earnings Conference Call hosted by IIFL Capital Service Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Siddharth Zabak from IIFL Capital Services Limited. Thank you, and over to you.

Siddharth Zabak : Ladies and gentlemen, good morning, and thank you for joining us on the post Q1 FY '26 results conference call for Quess Corp Limited. It is my pleasure to introduce the senior management team of Quess Corp, who are here with us today to discuss the results.

We have Mr. Guruprasad Srinivasan , CEO; Mr. Sushanth Pai, CFO; Mr. Kushal Maheshwari , Head, Investor Relations and Strategic Finance; Mr. Lohit Bhatia , President, India Global Operations; Mr. Kapil Joshi , CEO of Quest IT Staffing and Quess Search & Recruitment. We will begin the call with opening remarks by the management team, and thereafter, we will open the call for a Q&A session. I would like to now hand over the call to Mr. Kushal Maheshwari to take the proceedings forward. Thank you, and over to you, Kushal.

Kushal Maheshwari: Thank you, Siddharth. Good morning, everyone, and thank you for joining our Q1 FY '26 earnings call. The information, data and outlook shared by the management during the call is forward -looking and subject to prevailing business conditions and government polici es. All forward -looking statements are subject to economic growth or other risks faced by the company. Please refer to Slide number 2 of investor presentation for the safe harbor clause. With that safe harbor clause, I will now hand over the call to our Group CEO, Mr. Guruprasad Srinivasan , for his opening remarks. Over to you, Guru.

Guruprasad Srinivasan: Thank you, Kushal. Very good morning, everyone, and thank you for joining us for Quess Corp's Q1 FY '26 Earnings Call. I'm pleased to present our first quarter performance, which starts the year strongly and builds on the operational momentum and vertical strategy established in FY '25. We achieved a healthy and balanced performance in Q1 FY '26 despite facing a challenging environment early this quarter, reflecting our resilient business model, disciplined execution and focused client attention.

For Q1 FY '26, we reported a revenue o f INR3,651 crores with EBITDA of INR70 crores. EBITDA margins increased by 7 basis points quarter -on-quarter to 1.9%. PAT for the quarter was INR51 crores. Despite pressure from headcount additions, we ended the period with 4,61,531 associates, adding near ly 2,000 associates on a net basis.

We are proud to announce that Quess has been certified as Great Place to Work for sixth consecutive year, improving from 32nd to 19th place, a testament to our people -oriented culture. Additionally, we have been recogni zed as India's number 1 staffing company for 2025 by

Staffing Industry Analysts. These prestigious awards highlight our unwavering dedication to our colleagues and consistent quality of our service delivery.

Let me now walk you through the performance of each of our segments, starting with General Staffing. Signs of recovery with strong momentum in June '25. In Q1, the segment reported a revenue of INR3,122 crores, flat year -on-year and down marginally quarter -on-quarter amidst a challenging operating envi ronment. June '25 was the first month since December '24, we saw an uptick across headcount, new demand, open mandates and fulfillments. Overall, the quarter, we had net

adds of 2,000, where although we experienced a decline in April. However, we saw a recovery in later part of the quarter by adding 6,500 numbers in the month of June itself. The majority of new addition this quarter came from manufacturing, followed by banking financial, consumer retail and telecom – consumer, retail and telecom saw a margi nal decline. The growth came in from manufacturing and BFSI segment. General Staffing added 79 new contracts during the quarter, which brought in 9,000 -plus new associates. As of June '25, we have an encouraging open mandate of 42,000 considering the upcom ing festive seasonal demand.

Moving on to professional staffing, strongest quarter in over 15 years. Professional Staffing maintained its momentum from previous year, posting its best quarterly performance in over 15 years with revenue of INR244 crores an d EBITDA of INR25 crores. It achieved a double -digit margin of 10.2% with our annualized revenue run rate approaching INR2,000 crores. This success resulted from gross margin expansion, operational efficiency, strong financial governance driven by modern i nitiatives in systems and processes. While headcount has remained steady, this growth is mainly driven by our targeted focus on niche and super niche scale within the GCC space, which is our focused strategy, combined with AI in the service delivery excell ence has served us as key drivers for the growth. Additionally, over the past 2 years, we -- even with the headcount remaining stable at around 6,000, segment EBITDA has doubled, highlighting the success of our deployment mix optimization strategy. This m argin growth has been driven by ability to shift a large tech workforce from shared services to emerging technology with GCC. Our enhanced capability in data and AI, cloud, cybersecurity and platform engineering have allowed us to operate in higher value s egment, thereby improving our margin profile. GCC expansion within the segment is 73%. The exposure to GCC is 73%, driven mainly by demand from digital, high -tech, telecom, media and technology and electronics sector. During the quarter, we also added 12 n ew contracts, each with promising projection of headcount growth in upcoming quarters. Our open mandate are currently over 1,200 positions, I mean, positioning us well to meet our demand from the sector perspective. BFSI continues to drive the growth, foll owed by telecom, product and tech sectors. Conversely, pharma and retail, auto and manufacturing faced pressure due to tariff -related headwinds.

We also announced launch of Origint powered by Quess, a new strategic business line focused rapidly in expanding GCC ecosystem. Origint provides end -to-end service to assist global enterprise in establishing, expanding and managing high -performing capabilities across India.

Moving on to overseas business, stable performance with regional strength. The over seas business reported revenue of INR284 crores for the quarter flat year -on-year and marginally down 1% sequentially. Headcount for overseas business was at 5,599 with a growth of 18% year-on-year. We added 32 new contracts during the quarter. Singapore, our largest international

market, continues to face visa -related challenges that impacts our overall performance. However, our strategic shift towards General Staffing in Singapore is now over 300 associates is helping us to offset decline in Professional Staffing. The Middle East continues to show strong growth, driven by headcount increase and better realization. The IT sector remains the main contributor, followed by traditional general staffing in retail and e -commerce sector. In APAC and Malaysia -- in APAC, Malaysia is expanding successfully through steady growth in both tech and non -tech clients, while Philippines had a very strong quarter, supported by demand from ITES and technology sectors.

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ing on to digital platform, enabling India's blue -collar workforce at scale. We are creating a comprehensive digital employment ecosystem through our flagship platform, Hamara Jobs. We are proud to be the first company to join the open network for digital commerce, which is also called as ONDC, as an anchor n etwork participant in the work opportunity domain, making a pioneer step in digital staffing. Through this integration, Hamara Jobs will continue to contribute 5 lakh plus verified job listings annually to ONDC network, significantly boosting access to tru sted, transparent and scalable job opportunities across the country, thereby expanding access for our job seekers and recruiters in Tier 2 and Tier 3 rural India.

With that, now I'll hand over to Sushanth Pai, our Chief Financial Officer, to share Q1 upda te on our financial performance. Over to you, Sushanth.

Sushanth Pai: Thanks, Guru. A very good morning to all of you. I'll begin by our headline financial numbers before delving into segment -wise performance and other corporate updates.

We reported reven ues of INR3,651 crores for the quarter, reflecting a 2% year -on-year growth and a flat growth sequentially. We delivered an EBITDA of INR70 crores, which is 10% increase

year-on-year and 4% increase quarter -on-quarter. Operating margins improved to 1.9% w ith a sequential expansion of 7 basis points and a 15 basis points improvement over last year. We reported PAT profit after tax of INR51 crores, which includes demerger -related expenses of INR2 crores, primarily on account of professional fees incurred. Ex cluding this, our adjusted profit after tax came at INR53 crores, a decrease of 15% quarter -on-quarter and an increase of 8% year -on-year.
Correspondingly, our adjusted EPS for the quarter is INR3.5 per share. Excluding the interest on income tax refund b enefit of INR9.7 crores in Q4, the net profit of the business remains stable.
In line with our stated objective, our focus on margin expansion has started yielding results due to the operational efficiency measures and a higher mix of higher -margin busine ss. From a profitability standpoint, approximately 53% of our contribution comes from General Staffing, 29% from Professional Staffing and about 21% from overseas business.
Professional Staffing contribution, which has higher margins, has changed from 23% in FY '25 to 29% this quarter. We also exited the quarter at 0 gross debt levels, demonstrating continued strength in our liquidity position.

Moving on to segment -wise updates, starting with General Staffing, we delivered a top line of INR3,122 crores, f lat year -on-year and down 1% sequentially, primarily due to muted headcount growth. Segmental EBITDA stood at INR46 crores, up 3% year -on-year and 6% quarter -on-quarter, with margins expanding by 9 basis points sequentially and 4 basis points on a year -on-year basis despite a muted headcount addition.
On Professional Staffing, we are pleased with the segment's growth across revenue and realizations, as it delivered its best ever quarterly performance. Revenue was INR244 crores, up 31% year -on-year and 11% quarter -on-quarter, while segmental EBITDA increased by 48% year-on-year and 24% quarter -on-quarter to INR25 crores. The segment margin came at 10.2%, entering double digits for the first time, registering a sharp 116 basis points expansion with respect t o Q1 last year and 102 basis points on a sequential basis. The performance was led by deeper engagements with global capability centers, which now contribute 73% of segment revenues.
Coming to overseas business, revenue stood at INR284 crores, which is broadly flat Y -on-Y basis and down 1% sequentially as growth in the Middle East, Malaysia and Philippines was offset by decline in Singapore business, impacted by continued regulatory headwinds. EBITDA for the segment

was INR17 crores, up by 12% year -on-year and 1% quarter -on-quarter. Segment EBITDA margin was 5.9%, a 30 basis points increase on a year -on-year basis and 20 basis points down sequentially.
Looking ahead, as we move into the remainder of FY '26, our North Star remains cle ar, which is to drive scalable, efficient operations, while doubling down on margin -accretive avenues. We will focus on further leveraging the GCC opportunity by advancing our GCC as a Service brand, Origint that was rolled out and accelerate our digital p latforms partnership with ONDC.
With a strong capital base, a seasoned leadership team and a relentless focus on margin and cash conversion, Quess is uniquely positioned to capture the next wave of workforce transformation opportunities. With that, I conc lude the financial update. Thank you for your time and continued support. I now hand over the call back to the moderator for the Q&A session.
Moderator: Thank you very much. The first question is from the line of Siddharth Zabak from IIFL Capital Service L imited. Please go ahead.
Siddharth Zabak : Congratulations on a strong set of numbers. My question is on professional staffing. So you have seen sharp revenue growth and margin expansion in recent quarters. I'd like to understand whether this growth and ma rgin profile is sustainable? Or should we expect some moderation going ahead?
Kushal Maheshwari: Thank you, Siddharth, for your question. I would ask Kapil to answer this question on professional staffing.
Kapil Joshi: Hi, Siddharth. If you see Quess IT st affing, we closely work currently with 157 GCC s. In India, we have roughly 1,800 GCC. So last year, we have acquired 62 new logo and in the Q1 itself, we have acquired 12 new logo. 10 of these 12 are from GCC space only.

So as we continue to penetrate in existing GCC base and we have actually pivoted from plain

vanilla bulk hiring to niche , super niche space, we have built the capability to deliver in emerging technology. And I think the combination of this will continue to help us to improve gross margin as well as give us the top -line growth.
Moderator: The next question comes from the line of Dipesh Mehta from Emkay Global.
Dipesh Mehta: A couple of questions. Starting with first on the general staffing. Now general staffi ng, I think revenue growth is relatively softer. You indicated June month is where you are seeing signs of recovery. So if you can give a broad sense how we expect growth acceleration to play out in associate terms as well as in revenue side, if you can gi ve some sense.
Second related question about associate to core ratio, if one look at it, it has declined sizably when you look Q -o-Q and Y-o-Y from around 400 to now 300. So if you can give some sense about how one should look this ratio and whether it has some margin implication or you think because of business mix change, largely it explains the ratio and it might have some implication.
Second question is about professional staffing. Now it has done well. So if you can give a sense about its sustainability both in terms of revenue growth momentum as well as double -digit margin kind of thing?
Kushal Maheshwari: Thank you, Dipesh, for your question. For the question on associate to core ratio, I would ask Guru to give some guidance on that, post which on general staffing, Lohit will contribute.
Guruprasad Srinivasan: Sure. Dipesh, so with regard to the core to associate, yes, we have seen a decline to 307 from where we were. And if you look at , in a way, we are quite mindful about it, and it's a very cautious step that we have taken.
So if you look at Q1 itself, we have added about 79,000 headcount during the quarter and of which 31% comes through sourcing. And this being a season now, July to October up until Diwali, it's going to be season, we have gone and ramped up our recru

iting capability across.
That's one. And I mean, that adds to our headcount. Part B of that is we are also accelera ting on our job spots, which specifically the open mandates, which are coming in from manufacturing segment. Q1, it was slightly slow, but Q2, we are seeing the mandates coming in. And as I said, we have about 42,000 open mandates, which are lined up, and we are accelerating our sourcing capability across up to the season.
So that's pretty much the reason why the core to -associate ratio has slightly come down, but this is definitely is going to add back into our net joinees that will impact positively in t he upcoming quarter. So I mean, does that answer your question? Then I can hand over o n where is the mandate coming in from to Lohit.
Dipesh Mehta : Sure. So broadly, what you are indicating, it is capacity creation to capture demand , seasonal demand and th is ratio likely to reverse as we enter into second half of this year.
Guruprasad Srinivasan: Absolutely. And we have been doing that. I mean as and when the season tapers down, we also bring it down. The recruiter count also comes down. So...

Dipesh Mehta: And second part of that question is in terms of mix change because I was more keen about whether this mix change because, let's say, BFSI has seen some softness for the last few quarters. So now in terms of your associate mix, there might be some change i n terms of industry -wide number, whether it has implication in this core associate kind of ratio?
Guruprasad Srinivasan: Sure. So let me get Lohit to talk about that.
Lohit Bhatia: Dipesh, thanks for the question. Just to add to your question and Guru's an swer, First and foremost, if you see the quarter 1, overall, the growth has been a shade over 2,000 net addition. However, this is a quarter where we've turned from the trough and we've turned back up into the positive territory. You would notice from Guru 's commentary that April started soft with a little over 4,000 negative decline, flattish in the month of May and then almost 7,000 net addition in the month of June, which is what has given us the overall 2,000 addition.
See, quarter 1 for us, particular ly is supposed to be the season summer in India and retail and CRT is supposed to do exceptionally well. However, this year, monsoon has practically arrived across the country much earlier, and we hardly had any practical summer even in northern parts of India, there was no summer. What that does is that all the manufacturers, who are associated with summer products saw a much, much softer landing, and that did not aid any beneficial incremental growth in the retail segment. Retail, among the segments, if y ou notice, retail has come out negative in Q1. BFSI, which was negative in Q4, and we had reported that separately has turned positive, and we've added new BFSI customers. And M&A has again come out positive. So that's overall in the territory.
Having said that, the capacity that we've created and what we are noticing in the broader economy, July onwards, we are seeing that we will consistently remain at these kind of June kind of numbers hereafter, consistently with both new mandates added, which is ab out 42,000 as well as new customers added, which is about 79 logos. So going forward, we will consistently

be able to perform till the season is there.
Kushal Maheshwari: Thank you, Lohit. I would ask now Kapil to give more color on the performance of prof essional staffing.
Kapil Joshi: Yes. So on your question, whether the revenue growth and margin would be sustainable, I think very much we will be able to hold it. Like Guru has mentioned in his opening remarks, Origint, we recently started GCC as a servic e and with execution capability, what we have being a differentiator in the market, I think we will be able to capitalize on it. We have a healthy pipeline of

prospects in Origint, which should get materialized in the next couple of months.
Apart from tha t, like I mentioned earlier, we have healthy sales new logo signed up. We have signed 12 new logo. Apart from that, we have currently 1,200 open mandate, which is almost 75 days for us. So there is a healthy mandate from the GCC also.
And then we have mad e huge investment in our AI -driven delivery model. Now we are not only helping the world in solving their technology problem, but we also use a lot of technology internally in getting the sourcing, screening and candidate engagement and all this is giving us better operational efficiency and better margin.

Guruprasad Srinivasan: Just to add, Dipesh, also a slight change. If I look at all the high -end skills that we are adding, whether it is AI, cloud, cybersecurity, digital and high -tech media that we are h iring, the average wage compared to earlier, depending upon the skill, average wage what we hire a person is almost INR1.25 lakhs per month. So even that has increased. And since we work on a percentage margin there, obviously, it continues to support the margin expansion for us.
Moderator: The next question is from the line of Chintan Sheth from Girik Capital.
Chintan Sheth: Great set of numbers on the professional staffing side. My question is more on general staffing. You provided some color around it in terms of how we are looking at it. If you can highlight a little bit more color on in terms of margin improvement from here on, what will be the key drivers one should look at given you mentioned a little bit about why core has been lower, but it will imp rove. And should it also contribute to improve our margins over there? That's one.
And second is , you mentioned about the gross level -- gross debt level being 0. I'm trying to understand the interest cost at INR10 crores seems a little bit higher. So if you can guide on that part as well ?
Kushal Maheshwari: Thank you, Chintan, for your question. I'll ask Lohit to give you some sense on the margin improvement possibility in the general staffing business, post which Sushanth can answer your question on the finance costs related to gross debt.
Lohit Bhatia: Thank you very much, Chintan, for the question. Margin is a factor of what we get from the industry, both in terms of a blend between flat fee as well as percentage fee. And as we've explained in the past, some of the deals, which come at flat fee have little or no room to play as far as margin expansion is concerned. But when you see a growing business, we've had challenges like Guru put it in his commentary after November '24, which is the last Diwali tha t we saw, there hasn't been much addition in the overall general staffing industry per se. And those were more related to the environmental factors and the economic factors. If you split it now, see some of the things, which have changed from April onwards . On the banking side, interest rates have substantially come down. There has been more openness towards the NBFCs and the banks to add more people. We've added new logos as well as we've received more open mandate. On the M&A side, the manufacturing side, the ecosystem in electronic manufacturing as well as the automobile and EV and renewal vehicles were also seeing some bit of a slowdown, which has also started to recover in both those segments as well, and that aids our open mandates.
And coming back to the retail, what prevented us growing in Q1, which was advancement of rains actually should aid us in growth in second and third quarter because better rates would eventually mean more economic growth. And that still this Diwali, we are extremely bullish.
Now coming back to your specific question on margin, service fees minus IDC is what eventually translates into margin. And IDC, like Sushanth and Guru explained in their commentary

has already been baked in. So we have baked in for season of 2025 already ahead of time, which is now, and that's what is showing 42,000 open mandates. And in the next couple of months, that should yield growth back for us.
I will hand over to my colleague, Sushanth, on the gross debt question.

Sushanth Pai: Yes. So on gross debt, we are 0 at 30th June. But what happens is during the quarter and during the months, right, there will be some borrowings. So based on the average debt, the interest cost comes. So typically, what happens in month ends and quarter ends, we have much higher collections and that sort of helps in the debt position. But during the month, the average debt is higher. The second thing, as you have noticed, because general staffing was a bit muted and a lot of the general staffing business is on a collect and pay model and because that business was muted, that sort of affected the operating cash flows in this quarter. However, as we go along in quarter 2, because of the open mandates and because of the general staffing showing better traction in quarter 2, so that level also will help us in quarter 2. And as we go along, we believe that the interest cost will keep coming down. So these are the reasons for the interest costs.
Moderator: The next question is from the line of Sankaranarayanan from ithought PMS .
Sankaranarayanan: My first question is regarding the ONDC network. So how are you going to differentiate in terms of sourcing capabilities and getting the employees from our peers and the global competitors?
Guruprasad Srinivasan: Sure. Thanks for this quest ion. And just -- let me give a little background. ONDC is a network -- open digital network for all SMEs and MSMEs to participate on -- I mean, as a channel to impact and for trade and commercial on various other parameters across the country. So this has multiple sections. One of the subsection under ONDC is a platform called ONEST , which focuses specifically for skilling and employment.
Now Quess' platform is getting integrated into ONDC, which is our platform called Hamara Jobs as an anchor network part icipant for the work opportunities. So what does this mean to Quess is these opens up a complete network or an area, where Quess does not currently focus about.
So for example, we service all enterprise accounts, the large and enterprise accounts. So jus t to give you an example, if a quick restaurant, if a QSR wants to hire people, they can go to ONDC and they can post the job on ONDC , where the platform would be assisted or the platform that they will ride on is going to be, the demand and supply platform is going to be linked to Ques s.
So, we have candidates coming onto our application on a daily basis, who are the job seekers, and we have people posting job, who want to hire. So it will enable more job matching or job selections in Tier 2, Tier 3 and rural areas. So this is an area, where currently Quest does not focus as an enterprise, but MSME is a much larger base for us to accelerate. So as we move forward, we would also see a lot of traction coming in from MSMEs onto this platform.
Sankaranar ayanan: Got it, sir. Sir, my second question is regarding your new business line for GCC, that's Origint.
So previously, before the organization of Origint, how was the GCC business vertical was structured? And after this introducing new vertical as a new business line, how is it going to transform our existing business? How is it going to improve us?
Guruprasad Srinivasan: So as I called out in my initial speech, we have been in IT staffing specifically for over the last 15 years. And we have been hiring p eople for IT, ITES and GCC. So we have been doing that, and we have been doing fairly well for the last 15 years, and you have seen the result. The toughest part for somebody to set up GCC in India, one of the heavy lift

ing element is hiring,
and we have b een doing that for long. Naturally, it's a good fit in for us if -- to get into the other

plug-in services. So for example, hiring is one part that we are good at. So the other part is end -to-end services in terms of finding infrastructure and managing tho se infrastructures for our customers. So we did that as a natural plug -in, created this brand called Origint.
And now we have a capacity that we have built, where we can pitch into customers to do end -to-end, if somebody is setting up their shop in India, we can tell them where the talent is available because we have enormous data in that zone as to what kind of like where the health care tech talents are available, where high -end niche IT talents are available across. We'll be able to consult and coach cu stomers, who are setting up their shop here, which geography or where they should set up considering the talent availability and help them to accelerate the entire start -up in a much more faster way by setting up end -to-end infrastructure premises as well. So I mean, again, these are not capex -heavy model. These are a cost -plus markup model. And since we have the capability to manage end -to-end through our own company, which is Bluspring and Digitide, so we can bring all of them together to work on this.
So what have we done till now, we have gone live with one of the health care wearable company, and there are 2 more in pipeline, which we are working on. So there is a sales strategy that we have put across together.
Sankaranarayanan: Got it, sir. Sir, my l ast question is regarding general staffing. So I could congratulate the management for increasing the collect and pay ratio from 50 to 65 percentage in 2018 to 76 now.
Sir, from here on, how long could you increase the collect and pay ratio in the overall general staffing segment?

Lohit Bhatia : So -- thanks for that question. The propensity for the customer to pay either collect and pay or credit depends on their cycle. And some of the cases, where the credit is being given is because their cycle is pretty international. So the operations may be in India, but they are shared services or their global operations, which could have some of the approving path and everything could be housed outside of India. And hence, it takes slightly longer. For us, the most important thing is even in the customers where we give credit, the due diligence on the type of client and the safety of capital is there. I think we've often stated that we are happy with keeping it between 75% to 80% and we will remain in that range as f ar as the general staffing is concerned. Our first potential is always to bag more relationships in collect and pay. However, we will remain in that range.

Moderator: The next question is from the line of Meet from Equirus PMS.

Meet: Yes. So my first quest ion is in terms of construction vertical within general staffing. So what was the absolute headcount number for this vertical as on June end? And what was the headcount growth in Q1 on Q -o-Q basis?

Lohit Bhatia : Yes. Thanks for the question, Meet. Construc tion, as you know, is one of India's biggest informal labor market. It's estimated that there are about 50 million people, who are in the construction vertical and 95% to 97% by government's own data could be in the informal sector. We, along with our Boar d of Directors and leaders, felt that this is an area that we can have critical

operations. However, construction also has other inherent layers in it. So as an organization, we are being extremely cautious.

Today, we play and work in this segment with on ly 3 very large marquee construction giants in the country. While we have multiple projects that we are doing with them, but the legal entities are 3, the SPVs under them or the

construction sites could be about 30 of them. The actual headcount from this b usiness is just about between 2,500 to 3,000. Again, this is a business, which gets highly impacted by rains, and you can't construct especially civil, you cannot construct when there are rains. So obviously, there's a little bit of a decline.

In our plan , the way we had planned, we are ahead of the plan in Q1 already in construction, though not much growth over Q4 because of the reason that I just explained. Q2 and Q3, we have uptick in this business as per the plan itself. Today, what does it contribute to the group? I would say it's fairly insignificant when it comes to cash bottom line, but it has upside potential towards the end of this financial year.

Meet: Okay. Any color how much it can contribute to general staffing revenue and EBITDA in let's say FY '26 or FY '27?

Lohit Bhatia : Early days to make that comment, but I will make one point that unlike the general staffing flat service fees business, this is more like a bill rate model, more like a professional staffing because the nichness of the prof ile to get skilled workers on the site and to have them mobilized across the country is what customers pay for. They also know that when they come to a Quess Corp, they get good talent, quality talent and they get extremely good compliances and governance, which is otherwise not available in this industry. To give you one perspective, the gross margins in this can be 3x to 4x the gross margin of a typical general staffing person applied. But it is a long way forward for us. We are still very, very small in this right now.

Meet: Understood. Understood. And any new major project which we are pursuing as of now apart from the 3 ongoing projects? Or right now, we are focusing on 3 projects for this year?

Sushanth Pai: For now, we'll continue to focus on 3 customers, which are India's giants, but multiple projects under them. And we will continue to see that it aids us both in payables as well as it aids us in margin profile.

Meet: Understood. Got it. And my second question is for ELI scheme. So Cabinet has approved the employment -linked incentive scheme earlier in July, which was presented in union budget. So just wanted to understand what is your assessment about the impact of this scheme on staffing industry?

Guruprasad Srinivasan: So yes, that's a good qu estion, and it was announced in the budget. It's been approved by cabinet. On 1st of August, it goes live for the entire country for the next 2 to 4 years, as we've all read the details. On the 5th of August, the fine print and the rules should be given ou t. However, our teams are working extremely closely with both Ministry of Labor as well as the Employees Provident Fund Organization, which will be the implementation body for this. At a very high level, I'll tell you that it will lead to 3 or 4 things for the entire industry. One, more informal labor market should come towards formal labor market, which is where Quess operates, and that helps us. Second, even after we do the transition from informal to formal labor market, unfortunately, at the entry level , the retention is a very big problem and attrition is very high in the general staffing business. The way the scheme is drafted, if you specifically look at Scheme A, it now says that the DBT benefit to the employee will happen after completing 6 month a nd 12 months. This for the staffing industry and for most of our customers will not just allow more attraction of people into the labor market and into the staffing industry, it will also help us in retention. So retention is going to be another area, wher e we will closely be able to work, and this will help both us as well as our customer. And third, obviously, it helps the employers as well. And we are a large job creator. So automatically, there would be som

e benefits there as
well. The modeling of it is a little early right now. As we cross, say, 1 quarter and we see our gross additions and net additions, maybe we'll be able to guide more closely after the September or the December quarter.
In terms of real cash flow, if you see it, it says that 6 month s after the implementation and implementation date starting from 1st August, it will start having a cash flow benefit to employers. That means the benefit can only accrue from the quarter 4.
Meet: Understood. Understood. Okay. Any early assessment of maybe gross margin changes with the employers because of the scheme?
Sushanth Pai: So like we said, this is Sushanth here. The framework is just ready. There are still fine print that we need to go through. The rules, like Lohit said, is expected to come soon. I think only after that, we'll be able to comment. But broadly, because this takes place in August and there is a condition that people have to be in employment for minimum 6 months, we believe it will be insignificant for this financial year.
Moderator: The next question is from the line of Karan Gupta from ASML.
Karan Gupta: Yes. So can you give the guidance overall for FY '26, '27 of top line and margins, if you can?
Kushal Maheshwari: Sorry, Karan, your line was not audible. Can you repeat your question?
Karan Gupta: Yes. So any guidance for top line and margins for FY '26, '27?
Sushanth Pai: Karan, we typically don't give guidance for top line, bottom line. We can discuss more on the business lines. If you have any questions on the business line, we can discuss more on that.
Karan Gupta: Okay. So for professional staffing, what the contribution we are targeting the overall pie?
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Sushanth Pai: So Karan, Professional Staffing in terms of revenues contribute about 7% and to EBITDA, it contribut es 29%. And the margin profile of the Professional Staffing business is about 10.2%.
Kushal Maheshwari: Any other question, Karan?
Karan Gupta: Yes. Any guidance of this segment to increase, what will be the overall contribution on top line...

Kushal Mahes hwari: I think Kapil had already answered the question on revenue and margins, but I would ask Kapil if he can give some more color on the professional staffing business.
Kapil Joshi: So Professional Staffing business, we have done the verticalization long back. It was almost 10 years back when GCC was just getting the traction. And we had an early mover advantage of having a verticalization as well as industry -focused approach, delivery approach, okay?
Recently, we have invested a lot in AI -driven deliver y model, and that has helped us to deliver better with the speed, better quality to GCC and has helped us to consolidate our position in GCC space. Now 73% of our revenue come from the GCC. And with healthy new logo pipeline and with the 1,200 open mandate currently, we expect this growth should continue.
Karan Gupta: Okay. And overseas ?
Kushal Maheshwari: Sorry?
Karan Gupta: Yes. So just last one on overseas staffing. Can you just give some color on the margin side of overseas staffing? I mean, how should we look at it compared to the staffing, professional staffing. Why the Singapore continues to face challenges and trend decline ?
Sushanth Pai: Thanks for that question. Maybe I'll just give a headline thing, and I'll just pass it on to Lohit.
So if you see overseas business, our contribution to revenue is about 8% and EBITDA is about 17%. The contribution is about 20% to EBITDA. It makes close to 6% margins.
So broadly, if you see the margins, the way it has shaped up has grown 12% year -on-year for oversea s business. This is despite the Singapore having headwinds. That is also because Middle East, Malaysia have shown good growth here. And you can also see the headcount has grown about 18% year -on-year for overseas business.

So that's the broad thing. So we believe these sort
of trends will continue as we go along, and I'll just hand it over to Lohit to add on any comments.

Lohit Bhatia: Yes. Thanks, Sushanth. I think as is known to almost everyone that the Singapore was our largest contributing book from a h eadcount perspective, revenue perspective and margin perspective.
The headwinds that we are seeing there in the last 8 quarters have been circumvented by a couple of actions that our business teams have taken. One among them was to ensure that we have tremendous diversification across all the existing geographies that we had. While Singapore's EBITDA came down in the last 1 year by 41%, we would be glad to know that Middle East EBITDA went up by 48%. Malaysia went up by almost 100% on its base and Philippin es went up by 56% on its base.
Singapore, I'd again repeat, used to be our largest contributor. It is no longer our largest contributor. Now the largest contributor by EBITDA is Middle East. So first, that diversification for us across our own geos have w orked. Second, within Singapore itself, like Guru explained, the headwinds were primarily because of the visa issues. And hence, we doubled down in the last couple of quarters on expanding towards more localized business, which is general staffing business . Glad to again report that our teams have been able to cross 300 headcount, though on a lower PPAM basis, but they have done significant work locally in Singapore.

The third action that we took was from a sales point of view. We started to sign more APAC deals and more intercountry deals rather than single country deals, which has also helped some of the other geographies to get marquee customers in their geographies and be able to deliver to them. Our exit EBITDA as of now stands at about 5.9% blended fo r international.
Kushal Maheshwari: Karan, hope this answers your question.
Moderator: The next question is from the line of Sohum from RV Investments.
Sohum: Sir, what was the gross margin PAPM in the General Staffing and Professional Staffing business?
Kushal Maheshwari: Thank you so much for your question. I'll ask Guru to answer.
Guruprasad Srinivasan: Yes. So PAPM ranges between about INR600 to INR650. That's the range that we are in. So if it is seasonal, then -- I mean, Q1 was lesser addition. So it is in a range of about INR600. And as we do net adds in Q2, it's going to slightly go up. So that's the range that P APM for general staffing works in. Typically, we don't look at PPAM for -- specifically for IT staffing because they work on a bill rate model. And -- but just to give you a ballpark number, it ranges anywhere between INR23,000 to INR25,000 per person.
Sohum: Okay, sir. And this new vertic al which we have launched that Origint, so it will be reported under our Professional Staffing business?
Guruprasad Srinivasan: Yes. It will be part of Professional Staffing because it's an extension of that.
Sohum: And sir, like you said that we were already good in hiring part and now we will be providing end-to-end services. So how will it impact our margins? Like will we increase it? How are you looking at it?
Guruprasad Srinivasan : Margin would definitely continue to be healthy there. Blended, we s hould still be able to deliver a double -digit EBITDA margin. So because GCC is a value -accretive business and will continue to be an early double -digit EBITDA margin.
Sohum: So sir, internally, how big are we seeing this Origint line go on a revenue basis, like in 2, 3 years? There is increasing…
Guruprasad Srinivasan: Currently, India has about 1,600 GCCs. By 2030, it is expected to grow at a rate of about 13% and another 700 -plus GCC are expected to go live. So on an average, roughly about 100 -plus GCCs a re going to go live. That's what majority of the reports and research talks about and which will also employ substantial headcount that needs to come in there and the talent that needs to be hired for balance 700. So definitely, there is an opportunity. An d it's too early to put a number as to what percentage of that we would be delivering, but definitely, Quess has a good opportunity to be in that space.
Sohum: Okay, sir. And this will be completely like asset -light only this line?
Guruprasad Srinivasan: Yes, yes. Yes, absolutely.

Sohum: Yes, sir. And this 1,200 open minded we are talking in the professional staffing, like if you can provide me the percentage of how many are from GCCs?
Guruprasad Srinivasan: 68% almost are from GCCs of the 1,200.
Sohum: Like any North Star margin you are expecting from the GCC margins like, sir?
Guruprasad Srinivasan: No, I think -- I mean, pretty much , Sorry, please go ahead.

Sohum: No, you go ahead, sir.
Guruprasad Srinivasan: No I said -- I mean we are expecting -- continue to sustain this double -digit margin for professional staffing.
Moderator: Ladies and gentlemen, we will take that as the last question. I now hand the conference over to the management for closing comments.
Kushal Maheshwari: Thank you, the moderator . I would ask Guru to give the closing statement.
Guruprasad Srinivasan: Sure. So , as we strengthen our position as a pure -play staffing leader, we remain deeply committed to operational excellence, innovation and continuously evolving our offerings to mee t the dynamic needs of our clients. It takes a very disciplined approach in terms of execution, a clear strategic vision in terms of robust balance sheet and culture, a deep -rooted culture o f innovation. We'll continue to invest in technology in all our pa rts of business, and there are multiple work that we are doing in that space. So we believe Quess is well positioned to drive sustainable long -term value for our shareholders.
Thanks, again for joining us today in Q1 earnings call. Your question and feedb ack has always been valuable. We appreciate your continued interest and support, and I sincerely look forward to catching up with you all soon. Thank you.
Kushal Maheshwari: Thank you very much.
Sushanth Pai: Thank you.
Moderator: Thank you. Ladies and gentlemen, on behalf of Quess Corp Limited and IIFL Capital Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

(The document has been slightly edited to improve readability)

Call: Nov 2025

Quess Corp Limited
Quess Tower, Sky Walk Avenue, 32/4, Hosur Road, Roopena Agrahara, Bommanahalli, Bengaluru – 560068, Karnataka, India
Tel: +91 080 -49345666 I contactus@quesscorp.com I CIN L74140KA2007PLC043909

www.quesscorp.com

QCL/SEC/2025 -26/71

November 05, 2025

To,
BSE Limited,
1st Floor, New Trading Ring,
Rotunda Building, PJ Towers,
Dalal Street, Mumbai – 400 001

National Stock Exchange of India Limited
Exchange Plaza,
Bandra - Kurla Complex,
Bandra (East), Mumbai – 400 051
Security Code – 539978 NSE Symbol – QUESS

Dear Sir/ Madam,

Sub: Transcript of the Earnings Call – Q2 FY26

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of the Earnings Call held on October 30, 2025 .

The above information is also available on the website of the Company at www.quesscorp.com .

Kindly take the same on record and oblige .

Yours sincerely,

For Quess Corp Limited

Kundan K Lal
Company Secretary & Compliance Officer
Membership No.: F 8393

Encl: as above

"Quess Corp Limited
Q2 FY'26 Earnings Conference Call "
October 30 , 202 5

MANAGEMENT : MR. GURUPRASAD SRINIVASAN – GROUP CHIEF EXECUTIVE OFFICER – QUESS CORP LIMITED

MR. LOHIT BHATIA – PRESIDENT , INDIA AND GLOBAL
OPERATIONS – QUESS CORP LIMITED
MR. KAPIL JOSHI – CHIEF EXECUTIVE OFFICER –
QUES S IT STAFFING AND QUESS SEARCH &
RECRUITMENT – QUESS CORP LIMITED
MR. NITIN DAVE – CHIEF EXECUTIVE OFFICER –
QUES S STAFFING SOLUTIONS – QUESS CORP LIMITED
MR. KUSHAL MAHESHWARI – HEAD, INVESTOR
RELATIONS AND TREASURY – QUESS CORP LIMITED

MODERATOR : MR. SIDDHARTH ZABAK – IIFL CAPITAL SERVICES
LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q2 and H1 FY'26 Earnings Conference Call of Quess Corp Limited hosted by IIFL Capital Services Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation co ncludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Siddharth Zabak. Thank you , and over to you, sir.

Siddharth Zabak: Thank you. Ladies and gentlemen, good morning, and thank you for joining us on the post Q2 FY'26 and H1 FY'26 results conference call for Quess Corp Limited. It is my pleasure to introduce the senior management team of Quest Corp , who are here with us today to discuss the results.

We have Mr. Guruprasad Srinivasan, Group CEO; Mr. Kushal Maheshwari, Head - Investor Relations and Treasury; Mr. Lohit Bhatia, President - India and Global Operations; Mr. Kapil Joshi, CEO o f Quess IT Staffing; and Mr. Nitin Dave, CEO of Ques s Staffing Solutions.

We will begin the call with opening remarks by the management team , and thereafter, we will open the call for a Q&A session. I would like to now hand over the call to Mr. Kushal Maheshwari to take the proceedings forward. Thank you, and over to you, Kushal.

Kushal Maheshwari: Thank you, Siddharth. Good morning , everyone. And thank you for joining us for our Q2 FY'26 and H1 FY'26 earnings call. The information, data and outlook shared by the management during the call are forward -looking and subject to prevailing business conditions and government policy. All forward -looking statements are subject to economic growth or other risks faced by the company.

Please refer to Slide number 2 of the investor presentation for the safe harbor clause. With that safe harbor clause, I will now hand over the call to our Group CEO, Mr. Guruprasad Srinivasan , for his opening remarks. Over to you, Guru.

Guruprasad Srinivasan: Thank you, Kushal. Good morning, everyone, and thank you for joining us for Quess Corp's Q2 and H1 FY '26 earnings call. We are pleased to report another quarter of solid execution and continued momentum.

During Q2, we delivered revenue of INR 3,832 crores, up by 3% year -on-year, with the highest quarterly EBITDA of INR 77 crores, an increase of 11% year -on-year. Notably, EBITDA margin crosses the 2% mark , and our operating cash flow convers ion was at a healthy 109%. PAT stood at INR 52 crores with EPS at INR 3.5 per share. We added over 21,000 associates during this quarter, taking our total associate count to 483,115, up by 5% year -on-year, making us India's largest domestic staffing player.

Due to a ramp down by an NBFC that we had called out in Q4 FY25 , of around 38,000 associates in Q4, the headcount growth still shows a marginal decline of 5% year -on-year basis. However, with sequential growth due to a strong sourcing and onboarding syste m and processes, we are confident of delivering headcount growth on a yearly basis.

In summary, Q2 was a quarter of balanced growth and improving profitability for Quess. We remain focused on operational excellence, margin expansion and prudent capital ma nagement, while continuing to invest in high -value segments and technology. We are proud to announce that Quess has been ranked 36th among India's Best Employer 2025 by TIME and Statista ranking, another testament to our people -oriented culture.

Let me now walk you through each business segment. General Staffing, the highest net adds in the last 6 quarters, backed by festive hiring momentum. In Q2, General Staffing delivered a robust quarter with 21,283 net additions,

our best in the last 6 quarte rs, driven by seasonal demand, especially in manufacturing and BFSI vertical and consumer, retail, and telecom.

The reported revenue for the segment stood at INR 3,317 crores growth of 3% year -on-year and 6% quarter -on-quarter. We added 72 new contracts i n Q2 across verticals, taking our H1 total to about 151 new contracts. Headcount rose to 470,337, contributing to 86% of our total company's revenue coming in from the General Staffing business.

Our sourcing engine has scaled significantly with over 55,00 0 associates who are onboarded via sourcing this quarter , compared to 30,000 in Q1. During the quarter, we have done gross additions of 115,000 versus 79,000 gross additions in previous quarter, reflecting the strength of our robust hiring systems .

The se gment recorded a healthy gross margin with strong execution in collection efficiency. DSO days for General Staffing stays at about 25 days and continued dominance of our Collect & Pay, which now covers 76% of our headcount.

Q2 leading up to the festivals, hiring in sectors like manufacturing, financial services picked up significantly, contributing to this uplift. Overall, our General Staffing platform demonstrated a healthy revenue growth and improved headcount utilization during the quarter. The open mandates at the end of the quarter stood close to about 27,000 as we step into Q3.

Moving on to Professional Staffing. This platform continues to deliver a double -digit growth in terms of EBITDA margins. Professional Staffing delivered a double -digit growth and margins for the second consecutive quarter with reported revenue of INR 224 crores, 11% year -on-year growth , with a focus on profitable growth.

The segment delivered the highest ever EBITDA of INR 27 crores, a 37% year -on-year growth along with double -digit EBITDA margins at 12.2%. These results were driven by sustained demand for skilled talent in higher -value areas during the quarter and we have rationalized our low-margin contracts, which led to improvisation on margin on the lower revenue base.

Nota bly, our focus on global capability centers continues to pay off. Roughly about 73% of our Professional Staffing headcount is now tied to GCC -led projects, especially in digital, telecom

and tech roles . We added 18 new client contracts in this quarter, whi ch is very healthy addition for the quarter with a pipeline of about 1,300 open mandates. These factors give us confidence in the sustainable of both growth and margin for this particular segment.

Our top sector continues to be digital, high -tech, consume r retail, and telecom , where we are getting the demand from. The headcount of this particular segment increased to 6,862 associates during the quarter.

Moving on to international business. Our Overseas business also performed well during the quarter. Total international headcount stood at 5,730. The segment reported revenue of INR 290 crores with 3% year -on-year and 2% quarter -on-quarter growth with EBITDA of INR 18 crores, which reflects sequ ential improvement in margin

We saw broad -based strength in key regions, specifically coming in from Middle East, Malaysia, both delivered growth across IT and non -IT verticals. Philippines had a very strong quarter, roughly headcount up by 8%, reflecting heightened demand in ITeS and technology. Our Singapore business remained largely stable, where we continue to offset softness in IT by building up general staffing there.

Overall, these international markets together delivered stable revenue and margin contribution with region other than Singapore contributing more than 50% of the revenue and profitability. Middle East achieved the highest ever EBITDA of 12.8% with headcount crossing 2,100 associates .

While Malaysia and Philippines are delivering better -than-expected profitability, compens

ating for decline in Singapore, Singapore now has 43% local hires up from 17% last year across all markets. We continue to emphasize client diversification, local hiring and digital sourcing models to sustain profitable growth.

Moving on to the last vertical, which is fourth vertical, Digital Platforms. In our Digital Platform division, we continue to expand, scale, and -- specifically on the product -led which is Hamara Jobs platform now boasts over 12.6 million registe red candidate profile, a clear leading position in India -- India's blue collar segment recruitment space.

Meanwhile, Taskmo, which is our gig workforce model, secured its first large -scale g ig contract with a TCV of INR 5 crores, deploying about 1,500 tas kers nationwide. These milestones underscore our ambition to build India's largest digital employment ecosystem across blue and gray collar economy.

With that, I'll now hand over to Kushal Maheshwari, our Head of our Investor Relations, to talk through ou r financial performance for the quarter.

Kushal Maheshwari: Thank you, Guru. Good morning, everyone, and thank you for joining us for Quess Corp's Q2 FY'26 earnings call. I'll begin with the headline financial performance before taking you through segment al results and strategy updates.

In Q2 FY'26, we delivered another quarter of consistent and profitable growth. Consolidated revenue stood at INR 3,832 crores, representing a 3% year -on-year increase and a 5% sequential rise. EBITDA for the quarter was hi ghest ever at INR 77 crores, up 11% Y -o-Y and 10% Q -o-Q, marking our highest ever quarterly EBITDA with margins crossing 2%. PAT came in at INR 52 crores, translating to an EPS of INR 3.5 per share, up 2% Y -o-Y and 2% sequentially, notably with no onetime gai ns or exceptional items this quarter.

In H1 FY'26 revenue grew 3% Y -o-Y to INR 7,483 crores, while EBITDA increased by 11% Y-o-Y to INR 146 crores with margin expansion of 14 basis points. PAT for H1 stood at INR 103 crores, up 3% Y -o-Y with EBITDA to OCF c onversion remained strong at 109%, underscoring the quality of earnings and disciplined cash flow management. We closed the quarter with a net cash balance of INR 273 crores after paying approximately INR 90 crores in dividends, reinforcing our strong liqu idity position and balance sheet strength.

In line with the stated objective, our focus on margin expansion has started yielding results due to operational efficiency measures and higher mix of high -margin business. From a profitability standpoint, approx imately 50% of our contribution comes from high -margin businesses that is 30% from Professional Staffing and around 20% from our Overseas business.

Coming to our segmental performance. Our General Staffing business delivered its strongest quarter in 6 quarters, supported by festive season hiring and broad -based growth across BFSI, retail, and manufacturing and apprenticeship.

Revenue stood at INR 3,317 crores, up by 6% Y -o-Y and 3% Q -o-Q, accounting for 86% of our consolidated revenue, while segmental E BITDA was at INR 46 crores, down by 23% Y -o-Y and up by 1% Q -o-Q with margins remaining stable at approximately 1.4%.

Collect & Pay ratio remained steady at 76% and cash conversion remains robust with DSO at 25 days. Overall, General Staffing continues to demonstrate operational efficiency, strong cash discipline and market leadership.

Moving on to Professional Staffing business, which continues to perform exceptionally well, delivered sustained double -digit growth in both revenue and profitability. Revenu e for Q2 stood at INR 224 crores, up 11% Y -o-Y and down by 8% Q -o-Q, while EBITDA was highest ever at INR 27 crores, up 37% Y -o-Y and 10% Q -o-Q with a margin of 12.2%, thereby maintaining double -digit growth and margins for the second consecutive quarter.

As discussed by Guru earl

ier, with our focus on profitability, we have rationalized low -margin contracts within the segment, which has led to rising margins on a lower revenue base during the quarter. Professional Staffing continues to be a high -margin, scalabl e growth driver within our portfolio of business es.

Coming to the Overseas business, which has delivered a steady and profitable performance with broad -based regional contributions. Revenue for the quarter stood at INR 290 crores, up by 3% Y-o-Y and 2% Q -o-Q, while EBITDA was at INR 18 crores, up 27% Y -o-Y and 1% Q -o-Q, representing a stable 6.2% margin. Headcount grew by 16% Y -o-Y to 5,730, reflecting strong delivery across regions.

To summarize, Q2 FY'26 was another quarter of steady growth, record profitabi lity, and strong cash conversion for Quess. We achieved our highest ever EBITDA of INR 77 crores, expanded margins and closed the quarter with a net cash position of INR 273 crores, while investing in digital transformation and talent capability.

With impro ved demand visibility, favorable tailwinds from the GST reforms and strong execution across business lines, we remain confident of sustaining our growth momentum into the second half of the year. Our focus will remain on operational excellence, capital eff iciency

and AI -led productivity as we continue building Quess into a future -ready technology -enabled workforce solutions leader.
Thank you for your time and continued support. With that, I'll hand over the call to the moderator to take your questions. Thank you.
Moderator: Thank you very much. Your first question is from the line of Deep Shah of B&K Securities. Please go ahead.
Deep Shah: Sir, the first question is regarding headcount adds, I heard you mentioned that in lead up to the festive, you saw manuf acturing, FS do very well. Any idea or any guidance you would give on where do you see this trend continuing because if this continued then I think it is quite healthy for us as a company. That's first.
Second is on the Professional Staffing segment. So you did mention that we rationalized some low-margin contracts. Nonetheless, these margins that we've achieved are first in our history, if I recollect. Any ballpark figure you would like to show that this is where we could normalize or you think that thes e margins are not sustainable? Any more clarity would be very useful.
Kushal Maheshwari: Thanks Deep for your question. For the first half of the question on General Staffing, I'd ask Lohit and Nitin to answer on it. And for the Professional Staffing quest ion, I'll ask Kapil to pitch in please. Over to you, Lohit.
Lohit Bhatia: And as far as the question is concerned, you would note that for the last 2 or 3 quarters we were very fixated to take care of the one -off event which happened in Q4 and come back st rongly with both the headcount addition, the revenue achievement as well as then over the trajectory on the margin category.
There were 3 broad pillars on which the first half of the year was built, as far as GS is concerned, the pillar was that we have t o recover on the volume for the 38,000, that Guru has spoken about from last financial year.
On the Professional Staffing, it was maximizing our intent with the GCCs and the margin expansion. And Overseas, it was to come back to a trajectory of growth irr espective of the headwinds of the Singapore market. One, all 3 units have delivered in first half of the year, a solid platform for what we had set out for each one of them.
Now coming specifically to your question on seasonality, as you know, this time, the season got certain tailwinds. There has been a reduction in repo rates a few times. There has been a

reduction in income tax for people up to INR 12,00,000, which gives more consumption in the hands of the pe

ople as well as the big announcement of GST 2 .0, which happened just before the season kicked in.
We were very confident that if we look out for opportunities and those opportunities were delivered by both our sourcing team and technology, and I'll bring in Nitin Dave, the CEO for the Staffing busin ess to speak more about this. And that's what the team has been able to maximize.
Looking out into Q3, I would like to basically say that we would look at H2 rather than just simply Q3 because Q3 starts with Diwali and then goes into the season of Christm as and New Year's. So we are confident that we will be able to repeat our H1 performance into H2. But I will give it to Nitin to broadly speak about the measures that the business has taken to ensure this. I'll come back on the Professional Staffing and th en give it to Kapil.
Nitin Dave: This is Nitin. So Deep, I would like to focus on the sourcing engine that we have built and also the sales engine that we have to deliver. If you look at every year and every quarter, if you look at the last 3, 4 years, we have been delivering a net add of about 15,000 quarter -on-quarter. So this sales engine and sourcing engine is mature. It's in a position to focus on the opportunities. As Guru said in his brief that the open mandate at this point of time is still 27,000. And that's where we'd like to focus our attention on, and on a continued basis deliver steady headcount growth quarter -on-quarter. So that's what the business is geared for. And in terms of sourcing capabilities, technologies, we are working on that consi stently. And I believe we are in a position to deliver headcount growth consistently quarter -on-quarter.
Kushal Maheshwari: Kapil, if you could answer the second half of the question on margins for Professional Staffing business?
Kapil Joshi: Yes. I think he spoke about revenue also, so I will answer first on the revenue front. Interestingly, our revenue by segment, the last portion of our revenue comes from the MSP programs. MSP program is, we just not support client on the staffing condition but we also s upport the client on cost optimization on -- when workforce management is spending in technology areas. So we built a strong talent supply chain for them and we manage their technology spend.
And it's a long term business for us. So one of our large MSP programs has gone for sunset and that is where you see the revenue drop.

On Gross margin and EBITDA front, EBITDA is a combination of gross margin improvement and operationalization. And to add on your part, gross margin , I think we would be able to mainta in because there is no shift in the demand flow. We still see the demand in mid and senior level regions on each area. Okay. So gross margin levels is consistent.
On operational efficiency front, we don't have any planned or added investments in IDC. So hopefully our EBITDA margin will be stable, a low -double digit going forward within the same lines what we had reported for last quarter.

Kushal Maheshwari: Thank you, Kapil. Any more questions, Deep?
Deep Shah: No. This helps.
Moderator: The next question is from the line of Siddharth Zabak from IIFL Capital Services Limited.
Siddharth Zabak: My question is on finance costs. I wanted to understand why your finance costs have gone up sharply in this quarter despite your net debt, including lease liabilities remaining almost flat?
Kushal Maheshwari: Thank you, Siddharth. I'll take this question. The finance cost is higher during this quarter due to increase in working capital requirements for a high -margin business, which have higher credit and DSO days, notab ly Professional Staffing and Overseas business.
However, if you look on a half yearly basis, more or less the finance cost is in the similar range. Going forward, we expect the finance cost to rationalize in the coming qu

arters. As we've guided
to the str eet, the finance cost is expected to be around INR 9 crores to INR 10 crores on a quarterly basis with approximately 50% coming from the operational interest cost and remaining from non -operational interest cost.
Siddharth Zabak: That was very helpful. Tha nk you and best of luck for the coming quarters.
Kushal Maheshwari: Thank you, Siddharth.
Moderator: The next question is from the line of Amit Chandra from HDFC Securities. Please go ahead.
Amit Chandra: Sir, my first question is on the General Staffing b usiness. So we have seen that there is improvement in terms of net adds and also in terms of gross additions. And we're also seeing that the sourcing has been improving for us wherein -- like 41% is now like from the sourcing requirements versus the transf er. And -- but it is not being reflected in terms of the margins that we are seeing.
So -- and also in terms of PAPM, how the PAPM split has been? And also in terms of the net additions, if you can split it between how the split has been between like Tier 1 and Tier 2 cities. Because generally, like, Tier 2 hirings have more gross margin, so is it the mix is also changing in terms of total additions? And also in terms of the net bonus payouts in quarter 3, how do you see that panning out? Can we see a dip in margins in the coming quarters?
Guruprasad Srinivasan: Okay. I will be going with the sequence. I mean to start with PAPM, we are ranging in the same range at around 670 to 680. So we continue to be in the same range. That's the first question that you had.
And coming back to sourcing, and -- so sourcing is a very intense activity. And -- I mean if you look at one of the criteria, we have been calling out every quarter in terms of our core to associate is also slightly dropping, which is cautiously we a re investing more on sourcing, because our demand, as I said, almost about 37% is from Tier 3 and Tier 4 locations and about 33% comes from Tier 1, then there's a between these 2.

So if I take between Tier 2, Tier 4, Tier 5, almost 67% of our demand comes from there. And there has to be a very deep ground activity that has to be done. So we have to create alternate channels, we have to create the depth in terms of sourcing. So from that standpoint, we'll continue to invest.
And it's important if you look at it is also resulting in our almost 41% coming through sourcing. Whereas if I go 3 years ago, there was more transfer and about 25% to 30% was coming through sourcing. So that is slowly changing. So -- and we'll continue to do that because hiring on time and timely deployment is something which is extremely critical for staffing.
Now let me hand over to Lohit to handle the second part of the question on bonus payouts , which can come in Q3.
Lohit Bhatia: Amit, thanks for the question. Like Guru explained, this is the start of the activity which we had initiated almost 7 to 8 months ago when we saw the BFSI decline. We started to intensify both our sales acumen in segments like manufacturing, CRT and the others, as well as delivery capability, fulfillment c apability and which is what is reflective as far as the investment is

concerned.
We are still at a very early and nascent stage for technology or the platformized led AI activities to start reflecting -- at some point will start reflecting. I don't want t o give a guidance on that as yet.
However, coming back to your specific point on bonus, yes, whenever there is Diwali, the month of Diwali, which in this case was the first month of Q3 as well as the second month, which would be November in this case, wou ld both have certain pass -throughs. And pass -throughs, as you know, in the Collect & Pay flat fee business does not give or does not yield extra gross margin. So that would be a temporary blip. It practically happens everywhere th

at approximately INR
120 crores to INR 150 crores of pass -through values could come in this particular quarter. Other than that, we don't see any major shift as far as the mix is concerned.
I think we had made one point about 2 or 3 quarters ago where we said we would like to have a healthy state where General Staffing on a growing base contributes 50% of the profitability of that company. And the higher margins international at plus 6% and Professional Staffing at 11%, 12% contributes 50%. We have got to that point. Now is the time for us to deepen that for H2 and thereafter.
Amit Chandra: Okay. And sir, like in terms of more structural levers for the margin expansion in the General Staffing business, we thought that higher sourcing and automation and expansion into Tier 2s would eventually lead to higher gross margins. So apart from that what are the other, like, levers we are also exploring in terms of margins in the General Staffing business. Or we are -- apart from the change in mix that we're having in the General Staffing side, like, within segments. But apart from that, like, PAPM expansion is possible or it's actually going to be at these similar levels that we are having right now?

Lohit Bhatia: Yes. Thanks for that question. So like there are 2 parts to entire Quess eco system. One is the overall mix, which is General Staffing, Professional Staffing and international, we've elaborated on that. Within General Staffing also, there is a mix and let me talk about that mix.
That mix would today be divided into 2 broad faction s within the business and then I talk about 2 emerging businesses. Within the existing business, there is the traditional CRT, which is the consumer led business and the BFSI. Both of these are very large volume, flat fee and Collect & Pay kind of relation ships where less domination of sourcing happens and hence, less investment by that nature.
Now you come to the other category of the business, which for the last 3 years, we were extremely confident about and that has yielded in the results. That today, w e have 77,000 people in the manufacturing apprenticeship ecosystem. This has become our third largest vertical, but we continue to grow 30% plus year -on-year on this, while the other stable business grew about 15% year -on-year.
This business, the manufact uring -led business, yields a higher gross margin than the traditional BFSI and the consumer business. However, on a book of 470,000 at least currently 77,000 were growing at 30% for the last 3 years. So as that mix continues to change, you will see one shi ft happening.
Now I come to the 2 emerging businesses within General Staffing, which has been incubated just in the last 1 year. Between the 2 businesses today at a gross -- at an EBITDA margin level, the contribution from them in a quarter is today less than 8%. These 2 businesses primarily are the VAS business, the value -added services, staffing business backed up by technology. And the second business is the construction business. Both of these businesses have much higher gross margin as well as they ha ve much higher EBITDA margin.
But like I said, the contribution to the overall General Staffing book today is less than 8%. And that's something where our leadership team, as well as our team have made a lot of investments, and we continue to look forward into the next 1 to 3 years on having higher mix from there as well.
Amit Chandra: Okay. And sir, the second part of the question would be on the Professional Staffing. Here also, we need to see the margin expansion and focus on high margin business. But around -- in terms of the existing book of business, we are seeing some recovery in the IT services part, which has been, like, subdued over a longer period of time.
So within the verticals which we are within Professional Staffing, if you can give som

e c olor
that -- what is contributing, because the large part of the growth earlier was largely being contributed by the rise of the GCCs. Are you seeing some shifts or like some kind of growth emerging in other verticals as well in Professional Staffing?

Guru prasad Srinivasan: So absolutely, I think after 8 or 9 quarter IT services company has seen the good, healthy headcount and barring 1 or 2 market leader, I think across all IT services company, we have seen positive net headcount and very healthy headcount . And we see it will have a direct impact on our business. We do work with a lot of IT services companies and our association with them is

a decade old before GCC came to India. So -- and we still work, if you see our revenue by sector, a large portion of our revenue still comes from the IT services and -- enterprises, non -IT enterprises and we will -- definitely it will be a boost to our performance.

Moderator: The next question is from the line of Nikhil Choudhary from Nuvama.

Nikhil Choudhary: Sir, my qu estion is on Professional Staffing, while we have highlighted that we are focusing on higher -margin clients. But in this quarter, we have also seen decline in contribution from contribution from top clients. Top 10 % contribution declined by 5%. So is it t hat we are be focusing on some of the large clients, which is leading to let's say improvement in profitability? So that's one.

And second is where we are in the journey of let's say reducing contribution from top clients which is helping us in generating higher margin?

Lohit Bhatia: So personally we always believe in diversified growth. Okay. So if you see what is happening, while most of our growth is coming from the GCC. But GCC also, if you see, go at micro level, you will realize that there are GCCs w hich came to India 5 years later or 10 years back, these are matured GCCs. And there is another wave of new GCCs which has come in last 3 year. Okay? Both are behaving very differently.

A large GCC, vintage relationship, we are seeing cost optimization is going on. There is a cost rationalization, there is automation going on. There is AI drive adoption. Okay. And new GCC from day 1 is adopting this technology. So there is a mix and there is -- that is where you see mix from Top 10 clients and next 40 clie nt is changing very fast. But I think it is healthy sign for all of us .

Nikhil Choudhary: The second part of question was that can we expect this to continue, which is growth will slow down further while margin might remain?

Lohit Bhatia : I think, yes, bot h ways for at least little -- I think another quarter, the trend should continue. Once starting from January, we see -- once the new budget allocation planning happens, GCC will get more project, more budget from their headquarters.

Nikhil Choudhary: Got i t, sir. Second, just want to understand your comment on H2 growth will be similar to H1. So H1, we have delivered about 1.6% Y -o-Y growth. So what we meant when we said that H2 will be similar to H1. We expect low single -digit type of growth? And any timel ine of, let's say, achieving double -digit revenue growth I think in General Staffing?

Kushal Maheshwari: Nikhil, can you just repeat your question once again?

Nikhil Choudhary: Yes. I think there was one comment where we have highlighted in General Staffin g, H2 growth will be similar as H1, if I heard it correctly. And in H1, we have delivered 1.6% approximately Y-o-Y growth, so what should we expect from H2 growth? And when can we achieve double - digit revenue growth in General Staffing?

Kushal Maheshwari: So coming to your question, basically, when we have delivered 1.6%, basically when you look at it sequentially, in Q4 FY '25, there was a NBFC ramp down of around 38,000 associates. But that is stil

l there in H1 of FY '2 5. So when you look on a year -on-year basis, our growth would look subdued. But when you look at a sequential basis, we have been growing.

Going forward, as we said that in H2, we should consider to deliver similar kind of growth in headcount. So with 21,000 that we delivered net adds in this quarter, going forward, at least we should do around 10,000 to 15,000 net adds in the coming quarters, which I think Nitin has already alluded in his speech. So on a year -on-year basis, we should be able to deliver growth in headcount as well as reven ue on a year -on-year basis, as well as EBITDA profitability, despite losing 38,000 associates in Q4 of FY '25. I hope that answers your question.

Nikhil Choudhary: Yes. And just last one on digital platform. What could be the steady state losses going ahea d? Are we -- I mean, looking to continue the similar run rate cost effective even going ahead?

Guruprasad Srinivasan: So if you look at both the revenue and losses are very negligible, it's about INR 1 crore per quarter. But the other way to look at Nikhil is, the number of users who have come on to the platform, which has gone to now about 12.9 million. So what we are trying to build up is, of course, this will be definitely used for our own internal hiring purpose. So we want to now accelerate at least abo ut 15% to 20% being coming through this platform to accelerate our sourcing capability.

So we are seeing from the perspective of user activity coming on to the platform. And if you look at even Hamara HR user base has gone from -- when we started last yea r, we were about 5.5 million. That is now close to about 5.6 million. So it's good to see that active user base is going up. So we'll slowly start monetizing as we move forward. Yes, both the revenue and losses are very negligible to the overall workforce.

Moderator: The next question is from the line of Dipesh Mehta from Emkay Global.

Dipesh Mehta: A couple of questions. First about the operating cash flow. If I look OCF in H1, it is, I think, 35, 40 percentage down compared to last year, even though our E BITDA has grown. So if you can provide some sense about operating cash flow. Even though you indicated OCF EBITDA is 108, 110 percentage kind of thing. But when I look at consol level, it is weak. That is question one.

Second question is effective tax rat e. How one should look at it? This quarter it is around 10 percentage. Considering now demerger -related thing as well as business mix change, what we are observing from profit contribution perspective, what would be the effective tax rate one should look a t it?

Third question is about Professional Staffing. Now you indicated about margin improvement and all those things. But if I look, let's say, an exit from low -margin business, ideally low -margin business exits would reflect into better revenue per assoc iate. If I look your number, revenue per associate declined almost 20% sequentially, even though your margin has expande d, but this is a bit confusing.

If you can provide some detail around it, how to understand these 2 nuances when you exit from low marg in, but your revenue per associate continue to decline. And last question is about Origint. If you can provide some update on our GCC offering?

Kushal Maheshwari: Thank you, Dipesh. Thanks for your question. I'll take a question on tax rate, post which Gur u will answer your question on OCF. Kapil can answer your question on revenue per associate in Professional Staffing as well as answer your question on Origint business.

So coming to tax rate, we are getting higher contribution from our higher margin busi ness. So on the modeling basis, I would advise you that the new tax rate or the tax incidence should be in the range of 10% to 12% as compared to previously, which was he had guided to 5%. But I think the new normal

on the tax rate is around 10% for our bu siness as the growth goes forward. Kapil, can you answer the question on Professional Staffing -- on contribution of revenue per associate in Professional Staffing as well as some insights into Origint business.

Kapil Joshi: Sure. So Dipesh, just to explai n you again, I mean, I did earlier is also. It is a -- MSP is a pass - through business where we manage client spend on workforce management and technology space. The headcount is not on our payroll. Okay. So what we have lost is only revenue, we didn't the headcount.

And that is where if you calculate headcount it's the same and the revenue has dropped. I think that is where you see drop per associate, but actually our revenue -- only revenue has dropped - - pass through revenue. And our per associate revenue is actually getting improved quarter -on- quarter, margin per associate is getting improved quarter -on-quarter.

Guruprasad Srinivasan: Dipesh, on your other question with regard to specific to OCF, see, it's not straight comparable because last year, we had a tax refund of about INR 129 crores. And this year, we are working on the period to get there. But where we are close to do is about 109%, which is exceptionally high considering few advanced salaries that we would have collected and paid just on t he last year for Diwali and all of that .

But otherwise, anyway, the range that we should be able to sustain be should be anywhere between about 80% to 90%. So that's the range that we will be able to sustain. But last time was one-off where we had INR 129 crores of tax savings. Dipesh, does that answer your question?

Kushal Maheshwari: Dipesh, does that answer your question on OCF?

Dipesh Mehta: Yes, that answers. So you are indicating 80% to 90% conversion once we look at it and because of lack of refund t hat number is lower in H1 compared to last year.

Guruprasad Srinivasan: And there could be refund this year as well, but we are not too sure at the moment. That should -- when that comes in, it just gets added up, yes.

Kushal Maheshwari: As we have guided to the street, for the full year we should be in the range of 70% fo r OCF EBITDA to OCF conversions?

Dipesh Mehta : 70% or 80% to 90% because I think Guru said 80% to 90%.

Kushal Maheshwari: It depends on whatever is income taxe refund that we are able to get then it can go in that range. But on an operational business basis it can come about around 70% to 80%.
Dipesh Mehta: Understood. And I think 2 questions. One follow -up on the Professional Staffing. Can you give the number of pass -through because I thi nk that is one of the reasons which you alluded, which led to revenue per associate decline. And do you expect that MSP, I think, which you indicated managed service contract likely to start again in quarter 3, which can have some implication on this metri c? And I think Origint is an answer.
Kushal Maheshwari: Guru, if you can just give some inputs on the Origint business?
Guruprasad Srinivasan: Yes. So 2 specific questions that you asked. One, you said what was the number of this MSP customer that got sun setted. It's approximately about INR 10 crores per month or for a full quarter, it will be roughly about INR 30 crores. So that's where, like Kapil mentioned, because these are contractors of our suppliers, not contractors of ours and don't reflect in our he adcount. But as we are the MSP provider, it reflects in our revenue number. That's why you were finding that anomaly.
The reason that our team always goes out for these lucrative large MSPs is, MSP also gives you an enablement to provide your technology, your platform and also get what is called participating MSP benefit. And as a participating MSP benefit, you generally have a higher market share with that customer between 25% to 40% at least.
So will we continue to look at

global deals in MSP when the c ustomer wants to play in India?
Yes, from time -to-time, we continue to keep looking at that and which is why in spite of the fact that our business yielded 12% plus EBITDA margin, Kapil has said that he would like to continue on the range of 11% to 12%. So we factored for that is one.
On Origint, we have already successfully not just bagged, but we have also executed and activated one GCC. There are another 2 which are at the final legal stages. This has a very long gestation period for the simple reason t hat the sales cycle itself, the presales cycle itself can be between 3 to 6 months, another 3 months of architecting how you will execute.
And then it could take anywhere between 2 to 3 months to do your legal agreements from the clients because they are setting up shop in your country for the very first time, and that has to be all managed by us. And obviously, premises has to be taken, so infra has to be built and activated.
So hence, GCC by nature is a slightly longish gestation period when it comes to -- from the time that we start the sales cycle to the time that we fructify. We feel that this quarter, these 2 legal agreements will go live and then will come the delivery stage and they will start marginally contributing to our numbers. But by Q4 they will have slightly better contribution to the numbers.
Moderator: The next question is from the line of Aashaka from Sameeksha Capital.
Aashaka: My question is can you please provide resolution on the current phases on tax and PF litigation ?

Kushal Maheshwari: Sorry. Your line is not clear. Can you -- its echoing. Can you repeat?
Aashaka: Can you please provide more information on the current status of tax and PF litigation?
Kushal Maheshwari: Tax and?
Aashaka: PF litigation.
Kushal Maheshwari: As fa r as the tax goes we don't have any updates on it. The next hearing for the ITA T is on 1st December of 2025. Probably, we should be able to give you some more updates in the next quarter.
Moderator: The next question is from the line of from Sankaranarayan an S from ithoughtPMS.
Sankaranarayanan S: Apologies if this question is already asked by any of our previous participants.
Kushal Maheshwari: Sankar, if you can be a little louder.
Sankaranarayanan S: Yes. Apologies if this question was asked by an already previous participant. So what is happening to our CRT vertical within General Staffing, like going why its contributing is coming less, because our the BFSI client have lost, and that's how it impacte d. But from a CRT sector perspective, what's happening there?
Kushal Maheshwari: So I would ask Nitin to give some inputs on the CRT. But overall, we don't see any decline over there. So basically the contribution of CRT business and our overall business h ave come of from 50% to roundabout 45 % in this quarter . So even on that relative.
Nitin Dave: What is happening is that if you look at quarter -on-quarter, our maximum growth has come from the manufacturing segment. And if you look at our manufacturing segm ent at this point of time, it is growing at about 15% quarter -on-quarter. So what is happening in the CRT, it is a more far more mature vertical for us, where the growth is more steady, where some of the other segments like manufacturing are certainly grow ing faster.

But overall, the pipeline at CRT is healthy. The sourcing that we are doing on the CRT vertical is also healthy. What is happening is that the telecom business, which also forms a part of the CRT vertical is growing slower. So actually, it is coming down.
So the telecom vertical at this point of time is not hiring. The number of telecom operators are also limited. It's not that you can grow those verticals. But if you look at smaller practices within the CRT verticals like the retail, the e -commerce, they have definitely g

rown. But the telecom
practice has gone down. And on top of that, the manufacturing is certainly growing faster. It's the fastest growing practice for us at this point of time.
Kushal Maheshwari: Sankaranarayanan, you got it r ight. There's a typo error on that. The CRT is still 48% in this quarter. It's not 43%.
Sankaranarayanan S: Got it. So I'm saying from the General Staffing contribution, so that's the reason why I mentioned 43%.

Kushal Maheshwari: Okay.
Sankaranarayanan S: Got it. So one more question. So what is the -- like, since we are a market leader in the central staffing business, what is the expected return on growth for the next 3 to 5 years?
Nitin Dave: So Shankar, so this is your this question is something that w e answered. And I'd like to repeat that at this point of time, we have a very steady sourcing and a sales engine in place, which is designed to take -- to cater to the requirements of all the segments, be it the CRT, manufacturing, as well as BFSI in all p arts of the country.
What we see is and what we have been doing is for the last 3 years, we've been adding about 50,000 headcount year -on-year. And you would be able to on a steady basis, deliver growing headcount year -on-year. So that is our thought proc ess that we finetune our engine, strengthen them and continuously deliver headcount growth quarter -on-quarter. So that is our thought process as far as next 3 to 5 years are concerned in the General Staffing business.
Guruprasad Srinivasan: Just to add a l ittle more there. I mean, at 483,000 level, Shankar, we'll be -- by headcount will be globally third largest by headcount. Obviously, the aspiration is to drive towards becoming globally number #1.
Sankaranarayanan S: Got it. Got it.
Moderator: The next qu estio n is from the line of Gaurav from Capital Farming Consultants.
Guruprasad Srinivasan: Gaurav, are you there online?
Moderator: Mr. Gaurav? It seems like the participant is not there. Next question is from the line of Shivang from Emkay .
Shivang: Since the NB FC impact was in Q4 last year, can you give me a sense of Y -o-Y growth for Q4 of this year?
Kushal Maheshwari: Sorry. What is it that you're looking at?
Shivang: Y-o-Y growth in headcount for Q4.
Kushal Maheshwari: Yes. As we've already stated, in the next 2 quarters, we should be able to do a net addition of around 10,000 to 15,000 in the coming 2 quarters. So I think we should be ending the year with a single digit growth in the headcount on a yearly basis.
Moderator: The next question is from the line of Zaki Nasser from Nasser Investments.
Zaki Nasser: Sir, I would have a small question on the other expenses part, sir. Our other expenses have dropped to INR 94 crores from INR 169 crores on a September -to-September basis. So, is this an accounting m ove, sir, whereby a part of the payment goes through our subcontractors, which is directly reflected in our books? How does this work, sir?

Kushal Maheshwari: You're right, Zaki. As we discussed that we have rationalize our low margin business in MSP, and so there's a decline in revenue in the Professional Staffing business and decline in other expenses where is a cost for the subcontractor charges.
Zaki Nasser: Okay. Sir, the subcontractor charges will get converted into employee benefit expenses broadly. Is it right, sir?
Kushal Maheshwari: If we get…
Zaki Nasser: It is reflected on.
Kushal Maheshwari: So I'm saying if we let go of these current contracts -- MSP contracts, so subcontractor expenses also will go down on the balance.
Zaki Nasser: Sir, the percentage of expenses will get converted from other expenses into employee charges.
Guruprasad Srinivasan: No, it will --

Kushal Maheshwari: No, it will not actually.
Guruprasad Srinivasan: It will

not. If you look at it, it's sequential. When we downsize a program in MSP, to that extent the direct cost also comes down, Zaki, so that's the point which Kushal is trying to explain. So it does not convert into employee benefits.
Zaki Nasser : The expenses have gone up.
Guruprasad Srinivasan: The subcontracting expenses actually comes down.
Moderator: The next question is from the line of Amit Ahuja from HG Hawa .
Amit Ahuja: And my question was connected with cash, like, what is the company's policy? Like, what is the management deciding about what it would INR 270-plus core cash, is that we got dividend return or reinvestment? What are you planning?
Guruprasad Srinivasan: So we have defined a stated policy. First of all, the business will -- is a cash generating -- as an entity, we are a cash generating entity, a nd we have a clear dividend policy that we have put across. Up to 75%, we will work in the form of dividends. It's something that we have clearly put across.
Moderator: As there are no further questions, I would now like to hand the conference over to mana gement for closing comments. Thank you.
Guruprasad Srinivasan: Sure. Thanks, everyone, for joining us today for the earnings call. All your questions and feedback has always been valuable to us. We appreciate your continued interest and support, and I sinc erely look forward catching up with you all. Thank you so much for joining us today again.

Moderator: Thank you very much. On behalf of IIFL Capital Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.
Kushal Maheshwari: Thank you very much.

(The document has been slightly edited to improve readability)

Call: Feb 2026

Quess Corp Limited
Quess Tower, Sky Walk Avenue, 32/4, Hosur Road, Roopena Agrahara, Bommanahalli, Bengaluru – 560068, Karnataka, India
Tel: +91 080 -49345666 I contactus@quesscorp.com I CIN L74140KA2007PLC043909

www.quesscorp.com

QCL/SEC/2025 -26/95

February 03, 2026

To,
BSE Limited
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Exchange Plaza,
Bandra - Kurla Complex,
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Security Code – 539978 NSE Symbol – QUESS

Dear Sir/ Madam,

Sub: Transcript of the Earnings Call – Q3 FY26

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of the Earnings Call held on January 29, 2026.

The above information is also available on the website of the Company at www.quesscorp.com .

Kindly take the same on record and oblige .

Yours sincerely,

For Quess Corp Limited

Kundan K Lal
Company Secretary & Compliance Officer
Membership No.: F 8393

Encl: as above

“Quess Corp Limited
Q3 FY '2 6 Earnings Conference Call ”
January 29, 202 6

MANAGEMENT : MR. GURUPRASAD SRINIVASAN – EXECUTIVE DIRECTOR
MR. NEERAJ JAIN – CHIEF FINANCIAL OFFICER

MR. LOHIT BHATIA – CHIEF EXECUTIVE OFFICER
MR. KAPIL JOSHI – CHIEF EXECUTIVE OFFICER – QUESS IT STAFFING
MR. NITIN DAVE – CHIEF EXECUTIVE OFFICER – QUESS STAFFING SOLUTIONS
MR. KUSHAL MAHESHWARI – HEAD, INVESTOR RELATIONS AND TREASURY

MODERATOR : MR. SIDDHARTH ZABAK – IIFL CAPITAL SERVICES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Quess Corp Q3 FY'26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be a n opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch - tone phone. Please note that this conference is being recorde d.

I now hand the conference over to sir Siddharth Zabak. Thank you, and over to you, sir.

Siddharth Zabak : Thank you. Ladies and gentlemen, good morning, and thank you for joining us on the post Q3 FY'26 and 9 -month FY'26 Results Conference Call for Quess Corp Limited. It is my pleasure to introduce the senior management team of Quess Corp who are here with us today to discuss the results.

We have Mr. Guruprasad Srinivasan, Executive Director; Mr. Lohit Bhatia, CEO; Mr. Kushal Maheshwari, Head of Inve stor Relations and Treasury; Mr. Neeraj Jain, CFO; Mr. Kapil Joshi, CEO of Quess IT Staffing; and Mr. Nitin Dave, CEO of Quess Staffing Solutions.

We will begin the call with opening remarks by the management team, and thereafter, we will open the call for a Q&A session. I would like to now hand over the call to Mr. Kushal Maheshwari to take the proceedings forward. Thank you, and over to you, Kushal.

Kushal Maheshwari : Thank you, Siddharth. Good morning, everyone, and thank you for joining us for our Q3 FY '26 and 9 -month FY'26 earnings call. The information, data and outlook shared by the management during the call are forward -looking and subject to prevailing business conditions and government policy. All forward -looking statements are subject to economic growth or other risks faced by the company.

Please refer to Slide number 2 of the investor presentation for the Safe Harbor clause. With that Safe Harbor clause, I will now hand over the call to our Executive Director, Mr. Guruprasad Srinivasan, for his op ening remarks. Over to you, Guru.

Guruprasad Srinivasan : Thank you, Kushal. Good morning, everyone, and thank you for joining us today for Quess Corp's Q3 FY'26 Earnings Call. Before moving to quarterly performance, I'd like to briefly outline the strength ening of one leadership team at Quess.

The Board has elevated Lohit Bhatia to the role of Chief Executive Officer effective 1st of January 2026. Lohit has completed over 15 years at Quess and has been responsible for India and global operations for several years and been directly accountable for execution of General and Professional Staffing in India and international markets, including managed services.

In addition, Neeraj Jain has joined us as Chief Financial Officer on 3rd of December 2025. Neeraj brings in deep experience in global finance, business restructuring and transformation.

Overall, this is a planned succession, reflecting leadership depth within the organization. It is designed to sharpen execution while maintaining consistency on strategy, mar gin, cash flows and governance.

With that, I'll hand it over to Lohit, who will take you through detailed quarterly business update, followed by Neeraj covering on finance update. We all will be available later in the call for question and answers. Over to you, Lohit.

Lohit Bhatia : Thank you, Guru. Good morning, everyone. Thank you for joining Quess Corp's Q3 and 9 - month FY'26 Earnings Call today. We are pleased to report a quarter of steady execution, margin expansion and disciplined financial performance despite a mixed demand environment across sectors due to Labour Code implementation. Q3 reflects the strength of our diversified portfolio, operating discipline and continued focus on profitability with cash flow.

During the quarter, we reported revenue of INR3,930 crores,

representing a 3% quarter -on-
quarter growth. The EBITDA stood at INR80 crores, a new quarterly milestone for our company, marking a 28% year -on-year increase and a 4% sequential growth with EBITDA margin expanding to 2.03% this quarter.

The adjusted PAT came in at INR62 crores, which excludes the onetime exceptional item of INR7 crores due to the impact of Labour Code as assessed by the company, up 29% year -on-year and up 19% quarter -on-quarter. This corresponds to an adjusted EPS of INR4.1 per share for the quarter. Our operating cash flow conversion remained strong at 92% of the EBITDA delivered, underlining the quality of earnings and working capital discipline.

Headcount stood at 4,83,503 associates, broadly flat sequentially as expecte d, reflecting a seasonal churn in select verticals and calibrated hiring aligned with demand visibility greatly impacted by the Labour Code implementation on 21st of November. Overall, Q3 FY'26 was a quarter of balanced growth, improving margins and consis tent delivery against our operating plan.

Let me walk you through the performance of each of the business segments. General Staffing: stable scale, strong contract wins and execution discipline. General Staffing continued to demonstrate resilience and scal e across the quarter.

The segment revenue stood at INR3,409 crores, with an operating profit margin for the segment at INR45 crores, reflecting a stable performance despite seasonal softness in BFSI and Consumer, Retail & Telecom, partially offset by growth in M&A -led headcount additions. Headcount in the segment remained steady at approximately 4,70,774 associates, with over 4,000 additions coming primarily from the manufacturing and apprenticeship segment in the quarter. We added 71 new enterprise co ntracts in this quarter, taking the total YTD to 222 new contracts, reinforcing our leadership position across BFSI, manufacturing, retail and infrastructure.

Operational execution remains strong. Collect and pay coverage stood at 76%, and average DSO impr oved to 24 days, driven by a tighter credit control and focused collections. The open mandate remained healthy at over 37,000 as we began the fourth quarter, giving us confidence of a pickup in demand and headcount during this Q4, particularly from manufac turing and construction as well.

During the quarter, we conducted over 830 client consultations on the impact of Labour Code changes, an engagement that will continue through Q4. Over the medium to long term, we believe the Labour Code will drive greater f ormalization, consolidation and stronger governance, creating structural tailwinds for Quess given our scale and compliance capabilities.

Moving on to our Professional Staffing segment, which has sustained margin expansion and high-quality growth. The Prof essional Staffing delivered an excellent quarter, continuing its trajectory of profitable growth. The segment revenue stood at INR230 crores, while EBITDA increased to INR29 crores, representing a 42% year -on-year growth, with EBITDA margins further expand ing to 12.5%, an all -time high for our segment here.

This performance was driven by a disciplined focus on high -margin contracts, rationalization of low-yield engagements and a strong demand for GCCs. GCCs now account for 72% of the total Professional Staf fing headcount, reflecting our strategic positioning in higher -value digital, technology and consulting roles. Headcount during this quarter grew to 6,934 associates, adding 18 new logos in Q3 and overall 48 new logos during the financial year. Open mandat es remained steady at over 1,300.

The CRT vertical within Professional Staffing has emerged as the largest vertical for the division, followed by IT services and Consulting. We remain confident that double -digit margins in Professional Staffing are structu rally sustainable, supp

orted by strong client demand, pricing
discipline and deeper wallet share with existing customers.

Within IT Staffing, average revenue PAPM per associate is now approximately INR1.2 lakhs per month, reflecting the quality of deployme nt and seniority of roles we support across the client base. Moving on to Overseas business, margin improvement and regional diversification. Our overseas business delivered another quarter of margin expansion and improved execution. Revenue stood at INR290 crores, while EBITDA crossed the INR20 crore s mark, translating into a 26% year -on-year growth for this BU, with margins crossing 7% for the first time. The Middle East continued to be a standout performer for us, delivering double -digit margins supporte d by near 100% collection efficiency and growth in both IT and non -IT Staffing. Malaysia saw strong traction with the addition of large new contracts, while the Philippines delivered robust collections and crossed 700 headcount with double -digit margins. S ingapore revenues were softer during the quarter, EBITDA showed sequential improvement, aided by cost optimization as well as an increased focus towards the new business launched last year of

General Staffing. Overall, our international portfolio now is mo re balanced than ever before, with a diversified share of profitability.
Moving on to the last, which is our digital platform, which is under the investment phase. We have a renewed strategy to take it forward. We are preparing to launch the AI -enabled Ham ara Jobs marketplace aimed to further strengthen our leadership in blue -collar hiring. I'm particularly proud to share that Quess Corp has been certified as a "Great Place to Work" for the 7th consecutive year.

The collective voice of our people has proudl y elevated Quess from a large organization category to the mega organization category this year. This prestigious award highlights our unwavering dedication to our colleagues. To summarize, the Q3 FY '26 reflects consistent execution, margin expansion and strong cash discipline. Even as we navigate near -term demand variability in select segments.
Our diversified business model, leadership in staffing and increased share of high -margin business positions us well for sustainable, profitable growth. With that, I will now hand over to our Chief Financial Officer, Neeraj Jain, to talk us through the financial performance of this quarter.
Neeraj Jain : Thank you, Lohit. Good morning, everyone, and thank you for joining us for Quess Corp Q3 FY '26 Earnings Call. I w ill begin with our headline financial performance for the quarter, followed by a segment -wise financial review. And I'll conclude with key balance sheet, cash flow and profitability observations. I'll start with the financial highlights for Q3 FY '26.
Q3 F Y '26 was a quarter of steady revenue growth, meaningful margin expansion and strong cash discipline, reflecting the benefits of our continued focus on profitability, mix improvement and execution rigour. Consolidated revenues for the quarter stood at INR3,930 crores, representing a 3% quarter -on-quarter increase while being marginally lower on a year -on-year basis due to calibrated headcount management.
EBITDA for the quarter came in at INR80 crores, which is a new quarterly milestone for the company. It is up 28% year -on-year and 4% sequentially. EBITDA margins expanded to 2.03%, improving by 47 basis points year -on-year, reflecting operating leverage, higher contribution from our higher margin businesses and tighter cost controls.
Reported PAT stood at INR55 crores, up 32% year -on-year and 6% sequentially. On an adjusted basis, excluding onetime exceptional costs relating to Labour Code provisioning, our adjusted PAT is at INR62 crores, up 29% year -on-year and 19% quarter -on-quarter with adjusted EPS of 4.1 per share.
Importantly, o

perating cash flow conversion remained strong at 92% of our EBITDA, underscoring the quality of earnings and disciplined working capital management. I'm pleased to announce that the Board has approved an interim dividend of INR5 per share, and this is in line with our dividend policy, reaffirming our strong performance, balance sheet strength and commitment to deliver sustained value to our shareholders.
I'll move to the 9-month FY '26 performance snapshot. For the 9 months end ed December FY '26, our consolidated revenue stood at INR11,413 crores, up 1% year -on-year. EBITDA for 9 months FY '26 increased to INR226 crores, a growth of 16% year -on-year with margins expanding by 26 basis points to 1.98%. Adjusted PAT for 9 months pe riod stood at INR166 crores, up 13% year -on-year with adjusted EPS at INR11.1 per share. Reflecting consistent profitability improvement.
I'll move to segment -wise financial performance now. Our General Staffing continues to provide scale, stability and st rong cash flows even as margins remain sensitive to mix and seasonal

factors. Revenue for Q3 stood at INR3,409 crores, accounting for approximately 86% of consolidated revenues and segment EBITDA was INR45 crores with margins at 1.3%. Headcount remained la rgely stable at 4,70,774 associates despite seasonal de -hiring in BFSI and CRT verticals. Collect and pay coverage remained healthy at 76%, and our average DSO improved to 24 days, reflecting strong collections and credit discipline. Moving on to Professio nal Staffing.
It delivered another strong quarter of margin -led growth, reinforcing its position as a key profitability driver for the company. Our revenues stood at INR230 crores and EBITDA increased to INR29 crores, up 42% year -on-year. EBITDA margin exp anded to 12.5%, and this

is the highest for the segment.
Headcount increased to 6,934 associates, while GCC -led engagement accounted for 72% of the total headcount in Professional Staffing, supporting our margin sustainability. The improvement in margins r eflect portfolio rationalization, our exit from low -margin contracts and deeper penetration into higher -value digital and GCC roles. Professional Staffing now contributes approximately 30% of total operating EBITDA despite being a relatively small part of our revenues.
Moving on to Overseas business, continued its margin expansion trajectory, supported by improved collections and regional diversification. Our revenue stood at INR290 crores, while EBITDA increased to INR20 crores, up 26% year -on-year and EBI TDA margins crossed 7%, which is a key milestone for this segment.
The Middle East delivered double -digit margins, while Malaysia and the Philippines showed strong improvement in both profitability and cash collections. Singapore revenues were softer, but EBITDA improved sequentially due to cost optimization. The overseas business now contributes around 20% of operating EBITDA, reinforcing the increasing role of high -margin businesses in the overall portfolio.
From a portfolio perspective, approximately 50% of our total operating profitability now comes from high -margin business, which is roughly 14% of our revenue. Professional Staffing and Overseas business. This continued shift in mix, combined with disciplined cost management is central to our margin exp ansion strategy. Our focus remains on capital efficiency, liquidity discipline and sustaining strong cash generation even as we invest in technology and growth initiatives.
I'll summarize for Q3 FY '26. It is a strong quarter from a financial standpoint, m arked by a new high in our quarterly EBITDA, continued margin expansion, strong adjusted profitability growth and healthy cash conversions and balance sheet strength. With that, I'll hand it over to Kushal.
Kushal Maheshwari : Thank you, Neeraj. We are now open for the question and an

swers. Over to you, moderator.
Moderator: The first question is from the line of Deep Shah from B&K Securities. Please go ahead.

Deep Shah : Sir, the first question is to get this clarification whether the pain in general staffin g due to NBFC is all of that behind us? Or there are still clients who are in that gr ey zone where they might have business with us and then at a subsequent date, they might look to prune down. So that is one.
Second, on the onetime benefits that are suppo sed to flow from the Pradhan Mantri Viksit Bharat Rozgar Yojana, those are supposed to start next June or July, right?
So by that time, we should have had a lower base as such so that on a month -on-month basis, we have higher headcount and therefore, the b enefits flow to us. So is this understanding correct?
I just wanted your thoughts on these two things. Thank you.
Kushal Maheshwari: Thank you, Deep. I will ask Lohit to answer the questions on BFSI sector in general staffing as well as the Pradhan Mantri Viksit Yojana scheme impacting our general staffing business.
Lohit Bhatia: Yeah. Good morning, Deep. So, this is an important question. I think last year, in the quarter 4, we had reported a onetime event where a BFSI customer had in -sourced a large set o f volume on their own roles. As we looked at that particular event, one thing emerged very, very clearly to us as Quess Corp that we have to have a portfolio diversification.
The first thing we did was we doubled down on our professional staffing as well a s on our international so that the value realization from these businesses and the margin -accretive businesses help us navigate any kind of a headwind that we may be faced with in a future event.
Second, within the general staffing business itself, our bus iness went and doubled down on multi -vertical strategy.
Today, on one side, we have a volume business, which is BFSI as well as CRT. On the other side, we have a value business, which is for our value -added services, our construction business, as well as o ur manufacturing business. This is a very planned strategy to ensure that a company of our size and scale is able to navigate with any form of headwinds that the market may give us.
I would also like to add that for our scale and size in the Indian economy , there will also be times of headwinds and tailwinds. As a management team, we will always be aligned to any of these eventualities, and we will build our business around both of these. I will quickly shift to Pradhan Mantri Viksit Bharat Yojana that you just spoke about. Yes, it went live on 1st August 2025.
The first of the period would be considered as a base of the prior 12 months. And thereafter, the growth that you achieve in the next six months will be modelled for the payments of the benefit.
The s econd thing is in terms of net addition that the organization does.
As we spoke at the start of today's conference call, we are expecting, in spite of a flattish headcount for Q3, for reasons of both destocking post the festive season as well as the pause

which got created in the six weeks of November and December, regarding the Labour Code. We feel that with all the projects that we've signed both from a sales point of view as well as open mandate sourcing point of view, Q4 should give us steady headcount addition.
And thereafter, we should enter with steady headcount addition into the next financial year itself.
At the moment, have we modelled how much that would be? No, we haven't. We will take it as

that benefit comes, and we'll report to the street as and when that adds to our current margin trajectory.
Kushal Maheshwari: Deep, I hope does this answer your question?
Moderator: The next question is from the line of Dipesh Mehta from Emkay Global. Please go ahead.
Dipesh Mehta:

A couple of questions. Firs t on General Staffing. Now I think broadly you indicated NBFC - related things are largely behind. Considering it was quarter 4, are we getting confidence about, let's say, returning to double -digit in the next couple of quarters from Y -o-Y perspective? That is question one.
And when that growth returns, whether the composition of revenue would be favourable to margin trajectory? Because in last couple of quarters because of business mix change, margin came under pressure for General Staffing. So I just want to get sense about two aspects. One is returning to double -digit. Second thing is when we return, what would be the mix which can drive margin changes? That is question one.
Second question is about the new Labour Code related implication. Obviously, we ha ve taken the hit in terms of the past performance kind of. What would be the recurring impact we expect in the business? And whether the incremental cost, which can come because of the PF gratuity kind of thing, whether any of this we need to bear or we wo uld be able to pass into to clients?
Kushal Maheshwari: Thank you, Dipesh. I would ask Lohit to cover the questions on headcount growth and margin trajectory for general staffing. And consequently, on the impact of new Labour Code implementation on our fin ancials, I would ask Neeraj to chip in. Over to you, Lohit.
Lohit Bhatia: Dipesh, thank you. As regards your conversation on the headcount trajectory for our General Staffing business is concerned, as a management team, we continue to model our sales, sour cing and operational capability and our technology back end to deliver a steady state 15,000 net addition quarter -on-quarter.
Like I just mentioned in the previous question as well, there will be headwinds and tailwinds, which will come to a company of our size in an economy as diverse as India is concerned. Our business team in general staffing has built vertical BU heads in each of the verticals which are there. As we sit in front of you in Q4, we find that Q4 has started on a much more positive trajector y than where we saw the month of November and December in Q3.
We also see that both our legs in General Staffing, that is the volume growth from customers, from large customers, as well as the value growth in some of the new businesses will continue to rem ain. As far as the margin trajectory is concerned, today, our General Staffing business is delivering the best margin in the industry at 1.4%, is one of our lowest across our three businesses.
In this business, we are looking to correct it to 1.5% to 1.6% in the near term and 1.8% in the medium to long term. So that's the trajectory that we would like to take from a margin

perspective is concerned. On the Labour Code, I'll make one small short comment and then give it to Neeraj.
The INR7 crores that you see is for the eventuality of all the code on wages restructuring for existing e mployees as they work at Quess Corp. This also is the change for gratuity calculation based on the new code on wages. This factors for all such personnel that work with us today, and we have trued up the expectation for that. On an ongoing basis, our employees will see a slight shift in terms of the cost, and I'll give it to Neeraj.
As far as your question on customers are concerned, yes, in the speech also, we called it out, 830 meetings have been done with clients where we have explained the impact of the Labour Code and the provisions to them, which will have to be modelled and factored by them in the purchase orders in coming times. Neeraj, I'll hand over to you.
Neeraj Jain: Thank you, Lohit. So Dipesh, there are two aspects that you have asked. One is the impact of Labour Code in Q3. So as you know, basis the requirement of the law and as per the guidance note released by the institute, at Quess, we have computed the im

pact o f gratuity leave
encashment of the YTD and that is the onetime exception cost that you see in the financials. So whatever is as per our contracts billable to the customer, that has basically been covered as part of the unbilled revenue.

So the impact in ou r P&L is largely related to our core employees. That is part number one. On the ongoing impact, please understand the PF and ESI and ongoing impact is basically the recalculation of the wages as part of the salary model. And given our internal structure, w e don't expect a material impact basis our EBITDA base.

I would say, a maximum of INR1.5 crores to INR2 crores we see as an ongoing impact because of our attrition rate, because of our existing structure of wages in the company. So on an overall basis, I s ee it as a very immaterial impact on our margins as we move forward. I hope, Dipesh, it answers your questions.

Moderator: Sorry to interrupt. Sir, we have lost the line of sir Dipesh. We'll move ahead. The next question is from the line of Siddharth Zabak from IIFL Capital Service. Please go ahead.

Siddharth Zabak : I have a couple of them. My first question is on Middle East EBITDA margin. In your 2Q press release, you have indicated an EBITDA margin of 12.8% for the region. And in 3Q also, you mentioned d ouble -digit margins. However, if we look at staffing companies operating in Middle East, industry EBITDA margins are typically around 4%.

So could you please help us understand what are we doing differently that allows us to operate at materially higher ma rgins in this region? And secondly, how sustainable are these margins over the medium to long-term?

My second question is on the expected credit loss allowance of INR120 crores that was provided on trade receivables in 4Q FY '25. Could you share whether an y recovery has been made from this data so far? And how we think about the potential write -backs or further recoveries going ahead?

Kushal Maheshwari: Thank you, Siddharth. For your question on Middle East and margins, I would ask Lohit to answer the quest ion. On the expected credit loss, I will ask Neeraj to answer.

Lohit Bhatia: Hi, Siddharth . Yes, you're absolutely right. We trade at double -digit margins in our Middle East book. We are between the 11.5% to 12.5% EBITDA margin that we've been delivering t here.

Middle East for us is a long -term success story. This is not something which has been created in one, two quarters or 1 or 2 years.

Middle East has been growing on its base at a steady state of 25% to 30% year -on-year. We, across Middle East also, work and provide talent in multiple different segments. We provide talent in the retail. We provide talent in e -commerce. We provide talent in manufacturing and engineering.

We also provide talent in banking sector. Last year, as part of our diversificatio n strategy and our derisking strategy, we looked at every BU of ours and every geography of ours, and we decided that we will double down on areas which do not exist for us, but can be a blue ocean for that location.

So to give you an idea, in Middle East, where we were heavily reliant on the General Staffing across different segments, we added a layer of IT talent. Happy to report to you that as we speak, we've almost touched 100 associates in Middle East in high -margin IT business as well. Total Middle Ea st has a little over 2,000 book size.

With that kind of a volume, our IDC cost also is well optimized and is kept on a fairly low side. So I think the comparison with the low -margin businesses would possibly be because they do not have the scale that Quess has in some of these geographies, Middle East being one of those.

Kushal Maheshwari: Over to Neeraj to answer your question on the expected credit loss of INR120 crores that we have taken in Q4 FY '25. Neeraj?

Neeraj Jain: Thank you, Lohit. So Sidd

harth, on the ECL provision that we took in Q4 FY '25, this is largely for the skilling project that we are doing with the government. And just to update you on the collection in Q3, while we are very closely working with the state governments on processing of th ese collections, just to update, there is a new process that is being instituted by RBI on the escrow account process.

So, because of that new process and both state government and RBI and all of us are trying to work it around, it has unfortunately delaye d the collection from Q3 to Q4. So we expect some of those collections to flow back in Q4. And just also wanted to mention that while these have been already provisioned, so any collection that we do from here on is going to positively impact our numbers a s we move forward.

Guruprasad Srinivasan: Just to add a point there. If you recollect, in Q4, these were the discontinued businesses as part of the demerger that we had announced to the Street, and we had taken an exceptional credit loss on that. And as co mmitted, the effort is on. And as and when the collection happens, we'll report back to the Street.

Moderator: The next question is from the line of Karan Gupta from ASML. Please go ahead.
Karan Gupta: So my question is regarding on the other expenses side . So, on a Y -o-Y basis, there is 24%, 25% of down in the other income side. And for quarter 3 FY '25, you already adjusted the numbers of Digitide Solutions, and Bluspring. But still there is a drop of 20%, 25%, which is majorly contributing to the profit side of around INR55 crores. So, can you put some light on this thing? And how much this other expenses part on a consolidated basis is contributed to each segment?
Kushal Maheshwari: Karan, hi. Okay. First and foremost, what I understood is on the total i ndirect cost you're referring to is what I presume. So, our average total cost per quarter is about INR102 crores across the group as part of the IDC. And there are a few costs in the earlier, if you are comparing year-on-year, there were demerger expenses , which wouldn't recur in this current year. So that's the entire sort of gap there. But otherwise, the run rate where we are today is about INR102 crores of cost per quarter. And that has been intact for the last three quarters.
Karan Gupta: Just saying about the other expenses part? My question was on the other expenses part in the consolidated statement ?
Kushal Maheshwari: Which expense are you referring to, actually ?
Karan Gupta: Just a second. In a consolidated statement, if you see the other expenses , INR137 crores on a Y -o-Y basis, it is around INR192 crores. So that's a drop of something around 20% -25%. So that's what I'm asking, which is basically majorly contributing to the profit side of around INR50 crores, INR55 crores. So can you put some ligh t on what are these other expenses are?
Lohit Bhatia: Karan, your numbers, we are not able to figure it out. Can we take this question offline? You can drop me a mail and I'll answer these questions.
Moderator: The next question is from the line of Amit fr om H. G. Havas . Please go ahead.
Moderator: Amit, kindly unmute your line.
Amit: Hello.
Moderator: Sorry to interrupt. Sir Amit, I request you to kindly get closer to the mic. Amit, you are not audible.
Amit: My question is like what are the net additions of the headcount in the quarter?
Kushal Maheshwari: Headcount additions during the quarter or you want guidance during the quarter?
Amit: Both actually. Both.
Kushal Maheshwari: I'll give the question to Nitin Dave , our Head of Staffing Solutions.
Nitin D ave: Yeah, good afternoon. So while as Lohit had explained already that because of some seasonal dehiring and also multiple wage course discussions where customers started taking stock of what is the current situation, the headcount in fa

ct. However, going forward, we have a very strong

pipeline, a very healthy open mandate of 35,000 plus, as Lohit mentioned, and also a strong pipeline.
So with that, we are expecting to end the year on a new high, and we are expecting to do a net add in the coming quarter and end the year on a high in terms of volumes. Also, the diversification strategy that Lohit mentioned and some of the investments that are being made, the results of the same would be expected in the coming quarter. So we are expecting, while the current quarter has been flat, the next quarter will be a growth quarter for us.
Amit: Actually , in the previous con call, I think you have guided like 10,000 to 15,000 headcounts addition in this quarter.
Nitin Dave : Yes. So in the, as it was mentioned by the Lohit in the opening speech itself, on 21st November, the government actually introduced the wage codes with immediate implementation. So at that point of time, with customers before adding new capacities, they actually started taking stock of what they al ready have and what will be the impact on their overall expenses before adding further headcounts. We have had more than 800 discussions with our customers on the wage code.
And this guidance of 10,000 to 15,000 headcounts quarter -on-quarter will apply bec ause we have a sourcing engine in place. We have a source pipeline in the place. So these discussions and these headcount additions have simply been deferred because of the wage code discussions in the coming quarter. That is the only comment that I would like to make on the quarter 3 number being flat. But going forward, this growth will be there.
Amit: Sir, my second question was like is the 2% EBITDA margin the new normal?

Lohit Bhatia: So basically, we had guided that we want to sustain at around 2%, bu t basis margin expansion in different verticals, we would guide you between 1.95% to 2.05% in the coming quarters. Guru, if you can?

Guruprasad Srinivasan: Just to add, Amit, as Lohit alluded in his speech, when we started the year, the EBITDA contribution from General Staffing was about 57% and 43% was coming in from the other high - margin businesses. That product mix has changed. As we end December quarter, we are now contributing 50% from General Staffing and 50% coming from International and Professional Staffing.

So that has helped us to keep our margin consistently to be around 2%, and we are able to do that for the last two quarters. Are we going to focus on product mix and continue to work on the product mix better? Yes, that's definitely on our strat egy and plan.

We would, while General Staffing would continue to grow, the mix is something which is important, and we will continue to work on it, and we should be able to sustain. However, we had guided the market exit of this year, we should be around 2 %. We are happy to see that we have been at least a quarter early reached there. So, we should be able to.

Moderator: The next question is from the line of Ankit from RNM Capital Trust. Please go ahead.

Ankit: My question is on the Labour Code implementati on. I heard that we have been going million we see that as a catalyst for us, right? I just also wanted to understand i f we foresee any challenges, like any sector or industries, if you have more employees and their partners on payroll rather than outsourc ing it because of this Labour Code implementation ?

Lohit Bhatia: So if I can understand your question, you are asking whether Quess will face any challenges in any vertical as part of Labour Code implementation. Is that your question?

Ankit: Yes, yes. Yes, any vertical lik e BFSI where employees are on their own payroll, right? In this Labo ur Code implementation, do we see that can happen with other industries or verticals?

Kushal

Maheshwari: So you are saying whether Quess will be impacted by any in -sourcin g of any vertical due to Labour Code implement. Is that your question?

Ankit: Yes, yes, right.

Kushal Maheshwari: Okay. I'll ask Lohit to answer on this.

Lohit Bhatia: Okay. Ankit, thanks for the question. I think the interim impact in Q3 has been because for all the customers, this is, for entire India, by the way, this is a reset after 78 years. You know under the Labour Code, there are laws which were made in 1924, 1947, 1948, 1950, 1974 have been reset and have been revised.

The second thing is that ma ny of the industries did not exist when some of these laws were made. So obviously, it required a complete reset. What has happened in Q3 is that the clients have looked at that reset, and they are budgeting for it in terms of what would be the impact and what would be the changes.

To be very honest, under the laws today, whether you have them on your roles or whether you have them on a third -party role, the cost, if any, whether on code of wages, whether on restructuring of wage, whether on gratuity payments and other implications remains the same. Both ways, it has to be paid as per the new legislation.

You would also remember that Quess being a listed company for almost 10 years now, follows every law in the book in the last 18 years of our existenc e and will continue to follow every law as and when the government comes out with it.

Interim impact is for customers to know what will be the new cost for human capital. Doesn't matter whether the human capital is on a third -party roles or whether it is on their direct roles. The medium - to long -term impact after this reset is over will be towards formalization and towards consolidation.

We feel that with the kind of understanding that Quess has on governance, on compliance and being able to keep our cust omers always indemnified for the laws in India, there will be more and more clients who would be interested in working with Quess for our abilities, and we will be able to see more tailwinds over a period of time.

I think I would also like to add one more point, which probably with the Q3 results are already evident to everybody in India. The speed with which Indian industry is taking Labour Codes and the seriousness with which Indian industry is taking Labour Code is phenomenal. In all of these hundreds of conversations, we have not had even one pushback asking us to help somebody

restructure by saving cost.
Every conversation has been about what would be the cost, what are the changes, and how to ensure that it can be implemented at the earliest. I think t hat is the maturity of Indian industry, and it is the right time to call it out, and that should be beneficial long-term.
Moderator: The next question is from the line of Akshay Chawla, an Individual Investor . Please go ahead.
Akshay Chawla : Yes. I had a q uestion regarding the Professional Staffing. So right now, it is around single -digit as a percentage of revenue. So, going forward, what percentage can we expect from this segment because the margins are in double digits over there? So just wanted to know about that.
Lohit Bhatia: Thank you for the question, Akshay. Before I hand over to my leader for Professional Staffing, Kapil Joshi, I would just like to make one highlight and a point here. This entire strategy of margin expansion and value -accretive ver ticalization started for us nearly 5 years ago in this business. We were doubling down from an EBITDA margin percentage of 4.5% to 5%, and we were clearly looking out to a market where we work on high skills, niche skills and digital technology skills.
As an organization in the last 5 years, we've ensured that we walk that path and the resultant is visible in front of all of you, which is today above 12%. But now I'll hand over to Kapil on how doe

s he see the market opportunity hereafter to grow and expand even further.
Kapil Joshi: Yes. Akshay, thank you for the question. And yes, we are cognizant about top line growth, revenue growth, which is currently in single digit. But going forward, we expect it to be much better. If you see our sales pipeline, we ar e actually focusing on acquiring the good logo. So far this year, we have acquired 48 new logos. In the last quarter, October, November, December alone when hiring are actually subdued, we acquired 18 new logos.
I think in next 12 months, this 48 logos, wh at we have acquired will have a headcount buildup. And that's true in the super niche segment where margins are better, okay? So we expect H1 is anyway is good for our industry, IT industry. So at least for next two quarters, we expect the growth will be a top line -led growth, driven by the headcount addition.
Moderator: The next question is from the line of Dipesh Mehta from Emkay Global. Please go ahead.
Dipesh Mehta: Two questions. Just want to get sense about how one should look payout. Any ratio we hav e in mind in terms of the payout ratio? And second question is about the client concentration. I think this time, presentation doesn't include general staffing client concentration. Can you provide some sense how that is shaping up?
Kushal Maheshwari: Dipe sh, just a clarification. When you refer to payout ratio, is it.

Dipesh Mehta: Dividend payout.
Kushal Maheshwari: Dividend payout, okay.
Neeraj Jain: Yes. Dipesh, we have a dividend payout policy. And as per the policy, our payout ratio is 75%, up to 75%.
Kushal Maheshwari: 75% of our free cash flow over a block of 3 years. Dipesh, does that answer your question on dividend? Dividend payout.
Dipesh Mehta: Yes.
Kushal Maheshwari: And on your question on sector -wise concentration on general staffing, I would ask Lohit to answer the question.
Lohit Bhatia: So yes, in General Staffing, our larger businesses continue to be CRT followed by BFSI, followed by manufacturing, telecom, FMCG, FMCD, e -commerce logistics, healthcare, supply chain and government. This is a clearly verticalized strategy, which was started about 18 months ago. While we started this s trategy, we created a strategy number 2, which was on the value accretiveness of the business.
That is where VAS, manufacturing as well as currently construction stands for us. If you look at one of the principles that our business has been following is steady state between 280 to 300 new customer logos just in the General Staffing business year -on-year for the last couple of years. We've already done about 222 lo gos this year as well from enterprise customers just in General Staffing. These logos take about three to six months to ramp up and become large scale for us.
Our concentration of revenues or concentration of business in terms of headcount for the top 10 customers is close to about 40%. However, no customer of ours is in double digits contribution today for a general staffing business. If we were to take it at a Quess Corp level, it would even be lower because 15% to 16% of Quess Corp's overall revenue . So if that gives you a glimpse, there is no one major item which creates the book for us.
Moderator: The next question is from the line of Gunit Singh from Counter Cyclical PMS. Please go ahead.
Gunit Singh: First of all, can you please help me understand why our margins are currently around 2%, whereas they used to be around 4% to 5% historically? Has there been a subsequent change in

the industry?
Kushal Ma heshwari: When you're looking at margins, then they were looking at consolidated Quess before demerger.
Now the margins which we are reflecting over year in the range of 2% are post demerger for
Quess Corp itself. So, if you look at it, if you look at the history of our company, we underwent
a

demerger, which was since 1st April 2024. And if you look at our financials, Bluspring and
Digitide are not part of the company. So, prior to that, when you're looking at margins, they were
a consolidated Quess.

Gunit Singh: The standalone margins they were higher, I think. And if you can help me, I mean, correct me ,
were the staffing margins around 2% sales around, say, 5 years back or pre -COVID? Or has
there been a general trend of margins declining?
Neeraj Jain: Okay. Just to add, so as Kushal said, it's a demerged balance sheet now, and its only workforce
business that we have, of which we, General Staffing delivers about 1.4% to 1.5% EBITDA
margin. Professional Staffing delivers about 12% and international is just about 7%.
So way back with the question that you're asking is if I were to really go back to the previous
business mix, which we have been calling repeatedly is that the skill development when business
was part of workforce, and we had another entity, whic h was Brainhunter, which was part of
workforce, which was outside India where we were operating in U.S. and Canada.
With all of those business with high EBITDA margins, we were averaging around 4%, 4.5%,
but that businesses have been discontinued and Brain hunter as part of demerger has moved into
Digitide. So, it's noncomparable. We would be happy to take this question if you have anything
specifically and you can reach out to Kushal, we can share.
But the product mix in itself has changed, and there are a set of businesses that has been
discontinued, which are no more part of workforce. And hence, steady state, if you look at, we
have been, when we started the year about 1.8% EBITDA to about 2% EBITDA is where we
were guiding to the market, and we are in li ne to that.
Kushal Maheshwari: Also to add to that, in the last five quarters, our EBITDA margin has expanded from 1.6% to
currently at 2.03%. So, if you look at it, there's been a 47 basis point improvement in the
EBITDA margin in the last five quarters o f our operation of Quess Corp.
Gunit Singh: Got it, sir. So, my second question would be around our current trade receivables over 6 months.
And given that we took an ECL of about INR100 crores to INR150 crores in last year. Have we
taken any steps to strengthen our processes or collections?
Kushal Maheshwari: I would ask Neeraj to answer this question on strength our financial control process.
Neeraj Jain: So Gunit, first thing, I think we already answered this question previously. This onetime ECL
that we took in Q4 of last year was relating to our skilling business. While we have taken the
provision, we are still working very closely with the customers and the government.
And because of some RBI process, the collection on that part is a bit delayed. But just to give
an idea of the improvement that we have done on our DSO part in General Staffing business,
which is our larger business, we have brought down the DSO to 24 days.
That is a significant improvement that we have made. So, I think we are makin g significant
improvement on our collections. Our EBITDA to OCF is at a healthy 92%. So we are on the
right path, and we'll keep the momentum as we move into Q4.
Gunit Singhi: And sir, what are trade receivables over 6 months currently?
Kushal Maheshwari: Sorry?

Gunit Singhi: Trade receivables over 6 months?
Kushal Maheshwari: If you look at our average DSOs, this not being a balance sheet quarter, we're not reporting it.
But on the General Staffing, the average DSO is around 24 days with AR at 10 days and, AR at
14 days and UBR at 10 days.
Gunit Singhi: All right, sir. Got it. Thank you very much.
Kushal Maheshwari: General staffing contributes to 86% of our revenue. I hope this answers your question.
Moderator: The last question is from the li

ne of Samay from Helios Capital. Please go ahead.
Samay : I wanted to ask you about your Professional Staffing segment. So, the margins are steadily
improving from 10% in Q1 then to 12% in Q2 and now 12.5%. So just wanted to understand,
what are the sustainable margins? Like would it be in the range of 11% to 12%? Or should we

see it about 12%? And similarly for your Overseas business as well, the margin has shot up to 7%. So how should we see going forward?
Kushal Maheshwari: Thank you, Samay, for your question. I would ask Kapil to answer your question on the margins for our Professional Staffing business and Overseas business, I would ask Lohit to chip in. But overall, if you look at Overseas business, which has crossed 7%, it has been a staggered and implemented strategy and trying to improve the profitability diversification across our regions, which has reflected in this quarter's performance for Overseas business. Over to you, Kapil, for Professional Staffing.
Kapil Joshi : Professional Staffing, like Lohit mentioned in the initial call, it was conscious efforts from us for the last 3 to 5 years to change our portfolio and product mix, client mix. We have moved from entry -level L1, L2 support role to our super niche area wh ere we support our clients. And simultaneously in the last 3 years, revenue from the GCC has also improved significantly where our margins are better. I think margin going forward should be in this range. And like I mentioned in my last comment, we expect, we should see the top line growth going forward.
Samay: So basically, so about 12%, is that my understanding right? Or would it be between 11% to 12%?
Kapil Joshi: Yes, you can assume that it will be range bound between 11% to 12%.
Samay: And for the Over seas business?
Lohit Bhatia: Overseas, we've been steady state between 6.5% to 7%. So, we would continue to keep guiding for the same as well. However, nothing will stop us from looking at, like I mentioned, opportunities out there and enhancing our margin wherever to the extent possible. I also wanted to add one point. As far as a workforce management or a staffing company is concerned, there are a few ways to model an organization.
What is the EBITDA to OCF conversion? What is the free cash that is genera ted? What is the gross earning to net earnings ratio, which for Quess is above 50% already. What is the margin

earned per person? What is the ROE, which will in the case of Quess this year should be at 20% as we end.
And how much is the free cash that the company generates on a year -on-year basis. So, I think these are the principles at which a workforce management in a staffing company should be calculated towards.
Samay: Right. And another question regarding your contingent liability . For the direct tax, it remains same as what it was in FY '25 at INR296 crores. Could you just share an update on your indirect tax contingent liability regarding the GST contingent liability? So, it was INR372 crores in FY '25. Could you share some color like give an update? Is it still the same? Or has it been any change in that?
Kushal Maheshwari: No, there is no material movement on the GST front.
Samay: Okay. And regarding your tax expense, I see you got a tax benefit of INR4 crores in this quarter versus a tax expense of INR6 crores last quarter. So how should we see the tax rate, effective tax rate going forward?
Kushal Maheshwari: Yes. So, you're right, this was because of the Labour Code impact and the deferred tax asset that we have booked in the books. Going forward, we will continue to guide on the 10% ETR range given the model of our business.
Moderator: Thank you. Ladies and gentlemen, we take that as the last question. I would now like to hand the conference over to sir Lohit for closing comments. Over to you, sir.
Lohit Bhatia: So thank you very much

for joining us today. As we look ahead, our ambition is to scale responsibly while continuing to improve the quality and sustainability of our earnings. In Q4, we are focused on delivering a net headcount addition exce eding 15,000 building on our market leadership and execution strength.
In Professional Staffing, we are working towards exiting the quarter with a INR30 crore s EBITDA run rate on a quarterly basis, reflecting the steady shift towards higher value, higher - margin work. We see a meaningful opportunity to further increase the contribution of our Professional and Overseas business to overall profitability while maint aining strong cash generation and balance sheet discipline.
Underpinning all of this is our continued investment in AI -led transformation across hiring, collections, back -end operations, which we believe will be the key drivers of productivity, resilience and long -term value creation. At a broader level, our focus is on consistent growth with strong fiscal discipline. We have a clear ambition to scale to 1 million associates over the next 4 to 5 years. worldwide with high cash flow generation and a sustaina ble dividend policy as guardrails that must be met.
We will continue to invest in higher -margin businesses across India and overseas, anchored on our three core pillars: employees, customers and shareholders. Thanks again for joining us for

the Q3 earnings call. Your question and feedback has always been valuable. We appreciate your

continued interest and support, and I sincerely look forward to catching up with you again. Thank you.

Moderator: On behalf of IIF L Capital Services Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

Quess Corp Limited
Quess Tower, Sky Walk Avenue, 32/4, Hosur Road, Roopena Agrahara, Bommanahalli, Bengaluru – 560068, Karnataka, India
Tel: +91 080 -49345666 I contactus@quesscorp.com I CIN L74140KA2007PLC043909

www.quesscorp.com

QCL/SEC/202 6-27/19

May 07, 2026

To,
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street,
Mumbai – 400 001

National Stock Exchange of India Limited
Exchange Plaza,
Bandra - Kurla Complex,
Bandra (East), Mumbai – 400 051
Security Code – 539978 NSE Symbol – QUESS

Dear Sir/ Madam,

Sub: Transcript of the Earnings Call – Q4 FY26

Pursuant to Regulation 30 of the Securities and Exchange Board of India (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the Transcript of the Earnings Call held on May 05, 2026.

The above information is also available on the website of the Company at www.quesscorp.com .

Kindly take the same on record and oblige .

Yours sincerely,

For Quess Corp Limited

Kundan K Lal
Company Secretary & Compliance Officer
Membership No.: F 8393

Encl: as above

“Quess Corp Limited Q4 & FY'26 Earnings Conference Call”

May 05 , 2026

MANAGEMENT : MR. GURUPRASAD SRINIVASAN – EXECUTIVE
DIRECTOR
MR. LOHIT BHATIA – CHIEF EXECUTIVE OFFICER
MR. NEERAJ JAIN – CHIEF FINANCIAL OFFICER
MR. KAPIL JOSHI – CHIEF EXECUTIVE OFFICER ,
QUESS IT STAFFING
MR. NITIN DAVE – CHIEF EXECUTIVE OFFICER , QUESS
STAFFING SOLUTIONS
MR. KUSHAL MAHESHWARI – HEAD, (INVESTOR
RELATIONS & TREASURY)
MODERATOR : MR. SIDDHARTH ZABAK – IIFL CAPITAL SERVICES
LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Quess Corp Q4 FY26 Earnings Conference Call, hosted by IIFL Capital Services Limited.
As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchstone phone.
Please note that this conference is being recorded. I now hand the conference over to Mr. Siddharth Zaba k from IIFL Capital Services Limited. Thank you and over to you, sir.
Siddharth Zabak: Thank you. Ladies and gentlemen, good morning and thank you for joining us on the Post-Q4-FY26 & FY26 Results Conference Call for Quess Corp Limited.
It is my pleasure to introduce the Senior Management Team of Quess Corp who are here with us today to discuss the Results :
We have Mr. Guruprasad Srinivasan – Executive Director , Mr. Lohit Bhatia – CEO , Mr. Kushal Maheshwari – Head (Investor Relations & Treasury), Mr. Neeraj Jain – CFO , Mr. Kapil Joshi – CEO of Quess IT Staffing; and Mr. Nitin Dave – CEO of Quess Staffing Solutions.
We will begin the call with opening remarks by the Management Team , and thereafter, we will open the call for a Q&A session.
I would like to now hand over the call to Mr. Kushal Maheshwari to take the proceedings forward. Thank you, and over to you, Kushal.
Kushal Maheshwari: Thank you, Siddharth . Good morning, everyone, and thank you for joining us for our Q4 -FY26 and FY26 Earnings Call .
The information, data, and outlook shared by the Management during the call are forward - looking and subject to prevailing business conditions and government policy.
All forward -looking statements are subject to economic growth or other risks faced by the Company . Please refer to Slide #2 of the investor presentation for the Safe Harbor Clause.
With that Safe Harbor Clause, I will now hand over the call to our CEO – Mr. Lohit Bhatia, for his opening statements.
Over to you, Lohit.
Lohit Bhatia: Thank you, Kushal. Good morning, everyone, and thank you for joining us for Quess Corp 's Q4 and full -year FY26 Earnings Call today.

We are pleased to report a quarter and year with steady execution, strong margin expansion, and improved quality of earnings.
For Q4 FY26, we delivered a revenue of INR 3,892 crores, reflecting a 6% year -on-year growth, while the EBITDA came in at INR 86 crores up 28% year -on-year, with the margins expanding to 2.2%. PAT stood at INR 64 crores, with an EPS of INR 4.3.
For the full -year FY26, revenues stand at INR 15,305 crores, with an EBITDA at INR 3,12 crores, reflecting 19% growth in EBITDA and a PAT excluding one -time exceptional item at INR 230 crores, up 10% year -on-year. This marks a healthy ROE of 20%.
Importantly, our EBITDA -to-operating cash flow conversion remains strong at 80%, highlighting the disciplined working capital management and high -quality earnings. The Board has thus approved a special dividend of INR 3 per share on account of the 10th Anniversary of our IPO and a final dividend of INR 3 per share, staying true to our commitments to reward our

shareholders.
Now moving to business performance – This reflects scale with improving quality :
FY26 reflects a clear shift in our business towards higher margin, more sustainable segments, even as we maintained our leadership position in co -staffing. We ended the year with a headcount of approximately 4,78,594 associates, reinforcing our position as India's largest staffing platform. During the year, we added 281 new contracts in General Staffing , continued scaling high margin Professional Staffing with strong GCC traction, adding 61 new logos during the year. We added 125 new logos in Ov

erseas busin ess as well.
At a portfolio level, high margin businesses now contribute 50% of the total profitability, a structural shift that is beginning to reflect in our margin trajectory as well.
General Staffing – Scale Leadership with Execution Discipline :
The General Staffing business continued to demonstrate resilience and strong execution at scale. For the year FY26, we added approximately 26,000 net -add in our headcount in the Staffing Solutions business . However, discontinued projects have resulted in a 7,000 loss during the year as well. Revenue has come out at INR 13,176 crores, growing modestly year-on-year despite a year marked by structural transitions including the Labor Code implementation, the geopolitical instability and portfolio recalibration.
EBITDA remained stable at INR 189 crores with significant investments made in verticalization, technology investments and hiring of recruiters to make our business future proof and future ready.

During Q4, we added 59 new contracts, taking FY26 total addition of new contracts and customers to 281. The headcount growth remained measured owing to global factors and supply -side talent shrinkage, especially in the lat ter part of the financial year.
DSO remained tightly managed at 24 days, including 9 days of UBR days as well. This also shows strong collection discipline within the unit. While certain verticals such as BFSI and CRT saw near -term softness, this was offset by the stability in other line s of businesses recently created in the last few years, including manufacturing and the infrastructure -led construction demand.
Our focus will continue to be improving profit per associate, enhancing client mix, driving operational efficiency at scale.
Moving to our Professional Staffing business – The High -Quality Growth Engine:
Professional Staffing has delivered another record strong quarter for us and a year of profitable growth.
The revenue for the year has come out at INR 930 crores, which is up 13% year -on-year. EBITDA increased sharply to INR 111 crores, up 43% year -on-year. Margins have expanded to (+12%).
In Q uarter 4, EBITDA has grown 47% year -on-year with continued margin strength. GCCs continue to account for 71% of total headcount deployment in our Professional Staffing business , reflecting our strategic position in high -value niche roles and segments. This performance has been driven by the focus on high -margin digital and technology roles, rationalization of low -yield engagements , and strong demand from GCCs.
We believe the double -digit margin in this segment are sustainable, supported by the structural demand and disciplined execution.
Moving to our Overseas Business – Diversified Growth with Margin Expansion:
Our Overseas business continued to deliver consistent growth and improving margin.
For the year FY26, the revenue stands at INR 1,197 crores, up 5% year -on-year. EBITDA increased to INR 77 crores, up 21% year -on-year. For Q4, revenue grew 16% year -on-year. EBITDA grew 28% year -on-year with steady margins above 6% at a blended rate.
The key highlights for international are :
• 125 new logos added during the year.

• Middle East has closed FY26 with 11% EBITDA margin, posting revenue and EBITDA growth of 27% and 40% respectively.
• Quess Singapore, General Staffing has added 68 new contracts and an over 491 local headcounts , taking our total headcount in the geography to over 1,026.
• Malaysia has delivered strong revenue growth of 83% year -on-year, scaling to 900 headcount and an EBITDA margin of 4.3%.
• Philippines posted 49% revenue growth at a 10% EBITDA margin, crossing over 700

headcount milestone.
Overall, the international portfolio is now better balanced, structurally more profitable as well.
Our digital platforms continue to remain i

nvestment -focused with a layer of AI. We have
sharpened our focus towards AI -led solutions with a plan for the coming three years.
We are building a blue -collar marketplace, AI -driven recruitment and workforce solutions. This will further strengthen our long -term position in technology -led workforce management platforms.
Moving on to people and ESG highlights :
I am proud to share that Quess has been certified as a “Great Place to Work” for 7th consecutive year, with recognition across India, Singapore and Middle East. We were also recognized with “LinkedIn Talent Award 2025 ” for “AI Pioneer ”, reflecting our focus on innovation in talent acquisition.
Closing remarks :
To summarize FY26, the year has been led by margin expansion, improved profitability, strong cash flow generation, portfolio shift towards higher -margin businesses, disciplined execution across segments. While revenue growth remained moderate, the quality of growth has significantly improved, positioning us well for the next phase. As we move into FY27, our focus will be on scaling Professional Staffing and Overseas business, drive margin expansion across segments, leveraging technology and AI platforms, an d continuing our disciplined capital allocation.
We remain confident in our ability to deliver sustainable, profitable growth with improving return ratios.
With that, I will now hand over to Neeraj to walk you through the financials in more detail.
Neeraj Jain: Thank you Lohit . Good morning, everyone and thank you for joining us on Quess Corp Q4 & Full Year FY26 Earnings call.

I will begin with our headline financial performance for the quarter and full year and then I will follow with segment -wise financial review and conclude it with k ey balance sheet, cash flow and capital allocation highlights.
I will start with financial highlights for the quarter :
Q4 FY26 was a quarter of strong margin expansion, improved profitability, reflecting continued benefits from our focus on our mixed improvement, operating discipline and cost optimization.
Consolidated revenues for the quarter stood at INR 3,892 crore, representing 6% year -on-year growth with broadly stable sequential performance. EBITDA for the quarter came in at INR 86 crore, up 28% year -on-year and 8% sequentially, with EBITDA margins improving to 2.2%, representing an expansion of 37 basis points year -on-year. This margin expansion indicates improved operating leverage, a more favorable business mix, and sustained c ost discipline across the organization, reflecting in operating margins fo r all businesses combined and crossing INR 100 crore for the quarter.
Reported PAT stood at INR 64 crore, reflecting a 167% year -on-year increase, supported by operating leverage and lower exceptional impacts. On an adjusted basis, PAT remained stable sequentially, reflecting underlying business strength and consistency in earnings quality.
Our EPS for the quarter stood at INR 4.3 per share. Importantly, our operating cash flow conversion remained robust at 80% of EBITDA, underscoring strong working capital discipline and high -quality earnings.
I will come to full year FY26 performance :
For the full year FY26, consolidated revenues stood at INR 15,305 crore, reflecting 2% year -on-year growth, while revenue growth remained calibrated during the year , the financial performance reflects a deliberate focus on profitability and earnings quality rather than volume -led expansion.
EBITDA increased to INR 312 crore, delivering a 19% year -on-year growth, with a margins expansion to 2%. Our adjusted PAT for the year stood at INR 250 crore, up 10% year -on-year, with adjusted EPS of INR 15.4 per share. Our return on equity remained strong at 20%, reflecting improving profitability and capital efficiency.
This reflects disciplined execution in a year of external transitions, parti

cularly around Labor
Code implementation.
I will now talk about segment -wise financial performance :
General Staffing – scaled with stable profitability :

Our General Staffing continues to provide scale, stability and strong cash flow generation, even as margins remain sensitive to mixed and sectoral demand. For Q4 FY26, our revenues stood at INR 3,328 crore, up 6% year -on-year, while quarter -on-quarter decline is due to one -time incentive pass -through and gratuity billing in Q3, which was because of the Labor Code implementation. Our segment EBITDA stood at INR 52 crore, reflecting 21% year -on-year growth.

For FY26, our revenues stood at INR 13,176 crore, contributing 86% of total revenue for the company. Our EBITDA stood at INR 189 crore for the segment.

Operationally, we added 59 new contracts in Q4, taking our total FY26 additions of new contracts to 281. Our DSO remained tightly controlled at 24 days, including unbilled revenue, with the ARDSO standing at 15 days. Our Collect & Pay mix remained strong at 76%.

Our margins remained stable, supported by pricing discipline and cost control, even as certain verticals such as BFSI and CRT saw moderate softness.

I will now talk about Professional Staffing :

I think the highlight for the segment was margin -led growth.

Professional Staffing continues to be our key driver for profitability and margin expansion. For Q4 FY26, the revenues stood at INR 232 crore. EBITDA stood at INR 30 crore, which is up by 47% year -on-year. And margins for Professional Staffing remained strong at (+12%).

For the full year, revenue grew to INR 930 crore, which is 13% year -on-year growth. And EBITDA increased to INR 111 crore, which is a 43% year -on-year increase.

Key highlights for the segment :

- GCC -led engagements now account for (+70%) headcount.
- Our continued focus on high -margin digital and technology roles .
- Strong operating leverage driven by portfolio rationalization.

Professional Staffing now contributes a high share of profitability relative to revenue, reinforcing its role as our structural margin driver for the company.

I will move on to the Overseas business :

The Overseas business delivered steady growth with continued margin improvement supported by diversification across geographies.

Starting with Q4 :

Our revenues stood at INR 332 crore, which is up by 16% year -on-year. EBITDA was at INR 21 crore, which is up by 18% year -on-year.

And for the full year, revenue for Overseas business is INR 1,197 crore. And our EBITDA increased to INR 77 crore, which is a 21% year -on-year increase.

Moving on to operational highlights :

We added 125 new logos during the year. And maintained double -digit margins. Malaysia and Philippines showed strong growth and margin expansion. And Singapore performance stabilized during the year with improved revenue mix and cost efficiency.

The segment continues to demonstrate improving profitability and cash generation with EBITDA margins in the range of 6 % to 7%. These results demonstrate consistent sequential execution and margin sustainability during the year.

Our portfolio mix and margin evolution from a portfolio perspective approximately now 50% of the total operating profitability comes from high margin businesses, namely Professional Staffing and overseas segments. This structural shift in mix combined with cost discipline and pricing optimization improved execution has been the primary driver of margin expansion for us during the year. The impact of this mix improvement complemented by cost m anagement and delivery efficiencies has been our key driver for ma rgin expansion during the year.

Importantly, this strategy has been executed without compromising our cash flows and with strong focus on capital efficiency and liquidity discipline.

I w

ill move on now to balance sheet cash flow and capital allocation :

Our balance sheet remains strong and well -capitalized. The net cash position as of close is INR 271 crore. We have zero gross debt in the company. Our free cash flow generation remains healthy, supported by strong EBITDA growth and tight working capital management.

Talking about capital allocation and shareholders' return :

Based on our cash generation and balance sheet, the Board has proposed a final dividend of INR 3 along with a special dividend of INR 3 marking our 10 years of IPO.

This reflects confidence in our cash generation and our commitment to shareholder returns, continued discipline in capital allocation. This translates into a total payout aligned with free cash flow, reflecting our commitment to shareholder returns while m aintaining adequate

liquidity for our growth objectives.
In closing remarks, to summarize Q4 and FY26 :

Consistent margin expansion despite modest revenue growth, strong EBITDA and profitability growth, high quality earnings with robust cash conversion, structurally improving our business mix and a strong balance sheet with disciplined capital allocation.
As we move into FY27, our financial priorities remain, sustaining our margin expansion trajectory while maintaining strong cash conversion, driving higher return on capital and supporting growth investments while ensuring capital discipline.
With that, I will now hand it over back to the moderator for Q&A.
Moderator: Ladies and gentlemen, we will now begin the question -and-answer session . We will take the first question from the line of Siddharth Zabak from I IFL Capital Services Ltd. Please go ahead.
Siddharth Zabak: Thank you. Congratulations on the strong set of results and thank you for taking my question . I have two questions . Firstly, on Overseas business , we saw a sharp uptick in Q4. Could you help us understand what were the drivers behind this growth and to what extent is this sustainable versus being one -off in nature? Additionally, any color on how the Middle East business could be impacted by the ongoing geopolitical situation? And secondly, on General Staffing margins, margins expanded by 20 basis points year -on-year. What are the key drivers behind this improvement, and should we view this level of margins as sustainable going forwa rd?
Lohit Bhatia: Thank you, Siddharth. This is Lohit here. I will take that question and then hand over briefly to my colleague. Your first question was on overseas and how sustainable is the margin profile and the growth that we have seen in the 4th Quarter . Fourth Quarter has been particularly aided by the revenue jump from INR 290 crores to INR 332 crores. This is actually demonstrated by three moving parts and segments. #1. Core organic revenue growth as well as one -time pass -through put together that has expanded the book. #2. The second has been expanded by new customer addition during this quarter as well. #3. And third has been an advantage of the currency devaluation of the Indian rupee against the currencies that we are operating in all of these geographies. So, it is a combination of three factors. If I were to moderate the one -time pass -through out of the INR 42 crore revenue jump during this quarter, about INR 10 crores is the one-time. The rest INR 32 is because of organic revenue growth, new customer growth and FOREX gain.
Your second question you briefly asked was about Middle East and what do we see there. As the Middle East issues unfolded in front of all of us at Quess Corp also, first we were absolutely cognizant of the fact that both our core employees as well as our associate employees have to remain safe. Our treasury operations balance sheet and finance has to be robust, take care of all eventualities and to be able to pay everyone as per the laws on time. I must tell y

ou that we have
had a record revenue closing eve n in Q4 in Middle East. In spite of all of these factors, we have had a record collection at almost 17 2%. Our OCF has been healthy this year and we have crossed at an operating level, we have crossed our AOP targets at revenue, EBITDA and margin, all three during the quarter in Middle East. We remain concerned and we continue to keep watching

that situation extremely carefully. We are also in touch with all of our customers. One of the things that when we deep dive our Middle East results has been something that we have been structurally doing for the last 7 to 8 years. We are not embedded to any one segment, any one customer or any one market there. We are actually in mostly essential services which is technology, insurance, telecommunications, e -commerce and logistics, banking and then retail. So, the portfolio diversification in the last 7 -8 years and the strength of the quality of customers that we work with, backed up by the essential services, nature of the work we have done, we continue to close Middle East for this financial year and this quarter at a high point of more than 2,200 contrac tors. We will continue to watch the situation as it unfolds very, very closely. I will briefly move to the General Staffing .
Kushal Maheshwari: I believe you were asking the question on overall margin at 2.2%. Am I right, Siddharth?
Siddharth Zabak: No, for General Staffing .
Lohit Bhatia: General Staffing margins are at 1.5%. So, General Staffing , Siddharth, very specifically if you look at a very holistic picture of Quess as it has been unfolding in the last 3 or 4 years, this has been backed up by the 3 distinct platforms. The second you would notice that in each platform we have a volume and a value strategy. The third you would notice that while we are chasing growth at a volume level specifically in the General Staffing business as well, in each of the segments and platforms including General Staffing , we are also going after the higher margin

businesses. GS also has modeled their next 4 -year trajectory on value and volume. We have today customers in construction, we have customers in value -added services and manufacturing which has been yielding slightly higher margin than the margins that we have seen tra ditionally in this business.

Siddharth Zabak: Got it. Thank you so much and all the best for the coming quarter.

Lohit Bhatia: Thank you.

Moderator: Thank you. We will take the next question from the line of Vikas Ahuja from Antique Stock Brok ing. Please go ahead.

Vikas Ahuja: Hi, thank you for the opportunity and congrats on good execution. So, I have a couple of questions on margin and then one related to that discontinued project which resulted in 7,000 headcount loss. So, firstly, on Professional Staffing margins are now 12.7% and we have seen this improvement. It is a consistent improvement we have seen over last 5 -6 quarters. Do we think there is more room to improve these margins further? And overseas at 6.2% as well while General Staffing remain s at 1.5%. As the higher margin segment scale, what is the expected blended margins we expect over next 2 -3 years? That is my first question . Thank you.

Kushal Maheshwari: Thank you, Vikas. For the Professional Staffing , I will ask Lohit to give you a color on this.

Lohit Bhatia: Vikas, thanks for that question . To your question on Professional Staffing and how did we scale to 12.7% and is this something which will remain for the long term or are we further anticipating uptick in margin? This has been a structural story which Quess has been working in our Professional Staffing side since 2020 -2021. We have done multiple things. One, we have moved away from the low margin 0 -3 years of experience category. Second, we have pivote

d ourselves
to GCCs and today our book is a lmost 71% built on the back of GCCs followed by another 20% on IT customers within enterprises followed by 9 -10% only from the IT services pack. The third is we have gone higher on the execution capability both with the niche segment as well as with the experience skill set. All of this has yielded to higher margin , which is a plan that our Professional Staffing team has made. We will continue to remain with that focus and that trajectory in times to come. As far as the guidance is concerned, it would be sa fe to say that we would continue to remain and measure ourselves in the 11 -12% margin category for the medium term as well. As far as overseas is concerned, the book is today built on multiple countries. Middle East and Philippines both are double digit ma rgins at 11 -10% today. Singapore which had some challenges in the last six quarters which we have spoken about in every call in the past has now come out of that trough and has built a General Staffing business as well. It yields close to a 5.5% margin pro file, and Malaysia yields about a 4.3% margin profile. So, the blended margin is at about 6.2%. We would continue to keep working ourselves towards a (+6%) margin as far as our international mix and book is concerned. You briefly mentioned that you wanted to know about the 7K discontinued project.

Vikas Ahuja: So, before that, I wanted to get some understanding on overall blended margins for the next two to three years. And the question on that 7,000 was can you provide more details on the revenue and margin impact of this discontinuation? And also, are we largely done with this restructuring or do we think that in FY27 there could be some revenue hit because of further discontinuation of the project?

Kushal Maheshwari: So, for the question on the overall margin, basically is it sustainable for the next two to three years, I will ask Lohit to answer this thing followed by the question on discontinuity.

Lohit Bhatia: So, as you see, Vikas, this year started with a range of 1.6% to 1.8% margin. Across our various quarterly calls, we had said that we want to be at 2% and create that as a new baseline and foundation for our company. Today, we are glad that at a full financial year FY26 basis, we have crossed the 2% mark. But as we exited Q4, it was 2.2%. If the blending of our current portfolio remains where it is, a 2.2% is possible. However, given the fact that General Staffing is a 1.5% EBITDA margin busin ess, we are anticipating a higher clip rate growth in FY27 and thereafter in terms of headcount. So, it would be safe to say that in an immediate term, a (+2%) margin in a medium -term going towards a 2.4%. As far as medium term is concerned, I would call it a three -year period. That would be a medium term. So, that is how we should kind of look at it. To your question on the discontinued project, as you would remember, closer to our demerger timeline, we had said any business which does not meet the financi al metrics of the company and does not yield us the cash realization , we will exit and discontinue such businesses. This was one of the projects which we were doing, which was 7,000 -odd resources, but a milestone -

based project, which in this financial year we have completely closed and dialed down. The

impact of revenue from this is roughly about 1.3% at about INR 200 crores. We do not have any such known event in front of us.
Vikas Ahuja: Okay, thank you. And my final question is, then I will go back to the queue, that GCC within Professional Staffing now contributes 71% of the headcount. How does GCC margin profile compare to the broader Professional Staffing ? And is there further GCC -led margin upside we foresee? Also, do we see any risk to this GCC story we have seen in the last couple of years, as many of the large US companies are tal

king about reducing headcounts this year. So, that could be trickling down to their GCCs as well and could have some indirect impact on us. Thanks a lot.
Lohit Bhatia: Vikas, let us understand this difference, and I think it is an important point that you raised. Why are GCCs slightly different from IT services? I think it is a very different business that both these are in. IT services are primarily in the digital transaction as well as transformation space, but a lot of volume is gathered at the entry level, which is 0 to 3 years and 3 to 5 years. When you look at GCCs, they are coming to India to solve a certain technology problem for themselves, and they are not just looking at India as a cheap base to solve talent, but they are also looking at India for transformation and beyond transformation as well. In GCCs, you need ready talent which comes with skills, which comes with experience, and which comes wi th minimum 7 to 8 years of exposure and more. Hence, it is a very different segment of talent that we deal with. Likewise, for a higher experience, automatically the revenues and thus the complexity of that enhances. Because we have created a high value ve rticalization team within our Professional Staffing practice as well, we are able to yield the kind of results that we do.
Neeraj Jain: I think there was a question around softness of GCC in the US for Professional Staffing . Maybe what we are also seeing from our side is the time and the opportunity for overall GCCs that we can tap in India, but more importantly, we are seeing a wider GCC demand coming in from the Asia-Pacific. As a company, we are looking at new corridors w here we can tap the GCC demand for this vertical.
Vikas Ahuja: Okay, thank you. Thank you.
Moderator: Thank you. We will take the next question from the line of Dipesh Mehta from Emkay Global. Please go ahead.
Dipesh Mehta: Thanks for the opportunity and congrats on strong execution. My question is largely linked with the revenue growth side and headcount side. First on General Staffing , if I look revenue growth for ‘26 is largely muted and even if one adjusts for the accounting for Labor Code , which we did on revenue expenses side and adjusted for 7,000 project -related impact, which you indicated, it is largely flat tish. So, can you provide some sense how you expect the General Staffing growth to play out considering your margin foc us and case conversion, whether you find enough double - digit growth kind of opportunities starting FY27 or growth is likely to be tepid particularly on

revenue side in General Staffing ? That is question one. Second question on Professional Staffing , if I look at it over the last few quarters, growth started tapering off on revenue side. How do you expect this revenue growth to play out even though our focus remains on GCC and all those things, but largely seems to be now growth is tapering out so, trying to get your sense on revenue growth side. And third question is on the Labor Code kind of thing. What percentage of our revenue or client would have accepted, let us say, revised terms or revised rate based on the new Labor Code -related revision and where discussions are still, let us say, happening? If you can provide some sense on it. Thank you.
Lohit Bhatia: Dipesh, I will answer the questions and then hand over to my colleagues , Nitin and Kapil , to throw some more light on the specifics that you have asked. The first thing you have asked is revenue and headcount growth related to General Staffing . Let me clarify a few points. 1) With the year which kept us so busy in India, starting from the 2nd Quarter of GST 2.0, 3rd Quarter Labor Code and 4th Quarter global factors including state elections, in spite of that fact, our General Staffing team thi s year has added 26,000 net addition to employment. While our historical

average has always been 45,000 to 50,000 and we continue to run investments, teams and technology to be able to deliver those kind of numbers, we see that this 26,000 has further been muted by the 7,000, which as a leadership team, we took a conscious call to decline from those businesses. And hence, the like-for-like number for an entire organization you are noticing is only at 19,000. At 26,000, I would say we have performed at 50% of our installed capacity. But this 50% of installed capacity is in spite of the structural things which were happening both on the demand and the supply side as far as India is concerned in the last couple o f years. I will ask Nitin to throw some more light on the kind of capacity that we have from a sales, execution, sourcing, and reach perspective.

Nitin Dave: Thank you, Dipesh. This is Nitin Dave . We in General Staffing are well invested in terms of verticalization, new lines of business, and recruiters. We have a very resilient sales team that is in a position to deliver 275 to 300 new logos every year. In fact, in the last 12 quarters, they have added more than 100,000 new headcount s. The same is true for our recruitment team. We have a very stable recruitment team which can consistently deliver headcount. So, in a stable environment, this team can consistently deliver headcount growth going forward. And new lines of business where also we are working, they can also start kicking in as we go forward. Kapil?

Lohit Bhatia: We will hand over to Kapil for the PS questions , Professional Staffing that you asked.

Kapil Joshi: So, Professional Staffing I understand your concern, but it is very cyclic. If you see H1 versus H2, what happened in H2, we have furlough impact and the number of working days since we work on T&M model in Professional Staffing , number of working days also impact our revenue. And Q3 and Q4, specifically Q4 has the lowest working days in a whole year. So, probably the real efforts what we put in the sales or what we do headcount addition all the year does not reflect in Q3, Q4 performance becau se of the furlough and less working days. But just to let you know, we have acquired 61 logos in a whole year. Out of this, (+50%) has already gone active and we

have 200 plus resources already deployed in this account, which are acquired in this year only. So, the real impact probably will be visible in H1.

Dipesh Mehta: Sorry to interrupt, but let us say both the General Staffing and Professional Staffing , let us say in Professional Staffing , I am referring to Y oY growth. So, seasonality, which you are referring to, I think should not have any impact when you look YoY growth. Your YoY growth in specialized or Professional Staffing is double digit, your exit is half of it, Quarter 4 YoY growth. So, I was referring to that. On General Staffing , you indicated, let us say around 10 K to 15K per quarter kind of net addition, whi ch is what the capacity which we have. And we achieve roughly half of it when you look, let us say somewhere around 25K for the year in terms of net addition, excluding the 7000 lows. My question is, it is not getting captured when I look, let us say revenue number, right? You are saying that an addition happened, but let us say at the end of the day, when I look full year headcount addition or changes, at least in ‘26 not played out, are we confident ‘27, the kind of capacity 10 K to 15K addition per quarter should actually start getting reflected into your net revenue growth?

Kushal Maheshwari: I will ask Lohit to answer your question on the General Staffing and eventual reflection in the revenue growth for the company.

Lohit Bhatia: So, Dipesh, two quick points. One) On the General Staffing business, you might remember there was a base decline effect about a year ago. In Q4 of last financial year, there was a BFSI reg

ulatory -based impact which caused a 37,000 decline. While this happened more than a year ago, the shrinkage of revenue from that was to the tune of 7%. Today, like -for-like, when you see the growth created by this year is actually 10% for the year. In spite of the three broad structural changes which happened in our economy in quick succession one after the other, which is GST 2.0, which is Labor Code , as well as global factors and elections, all happened in a matter of seven months in the last seven months of the economy. Yet, if you negate for that one-time event last year, you will actually notice that the business has grown 10% year-on-year. Negated for that, the number on the balance sheet obviously comes to 2%. To a quick follow -on on what Kapil has already explained from a GCC perspective, I also like to bring to your notice that two quarters ago, we had said that we had one of the projects in our MSP, which was run rating at close to about 10 crores revenue line. And that project was for one year. That project ended in that quarter. And hence, that is the one which has had a drop, if you see it from the slide itself, from INR 244 crores revenue to INR 224 crores . From INR 224 crores , we have been increasing and enhancing and come back to INR 232 crores per quarter. And rest, as Kapil explained, 61 new contracts and logos, predominantly 90% of those are GCC customers itself, have given us new mandates. And we feel that this year, we will be able to come back on a 10% to 11% headcount growth and 12% to 13% revenue growth.

Dipesh Mehta: I think that answer, double -digit growth you are indicating to return. And last part which is unanswered is about the Labor Code , how many clients or percentage of revenue agreed to and where you intend some effort to be made in subsequent period?

Neeraj Jain: This is Neeraj. So, we are closely monitoring the Labor Code situation. I think, given our expectation, the law is also evolving. So, rules are yet to be notified. And to specifically answer your question , I think we expect more and more responses to pick up in Q1 and Q2 from confirmation from the client side in terms of which approach they want to take. So, hopefully by Q1 and most likely by end of Q2, we should be able to have full confirmation from clients and accordingly, we will take that impact.

Dipesh Mehta: Understood. Thank you.

Moderator: Thank you. We will take the next question from the line of Amit Chandra from H DFC Securities. Please go ahead.

Amit Chandra: Yes, thanks for the opportunity. So, the first question is on the Professional Staffing side, obviously, now you have answered upon the margin expansion piece, but it is very heartening to see the margin expansion coming back in the sector at an overall level after a very long time. But if I just compare the Professional Staffing margins to the competition, we are just almost like double of that irrespective of the GCC contribution being in the 70% range for the competition also. So, what exactly we are doing differently here and what gives us the confidence that these kinds of margins in the Professional Staffing is sustainable over a medium -to-long term.

Kushal Maheshwari: Thank you Amit for your question . I will ask Lohit to answer your question followed by Kapil .

Lohit Bhatia: Thanks Amit for the question . Amit, I would like to speak for Quess , I would not be able to speak on behalf of any other organization in the industry. Having said that, I think structurally what you are seeing as a result today in FY26 is very tireless efforts and execution which has been put way back in 2020 -2021. Post-COVID, we were of a clear realization that the market will under vamp ed on margin side across the entire industry and our Professional Staffing team led by Kapil Joshi and his entire leadership team worked very hard on the fa

cts of what would create future growth in India. The clear message there was coming out to be was GCCs followed by IT within enterprise customers and then followed by IT serv ices. That is the way Quess was looking at demand for itself. I am not talking about the Indian IT industry, I am saying this is how Quess was viewing what opportunities Quess will wan t to partake in. The second point was we also realized that as the GCC customers will arrive in India, they will want solutions with experience skill set, whether it is in data centre, whether it is in artificial intelligence, whether it is in cyber security, whether it is in product based and those skill set s will be niche skill sets which will require different delivery, different recruitments, a lot of technology embedded value in how we source and how we screen candidates, how do we onboard, how do we r etain the talent with us and that was the work which is being done for the last five years. Way back in 2020 -2021, the EBITDA from the Professional Staffing business was at 4.7% if I remember correctly and it has taken approximately five years to get to a 12% mark. During this period, it is not just margin expansion, it is a revamp and a rebalance of the nature of customer and type of contracts we have signed. It is the kind of revenue per person that we are doing. It is the niche

skill set that we are working on and we have strategically exited a few projects along the way. So, it is a structural story led by five years of intense execution.

Amit Chandra: Okay. So, just to follow up on the Professional Staffing thing, obviously FY26 has been a very strong year but the exit was a bit weak in terms of the Y oY has been highlighted earlier. So, in terms of the overall growth for the next year in the Professional Staffing , especially in view of that the last two years or three years rather has been very strong for the number of GCCs opening up in India and most of this demand has been created by opening up of newer GCCs. But once that slows down and because of the AI impact, we are not seeing any hiring at the net level from the existing ones or the existing GCCs and obviously from the IT services. Do we foresee any kind of a slowdown in terms of the headcount addition here and any change in strategy for the Professional Staffing ?

Kapil Joshi: So, first let me answer you on Quarter 4 . Like I said, Quarter 4 has the lowest ever working days and we have some spillover in the first week of January on furlough also. So, that revenue does not truly reflect our net addition and the margin improvement for the Quarter 4 and hopefully it should reflect in next one. Now, second question on AI impact on GCC and the kind of work we do. So, what is happening and Lohit has already briefed about it. We have actually in last two years, we have moved from volume to value business. Earlier, most of the contracting use d to happen for your low -end L1, L2 support, maintenance job, voice , non -voice kind of support and testing kind of role. What has happened because of the GCC penetration and because of the AI impact, the skill requirement has completely changed. Two years back, there was only 30% demand in AI data, cloud, cyber security space. Now, this contributes almost 60% of total demand where we have better build rate and better margin. Second thing, what happened in GCC space, which Lohit has already briefed that GCC do totally very different business than IT services. So, the contract staffing earlier used to be in zero-to-four-year experience bracket. Now, it happens 4 year plus up to 10 years. So, these two things actually have changed the entire landscape and probably a result of AI impact also. More importantly, there is a huge demand - supply gap on all this emerging technology and that is where staffing company play a big role.

None of this large organiza

tion has a branch resource, are ready to deploy talent availa ble and
our strong delivery engine actually fuel this growth and somewhere it helps us in new sales also.
Amit Chandra: And my last question on the General Staffing . Obviously, we have some impact of the restructuring but in the base that we have right now, have we any further risk of any regulatory -led or any further restructuring which can impact the additions because we have strong growth additions but it is not showing up in the net because of the high er leakage or the high er addition, whatever you want to put it. And also the margin expansion that we are seeing is also a result of only exiting the lower margin businesses or is it that we are moving up in terms of the value -add and also Collect & Pay because the Collect & Pay , we are not seeing any improvement. So, in terms of business model is there any changes or just exiting lower margin business?
Lohit Bhatia: Yes, thank you for that question . So, if you see it from a General Staffing business and Nitin Dave , our leader was explaining prior to this that the way the business is modeled, we grow from

new customers where we added 281 clients during this year. We continue to hold ourselves responsible for adding 275 to 300 unique clients every year. We have an installed capacity of sourcing of up to 50,000 people per quarter from our sourcing -led initiatives. The last two quarters, we have been able to deliver only 37 ,000 and 38,000 out of that installed capacity of 50,000. So, we have an upside play there as well in our capacities. The third is India's structural changes which were happening in the last seven months, more or less we feel this is done, unless something new comes up and obviously, Quess is a very integral part of Indian economy in many ways a backbone to 2,300 plus corporate clients. If something comes up, obviously, it will impact the entire economy and so it might impact us as well. But at this moment, we are poised for growth based on the capacities we have, the execution, the reach and the technology that we have.
Neeraj Jain: This is Neeraj, I think there was a question around Collect & Pay . Just wanted to update that General Staffing from a vertical standpoint is going to diversify and expand their business in construction and manufacturing as new verticals. So, as of today, our Collect & Pay 76% is a very healthy number and we basically have a target to maintain this as I said, given the fact that we are now expanding into high margin construction and manufacturing verticals where it is going to be at least 30 day s to 60 days DSO trend. Overall, at a GS level, if we are able to peg ourselves between 70 % to 76%, I think we are in good shape.
Amit Chandra: Okay, sir. Thank you and all the best.
Moderator: Thank youWe will take the next question from the line of Shankar Narayanan from ithought PMS. Please go ahead.
Shankar Narayanan: Good morning, sir. I wanted to understand the major drivers of the GCC segment. So, in terms of headcount, this year we have seen close to 7% of headcount addition in headcount growth in Professional Staffing segment. And do you think this number can inch up slowly to let us say 10% to 12% growing forward? And if so, will it be coming from the mature GCCs who are adding the headcount or the new GCC which are setting up in India for the first time and to the BOT model that we are engaging. So, I want to understand the difference between two and how it will impact the headcount in the business.
Kushal Maheshwari: Thanks, Shankar. I will ask Kapil to answer your question on GCC.
Kapil Joshi: Straightforward, we have added roughly 400 plus net addition was there on our billable associates for the last year. 50% of that actually came from the new signup, the 61 logo what we have signed for the year. So, the n

ew sales is definitely driving the ne t addition. I am confident
that the net addition for next couple of years will be in double digit 10 % to 12% what you are expecting. And 50% of this should come from the new signup and 50% from existing logo where we are serving right now.

Shankar Narayanan: All right, sir. And in the engagement model, are we engaging directly with the client or are we partnering with any of the real estate developers who manage the property as well?
Lohit Bhatia: We look at every opportunity available in the market. There are consulting firms which bring businesses to India, but then they need a strong execution partner and Quess sits there. There are developers who have large mandates for the space that is taken. But again, on talent, which is 80% of the problem that a GCC wants to solve, again, Quess becomes a partner there. So, there are multiple ways direct as well as indirect with our teams, through our teams, as well as through partnerships in th e market. We will continue to keep watching. Wherever an opportunity exists,

we will find Quess being there.
Shankar Narayanan: And finally, to model into our estimates, what effective tax rate should we include for the next three years?
Kushal Maheshwari: Sorry, can you repeat your question ?
Shankar Narayanan: I was asking on the effective tax rate to model for the next three years.
Kushal Maheshwari: I will ask Neeraj to answer this question .
Neeraj Jain: So, yes, I mean, given our business and business mix and the new sector that we are looking at, I would say from an ETR perspective, we should be looking at a 7 % to 10% range.
Shankar Narayanan: 7% to 10% range?
Neeraj Jain: Yes.
Shankar Narayanan: Got it, sir. And regarding our contingent liability as well. So, if I go through the last year Annual Reports , majorly it was saying that the salaries that we are processing is higher than the 25,000 mark which is given in the 80JJAA Act. So, for the next two, three years, do you think this will increase the absolute tax amount that we are paying? Because wage inflation will also increase the salary of the associate.
Neeraj Jain: Okay, so from an ETR standpoint and contingent liability standpoint, contingent liability is a component of two elements. One is the 80JJAA litigation that I think it is an industry litigation. It is an industry -wide impact. As we say, while the matter is sub -judice and we expect some concrete progress to happen on this subject in this year, we continue to avail the 80JJAA exemption. So, I do not see any impact coming in from there. The other element of contingent liability is GST litigation th at we have where in early stage litigation, I think it is going to be a little slow as we progress on this matter because the other parties, there are almost 10 insurance companies that are part of the litigation. So, there will be an element of progression that we will see in this year, but I do not expect a concrete conclusion on this matter. From a contingent

liability, unfortunately, till the time we get a final conclusion at the next level, we have to maintain the current stand. But from an ETR standpoint, we do not expect any impact.
Shankar Narayanan: Got it, sir. Thank you.
Moderator: Thank you very much. Ladies and gentlemen, we will take that as the last question for today and with that concludes the question -and-answer session. I now hand the conference back to the management for closing comments. Over to you, sir.
Lohit Bhatia: Thank you everyone for joining us and continuing to support Quess Corp in this journey. As we said, we are foundationally strong in our 19th year and one year post our demerger. From a balance sheet perspective, there is strength in the organization and the balance both from a business and an execution point

of view as well as from a treasury and a finance point of view.
We will continue to keep looking forward for your questions and feedback as always. We will appreciate your continued interest and support and sincerely look forward to catching up with all of you again. Than k you very much.
Moderator: Thank you, members of the Management . On behalf of I IFL Capital Services Limited, that concludes this conference. Thank you all for joining with us today and you may now disconnect your lines. Thank you.